

Bajaj Electricals (BAJAJELEC)

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Call: Aug 2022

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Corporate Identity Number (CIN): L31500MH1938PLC009887
August 17, 2022

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051
Dear Sir/Madam,

Sub.: Submission of the Transcript of the Q1FY23 Earnings Conference Call of Bajaj Electricals Limited (the "Company")

Further to our letter s dated August 3 , 2022, and August 12, 2022, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we enclose herewith the transcript of Q 1FY23 Earnings Conference Call (i.e., Post Earnings/Quarterly Call) , as organised by PhillipCapital (India) Private Limited on Friday , August 12, 2022 at 5:30 P.M. (IST) , whereat the financial results of the Company for the first quarter ended June 30, 2022, were discussed.

We request you to take the above on record and the same be treated as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,
Yours Faithfully,
For Bajaj Electricals Limited

Ajay Nagle
Head of Department – Legal (and Company Secretary)

Encl.: As above.

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"Bajaj Electricals Limited Q1 FY23 Earnings
Conference Call"
August 12, 2022

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MANAGEMENT MR. ANUJ PODDAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , BAJAJ ELECTRICALS
MR. E.C. PRASAD -- CHIEF FINANCIAL OFFICER ,
BAJAJ ELECTRICALS LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Bajaj Electricals Q1 FY23 Earnings Conference Call hosted by PhillipCapital (India) Private Limited . As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone

phone. Please note that this

conference is being recorded. I now hand the conference over to Mr. Deepak Agarwal from PhillipCapital (India) Private Limited. Thank you, and over to you, sir.

Deepak Agarwal : Thanks. Good evening, all. On behalf of PhillipCapital (India) Private Limited, I welcome you all to Bajaj Electricals Limited Q1 FY 23 earnings call. Today, we have with us management represented by Mr. Anuj Poddar, MD and CEO; Mr. E.C. Prasad, Chief Financial Officer. Without taking much of time, I would like to hand over the floor to the management for their opening remarks post which we will open the floor for Q&A. Thank you so much, and over to you, sir. Thank you.

Anuj Poddar : Thank you, Deepak. Good evening, everyone. Thank you all for joining us on a late Friday evening on the eve of a long weekend. I know you're all looking forward to the weekend. But thank you for being with us today for this call. I'll just make a few opening comments. I'm sure you've got the chance to go through our results as well as the investor deck that we've released. I'm pleased to report that we've had a healthy and good quarter and it's a strong bounce back from the last 2 Q1s that we've had in previous financial years. The key headlines from my side, our consumer business has continued to demonstrate good traction with good growth of about 58% Y-on-Y basis. Our EBIT has bounced back in the consumer business unlike a soft quarter that we had last year in Q1. We're maintaining our growth rate and the focus on EBIT of the consumer business. Importantly, for the EPC segment, this marks the second quarter in running that we've demonstrated breakeven results, we hope to continue to maintain profitable trend going forward. From a balance sheet and cash flow perspective, which we've always been very focused on, we've continued our track record of demonstrating strong cash conversion and positive cash flow with cash from operations amounting to about Rs. 165 crores. While we'll talk about operational aspects of all the business segments and product categories which we continue to do well, I do want to call our illumination business, which continues to gain market share has demonstrated growth on the top line, and continuously inch up on the margins and profits that it earns. And lastly speaking, I just want to point out that this is a quarter under which we've undergone transition of our operating ERP system. We've transitioned to the latest version of SAP S4/HANA. To that extent, that transition happened sometime in May. And as part of any such large transition, there are some disruptions and teething issues. So, we faced some of that in this process of transition in the month of May. And these results are despite the transition and certain amount of sales losses that we had in the month of May as part of this transition. So, with that, I'll hand it back to Deepak and happy to take questions. Thank you.

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Moderator : We will now begin the question-and-answer session. Ladies and gentlemen, we'll wait for a moment while the question queue assembles. The first question comes from the line of Chirag Lodaya from Valuequest. Please go ahead.

Chirag Lodaya: Sir, my first question was on gross margins. Q-o-Q, if I see your gross margins are up by almost around 350 basis point. However, Q-o-Q consumer margins are flat.

t. So, just wanted to understand where is this discrepancy coming?

Anuj Poddar : Chirag, the gross margin you may be seeing is on a consolidated basis. And therefore, it's a blend of the consumer, illumination and EPC businesses. It's a little misleading. But if you look at our segmental results where we report our EBIT margins, etc, it's kind of flat on a Q-on-Q basis. But also, if you look at from a 3-year perspective, it's similar to, of course the significant improvement over last Q1, but I would look at last Q1 as an aberration. If you go back 3 years, we've maintained that margin. And that's despite that this year yet factored in significant commodity inflation and headwinds in this Q1 results. If you compare that also, I think the fact that we maintain those margins on a 3-year basis is demonstrable of the fact that at an underlying level, we actually delivered improvement in our margins on a real basis.

Chirag Lodaya: And in terms of margin trajectory ahead, how we should look at it on a Q-o-Q basis? We'll see significant improvement or you still feel there will be some pressure in the initial quarters before we start improving on your gross margin?

Anuj Poddar : The commodity inflation cycle started in about October, November 2020. That has gone on till about May 2022, which is this year. We started to see a little reversal in the commodity inflation and cost since June of this year and continuing into July. So, to that extent, we expect margins to start improving from Q2. But the full benefit of this commodity cost reduction and margin improvement will be seen in Q3. But here on, I think we have at the bottom of the margin and we expect to deliver higher margins going forward.

Chirag Lodaya: And just lastly, sir, if you can also share 3-year CAGR growth for appliance, lighting and Morphy Richards that would be helpful. You have shared on fans in the presentation.

Anuj Poddar : So, we don't have that 3-year that we carve out on a subcategory level, CAGR, but on an overall

basis, I think it's about 7.4% on a 3-year CAGR basis for the consumer business.

Moderator : Next question comes from the line of Nikhil Kale from Axis Capital. Please go ahead.

Nikhil Kale : First part is, what was the impact of this system upgradation. You talked about there was some impact on sales. Would you be able to quantify it?

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Anuj Poddar : Hard to quantify specifically. We had about 10 days of disruption because of the system. And therefore, equivalent of 10 days loss of sales. I would say some of that we were able to recoup or make in the ensuing days. But approximately, if I were to hazard a guess I would say anywhere between Rs. 30 crore to Rs. 50 crore maybe a loss of sales that we've seen in this quarter because of this.

I just want to add to that, this is phase 1 of SAP. There's some further implementation of system that is going on now that will go on for another 3, 4 months. But impact due to that now will be minimal. But just to tell you that full implementation will happen by the Q4 quarter. But we've seen the bulk of the impact happen in Q1. We don't expect any significant impact going forward.

Nikhil Kale : I was saying you mentioned that the Consumer Products performance 3-year CAGR at 7.4%.

Looking at the kind of inflation that we have had, that would kind of imply that the volume growth would be maybe in low single digits, right? So, yeah, just wanted to get some idea on, how are you looking at demand? I mean, we gather from other companies that demand has kind of slowed down in the last quarter, but what is the sense that you're getting, especially for some of the key markets for you, which might be different from some of the peers?

Anuj Poddar : So, first, let me tell you about the weakness and then let me tell you the good news. Since about 28 May or last week of May, there has been a

visible slowdown in demand in the industry, I think that's across the board. And therefore, that factored into Q1 results. Also, June has been weaker demand. April-May was largely better off. We've seen some of that weakness continue into July. But August-September, we expect to see a strong bounce back. One is, actually so far in August, we are seeing some signs of bounce back. But I also see that getting accelerated because we have an early festive season this year, Diwali is on I think 24th October, other festive dates also come in earlier. And to that extent, I think the primary sales will see a pickup in August-September, and therefore we are confident that Q2 will see a healthy bounce back on an overall basis. The one part where the jury is out purely in terms of in the economy in the later part of the year, what will the demand trends, etc., be, had the inflation continued at the trajectory that it was at, 2-3 months ago, I would have had a slightly softer view. Seeing some of this, at least on our side cost pressures and inflation come down. I do think I would be slightly more optimistic now than I was 2-3 months ago and we may escape demand slowdown in the latter half of the year, which means net-net, I'm yet optimistic that Q2, you will see a bounce back in these 2 months, but Q3 may end up being a decent quarter and not a bad demand affected quarter.

Nikhil Kale : And on the margin front, I think we've done a decent job in maintaining our margins in the consumer products business. But now with some of these tailwinds kind of coming in on the commodity side, also with the expectation of improving demand, what is the outlook on the margins going forward?

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Anuj Poddar : So, a long term outlook on margins is good. If you minus these 2 years of COVID, we had given a strategic guidance that we are very conscious that as a company, we want to expand and widen our EBIT margins on consumer products where we have given a guidance about 1 percentage expansion per annum. COVID, commodity has impacted us, but we expect to get back to that in an absolute basis. So, I think we would exit this year at a good healthy run rate and get back to those trajectory by next year. Well, I don't want to give you a specific number guidance. We are clearly targeting a double-digit margin in the very near future.

Moderator : Next question comes from the line of Paarth Gala from JM Financials. Please go ahead.

Paarth Gala: Two questions from my end. One is if you can just talk a bit on the rural side of the business.

Because that was one area which was under some pressure and Bajaj has a bigger presence in these markets compared to the peers. And secondly, an update on the demerger of the EPC business, what would be the status of that and we still maintain the target date. Those 2 from my side.

Anuj Poddar : Paarth, your voice was not very clear. First one, rural side and second is demerger. Is that

correct? Okay, I'll go ahead and answer, I think that's what I heard. So, rural side of the business, if you recall our commentary from Q3, rural demand has been weaker than urban because our contribution or weightage of rural has been higher. So, therefore, on a consolidated basis, we've had a little slightly elevated impact of the rural slowdown. My guess is with a good monsoon, good MSP, announcements by the government, etc, we expect by end of Q2/Q3, we would see a bounce back in the rural demand, and we should be beneficiaries of that. It's a little early to say, but that's our outlook right now in the rural demand side. On the demerger, the schemes have been filed with the stock exchanges. We've had a few iterations in terms of queries and responses with the stock exchange. When I say stock exchange, that includes SEBI related queries that get routed via the exchanges, we would expect unless there's any further

her queries,

we will have full approval from the exchanges within this month post which we will be filing for NCLT approval. It is very hard to put a very specific timeline to NCLT. I do understand that there are some vacancies in the NCLT because of which that process may be longer than originally anticipated. Our internal target for that was to actually get the approval by the end of the quarter this year, but latest by fiscal end. I think currently it looks like fiscal end which is a JFM quarter more likely where we should have all approvals. But we will keep updating you as and when we have more visibility on this.

Moderator : Next question comes from the line of Hitesh Taunk from ICICI Direct, Please go ahead.

Hitesh Taunk : Sir, my first question is on the pricing front. Sir, how much price hike have you taken during this quarter?

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Anuj Poddar : So, Hitesh, we had taken approximately a 5% hike on an average across various categories in the month of April. We had planned a further hike in May-June which we did not take given that visibility of commodity price is starting to cool off. And we do not anticipate now any further price hike at least visibly as of now.

Hitesh Taunk : Sir, the second question is on our advertisement expenditure front. This quarter we have seen a kind of increase in the advertisement expenditure to about 3 to 3.7% on the sales. So, is this a kind of expenditure we are going to maintain or will it be a slowdown going forward?

Anuj Poddar : So, our general guidance has been that ad expense will be between 4% to 4.5% on an annualized basis. It has been slightly lower in the last 1 or 2 years. As the COVID or margin pressure goes away, we actually expect to normalize at that 4% to 4.5% on an annualized basis. On a quarterly basis, there will be some swings based on seasonality of campaign, but annual basis, that's the number we expect.

Hitesh Taunk : And sir, my next question is on the Morphy Richard front, we have seen a kind of decline on that segment. So, is there any specific reason you want to contribute? Or is it a kind of a normal phenomenon in this quarter?

Anuj Poddar : No, I don't think it's a quarterly phenomenon. So, 2 answers to that. Number one, in last 12 to 15 months of significant price increase, there has been a conflict between online and offline channels which has been very acute, because pricing strategies by both channels have been very different. And I'm not just talking about us, but the players in the market. To that extent, Morphy has borne a much greater brunt of this channel conflict, given its unique positioning and scale in niche segmentation. Going forward with this pricing, price kind of stabilizing, etc, we think the price conflict that has been there between the channels will normalize. And therefore, to that extent, the brunt that Morphy was bearing will now ease out. But the larger strategic view on that insofar as you know, we've had short term relations and deals with Morphy, now we have signed a 15-year association. On the back of that, we are now putting together a completely revamped strategic roadmap for growing Morphy business, including a complete relook at its product portfolio and go to market and brand strategy, that will play out over the next 18 to 24 months, and we have a very clear visibility on how we'll drive that growth. But some of that is something we start seeing from next year onwards in terms of the results of that plan that we're rolling out.

Hitesh Taunk : And sir, my next question on the market share front, I mean, we have gained substantial market share over the last 2 years in our different product categories. Was it continued currently in this quarter also? And if you can share some market share for the leading products, that will be great.

Anuj Poddar : So, while we don't publish market shares, in numbers, we have

gained market share, particularly

in fans where you see our growth has consistently been higher than industry in the last 4 to 5

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quarters. Lighting, we're starting to see greater trajectory versus before. Consumer lighting, we've been gaining share. We've gained share in this quarter too, we expect that to continue. Appliances where we had a dominant share, we are looking to defend that and we have other segment wise approach where in certain segments within appliance business we expect to gain share.

Moderator : Next question comes from the line of Akhilesh Bhandari from ICICI Prudential AMC. Please go ahead.

Akhilesh Bhandari : Sir, you mentioned that demand is improving and also now that the commodity prices have also softened a bit. Can you just give your qualitative comments regarding how much given the relatively high competitive intensity in almost all the categories, how much of the commodity price decline benefit perhaps would have to be passed on to the consumer or would be passed on to the consumer by the industry and how much can be kept?

Anuj Poddar : So, to be honest, Akhilesh, some of that is more tactical, and you know, different players have a very different approach to how they balance between margin protection versus price pass on. From what I know, couple of our competitors have done that in June/July, but I would not react to every tactical move, because we have our trajectory and what we are planning to do, I don't see any fundamental shift happening on that. Those are more short-term tactical things on a particular month directionally. Structurally, I think, we will see margin increase for all of us including Bajaj Electricals, and at an overall level, we are confident that we'll see margin increase, while yet continue to drive market share growth. So, that on a not just long term, but even on an annualized basis, we will deliver on both of these aspects.

Akhilesh Bhandari : And sir, looking at whatever price increase you have taken over the last 1 year and also comparing that to what has been the commodity price increase till the end of the first quarter, what was the gap between the price increase versus the blended cost increase? Just a broad sense if you can give.

Anuj Poddar : So, at a very broad level, I think, for the last 4 to 5 quarters, we've been running at a lag of 2 to 3 percentage points, because of this calibration between when we're taking a price increase to the cost increase that we've been facing. That would have been the case in Q1 also had the commodity costs not started softening up. So, I think from the second half of this quarter when you've seen that and therefore, that is starting to reverse out. I think by August 15 onwards that should have neutralized. So, without taking a price hike, I think August 15 to about September end, we should be back to having fully covered for or negated the impact of the cost side pressure that we had.

Akhilesh Bhandari : And sir, last question from my side. So, a couple of players who had hosted the call who had declared the results earlier had called out some amount of channel destocking because of the

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expectation of price cuts by the brands. According to you, has that affect now ended or some of that is still continuing?

Anuj Poddar : Akhilesh to be honest, because our model is different, we do not have channels carrying significant stock because of our TOC model, etc. So, in general channel stocking except for certain product categories, where they may have had a scheme for which they've done that, we do not have that problem. So, I frankly don't have any data to share with you. We do not have that either on the high stocking or on the need to clear that out in upward or downward level either which way. So, our primary and secondary sales are typically

more closer to each other
most of the time.

Moderator : Next question comes from the line of Charanjit Singh from DSP. Please go ahead.

Charanjit Singh : So, on the appliances side, if you can give more color on the mixers, water heaters while it was not a very seasonable quarter for water heaters, but how these categories are performing for us and how's the outlook? Because now kitchen is one of the segments where we are seeing increasing focus on lot of other players also. So, how we are trying to position in terms of economy versus premium within these categories? That's my first question, sir, on the kitchen appliances side.

Anuj Poddar : So Charanjit, on an overall basis, we've given appliances growth, it's a healthy growth that we've had. Our focus is appliances, and we are chasing significant premiumization in fans, appliances we're not that far out, but there is sub segments as I mentioned initially, where we think there are certain whitespace or weaknesses at a subsegmental level, let's say, mixer grinder of 750 Watts and above, etc, that we have pockets that we need to spend in. Similarly, on water heaters, certain types of water heaters, etc, is where we are looking actually and so on and so forth for

different appliances. The other approach to that really is at a geographical level while overall we are strong, there are you know, geographical pockets, where we need to strengthen market shares and the third piece is really between urban and rural. So, for us, the appliance spending is coming from these tactical things either at a subsegmental level, where we are paying that and because we know we have some of those gaps, which we're actively working on. Therefore, we are confident that while you may have more competitive intensity and new players coming to appliances, we do have growth avenues as we fix each of these things and we will gain market share on an overall basis.

Charanjit Singh : So, sir, as a category kitchen appliances, what will be the market growth, which you would be expecting. And from our growth perspective, can we be higher or in line with the market thereon?

Anuj Poddar : So, if you look at an overall industry level, which is not the top 3 or 4 players, we have been and we will continue to have higher growth, so which means that gaining market share. There will yet be the long tail unorganized players that are losing share and we will continue to gain share.

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But our game is not just against them. So, even amongst the 3 or 4 players earlier points that I mentioned, we know that we are under more intensity of competition in this appliances category, but we do have a clear vision and roadmap. You will see a lot more launches in the next few quarters which will demonstrate our plans for these categories.

Charanjit Singh : And sir, on the lighting side, in terms of the B2B market, how is that shaping up? And when do we start seeing, these new launches of battens, panels and downlighters starting to contribute to the, you know, lighting revenue. And how large is the potential for these new products which we've launched in the lighting side?.

Anuj Poddar : You said B2C, right?

Charanjit Singh : B2B, you know how that is going to scale up because that is where we are hearing from ...

Anuj Poddar : So, I was confused because of mention of panels and downlighters because that's in the consumer side. So, let me first talk B2B (professional) lighting. That's the part that we've done very well last 2 years, we've done that business around, even if you look at last year which was fully year FY22 in a market that degrew, we actually had growth which means a significant increase in market share. We are almost close to number one in the B2B lighting space. This quarter too, we've had a small growth, but growth in the market that has degrown in this Q1. Our bottom line of profitability is

in that turnaround, we had a breakeven last year and this quarter, we had a slight further expansion of margins, we will continue maintaining both these trajectories. We will continue drive growth in the top-line in B2B though that may be single digit because overall market industry is weak and will demonstrate growth and expanding margins, the bottom line. That's in the back of many launches, that's more sector or vertical focus, stadium, metros, indoor, streetlights, etc. It's a very segment, sector driven product strategy that we have, both for us. On the B2C side which is the consumer side that's been the big delta for us because that's where we had been lagging significantly. We did not have the right product range with us. We were not LED focused. Our share of LED is now between 85% to 90%. That's a continuous improvement that we've had. Within convention lamps, our share of downlighters, battens, recess, panels, etc is increasing. And you will see a lot more launches on that on the B2C side over the coming quarters. And lastly, structurally, we have from first of July carved out and created a unified lighting segment which is a consolidation of the B2C and the professional lighting. And on the B2C which is consumer side, we are now creating a separate go to market or sales team, which is not what we had earlier, that will be fully in place by end of September. So, you will see the benefit of our revamped go to market also on the consumer lighting side.

Charanjit Singh : Just last question from my side. in terms of mix of in house manufacturing and also in appliances, lighting and fans if you can just share that number.

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Anuj Poddar : So, our in house has been in the 15% to 20% range, our guidance has been that that will continue to grow marginally, 3 years out that should be closer to 25%, 30%. But what's changed and has continued to change even within this right now is a mix of what we're making in house versus what we're doing outside. So, for example, mixer grinders that we never used to do in-house, now we are assembling those in-house. The capacity or range of water heaters that we're doing in house has gone up. In fans which we used to do in house, we moved up, we've set up a new paint workshop, etc. So, from

making just a lower end sub economy ceiling fans, you will see us start to move that upwards to making more premium fans in house. In last year lighting, which is I think more commoditized that is where we're reducing our mix of in house manufacturing. So, while in overall company level it'll increase, but the mix in that across these product categories is changing significantly. That's driven more by strategic agenda in terms of what we want to focus on internally.

Moderator: Next question comes from the line of Rakesh Roy from IndSec Securities and Finances Limited. Please go ahead.

Rakesh Roy : Sir, my first question is regarding sir, can you highlight for next 1 year, sir, any new launches or new product addition in your CP business?

Anuj Poddar : Sorry, I didn't get it. Do we have new launches is the question or what are the new launches.

Rakesh Roy : New launches and product additions in CP business.

Anuj Poddar : We'll keep continuing to have that like you've seen in the current investor deck also we highlighted some of these launches, we will have that across categories. My guess is what you will see in the next Q3 and Q4 will be more than what you've seen in Q1. But in terms of specific launches, of course, for competitive reasons, we'll rather share that as and when we make those launches here.

Rakesh Roy : Sir, any plan to add any new product in your CP business in near future, in next 1 or 2 years to increase your basket, sir?

Anuj Poddar : So, in terms of future, if you mean as a subcategory or category by itself, yes, we are evaluating various things but as and when we

are ready to have firm that up or announce that, we will do that.

Rakesh Roy : Yes. For example, you're trying to enter switch or wire business?

Anuj Poddar : So, that I can confirm to you. We're not going to do switches. We're not looking at doing wires and cables. And we're not looking at large white goods, refrigerators, air conditioners, or for that matter water purifiers. At least these are clearly something not on the table for us.

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Rakesh Roy : Can you share your volume growth in the CP business? How much the volume is there?

Anuj Poddar : Volume growth in Q1 you mean?

Rakesh Roy : Yes, sir.

Anuj Poddar : So, Q1 has been significant volume growth, if you look at the fact that we've had about a 5% price increase and 58% YoY revenue increase. So, rest is all contributed by volume growth here.

Moderator : Next question comes from the line of Harshit Golecha from Flare Capital. Please go ahead.

Harshit Golecha : Sir, are we planning for any inorganic growth in near future or something, say, after 2 or 3 or something like that?

Anuj Poddar : Harshit, that's very speculative. Of course, this is to be opportunistic. As and when, we get an opportunity that makes sense, we will. Let me just say that every opportunity that comes we do look at it now, which is different or change from 2 years ago when we're not even looking at

those. So, we do actively evaluate every opportunity that comes, but finally it has to meet our strategic and financial parameters and as and when that happens, then we'll be happy to share that. We are very open to inorganic also. Whether or not something will happen, time will tell.

Harshit Golecha : Like our interest will be without white goods, right? Not ACs or washing machines or like that?

Anuj Poddar : Yes, we will not look at white goods or ACs even in inorganic way.

Harshit Golecha : So, our plan will be only for kitchen, etc., correct?

Anuj Poddar : It's hard to say what we may do, it may be closer adjacencies, etc. But I can rule out AC, refrigerator, etc..

Moderator : The next question comes from the line of Akhilesh Bhandari from ICICI Prudential AMC. Please go ahead.

Akhilesh Bhandari : Thank you for taking my question again. Sir, can you give an update on the Nirlep? How is it scaling up? You were looking to improve the distribution and product launches in that area. So, how are things shaping up there?

Anuj Poddar : To be honest, Nirlep is yet right now relatively weaker than many of our other product categories. I think it has a long way to go. Some of the scaling up of distribution, etc. while we've done that, but benefits of that are yet to play out. I think we're going to be another 3, 4 quarters before we see real improvements in the Nirlep. So, right now that is a soft performance for us here. One other announcement related to Nirlep, which our board has approved today, there is an enabling

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provision to review or evaluate ways and means of consolidating Nirlep into Bajaj Electricals, that's in line with overall intent to simplify our corporate structure and have minimal entities as required so that we can do that. So, that's an in-principle approval. We will now work on specific modalities, options to drive the consolidation, and then, come up with a scheme at the right time. Akhilesh Bhandari : And given that you're implementing a lot of things and looking to gain market share across segments, can you just call out what is the order of priority for all the things because you're looking to do things in Morphy Richards, Nirlep, gaining market share in fans, lighting. So, what is the order of priority if you can call that out?

Anuj Poddar : Good question, Akhilesh. We have a lot on our table, fans, lighting, normal appliances, Nirlep, Morphy, etc, that you said besides all the other or

ganizational things. so we have to keep balancing these things. As a principle, we are aggressive, which means internally also aggressive and pushing a lot of these things, but we are conscious that we don't push to a breakpoint. If I just put it in a more obvious sense, the larger things that we have to solve for or which are greater delta priorities. Of course, fans, lighting, etc, is now much larger for us today. And therefore, you're seeing more movement from us right now on that piece. As we start to see some of that too, which is already starting to fructify, but as that starts coming to an autopilot mode, therefore, for example, Morphy I told another 18-24 months out, you'll start seeing more momentum on that and so also for Nirlep. So, we have sequence some of these priorities out and you're seeing that in terms of what we are reporting al so.

Moderator : Next question comes from the line of Chirag Muchhala from Centrum Broking. Please go ahead.

Chirag Muchhala : Two questions. So, first is I mean just as the continuation of the question, so for the 2 other subsidiaries and associates with the Starlite and Hind Lamps, I mean any plans to keep them as a separate subsidiary or integrate them also with Bajaj and specifically for Q1 and near term, how do you see that impacting your overall financials in terms of, I mean, the subsidiaries making losses or needing further capital infusions from Bajaj standalone entity?

Anuj Poddar : Chirag, I'll just ask our CFO, E.C. to update on the status on the Starlite, and then maybe I'll try and answer the question on the impact.

E.C. Prasad : Chirag, Starlite merger is in the final stage of the NCLT approval and we expect the approval from the NCLT to be received by the end of Q2 or latest by the beginning of Q3. That's the update as far as the merger of Starlite is concerned.

Anuj Poddar : In terms of impact or benefits of that, mathematically, it's the same thing because all the results of that fold into consolidated results of Bajaj Electricals. That said, reality on the ground having 2 separate entities does create more work for us, ends up requiring more resources in terms of people and there's a constant funding exercise required for Starlite as you know, as a legacy has

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had funding losses or funding gap. So, the fact that once it's merged, I think some of these irritants or things that drain in energy or time or funding, optimization I think to that extent you will see an improvement and make things far more seamless and smoother for us. And therefore, I wouldn't say that's a significant profit bump up for that, but at least to a smaller extent that the efficiencies should improve with this in consolidation. And the same will hold true for Nirlep as and when we execute that which I've given a guidance on the earlier question.

Chirag Muchhala : And on Hind Lamps, sir.

Anuj Poddar : Nirlep, right?

Chirag Muchhala : No, Hind Lamps

Anuj Poddar : Hind Lamps, so that is all done. There's nothing now. So, with Hind Lamps, the operations that were there, they were demerged from Hind Lamps, and had folded into Bajaj Electricals, I think June 2020. So, there's nothing further to be done really on in lamps now.

Chirag Muchhala : And just for the sake of accuracy, the 4 sub categories that we have, fans, appliance, lighting and Morphy Richards, is it possible to view the revenue in absolute terms? I know in PPT, you've given percentage growth. But since Q1 last was a very, I mean, abnormal base, if it's possible, please give the revenue in value terms?

Anuj Poddar : Chirag, to be honest, we did give that out in our annual deck at the end of Q4, but on a quarterly basis we'll not be able to do that for competitive reasons, because none of our competition does that.

Chirag Muchhala : And sir, last question on especially on fans and water heaters, so while you mentioned

earlier that a couple of your peers have taken price cuts recently in June, July as commodity prices started softening, but we have not taken any price cuts in this category in June -July month. Is that assumption correct, sir?

Anuj Poddar : That's correct. So, we have not taken any price cut and when I refer to competition that was particularly for fans that I understand 2 players have done that.

Chirag Muchhala : And we do not even see any need for price cut considering that fans, unfortunately, as you mentioned that

post 20th of May, there was softness, so part of the summer season was a lot in terms of secondary sales and channel inventory. So, I mean, there is no, I mean, likelihood of us taking any price cuts in fans. Is that assumption, correct?

Anuj Poddar : Yes. As on today, I don't expect. Time will tell in future if something else changes. The other aspect in fans remember is that the compulsory star rating is kicking in. This July to December

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is the transition period and from 1st January it will be 100% implemented. To that extent in a normal case, one would have seen a price increase, cost increase to comply with the star rating and energy efficiency. But given that this commodity pressure is up, maybe one will be able to drive that conversion and offer energy efficient time without a price increase. But therefore, to that extent and an overall basis, a price reduction may just neutralize versus this transition to energy efficient fans.

Moderator : Next question comes from the line of Aakash Fadia from Yes Securities. Please go ahead .

Aakash Fadia: Sir, where are we in our logistics cost sharing initiatives currently? So, has full benefits being realized, but we are still undergoing cost?

Anuj Poddar : No, Aakash, my short, candid answer is we've not yet realized the full benefits of that yet.

Aakash Fadia: How long it will take to sir to realize the complete benefits of this initiative?

Anuj Poddar : I'll again be candid, we should have had it by now we've not had it, but we are on the job.

Moderator : The next question comes from the line of Achal Lohade from JM Financials. Please go ahead .

Achal Lohade : While you did talk about the volume growth, implied volume growth on a Y-o-Y, is it possible to have some color in terms of how the volume growth the CAGR given last 2 years were impacted because of COVID? Three-year for fans, lighting, water heaters, small appliances?

Anuj Poddar : Achal, we'll have to look at that at the three-year category level, maybe we'll come back to you on that piece. Again, my short answer is if you look at FY22, in most cases, there was a volume degrowth. So, the growth in revenues was driven by price increase, I expect that to start reversing out this year, you will not have that much of a price increase. So, any growth that you have now will be driven more by volume, but on a 3-year category wise, we will have to look at that and come back to you.

Achal Lohade : The second question I had, specifically with respect to the lighting business. Now, like you mentioned, you've gained significant market share in the professional lighting. Can you help us understand what the market size for consumer and professional lighting and what are the key changes which you have done to see this market share improvement in both consumer and professional side?

Anuj Poddar : So, very broad numbers in the professional lighting, industry size should be about Rs. 4500 crore and on the consumer lighting about Rs. 10,500 crore, okay. That's a very fragmented market, particularly consumer lighting has a lot of players, etc. Sorry, the second part of the question is what have we done to you know, drive market share?

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Achal Lohade : You mentioned professional lighting has seen a decline in terms of the industry growth. And I

don't think you've commented specifically on the consumer lighting. How that industry growth has been? Has that also seen a decline or it's kind of stagnated or evened out?

Anuj Poddar : The consumer lighting has not seen so much a decline on an overall basis. But there I think we're seeing, it's a very, very fragmented long tail industry. There we're seeing a much sharper shift from the fragmented long tail unorganized or smaller players to larger players. I think that trajectory will continue next 2, 3 years because it was a long tail because it was operating at the very bottom end of the market, a very commoditized, cost driven and if you look at from a 3-5 year length, LED prices have been continuously coming down. And therefore it had become a very price driven market. LED prices, the rate of reduction, price erosion has really bottomed out. So, it's no longer a price driven market. And therefore, it's moving to a proposition of product driven market even on the consumer side. And as that happens that helps, so acts as a tailwind for the larger, better quality players with better R&D. And therefore, we see a market share increase happening for us and other leading players where we will deliver on that growth and increase in market share in the back better products. For us and Bajaj in particular, I do think we had been behind the curve on consumer lighting not just on the shift to LED, but introducing value added products, battens, panels, downlighters, etc. But that's the catch up that we're now playing. And we will play that aggressively over the next couple of years. And therefore, we are confident that we will gain in

the consumer lighting.

Achal Lohade : And just last question, if I may. Talk a little bit about how you strengthen the team the leadership team in terms of the various product segments?

Anuj Poddar : So, you know, we made some public announcements, the most recent key announcement is we've restructured, so the lighting business which was split with consumer lighting being part of overall consumer business and professional as EPC, we brought it together as one unified lighting business segment that is headed by Rajesh Naik, he had joined us in December 2019. He was heading the professional lighting. He's been instrumental in turning that around and going and now will drive the overall lighting business. Under him, like I mentioned earlier, we're setting up. So, we have now got a dedicated lighting sourcing, supply chain team for this. We've got a dedicated lighting quality, lighting marketing. We're beefing up all of those functions under that and most importantly, a go to market and a separate sales team for consumer lighting, which is not what we had earlier. On the leadership side on the other hand of the consumer business which the rest of the consumer, that is fans, appliances, Morphy Richards, Nirlep, etc, we've got a new Chief Operating Officer, Ravindra Singh Negi. He's joined us. He was the head of the consumer products business at Havells. He joined us in July. Therefore, there again we have an integrated, strong leadership in place for that. Under each of these, of course, we have the second line of leadership that we have strengthened and are continuing to strengthen. At the corporate side, similarly, we have strengthened the team and which we'll continue to do. What is not visible is more the middle and junior management or junior levels, also, there's a lot of churn that is

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happening in terms of strengthening the talent pool that we have. So, overall, as an organization, we are a very different organization. And that investment in talent is something we're very committed to because I think that will be key to professionalizing and performance going forward here.

The most recent one, if I may talk about it myself is the announcement that we made tod

ay of

splitting the Chairman and MD role. So, Mr. Shekhar Bajaj will now continue as Executive Chairman, and he's relinquished the MD role and passed that on to me.

Achal Lohade : Just is there anything left to be done which is still kind of significant or meaning which is yet to be done?

Anuj Poddar : Absolutely. There's lots and lots and lots left to be done. So, if you also see one of the other decks that we put out, this is only horizon one in our strategy. Now to deliver horizon 2, which is really about growth and operational excellence, we have our hands very, very full. So, we have a very clear roadmap. We have many initiatives to do and we are very committed to delivering on this.

Moderator : Next question comes from the line of Amit Mahawar from Edelweiss. Please go ahead.

Amit Mahawar : I just have 1 question, sir. Basically, as you consolidate the entire business structure, what is the specific al location to each business? So, to talk about Nirlep or talk about Starlite, I just want to understand maybe in the next 1 to 2 years, how much is going to be the investment in each businesses specifically? That's the first question.

Anuj Poddar : So, Amit, hard to quantify that, because that's not the way we're looking at it. Each business, whatever it requires, we will make that happen. Our view is, these are not really financial investments, they're all if you look at consumer business or lighting business, and now the rest of EPC, financially, they're all profitable. So, they will have internal accruals to do that. So, except the one piece I'll put out is some CAPEX for manufacturing, which I've been guiding at 15% going up to 25%, 30%. We have that in the back of our mind, but maybe that's 2024 thing, we will come back at that point to look at that. But again, that will not be some Rs. 300 crore, Rs. 500 crore, it will be maybe a smaller number than that. In terms of, to me, the investment is not so much of money, but people and therefore, this focus on strengthening management, leadership talent across the board, because, like I answered to one of the questions earlier, we have a lot to do, we cannot do all of it sequentially. If we're hungry and, aspiration, we have to do a lot of that in parallel. And therefore, the allocation of energy or resources in terms of people talent, so that we have all of this happening parallel, that is what we are focused on as an organization. So, to that extent, our commitment to invest in talent or R&D, so all of these things move in parallel. So, 2, 3 years out, you should start seeing a payoff on multiple fronts, rather

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than have it all sequential. So, I don't know if I was able to clarify or answer your question, but that's the way we look at it.

Amit Mahawar : Yes. Fair. And maybe second question, Anuj is generally, we've seen a lot of leadership rejig in Bajaj and I think in last 1 to 1.5 years, 2 years, you've actually set a very strong and robust process in the organization. So, I just want to understand, how will your appraisal policies be, the ESOP structuring? Is it in line with the best? How will you attract more talent and avoid drain of talent now that you've set processes and systems in place? Thank you.

Anuj Poddar : So, first, the policy or principle statement, our vision is to be the best-in-class organization in our industry. And when I say that for our industry, it's beyond the benchmarks of our industry. We're looking at other companies and other sectors that have a more superior approach to all of these things, institutionalizing how they run the organization or culture, the talent pool, the performance appraisal management system, etc. And to that extent, there's a lot of work that's going on internally with Korn Ferry, with others. We revamped our PMS, our variable components are much higher than they historically used to be. Our

approach to driving

performance at an operational level is re-ignited. Our ESOP will probably undergo a review next year, we're waiting for the demerger to be completed. And then for both companies separately, we'll also review the ESOP scheme. But you know, this is a continuous dynamic process. So, we are very clear what is required and we'll keep making those changes. The larger vision to that is to be far more institutionalized. So, it is not meant to be driven by 1 or 2 people, but can we create an organization that is institutionalized that can therefore chase multiple initiatives or goals, and work at a far more greater speed. Again, things like the SAP transition that I spoke about, these are long overdue. And unless you have those robust systems processes, these are, to my mind, the building blocks on which we will then mount aggressive growth going forward. If I can point back to that investor deck that we put out in early July, and that horizon 1, horizon 2 is really about that. So, really putting in place all those building blocks, we have another 6, 9, 12 months to put that in place. So, that next 3 years, we're really got to look at building off these building blocks to have faster growth here.

Moderator : Next question comes from the line of Chirag Lodaya from Value quest. Please go ahead. Yeah, Chirag Lodaya: Sir, can you share the update on NPD as a percentage of sales and premiumization share, how it has moved for us?

Anuj Poddar : We don't normally publish that; we made an exception in that July investor deck to share the contribution of new product launches to give you a sense that we made significant improvement. Even this quarter, our contribution from new product launch is higher than the previous quarters on Y-on-Y basis, etc. So, we know that's a key metric that our R&D is driven by. We just look at this number of launches that we're doing, therefore, that way, pointing to or giving an indication that our share on new product launch is going up. Again, I'm sorry, I'm not giving

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absolute numbers. But again, if we look at, let's say, fans as a category, fan used to be sub economy, if we look at the three examples that we've damaged, given this today's quarter deck, one is an ABS, and we never had a plain ABS segment. Second is a decorative premium plan. Again, that was a large white space for us. And the third is a 4-star energy efficient, but inverter technology, all of these were, segments that we were not operating in. As we start entering these sub segments of product categories, our share and contribution coming from these new product launches is increasing. So, we have a clear target in the next 2, 3 years, you will see that on par with the best of the players in the industry.

Chirag Lodaya: And sir, is it fair to assume that incoming quarters we will see positive volume growth and the last few quarters is because of the sharp price increase, etc, the volumes were under pressure. But is it fair to assume that, remainder 9 months we can be positive on this growth overall?

Anuj Poddar : That's correct. So, Q2, like I said, will be a blend of some of the legacy inventory, higher cost inventory, but we'll start seeing an improvement in Q2, but I think the more benefit of that should come through in Q3. You should see or we should see margin improvement with this commodity costs having cooled off.

Moderator : Next question comes from the line of Rakesh Roy from IndSec Securities and Finance Limited. Please go ahead.

Rakesh Roy : I have one more. Sir, can you highlight on fan business, how the economic segment is contributing, government segment or premium segment in fan business?

Anuj Poddar : Sorry, Rakesh, I couldn't hear you clearly. Hello. Premium in fans would be about 20%.

Rakesh Roy : And economy and mid, sir?

Anuj Poddar : Economy and mid would be another 20

and rest would then be the lower segment here.

Rakesh Roy : Okay. So, this is for Q1 and Q4 FY22 this was same?

Anuj Poddar : No, it was slightly lower which means premium I think was about 14% to 15%, and I don't remember offhand the economy and the mid segment.

Rakesh Roy : Okay. Same question, sir. For any target, any target to increase the premium from next 1 year?

How much do you target for?

Anuj Poddar : I don't have a numerical time. Good for that. But the fact is, like I gave a few examples, we've typically been weak because we didn't have products at all in the premium fan segment. If the question is particular fan. As we're starting to introduce this, and both its brands and Aster

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models that are their machine, both have got good traction and feedback from the market. But you know, we're also conscious that 1 or 2 models will not do it. So, as we expand that range, we expect to see an expansion in the share contribution of in those sub segments.

Rakesh Roy : Do we see more new launches in premium family near future?

Anuj Poddar : Yes, absolutely. When again, you know, we're basing up for next year next season. So, we'll see that gradually happened right from now till next summer season.

Rakesh Roy : So, overall, we are number 3 and number 4 player, sir, in fan.

Anuj Poddar : And we're number 4, number 5. So, between 4 and 5, both are similar. Okay, so the number was seven two years ago

Rakesh Roy : In premiums or economy, can you highlight on this one, sir?

Anuj Poddar : Sorry, your question any highlight on premium and economy?

Rakesh Roy : In premium how much market share we have got?

Anuj Poddar : That's what I said earlier. Market share you mean?

Rakesh Roy : Yes, market share.

Anuj Poddar : No, we don't publish that. But we will be very small. So, while we're number four, number five overall, I know ranking premium will be you know, worse than that. So, that's the catch up that we're looking to play at.

Moderator : As there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Anuj Poddar : Thank you very much, once again for joining us today. And I know it's a Friday evening, long weekend coming up. Once again, I would like to know that we are happy with our Q1 results and I would like to acknowledge our team that is delivering this. We remain confident about what the future holds for us. We are committed to add value to all of you. Thank you very much.

Moderator : Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines .

Call: Nov 2022

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November 14 , 2022

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the Transcript of the Q 2FY23 Earnings Conference Call of Bajaj Electricals Limited
(the "Company")

Further to our letters dated October 31, 2022, and November 8 , 2022, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we enclose herewith the transcript of Q2FY23 Earnings Conference Call (i.e., Post Earnings/Quarterly Call), as organised by ICICI Securities Limited on Tuesday , November 8, 2022, at 4:30 P.M. (IST) , whereat the unaudited financial results of the Company for the second quarter and half year ended September 30, 2022, were discussed.

We request you to take the above on record and the same be treated as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Ajay Nagle
Company Secretary and Head of Department

Encl.: As above.

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"Bajaj Electricals Limited
Q2 FY '23 Earnings Conference Call"
November 08, 2022

MANAGEMENT : MR. ANUJ PODDAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BAJAJ ELECTRICALS
LIMITED

MR. EC PRASAD – CHIEF FINANCIAL OFFICER – BAJAJ
ELECTRICALS LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI :- ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Bajaj Electricals Q2 FY '23 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Aniruddha. Thank you and over to you.

Aniruddha Joshi: Yes, thanks, Mike. On behalf of ICICI Securities, we welcome you all to Q2 FY '23 Results Conference Call of Bajaj Electricals Limited. We have with us senior management represented by Mr. Anuj Poddar, Managing Director and CEO, and Mr. EC Prasad, CFO.

Now I hand over the call to the management for their initial comments, and then we will open the floor for question-and-answer session. Thanks, and over to you, Anuj, sir.

Anuj Poddar: I'll just make a few headline comments then pass it back to all of you for questions. Clearly, from a demand environment and from an economic position, it has been a tough quarter. Given the situation of the external environment, we believe we've delivered a decent performance with which we are satisfied.

I'll just call a few data points. We've had a slight degrowth on our top line. If I look at a three year CAGR trend, particularly for consumer business, we had a 14.3% growth. If I look at the three segments, by the way the headline calls out right now, we restructured the segmental reporting as announced earlier. So now we have three segments, the consumer products segment, the lighting solutions segment and the EPC segment.

The consumer product segment is what I first spoke about, we have a CAGR of 14.3%. The lighting solutions segment is the highlight for this quarter. That's intentionally carved out as a separate BU to create more focus and growth for us in that segment.

The first sign, the performance that you're seeing there is the margin expansion and growth in EBIT. Going forward, we are very bullish on that business, driving growth and performance for us. And third is on the EPC front too. In EPC after many quarters of losses, last quarter was a moderate breakeven and this quarter we've delivered profitable EBIT.

Lastly, on the cash flow front, we remain positive. Headline there again for you is that actually this quarter we've had very low collections from EPC. Despite that we've added constant cash from operations. We have had significant cash collections from EPC post 30th September, which I'll be happy to talk about during the call.

So having said this, on an overall basis, we are reasonably pleased with our performance relative to industry. And more importantly, strategically we continue to focus on our direction that we are taking as a company, including premiumization initiatives, stepping up our product offerings and a brand repositioning which we've done very recently. And I'll be happy to talk about that.

With that back to you. Thank you.

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Moderator: [Operator Instructions] We have the first question on the line of Manoj Gori from Equirus Securities. Please go ahead.

Manoj Gori: Sir, just couple of questions. So historically we've been talking about market share gains and filling up our presence into larger cities and lowering our dependence on rural markets or probably smaller cities and towns. However, when we look at the numbers, probably even like most of the peers have reported that numbers, probably we should have ideally done better on the consumer side. So probably can you highlight because especially in your first quarter call also at that point of time, the demand was far

better in rural markets. So probably where we slipped actually versus what you guys were internally expecting?

Anuj Poddar: So, if I may be candid, I don't think we've slipped. The rural economy, Tier 2, middle class, even in urban, the non-premium segment is witnessing weak demand. That is a common comment you'll see across our industry and other sectors or other industries also. Clearly Bajaj is not a premium brand today and therefore our contribution from non-premium is much higher and from

rural is much higher. Given both of these, the non-premium and rural is seeing weaker demand, it is natural that its impact to us or the headwinds for us are higher. So, if you factor that in, I don't think we've done badly.

Number two, there are anecdotal data points we look at different cards, for example, fans, if you look at, our fans degrowth is about 7%. If you look at industry, most of industry has seen the growth in Q2 for the reasons of conversion to mandatory star rating regime, etc. But within that, the qualitative data points what we are tracking is product mix, for example, in fans our contribution from premium fans was about 6% of our revenues in the past, which is up to about 19%. We've seen that traction in the marketplace in counter share, etc. in segments or categories accounted where we are not available. Similarly, on mixers, we look at certain cities, we've seen that expansion.

So when you look at various primary research reports that we track, we are seeing positive momentum on market shares on this journey towards premiumization and on our counter shares across urban India. But the way that math adds up, given the softness and the weightages that we have, that's the only impact that you've seen. But we are not really seeing that at a qualitative level.

Manoj Gori: So based on this, should we assume that probably whatever quarters we have gone by, Q1, Q2 and probably next couple of quarters as well this should be considered as a very soft base or a favorable base for next year. And accordingly, the growth next year should be extremely strong. Probably the efforts that we are taking at the company level and also the favorable this like at some point of time entry level demand should pick up?

Anuj Poddar: Yes, so again, three things I would make. One is in the shorter term, which is starting Q3, margin should improve, because this quarter even on margin is seeing the impact of some of our legacy higher cost inventory. So first pick up that you'll see in margins start in Q3. I think Q4 onwards margin will be further bullish when demand in consumer situation improves.

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We should start seeing more growth in general. And more than that, next fiscal, as results of all the various things that we're doing, including the production expansion, penetration into premium segments, etc., that should add further delta to our cycle. All of these are three tailwinds that we see in our favor.

Manoj Gori: Right. So should we take, like if you look at the consumer product segment where margins actually have contracted by roughly around 300 basis points, so probably from 3Q onwards we can expect some improvement over there on Y-o-Y basis and obviously on sequential basis. And accordingly, margins should move northwards from the current level?

Anuj Poddar: Yes, so margins will move northward to that point that you mentioned that our margins have contracted 300 basis points. If we compare that to our peers, our contraction is least I would say, okay? That's because we managed to hopefully navigate that slightly better. Though on absolute, say, it may catch up but the gap has become narrow versus competition.

So that's both a mix of not focusing our costs better, but also starting to realize slightly better. So therefore, I think going forward, where I see margin expansion has been for us is for

retain

FLM expansion, FLM is gross margin. So as the cost structures become better of our goods, we do see those margins come down, clearly a northward movement in that.

Manoj Gori: Sir, last question -- I may have missed, first one, just to understand on the fan side, like how things are shaping up with regards to the change in energy norms. So probably what would be the overall impact on Bajaj Electricals given that we have lower exposure on the mass premium and on the premium side? So what would be the overall thought process and strategy for next probably 12 to 15 months if you can highlight?

Anuj Poddar: So firstly, I think the next, this quarter, which is Q3 and next quarter, Q4, we will see a lot of volatility in the fans industry because of this conversion to star rating regime. While it is rolled out and notified from first July, '22, it will be enforced strictly from first of January '23 in terms of no more sales, I think any of us branded manufacturers from first of January '23. To that extent, you will see a certain strategy, movement of all the non-star-rated fans getting liquidated or sold by 31st December.

And to that extent, some of the impact in the trade channel which you've seen in Q2 also will continue in Q3. Different players will respond differently or react differently. So there is certain amount of destocking happening in the channels etc. And there will be some amount of discounting as that goes on to 31st December. We'll see how each player deals with that, including ourselves. We are going to be very dynamic on that front. From first of January when the star rating kicks in, there will be a certain price enhancement.

So the star-rated fans will come at a slight higher cost. I do think that while all of us will move to star-rated fans selling on primary sales basis, for another six months thereafter the market will

see both of these continue. There will be non -star-rated fans that are existing in the marketplace that price -sensitive or certain consumers will continue to buy, and there will be a large chunk of consumers that will gradually move on to star-rated fans and be willing to pay that premium. In that layout, I think you will continue to see some volatility and distortion into how the fans

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market behaves in the coming summer season. But your question of 12 to 18 months, I think all of this should start stabilizing by around June '23.

And there on, I think you will see greater consolidation in favor of the top five, six organized players, including Bajaj. We are very much prepared for the shift to star -rated fans. Our products are ready and this is also along with our journey of premiumization. So you are seeing that happen across, like I already mentioned in my opening comments, our contribution of premium fans is enhanced.

We will continue to see a greater value gain for us, market share gain for us, and an increase in ASPs and therefore margin expansion for us in the fans category. So all of these three or four metrics will improve for us.

Moderator: [Operator Instructions] We have the next question from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: My first question was, would it be possible to upgrade the consumer products in terms of volume and pricing, what has been the volume decline and the price increase or decline if you could for the consumer products?

Anuj Poddar: So Achal, we can't give that out. But if you see total consumer ex-lighting is about 2.5% decline. So clearly the volume decline is more because this is after factoring in price increase. And that's the general commentary we're saying, that volume decline across consumer sectors has been like you said.

Achal Lohade: Second question was with respect to what is the extent of cost reductions we have seen until now? How much has cost passed on

or as you speak. So how do we look at that? Because if the cost is getting reduced, which is getting passed on, it can impact the revenue growth and therefore volumes are -- you are able to offset that through volume increase. If you could give some clarity on the same?

Anuj Poddar: So my personal view is, firstly, the cost reduction is fairly healthy. So all of us have benefited or will benefit from that as our inventory churns out across commodities, except for oil, which is in paper which is not that much lower, but most of our core metals, etc., is lower. In Q2, I believe all of us could have had slightly higher margins, but there are one or two players that took some pricing decisions to reduce price and pass on that cost reduction, which I'm not sure was the right decision to take, okay?

And the reason is because I don't think that has, in this environment is not seeing demand elasticity, where you've taken a cost reduction that has not translated to volume growth. Therefore, I think there will be a lesson in that. Hopefully, in Q3, etc., we will not now pass on

further price reductions. At least Bajaj will not be passing on further price reductions, etc.

We would rather protect margins in a situation where price reduction is not leading to volume growth. So I think that's the balance that we have to strike, but we will be slightly more cautious on passing on any price reductions at this point in time. I don't think industry also has -- like

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most of the Quarterly results that you see across the industry, I don't think industry also has the wherewithal to reduce prices. So I think that will be a healthier direction for all of us to follow.

Moderator: Thank you. We have the next question from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: I just have 1 question right now. So we understand that the entry-level products have seen the worst intensity of demand due to inflation. And apparently, the mid and the premium range have not done so badly apparently. I see your market reaches have actually seen a sharper 25% drop. So I just want to understand what has really transpired in this specific category. And your thought process on this entire market placement that you intend to do? So that's my first question.

Anuj Poddar: So Rahul, I'll try and explain that. You're correct on asking this question. You have to understand also leader brands were long-tail brands, okay? So if I take -- if you're a overall large brand who has a more premium position and premium range of offerings, those are the ones that are secure in this market, because they are yet the once in a weak market environment that are getting stocked and then getting purchased.

Morphy Richards is a premium brand with a more niche brand, and therefore a relatively longer tail brand. So that's not the one that typically is the first point of stocking for retailers, etc. That's a generic answer I will give it to you.

Number two, more strategically for us in Morphy, like I've explained in the past, we've just signed in the recent past, a 15-year license renewal deal that runs into 2037. Till this point of time, Morphy was a more tactical approach for us as far as product offerings, product development was concerned. We were not really creating a strategic product road map and developing our products that are catered specifically for the Indian market.

With this deal in place, we are now on a journey where we are creating a very tailored self-developed Morphy product road map that you will see play out over the next two years out. So from one year out to about two, three years out you'll see that play out. As that starts happening, I think we'll have a far more targeted range of products under the Morphy brand that are yet premium, but customized for the Indian consumer and distinct from the Ba

jaj brand. As that

happens, along with that, we're going to have a far more targeted Morphy brand strategy. Some of that you've seen play out right now. We've got a first new identity campaign of Morphy Richards that's Happiness Engineered. We've included one slide on that in the Investor Deck. So that's just setting the stage for us to look at the Morphy brand very differently strategically, both at the product and at the brand level. So that journey for Morphy will be different. Today, Morphy is caught between both the things. It does not have a strategic footprint or road map or direction for it, and is a niche, premium but niche part that does not get the benefit of this current environment.

Rahul Gajare: And is it right to expect that Morphy Richards will cut across all the categories that Bajaj is catering to? Is that something that ...

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Anuj Poddar: No, so there will be, without revealing it all, it will not be all, but Bajaj will cater to more categories, but there is a higher overlap today going forward, the overlap will reduce over the next two, three years as we come out with this product roadmap that we are working on. So there will be some unique categories in Morphy's that do not exist today either from Morphy or Bajaj.

Rahul Gajare: The last question I got ...

Anuj Poddar: I'll give quick examples, and I think we've shown the garment steamer in the Investor Deck, that is there, coffee maker. These are currently two really exclusive categories to Morphy. But just to give you an example of categories that Morphy will more focus on and grow out, which Bajaj may or may not do.

Rahul Gajare: The last question, I just wanted to touch upon the lighting business. I see that you've done well on the lighting business, there is limited decline. And I think very good improvement on the operating performance. Are there any one time benefits which are sitting over here or these are the kind of margins that you would expect in the lighting business?

Anuj Poddar: So what has been the lighting business, it is a separate BU now that consolidates the consumer lighting and the professional lighting. The consumer lighting actually has degrown in Q2, but I'm not worried about that because that's part of the transition where we're changing the sales team, go-to-market, creating fresh distribution partnerships, etc.

So there's a little pullback because of that. I think that should normalize by December. Post that, you'll see strong growth in the consumer lighting business also, both on the back of new products, some of which we've show-cased and on this whole restructuring of the distribution stabilizing and falling in place. So once consumer lighting also kicks into growth, you'll see even faster growth. Right now -- the numbers right now, despite the degrowth of consumer, but back side of professional lighting growth, that's in the top line of lighting.

On the margins, etcetera, we expect margin expansion both in consumers and professional lighting and therefore overall basis also we will see healthy margin. Our ratio currently is a mix of professionals to consumers, slightly more professionals. Therefore, the blend is slightly lower. As I think professional will continue to expand margins, but as consumer lighting grows over the next one, two years, that will kick in with healthy double digits. So from here on, our margins in that should keep growing also. So just to summarize, you will see top line growth from Q4, I would say, in lighting business. Along with that, as the mix gradually changes towards consumer, you will see margin expansion in both. And with the mix becoming favorable, you will see more exponential margin growth in overall lighting. I just want to add a statement, that's one core reason why we carved out lighting as a separate BU, to bring lot more focus and growth in that segment

. And it will be a value driver for us going forward.

Moderator: [Operator Instructions] We have the next question from the line of Arun Agarwal from Kotak

Arun Agarwal: Sir, could you just also touch upon how the appliances demand is panning out at this point in time? And also if you could just help us how your festive season this time has been as compared to last year?

Anuj Poddar: Appliance demand is a mixed bag, like I said in earlier commentary, Q2 was a tough quarter. I think Q3, because of the festive part, has started off well. But I think on both sides of the festive, I think, is relatively slightly a little mixed bag that we've seen. I'm yet hopeful that you will start seeing improvement in demand situation from here onwards.

One of the best data points that I have seen recently is the CMIE jobs data, I think this morning that I read that they've come out yesterday. And that's important because a lot of the demand right now, like I've been saying is being run by the premium, which is the upward affluent class that is not impacted, but it's important for middle class salary job segment to kick in on the consumer demand side. With jobs data looking good, I think middle class segment should kick in, so I think that will be a big boost to demand going forward. Lastly, is the rural boost. So I think demand situation should look good going forward. The tailwind to that will also be the margin expansion.

Arun Agarwal: All right. My second question, sir, is on the EPC collection you touched upon at the start of the comments. So if could you just help out how they have kind of post October? And what would be your capex plan this year?

Anuj Poddar: Yes. So EPC collection in Q2 was very low, while there's been some reduction in receivables as we put out, collection was very low. So our current performance is despite that. But post that, in the month of October, we've collected further close to INR 100 crores on the EPC side, with a healthy collection, and that's both brought down our receivables and enhanced our cash flow also. And finally, on capex, I think we continue to maintain current trajectory of capex. There's no big ticket capex. There is capex towards IT systems, moulds, tools, dies, certain capacity expansion will de-bottlenecking at our existing plans, but not any big ticket capex in the immediate, near future.

Moderator: Thank you. We have the next question from the line of Dhruv Jain from AMBIT Capital.

Dhruv Jain: So I had a question on margins. So in your opening remarks you touched upon utilization and how and also you've done some changes in the private front. So last four quarters, we've seen a margin sequentially going off and we know that in this year we've seen a lot of volatility in the industry. But say in FY '24 or FY '25, how are you looking at margins in the consumer business? Any thoughts there because you've given a very clear road map on the revenue side. So how should we think about the margins?

Anuj Poddar: So Dhruv, our margins will continue to expand. Traditionally we always said we should have 1 percentage point expansion in margins. If commodities stay benign, if there's no sharp volatility or adverse volatility in commodities, I think we should comfortably beat that 1 percentage point margin expansion over the next two years in FY'25, because there will be certain normal expansion through our internal initiatives and a certain catch-up expansion because of the Bajaj Electricals Limited
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commodities cooling off, etc. So I think without putting a hard number there to read between what I'm saying, we should see healthy margin expansion FY'25 for us.

Dhruv Jain: Sure, sir. And if you could just talk about the brand change that you are looking to do? How should we think about it? And is there

any significant change in the go-to market strategy right there? Thanks.

Anuj Poddar: So firstly the brand, and I've alluded to it in the past call, that we have been working on our overall brand architecture for the company in each of the brands. And the latest brand campaign that is Bajaj "Built for Life" is not a regular brand campaign, etc. It's a fundamental recreation of the new Bajaj that we are building out for the next many years to come. It's far more younger, far more aspirational, far more focused, far more sharply targeted and far more premium look, feel, attitude, etc., to that. And that runs across the gamut of creative, TVC, the digital campaign, the print campaign, etc.

Why it's taking time, why we are doing this? It's not just a brand campaign, our products will talk this language. So if you look at the products, etc., they're all reflecting the new Bajaj, which is far more better designed setting, better performance and engineering, etc., there's a lot of that has gone into that. For the next many quarters that you'll see, all our products will now mirror all the products under the Bajaj brand will now reflect this new brand identity and in terms of the consumer promise.

As we do that, I think that's going hand-in-hand with our journey towards premiumization. So I think the emotional connect of the brand with the urban affluent premium consumer will be much better with this new brand positioning. And the product both aesthetically and the performance engineering gone through these products. And you will see that roll out category-by-category, starting with water heaters. You'll see the water heaters campaign rollout in the next few days to a couple of weeks. And this will all build from this platform of Bajaj, Built for Life, give you a younger, more aspirational Bajaj.

As we start doing that, that's why we're confident both on our top line growth and margins as. This is only Bajaj that we're talking about. When we're talking overall brand architecture, we will be an organization, a house of multiple brands. The second brand that you will see that we positioned, which is the first flavor of that is the Morphy Richards one that like I spoke earlier, over the next two years, we'll have a product road map that will play out for Morphy Richards also. The third brand, I think some of that action you should see by end of next year, we will be on Nirlep, how we reposition Nirlep in the product offering that will come out under Nirlep. And from there on, we'll build on that. So the next two years, three years, we'll see significant action from us on brand and product side.

Moderator: Thank you. We have the next question from the line of Chirag Lodaya from ValueQuest. Please go ahead.

Chirag Lodaya: Sir, my first question was on demerger status, if you can just help us understand what is the status?

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Anuj Poddar: Yes. So, Chirag, demerger is taking time. We are waiting approvals. We expect SEBI approval to come very soon. Once that's in, then we will be filing for NCLT. Our initial target towards our expectation or hope was that we will get it in the QND quarter. Now it looks more likely that we should have it by March 2023. That's our best estimate at this point of time.

Chirag Lodaya: Right. So if you get it by March, so by Q2 next year, demerger can happen?

Anuj Poddar: Yes, it can happen immediately right after that. So effective date will remain 1st April 2022. The appointed date, which is when does it actually happen will be immediately after we get approval. So it could be as early as 1st April '23. I'm sorry. My team corrects me. So read my point and the effective date is the other way round.

Chirag Lodaya: And sir, second question was on consumer lighting. So you mentioned that by Q4 we should expect growth to kick in, consumer lighting business. If you can just help

us understand what kind of product introductions we are doing, what kind of range expansion we have done and what kind of trajectory we could expect some intel?

Anuj Poddar: Consumer lighting traditionally, we had lost our space in terms of the LED transition. And then we had largely become a lamps player, etc. We have not created value-added products, which we've been doing in the last two-three quarters, which is adding more battens, adding more panels, down lights, etc., and also upgrading or adding more value-added lamps. Again, we've showcased a few examples of that in our Investor Deck across this, how we are rolling out more value-added products and targeted products in consumer lighting. I do think we have some more catch-up to do on the product front and consumer lighting. Even post this, post Q2 and Q3 also we rolled out some new products as recently as last week. I think the journey of rolling out new products in consumer lighting, will continue over the next two, three, four quarters. And as that keeps happening, I think our growth in consumer lighting will outpace the market or industry, and our margins will continue to expand.

On the go-to-market front also, that's the reason we carved out the business effective July, more as the preparation for all of these product launches that we're doing. Our teams took time to create the sales team and go-to-market team for consumer lighting. I think we're 85% there. Therefore, the go-to-market in terms of on the ground in the field, I think by December that should be fully stabilized. So you will see an improvement in Q3 over Q2 on our go-to-market and revenues on consumer lighting. But you'll see the full benefits of that from Q4 on the go-to-market. And as we continue expanding products, the benefits of product and range expansion will continue thereafter.

Chirag Lodaya: Very clear, sir. Just extending this, what is driving confidence on margins? Because earlier expectation was from maybe high single-digit kind of margins in lighting, but we have significantly surpassed that number. So if you can just give what are the drivers which are putting this margin of 10%?

Anuj Poddar: So two things, one is consumer lighting as we're upgrading our products and getting better traction on that, there is a little better confidence in that. But the bigger confidence where the change in mindset has happened is in professional lighting. Traditionally, professional lighting

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till two years ago we were losing money. FY '22, we just about broke even. My guess was we will deliver 4%-5% margin in professional lighting, but we have been innovating on professional lighting also on products. And despite it being a tender-based business, which is typically low on margins, I think it's because of innovation, technology, superior proposition that we have managed to actually track the margin slightly better than that.

That said, I would put a little caveat to professional lighting margins because of the B2B tender-based business. For that to get to double digits will always be difficult. As long as we maintain a healthy single-digit on professional lighting and top it up with consumer lighting growth and traction being faster. So hopefully, that bl ended margins from being the high single digit, we should start inching closer double-digit margin on an aggregate basis too.

Chirag Lodaya: Got it. Very clear. Thank you and all the best.

Anuj Poddar: I'll just add to that, to give an example on my previous point on professional lighting, we've given one slide as an example of the stadium lighting that we've done. We've really innovated on that today. Today we do believe we have the best product technologically and from our financial cost proposition on stadium lighting. And that is something where we are able to deliver at better price point or cost point

to the customer, but actually with a higher margin to ourselves.

So if we can crack more such sweet spots. We are doing that across smart street lighting. We intend to do that across indoor commercial lighting, etc. As we target industry verticals, hopefully we'll try and get the balance right on this too.

Moderator: Thank you. We have the next question from the line of Nikhil Kale from Axis Capital. Please go ahead.

Nikhil Kale: The first was a housekeeping question. If I look at your other expenditure, including such on a Q-o-Q basis we've seen a decline, right, 8% kind of a decline, whereas sales are broadly flat. So is there anything to call out here?

Anuj Poddar: Let me just check. One second. I think that's ad spend, so last quarter was about 3.7%. This quarter it's 2.3% if I remember correct.

Nikhil Kale: Okay. Largely ad expense. So from an annual basis, what could be -- what kind of numbers are we looking at? I mean sustainably should we be somewhere around 3% or so on an annual basis?

Anuj Poddar: On ad spend, you mean?

Nikhil Kale: Yes.

Anuj Poddar: So 2.3% is low. Typically we've always guided that we'll be 4-plus percent. It will vary quarter-on-quarter. Q3 will see a jump up also for us. You will see a jump up in Q3 because we've done the brand relaunch. So as we do that, that is something we've done and gets the launch campaign on. So Q3 and Q4, you will see a jump up in ad spends, both because of brand launch in Q3. And Q4 typically is at the cusp of summer. So you do have the fans and cooler campaign that kicks in.

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Nikhil Kale: And then the second question is more on your comment. I think earlier in the call you mentioned that going forward your stance would be not able to pass on price reduction in case you are not seeing any improvement in the volume side. But I'm just coming from, I mean, the current situation that you're looking at increase especially on the fan side, which will be a key product category for us. As you rightly mentioned, you could see a lot of volatility, you could see varying strategies taken by clear. So in that context, in the context that we are able, still not completely sure of how the demand kind of picks up. Do you think that maybe for some time more you could continue to see volatility in margin and the margin improvement could be slightly pushed out?

Anuj Poddar: So two parts to your question, one is on fans. I do expect some volatility on sales volumes and margins on fans, but that will be little more tactical and dynamic on response to market conditions and competition out there. I would think, like I said, from the lessons of Q2, we will all learn that price is not the way to compete. There are many other ways to compete. But we will have to be tactical in that segment. That said, my comment on prices are more at a broader level across product categories across, and we do not see the need to take price cuts, and we will maintain that at least for most other categories.

And fan business is a smaller category for us here. Despite all of this, even if there's a fan price war of some sort, etc., we do think margins will improve despite that because of the cooling of commodity and the benefits on inventory. So I think that is secured for us. We don't see any risk to margin expansion.

Moderator: Thank you. We have the next question from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: What I wanted to check was, if you could help us with the spend specifically for the first quarter and the second quarter FY '23 in like-to-like for the last year?

Anuj Poddar: Yes, sure. So our spends in Q1 was INR 36 crores. And spends in Q2 is INR 23 crores. In last

year, Q2 was also 23 crores.

Achal Lohade: The second question I had, with respect to the EPC margin, how do we look at this now, if it's not very much comfort

ably in positive territory, but the margin in this quarter we saw it closer to 8%, 9%. So how do we look at the margin from full year around we have to...

Anuj Poddar: Analytically look at very different consumer. There will not be linearity in that, and margins at 8%, 9% it is on a very low revenue base, etc. . I think the business has bottomed out. We are now going to get into a build space for EPC. So most of the legacy projects operationally closed, all the legacy problems are done. From here on the revenues and the margins of the EPC business will depend on the total business order book size.

If you look at the order book side also, I think March was about INR 800 crores, which are excluding illumination, which is now up to about INR 1,350 crores because we've got a fair number of orders in the power transmission business. I think directionally, over the next two-three years, we are aiming to build a consistent revenue run rate or order book size annually

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about INR 1,500 crores, INR 2,000, INR 2,500 crores. And I think that is achievable from what we have built out now.

The issue we'll have over the next one quarter or two quarters because we just secured some of these orders, the next one quarter or two quarters, the revenue will not kick in. It will kick in by, let's say, February '23, March '23 and into Q1 of next fiscal. Till that point of time, you may see a certain softness on margins because we do not, we need the revenues to kick in to contribute to margin there. So there will be some lumpiness, low revenues and profitability in Q3, Q4, but bounced back healthily from Q1 next year.

The important point, all these new orders that we're getting, order book that we're building now, we are very confident from our -- how we bid for it, the cost and price strategies, etc. . There will

be healthy margin orders. Coming back to your original question, I do think these orders and these projects will deliver you 8% to 10% margins. But on a higher basis, and therefore, on a total absolute number, this will look very healthy from Q1 next year. And it also means that there won't be any further capital allocation to EPC business given the revenue...

Anuj Poddar: So we don't expect because also while margins have been carefully calibrated in this bidding, but also working capital and payment terms, etc., that has been very carefully calculated in all of these things. So plus minus INR 100 crores is fine, but this will not go to a very high INR 1,000 crores kind of a capital employed business.

Achal Lohade: Got it. And just one more question, if I may. If you could talk about is there any change in thought process with respect to the TOC, the way we were, we have been selling. Is there any change in thought process? Is it more tactical? Is it more structural medium-term change we've seen?

Anuj Poddar: So I think there are many layers to that, okay? I think TOC as a concept in terms of mainly inventory replenishment ROI for our distributors and stocking levels, that hygiene we will maintain. Where we are starting to become more flexible and tactical in certain product categories or certain market subsegments, etc. , require certain different approaches. And where we find this constraining us, we are being a little more flexible on that. Two examples that I will give you, one is lighting business. Lighting business, even on consumer side was not conducive for TOC, was hampering us, and therefore we've revisited TOC and relaxed some of those norms, and we will see the growth benefit of that. We saw some of that in Q4 FY '22. And as well, I said, as I don't go to market changes, we will see the benefits of lighting outside of a TOC approach.

The second thing we are start seeing that is in the fans business, as the change happens to regime of start-rated etc.. These are points where these normal rules

don't apply. So you have to be far

more tactical in go-to-market, we will take those calls. So the guiding principle for us finally will be what is better for business and what will drive growth for us. We will not be constrained by anything on that front. Where we will not let go the benefits of TOC, the penetration method has given some reach that has given us. So that is benefit that are there, that are secured and we'll continue to have the

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benefits of that in terms of our model of direct piece countered . But other tactical elements of that, we'll be flexible on that. So net-net, what we're saying, we see the benefits of that, secured

that, but where there is a tactical go-to-market on certain categories, on certain urban centers, that will not let TOC come in the way offset.

Moderator: Thank you. We have the next question from the line of Anirudh. Please go ahead.

Aniruddha Joshi: Sir, two questions. Sir, now Mahindra Logistics almost, I guess, two years are over. So if you can indicate the actual benefits received by the company in absolute terms. I mean, given that you indicate the free term benefit that the company would have enjoyed or any additional benefit in terms of that qualitative benefit that you would like to share? Point one. And secondly, sir, if you can indicate the market share across categories for the company at the end of September? Yes, that's it.

Anuj Poddar: I'll keep my comment very brief. I don't think we've realized the full benefits on the logistics front. I'll keep my comments limited to that. But we are working on that. We will keep working on that. So hopefully in the coming one or two quarters we'll have more specifics to share with you on that front, yes. I'm sorry, the second part of the question, you mentioned something about categories? I didn't catch that.

Aniruddha Joshi: Market shares of key categories at that...

Anuj Poddar: While we don't publish market shares, we do believe we've gained market share, continue to gain market shares. In fans in particular I've called that out in the past. We have been gaining market share, particularly premium fans which is important for us. In appliances too, when we look at the sub-segmental level, geographically, we are gaining share because of the mix, power mix of urban versus Tier 1, 2 towns versus rural. It optically seems that we're not close a couple of players. But if you look at a three year CAGR, that's why I called that out. Our consumer business has grown at 14.3% on a three year basis. To compare that with competition, overall on an aggregate basis, we have been gaining share.

Moderator: Thank you. We have the next question from the line of Amit Kumar from Determined Investments. Please go ahead.

Amit Kumar: Just really one question. You talked about in the EPC business, now you will be looking at new business. So this will be primarily focused on India. Are you looking at any sort of international market share and well how does this sort of play out?

Anuj Poddar: So this will be a mix. It will be predominantly India, but there's certain amount that we are doing in Africa we've done over the last one year or two years. We've had a good experience in Africa, primarily East Africa, where good experience both in terms of project execution closure, ourselves with our team and with the subcontractors, we've got a good experience there and we got a good fix on that.

Secondly, even in terms of payment realization, etc., we've had a positive experience in some of these geographies. And third, in terms of profitability, these projects have been close profitably and on profit for us. That gives us the confidence to bid a little more for that. So we are doing Bajaj Electricals Limited

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that in the international markets, but predominantly in the same regions where we

had a good

experience, and we have some teams on the ground and our ability to execute that.

That said, beyond the point, we do not want to scale that up. We want to keep that at a certain finite absolute value. So that's our strategy. But we believe that will be value-accretive to us.

The only other element we may look at in international market is pure supply. So pure supply, we think we can supply to wider geographies, even though we are not going to execute on all geographies. That is something we're starting to explore. We have not yet formed up a specific time on that.

But supplies, we believe are risk-free compared to project execution. Coming back to India, I think India will remain probably 80% or 90% of our total business contribution for the EPC business. Within India also, we are being very strategic in terms of projects that we accept, either in client or particular states that we work with or the terms of the project and the bidding that we enter into.

Amit Kumar: Just one small follow-up. When you mean supplies, you're talking about LEDs, you're talking about which segment?

Anuj Poddar: I was answering in the context of EPC. So it's poles or some of those things, towers, etc., so supply there is a risk-free contract. I don't have to worry about geography so much. I get paid and I supply. And the execution in the international market, and I need to be more confident that I have the execution ability on ground and the quality of subcontractors and how long it will take. So therefore, in execution, we are going to be very focused and limited. And supplies, this is a more speculative comment. We are open to exploring that, but we'll see what options come our way.

Moderator: [Operator Instructions] We have the next question from the line Rakesh Roy from Indsec Securities & Finance. Please go ahead.

Rakesh Roy: I have only one question, sir. Sir, one question is regarding, sir, when we say that the fan business

is impacted by, sir, new norms, sir? This is implemented from 1st February. So how much stock we have at dealer level because it's not happened, what happened to -- we have to write -back or what happens, sir?

Anuj Poddar: No, sir, our stock, I would say, is not something out of control. It's a t very much manageable levels. We do have a plan from now till December also. How we're going to deal with that so I'm not overly concerned about that. But at our end and as well as in the chain, yes.

Rakesh Roy: Okay, sir. And after the normal implemented, how much price hike compared to normal fan, sir, generally, sir.

Anuj Poddar: On a like -for-like category of fan segment, I think the price hike could be anywhere between 15% to 20%, yes.

Moderator: [Operator Instructions]. We have the next question from the line of Jiten Doshi from ENAM AMC. Please go ahead.

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Jiten Doshi: Hi, Anuj. Many congratulations for a good turnaround in the EPC. My question is just simple that in the entire program that you were talking about achieving over three years, you believe there is sufficient progress made despite the headwinds right now? And where do you think you have the journey?

Anuj Poddar: So Jiten, my thank you for joining and for your questions. And thank you for your words. We believe in that line, in the headline for us in this quarter also. I think the headwinds are there, the economy is tough. But if you look at our actions and our direction and follow through on each of these, that continues unabated, okay? And I just called some of those out again. The EPC turnaround which we've been talking about for the longest time, both not just internal receivables but on bottom line, and now the way the order book is shaping up, that is trending very well. It makes us very confident. That whether in this company post demerger, separate company, the outlook for that business is very healthy.

We're very confident about that, number one.

Number two, if you look at the other structural changes that we've done and spoken about, the lighting business carved out as a separate focus, the team changes that we're making there. We're starting to see the results of that right now. We've seen that on bottom line. And like I said, top line, in fact, this is despite some of the changes, we are very confident that we'll see top line growth also in the lighting business in the coming few quarters and couple of years. There, again, in fact let me headline, I didn't say that earlier. We were probably a No. 7 player in FY '19 and moved to No. 5. Now we're No. 3 player. We're clearly gaining market share and ranking. We will keep making those strides.

Lastly coming to the consumer business, that is of course the largest most complex part of our business. But all these changes that we've been making, most recent being the brand and the product push. Hopefully, you've seen some of the campaign around that if we start seeing that, that will give you a little flavor of the aggression we've planned for the next two years, three years. Like I always say, we are just starting out last two years, three years, have been really a lot of focus on cleaning up legacy corporate structure, these restructuring issues, etc.. The next two years, three years are completely focused on operational excellence and aggression. In all of this that you've seen on the product and brand front is just the start of that. In next two years, three years, you will see the benefits of that. We are very confident about that.

Jiten Doshi: So you are absolutely on track as far as your long -term goal is concerned?

Anuj Poddar: Absolutely, yes.

Jiten Doshi: Right. And to compare yourself with the best -in-class, which is the margins that were experienced by the top player.

Anuj Poddar: Yes, absolutely.

Jiten Doshi: Fantastic. You're doing a great job. Keep it up. Many congratulations, and all the very best to you, Anuj.

Moderator: Thank you. We have the next question from the line of Manoj Gori from Equirus Securities.

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Manoj Gori: Sir, just a follow -up question. Like you just mentioned about the price hikes will require 15% to 20%. But when we understand, when we go through the commentary from some of the peer, so few players have been talking about 5% to 8%, you guys have been talking about around 8%. Can you throw some light, like what exactly gives this change within commentary, especially the organized space on the fan category?

Anuj Poddar: So sir, I'm not clear, if you're talking price hike or the cost differential between star-rated and non-star -rated fans. The 5% to 8%, I don't think anybody will say the cost differential is only

that much. So cost differential on a like-for-like similar specification product that is star-rated will be between 15% to 20%. And the way to right now...

Manoj Gori: So my question is for the price hikes, yes.

Anuj Poddar: So that's what I'm trying to differentiate. The price hikes, I'm not talking 15%, 20%. In fact, my view is you will not see price hikes in our industry over the next coming few months. The 15% to 20% that I referred to is the cost impact and the implication or impact of this move to star ratings for fans in particular. There that will -- nobody can escape that. That is the price differential between a high star-rated fan versus legacy non-energy-efficient fans. There again there will be tactical moves where not everybody will gravitate. When I say everybody, consumer will gravitate to 10%, 15%, 20% more. So you will have fans of various technical specifications that will not give you the maximum energy efficiency and will compromise on -- be able to manage lower prices.

But on a like-for-like, to give you that is what my answer was, that is a 15%, 20% delta on the

technical cost of delivering a fan. Was I able to clarify? Price hike is a different aspect. This is a cost impact of a conversion to star rating. And your premium fan today which is non-star-rated, if you buy the same premium fan, the price cost impact will be 15% to 20%. But you could provide that person a slightly, what should I say, stripped-down, slightly lesser premium fan and therefore so 15%, 20% cost impact to that person he may settle for a 8%, 10% incremental price with slightly lesser decorated feature, but higher on the star rating. So there's many blends that will happen.

Manoj Gori: Right. So it should be somewhere around 5% to 10% for the industry, from player-to-player there would be some difference.

Anuj Poddar: So there will be many things that play, forces at play. I do think, and that's my earlier commentary, till June '23 you will see a lot of volatility in all of these areas. Consumers also, the government we may move to star rated on 1st January, not all consumers will shift to that. So there will be stock of non-star-rated fans in the marketplace and consumers will continue to buy. But in the medium to long term, that shift will be 100%. In the short term, it will be a blended market.

Moderator: Thank you. That was the last question. I would now hand it over to the management for closing comments.

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Anuj Poddar: So actually my closing comments were meant to be on strategically we are very firm on where we are going. Directionally, we are delivering on all of these things. From an action point, we are, as we say, constantly taking those actions and meeting those, or should I say matching up to the direction that we are promising. I did elaborate on some of that in my response to Jiten bhai, so therefore I'm not repeating that. But I would just wrap it up by saying that in a tough environment, we remain very focused on execution and on delivering our performance. And we are confident about continuing to do that. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

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February 7, 2023

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: 'Transcript of the Q 3FY23 Results Conference Call ' of Bajaj Electricals Limited (the "Company")

Further to our letters dated January 24, 2023 and February 2, 2023, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we enclose herewith the Transcript of Q3FY23 Results Conference Call (i.e., Post Earnings/Quarterly Call), as organised by ICICI Securities Limited on Thursday, February 2, 2023, at 4:30 P.M. (IST), where in, inter-alia, the unaudited financial results of the Company for the third quarter and nine months period ended December 31, 2022, were discussed.

We request you to take the above on record and the same be treated as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Ajay Nagle
Company Secretary and Head of Department

Encl.: As above.

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"Bajaj Electricals Limited
Q3 FY20-23 Earnings Conference Call"

February 02, 2023

ANALYST : MR. ANIRUDDHA JOSHI– ICICI SECURITIES

MANAGEMENT : MR. ANUJ PODDAR – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER - BAJAJ ELECTRICALS LIMITED
MR. E C PRASAD - CHIEF FINANCIAL OFFICER – BAJAJ
ELECTRICALS LIMITED

Page 2 of 15 Moderator : Ladies and gentlemen good day and welcome to the Q3 FY2023 earnings conference call of Bajaj Electricals hosted by ICICI Securities . As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities . Thank you and over to you Sir!

Aniruddha Joshi : Thank s Ryan. On behalf of ICICI Securities we welcome you all to Q3 FY2023 results conference call of Bajaj Electricals Limited. We have with us senior management represented by Mr. Anuj Poddar, Managing Director and CEO and Mr. E C Prasad, CFO. Now I hand over the call to the management for initial comments on the quarterly performance and then we will open the floor for question and answer session. Thank s and over to you Sir !

Anuj Poddar : Thank you. Good evening . This is Anuj Poddar . Thank you everyone for joining this call . I will just make a few brief opening comments and then you can ask us your questions. I would start by saying we are extremely pleased with our performance in Q3 and this is despite what I am sure you are aware of a tough environment in terms of muted demand for consumer goods as we have seen around that year. Few highlights for us, we are back to having crossed INR 1000 Crores of revenue in our consumer product business . Our lighting business , while our revenue basis has been flat, our profit on lighting business has increased substantially and that is the guidance that we have been given that we will be driving profitable growth

for the lighting business with a margin expansion. Our EPC business which has broken even about three quarters ago continues to be at breakeven stroke pointed level but also more positive for us is that in terms of revenue and order book that is expanding growth in the direction that we wanted to grow. We feel now it is achieving a certain amount of traction in revenue side that we think will make that business viable and profitable into the future while yet maintaining our approach of being selective and then ensuring quality of order that we take such that it also remains profitable at a project level. We have timed that such that we are in cusp of demerger in the quarter or two and so as the demerger happens this business will also be a healthy business going forward. Lastly on the cash flow front, like we have always maintained that it remains an area of focus for us. Q3 also has been very strong on the cash flow basis for us. Our cash from operations just within Q3 has been at about INR 197 Crores, so that is my opening comments on overall performance. I do want to call out and explain which we have explained in the deck also. You will see a line of other expenses that has risen substantially. I will explain briefly what that is. Firstly , this is what we have under our RREP scheme. We have formulated something called the retailer bonding programme which is a form of loyalty points that retailers accumulate. For us this is a form in manner of schemes and discounts that we have been running under the guise of RBP royalty programme as a structured approach to doing that. We continue to review and we will continue to review the scheme and manner of this RBP programme now and going forward as part of our overall review of our schemes and discounts that we are putting into the market place. The Q3
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Page 3 of 15 impact of that is that we have been driving a substantial redemption programme to encourage our retailers to opt for redemption rather than continue to accumulate points. Couple of reasons for that, one reason is being that the entire provision for RBP because we have maintained the conservative provision policy has been accumulated in our balance sheet and a few quarters ago that had risen to a high level in balance sheet. It was not something healthy for us to continue to carry therefore we wanted to start encouraging the redemption of these points , but second it is a more operational tactical decision from a business standpoint. Now we are starting to offer various forms of schemes that are more targeted at certain product categories etc ., and as far as composite review of that, the RBP we have been driving redemptions of that. The impact of the RBP redemption in change in policy has been that there has been slightly upward of 50 Crores upside in the revenues because of this and simultaneously there is slightly upwards of 50 Crores impact on other expenses because of this. The net impact of about 12 Crores on that. At the same time, there are two or three other elements in this quarter. Our schemes and discounts in this quarter have been heightened particularly on fans as part of the destocking of non star rated fans, so that is obviously a negative impact in terms of margin but that is baked into our Q3 financials and EBIT that you see. Our investment in brand has gone up significantly in Q3 on a quarter on quarter basis about 2% incremental spends in advertising and on Y -o-Y slightly above 1% increase in advertising. On an absolute basis about 14 Crores incremental spends on advertising in Q3 Y -o-Y basis and lastly we are in the process of moving back our logistics from Mahindra logistics to in house logistics. As part of that transition we have had a transition cost of that in

this quarter which has again been in the range of about 1% of our consumer business revenues

o I

am just highlighting these. These are reasons for other expenses to look slightly higher and also related to certain notes that you see in this financial. The consolidated net impact of all of this is already taken to the financial. I have explained all of that. I will be happy to take further questions on any of these comments. Back to you. Thank you.

Moderator : Ladies and gentlemen we will now begin the question and answer session. Our first question comes from the line of Chirag Lodaya from Valuequest. Please go ahead.

Chirag Lodaya : Yes thank you for the opportunity. Sir I had a couple of questions. First if you can help us understand demand trends across categories like appliances, fans, lighting. Are you seeing any improvement in the overall underlying trends?

Anuj Poddar : So you know demand as you have been seeing all forms of commentary around that, the demand has been muted particularly post Diwali, since November it has been muted. The appliances in particular has seen a more muted demand and Bajaj typically if you go back last year Q3 also more than 70% of our revenues particularly this quarter comes from appliances and which has been category or segment that has been seeing muted demand. Within that also if I dive into that room heaters and water heaters you had a late onset of winter this year post 15th to 20th December so there has been an impact on the heating category this year. Coming back to a very current strength, I think post the onset of winter I would say tertiary sales started then and therefore some Bajaj Electricals Limited

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Page 4 of 15 amount of primary selling was happening in Q4 but that has been a limited sale that has happened on heating but the positive news on that is because of the winter setting at least tertiary and secondary sale has happened and therefore there has been a certain amount of destocking of that inventory at the retailer store, distributor therefore at least for next season we are fine. On an overall demand trend basis it is a little early to say. I do not want to say that too emphatically but I think last three to four weeks we are starting to see some improvement in demand also on the rural side and I am also reading some commentary or data points if you see from a FMCG sector if that happens we think that will also transpire back to us so it is early days. In summary, I think there is a mutual demand environment through most of Q3. Our last few weeks we are starting to see some green shoots on that but we will wait a little while to have a more emphatic view on that.

Chirag Lodaya : On lighting front distribution etc., are we done with that and can we expect strong momentum next quarter onwards or how to think there.

Anuj Poddar : Lighting for us in Q3 professional lighting has grown, consumer lighting has degrown, consumer lighting degrowth is a combination of overall demand trend and also our internal rejig that we did. I think another quarter away from the rejig of our go to market strategy and we are much better when we were three months ago but there is certain team expansion and distributor, dealer expansion for a consumer lighting that is yet WIP so most of that should be getting over or done by March. We will see incremental momentum on that but it will be Q1 that you will see a full momentum on that. At the same time on our GTM front and a product level like we have showcased a few products in our investor deck. We will continue to expand our consumer lighting portfolio and product offering and make it both wider and go up in terms of value added offering so and as and when our GTM is also fully in place we will see a few benefits of our GTM region as well as expanded consumer lighting portfolio.

Chirag Lodaya : Right and Sir just lastly on profitability side. So you had highlighted couple of points why margins are subdued in this

quarter so adjusting all this what could be the margins in this quarter

and secondly slightly longer picture in FY2022, we did around 9.8% kind of EBIT margin last few quarters because of inflation, weak demand we are at 7 to 7.5% kind of EBIT margin by when can we touch at least double digit EBIT margin in FMEG business.

Anuj Poddar : I would not give a projection of that but just to answer according to this quarter like we said the RBP part that we received is a net positive impact of 12 Crores, the incremental brand spend incremental has been over 14 Crores. The incremental impact of cost of the logistics transition has been about 1% of our top line so add another 1% there and then finally while the RBP part which is royalty sold out actually it is compensating other schemes and discounts that we have given which have also been fairly high this quarter as part of fan destocking. So net, net I do not want to put a specific figure but I would say the margins having netted out all of these things would actually be at least 1.5% better.

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Page 5 of 15 Chirag Lodaya: And is this a sustainable number now going ahead.

Anuj Poddar : Couple of things you will see. As business operation side continue to relook at our loyalty

programme and what is the schemes and measures that we have for particular push that we want to do . There is no firm answer to that but in the next few quarter or as on perpetual basis we will keep looking at that. The impact of that sometimes we will net it of sometimes we will be called off in different line items but to my mind those are purely operational cost. The one part that will be on one time basis that will continue in Q4 is the logistics transition that will have some impact will continue in Q4 and then normalize in Q1. The brand spends is again a more tactical call but I do not expect a significant deviation in Q4 on brand spend.

Chirag Lodha : Got it thanks a lot.

Moderator : Thank you. Our next question comes from the line of Akhilesh Bhandari from ICICI Prudential AMC . Please go ahead.

Akhilesh Bhandari : Sir thank you for taking my questions. So firstly can you speak about the volume growth which the company has seen across the various categories. We have seen a very sharp revenue growth in fans and a slight degrowth in appliances and also lighting you mentioned that B2C has degrown but can you also speak on what has been the volume growth during this quarter. You typically of course have a replenished model but at the industry level how do you see the inventory level for the fan segment.

Anuj Poddar : So the volume on overall has been flat . I would say appliance has a slight degrowth, fans of course there has been growth. The mid level is flat because appliances is higher in terms of contribution for us. Within that it varies by subsegment but like I called out heating category has been a degrowth, kitchen category has been flattish , coolers is actually an upside for us in terms of advance sales that happens on coolers. Coming back in terms of fans and inventory etc, we have completely destocked all the non star rated fans that we have had that is in some terms the compliance regulation. I would say there is a fair amount of stock now not just us but of all brands in the market of these non star rated fans with the channels in the market. I think that will take anything between 3 to 6 months to normalize at the same time we think towards the end of Q4 we should start seeing traction on volume growth for the star rated fans even from primary sales point of view.

Akhilesh Bhandari : Understood. A bit more on the logistics transition so if you can give us more details on what is the thought process or rationale for going back on the transition and initially of course you had some benefits which you thought you would get from moving to Mahindra

logistics and what has

changed from that perspective if you can just give us a bit more detail that would be helpful.

Anuj Poddar : Sure Akhilesh to be candid two years or two half years ago when we embarked on the 3PL outsourcing we were looking at both financial and strategic benefit from that. We knew we were slightly ahead of the curve when planning for that to put a long story short I do not think we have Bajaj Electricals Limited

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Page 6 of 15 achieved either the financial or strategic benefits from that decision. We have tried to make it work over a couple of years but at some point we took a decision that if it is not serving our purpose then we are better off pulling it back in house so that is the reason to pull it back in house. Since then while there is a certain transition cost of that our actual service leverage to customers, distributors, channel partners has gone up which is our primary focus of doing that. That is most important for us. We believe we are managing that well in house and then we will continue while there is a transition cost of doing that and our first endeavor is to get the service levels right which we are doing. Over the next 3 to 4 months we will get the cost optimization also done and therefore we will be taking care of this situation.

Akhilesh Bhandari : You mentioned that your distribution in lighting will take another quarter or so but by the end of March what proportion of your key geographies would you have already covered under the distribution region.

Anuj Poddar : To take a numerical range guess it would be 65 to 70% there. Both in terms of our team putting the feet on street in place and the distributor rejig that is happening over there and therefore the reach out to the lighting counters.

Akhilesh Bhandari : Got it. Thank you. I will get back in the queue.

Moderator : Thank you. Our next question comes from the line of Renu Baid from IIFL. Please go ahead.

Renu Baid : Hi thanks for the opportunity. So my first question is to understand a bit more on the fan segment . Now with the new BEE norms what has been the average impact on the pricing of the new BEE star rated fans for us across the key ranges average price increase and second you did also highlight that there is sufficient channel inventory now built with old non star rated fans which will take about six months to clear out so does that imply that usually that upstocking or stocking that we see would be fairly soft in the fourth quarter and depending on how the season pans out we will see the fans revenue uptick happening subsequently in the next fiscal.

Anuj Poddar : Renu good evening. Firstly in terms of the cost side of the price impact. I think the impact of this cost to us is between 10 to 12% where I like to have passed all on but we passed on to between 7 to 9% of that and part of that is also competitive reason because we do not believe competition has also passed it on as much as we would have liked anybody to pass it on. We believe therefore

there will have to be a second round of price hike, timing will be dictated by both market conditions as well as competitive decision making. In terms of this stocking and volume and therefore impact on star rated we will wait and see how that plays out but my guess is while I said it takes six months or so to clear out that is for completion of the clear out but incrementally every month that will keep clearing out. In the same time, I do see an uptick that is happened for star rated fans. As we approach summer and the season for fans of course engage in consumer awareness and campaigns for star rated fans so I do think there will be a large segment of the

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Page 7 of 15 market that will start purchasing that. Now I would yet remain optimistic on star rated fans also selling as we approach the seas

on.

Renu Baid : Got it and since you also mentioned that the entire cost is not fully passed onto the consumers yet, the volume uptick is yet to happen there but you think the tail impact of this could be seen in the margins because commodity prices have also started to slowly inch up now so how should we read in terms of the margin outlook going ahead for the end of this year and next year and for you the double digit EBIT margins that you were expecting for the consumer business has that been pushed back by another 6 to 9 months to second half of 2024 or it should be possible for the entire fiscal there.

Anuj Poddar : I will answer second part first Renu. As we get to that we start getting into 2024 we will have a little better visibility. I do not want to move or change guidance from that right now. More specifically on the fan part I think my personal view remains that if I am a leader I would not shy away from taking a full price hike. That is the job of the leader. Number two I think the decision to not take a price hike is assuming demand playing out that is not playing out. I think both of these to my mind as a rational mind would only force players including our competition to take a price hike sooner rather than later and make sure our margins are protected. I would assume that decision would be made by multiple players and we will not be found wanting from taking that decision.

Renu Baid : And generally what is your sense now it has been almost an entire year we have broadly struggled on relatively soft consumer off take and tertiary off take which has been soft so while there have been some green shoots some commentary from consumer company FMCG also but especially for us this segment is a reasonable large part of the pie as a region as large segment of the market so how are we seeing on ground demand off take from these segment and some colour on the strategy to increase the premium portfolio within Bajaj umbrella how is that doing.

Anuj Poddar : We are working on all of these aspects but the rural and lower demand etc., when I was asked back in November and December I was less optimistic about that. I thought we were at least six months away from that. When I speak today I think six months timeline in my mind has come down to three to four months and I would think now we are starting to see the green shoots like I said earlier but I am just waiting to see that continue. If that continues we will see that by March, April itself the demand over there starting to kick in. Again I have not read the fine print of the budget but some of the changes on the personal income tax, I think positive for consumption sentiment so that takes care of the middle class, lower middle class etc so if you add both of these factors I would yet today be slightly more optimistic than I was two to three months ago. Having said that the external environment and economy is not something that we can control. Our job is to navigate through all of these things that we have done in the last few quarters therefore coming back to the other part of your question we continue to broaden our portfolio and offering some of the examples are in the investor deck if you look at those products that clearly show a greater premiumization journey that we are all in terms of product, product features, technology, quality,

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Page 8 of 15 design, etc., so our journey on that will continue. Anything that will derisk us, not only derisk us but also help expand the margin and therefore FY2024 and going beyond our margin expansion should continue irrespective of economic and demand cycle.

Renu Baid : And approximately how large is the premium portfolio in our consumer mix today approximate percentage?

Anuj Poddar : That varies by category like I said for fans we used to have 6% contribution and roughly about 19%

contribution in fans in terms of revenue in terms of let us say mixer we do 750 watt in mixer that is up to about 35% of our contribution to this. If you look at I would say LED. I do not know LED is a stock in premium or not. This is a range you are moving from non LED to LED and now from LED to actually lamps to value added products I do not remember number of fan in terms of contribution. Similarly we continue to upgrade again I do not remember a number there so across directionally each of these categories there is a higher contribution from the premium side.

Renu Baid : Sure. Thank you that is helpful and all the best.

Moderator : Thank you. Our next question comes from the line of Achal Lohade from JM Financials . Please go ahead.

Achal Lohade : Yes good evening. Thank you for the opportunity. My question was with respect to third quarter you mentioned that there has been a significant challenge with the non rated fans can you help us understand what is the extent of impact on margins this had in terms of even it would have gone with a discount or price reduction.

Anuj Poddar : Achal I could not hear you fully but I think you are talking of channel selling for schemes etc right in Q3.

Achal Lohade : Yes let me just explain once again. So third quarter you mentioned that the fans growth is 65% and you said partly it should be the destocking of the non rated fans from our end so I am just curious to know what is the impact you have had on the margins for the third quarter with respect to the schemes, discount etc., to clear out this non rated fans.

Anuj Poddar : Achal I would look there are two three levers of margin impact on this. First is actual discounting and schemes that we have done and again that has not been even through the quarter so it was higher in October and November then we restructured that in December also but while we restructured that this is across categories including kitchen etc. In December we focused a little more on the non star rated fans that was also an impact of that. I do not know the blended number to that could be but we had differential offerings through that quarter between half to one percentage point because of that, number one. Number two actually is the portfolio mix between appliances and fans like I said historically Q3 is strong in margins led by heating appliances. This quarter heating appliances was muted and therefore we could not get the upside benefit of those margins. On the other hand our fan contribution is being higher which typically is lower margin

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Page 9 of 15 and also lot of push because in December it happened on fans that has further subdued margins on fan. The margins that you see is a blended impact of all of these three things discounting, the portfolio mix moving from appliances to fan and within fans also certain push that has happened in December.

Achal Lohade : Right if we were to see for an angle perspective FY2024 -FY2025 how are we to look at the gross margins. The raw material prices getting steady and whatever revised price hike to meet the compliance you are able to take. How do we look at the gross margin for our key business would we see that is improving 3 to 4 percentage point given the kind of cost inflation which we had in FY2023 or you think it would be lesser than that and hence double digit would be little difficult.

Anuj Poddar : Achal again I do not put a specific figure projection but I think 3 to 4% expansion would be very aggressive target. I do think gross margins should expand, the two levers of that one is commodity cost which has cooled of significantly between April to November, the December Jan like one of the earlier questionaire mentioned you are starting to see some increase in commodity cost. My view is today so far it is not alarming. I do not expect that to become significant

. I think we can

take that in our stride. I think the other big lever will be pricing in the market and that pricing I think to some extent will be driven by the consumer demand. My view remains that demand should start looking up from March, April like I said that will bring back pricing power not just for us but for everybody and therefore will limit this discount game that is on so that to me between both of these aspects I do see gross margin expand. That said with a 3 to 4% in a single year may be very aggressive in realizing. Sorry one more third lever for that is of the premiumization you will keep seeing a little more of that if that happens for us the gross margins should also expand be cause of our change of portfolio mix towards premiumization.

Achal Lohade : Understood at the operational level you mentioned that there has been 100 bps impact of the logistics cost transition would that continue incrementally in FY2024 as we go ahead or do you think that is by and large done now.

Anuj Poddar : Again I will explain that logistics transition is happening over a phased manner between 1st October and 15th January we have taken over all the transportation which is both pre primary, primary and secondary transportation and some of this logistics impact that is happening right now in Q3 is because of this transport led logistics transition cost that has happened including some double stems etc there as we start to put the root to take that over. Right now we are in the process of taking over all the warehouses. I think that will take anywhere between four to six months more like six months before all of the transition to us. You will see some of that impact of that transition in Q4. I see very limited impact of that happening in Q1 next year of this transition.

Achal Lohade : Understood and just one last question if I may with respect to the discounting part of it could you elaborate a little bit with respect to the other appliances are we seeing the other brands actually kind of resorting aggressive discounts etc., or it is more driven by the regional or tier two players.

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Page 10 of 15 Anuj Poddar : So my view on the discounting etc. Like I said we also in October, November had some of that because in December as far as appliances which is non fan is concerned I think we are fine with that. We do not have discounting or price challenge on appliances in general and also as being a leader etc I think we are able to manage the market views on pricing and discounting on appliances much better so we are comfortable with that. Our challenge and concern has been on fans and also because of the transition from non star rated to star rated which also has an impact on cost. I think there the discounting both to get rid of stock as well as not to take a price hike to commensurate to the cost increase I think that has been a bigger challenge for us and that is not something we can drive as a non leader player, so we would want to see more rationality and sanity on that. Like I said earlier we are more than happy to keep pushing on that to protect margins on that.

Achal Lohade : Got it. I will come back in the queue for followup. Thank you so much.

Moderator : Thank you. Our next question comes from the line of Rahul Gajare from Haitong Securities . Please go ahead.

Rahul Gajare : Hi good evening. See with respect to the logistical. When in 2021 you all decided to move to Mahindra for logistical arrangement at that point in time we are looking at saving of about 1 to 1.5% now with this shifting back in house what are your thoughts on the strategic and financial benefit that you are looking for. Can you elaborate on that aspect?

Anuj Poddar : So Rahul to be candid like I said earlier we have not derived that benefit either the financial or strategic that is the reason to move

it back in house. My view is there is certain reason for us to have done this to actually for us to defocus on logistics and focus on the market end but not to let logistics become a weak point for us here and therefore our primary object will always remain that your logistic cost optimization while that is desirable that is secondary to ensuring efficient logistics which we are now focused on, which we are delivering on to satisfy all our channel partners and customers. That we have achieved as part of this transportation transition and we are managing that well, that said we will optimize logistics cost may not be to the extent that we may have originally envisaged but we will keep looking for those avenues to do that but without comprising on other core objectives.

Rahul Gajare : Okay and you did indicated that A&P spends has increased by about Rs.14 Crores in this quarter could you quantify how much was the actual A&P spend .

Anuj Poddar : It was about 51 Crores in this quarter and about 4.4% of consumer products and B2C lighting business.

Rahul Gajare : Okay thank you very much I will come back in the queue.

Moderator : Thank you. Our next question comes from the line of Rohit Suresh from Samatva Investments . Please go ahead.

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Page 11 of 15 Rohit Suresh: Good evening Sir. My question is based on the BLDC fans that we have. I just wanted to know the BLDC motors that are used in the fans are we importing it from China or is it being procured from a domestic manufacturer.

Anuj Poddar: No there is no import of motor from China. It is a combination from a domestic supplier as well as we are creating certain in house capabilities for that with certain components we are able to make that in house. Combination of both. Right now the reliance on supplier is higher, but we do want to try and enhance our ability to do that in house also.

Rohit Suresh : Got it and Sir relative question is that what will be the share of those BLDC fans to the revenues right now and how do you see it moving in the next two to three years considering the star rating that has just been applied to the fans.

Anuj Poddar: So right now it is extremely minuscule for us . We have been late lagged to the BLDC offering. Having said that we do have a couple of SKUs in that but you will see us for the next year have many more SKUs in that and that range of BLDC expand for us that is when we will start seeing a meaningful contribution of BLDC, but I do think that is the main and single digit that makes 10% of revenue. It may not even touch 10% of revenue for us there. As we move to star rating I think one star rated fans will dominate the purchasing at the consumer end going up to three stars. I do think five stars fans which BLDC are will remain if not in single digit will remain in teens and overall market they will also.

Rohit Suresh : Great. Thank you so much that was very helpful.

Moderator : Thank you. Our next question comes from the line of Harsh Vora from Praj Financial . Please go ahead.

Harsh Vora : Sir just wanted to know what is our distribution reach expansion in last 9 months and what has been our market share in each categories in appliances. Have we seen market share increases in any of the appliance category?

Anuj Poddar: Reach has been fairly flatish. As shared in the past our reach has always been best in class. Our focus has been to actually expand our WD not ND that is weighted distribution and therefore our

growth from urban metro counters and SSSG which is same store sale growth so while we continue to look at reach our greater focus is not reach but actually mining that reach much better that is point one. Point two in terms of market share I think overall, I will give a macro answer on that, on appliances we have been maintaining market share but within that we have

been

growing market share in coolers and coming to fans, in particular where we are growing market share on an overall basis.

Harsh Vora: Okay and what could be the premium categories of fans in our overall fan portfolio.

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Page 12 of 15 Anuj Poddar: So our revenue contribution from premium in FY2022 was 19%. This was about 6% about three years ago or two years ago. Let us complete this full year so we have a full year basis to compare that.

Harsh Vora: Alright thanks. I will get back to you in questions if I have any questions.

Moderator: Thank you. Our next question comes from the line of Achal Lohade from JM Financials. Please go ahead.

Achal Lohade: Thank you for the follow-up. Sorry I have missed the volume growth number for the category wise appliances particularly fans what has been the volume growth for fourth quarter.

Anuj Poddar: It has been flat to negative. For fans it must be about 50% and to be honest I do not have a very deep math on that. Overall growth is about 64% that includes certain amount of price inclusive.

Achal Lohade: And what would be the industry growth. I mean this is disproportionately higher as compared to industry if you could throw some light how the growth would have been for the industry broadly.

Anuj Poddar: If you look at Q3 itself while everybody has destocked but your numbers from everybody else. The leader has to come out now we have not seen the numbers yet but I am sure the industry growth is much, much lesser than this both volume and value terms.

Achal Lohade: We had disproportionately higher share of non-rated or it is more conscious strategy.

Anuj Poddar: I think again it is a combination of things. We have just planned our inventory our selling the way we have planned it. It is also a function of base effect to be honest our base is lower than others so to be a function of that but also a reflection of us to continue to increase our market share. Sometime the quarter can be bad but if you look at longer term and if you look at all of FY2023 our Q3 on fans have been higher than industry or competition. Q3 similarly you are seeing that but hopefully on full year basis also you will see us deliver higher growth rate on volume and value in fans.

Achal Lohade: Got it and just if you could throw some light in terms of what is the in-house manufacturing mix of fans, home appliances, kitchen appliance and lighting as we speak and how we see evolving on in the next three years time frame.

Anuj Poddar: On an overall basis it was 15% in house, 85% outsourced. In fans in particular you will see that change happen next year. We have just put in a new paint workshop at our Chakan factory to support our superior premium fans and that is part of our journey towards premiumization of our fans portfolio. The initial trials of that and production is on from February you should see pickup in our in-house production of fans particularly premium fans as that gathers overall pace and capacity debottlenecking minor expansion that we are doing. I think next year you will see also of our overall in-house production particularly for fans.

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Page 13 of 15 Achal Lohade: Got it. Thank you. Thanks for answering that.

Moderator: Thank you. Our next question comes from the line of Vandit Dharamshi from Alpha Invesco. Please go ahead.

Vandit Dharamshi: Good evening Sir and thanks for the opportunity. I just wanted to check on the lighting division in terms of how is the competitive landscape playing out is there some aggression from other competition. In general if you could just talk about the lighting segment.

Anuj Poddar: So it is a bit of mixed trend. Obviously the consumer lighting demand has been soft we are seeing that across. Our own transition is different aspect but

having said that I think there is

certain amount of consolidation that is happening in consumer lighting, particularly along the tail players we are seeing market share move towards the leading players including our self and also given our journey on expanding the product portfolio all that in premiumizing I think there we should be really strong effect in gaining shares fast. From the professional lighting space it has always been a less of long tail etc., and more a consolidated space already. There like I have mentioned in the past we see our self close number to adjacent number one. I think there we have seen some increase what should I say ability, offering or competition from few of the other leading players to us. That said we remain confident of our approach and therefore not something that we see of loss of share happening for us.

Vandit Dharamshi : Okay Sir and one more question Sir in terms of what would be our in house production for lighting and what would be the rough working capital days for this quarter and maybe going full year for FY2023?

Anuj Poddar: I think the in house for lighting will be slightly higher closer to about 20%. We continue doing a little reaching on that between our factories what lighting we are making there and again between profession and consumer lighting we will see some change of that. That is 20% it may go up slightly more next year for the lighting part in terms of in house. What is the second part of your question?

Vandit Dharamshi : On terms of working capital for lighting segment. Maybe if you could just throw some light for this quarter and say for FY2023 what would be the working capital there?

Anuj Poddar: Lighting total working capital in the range of 150 Crores.

Vandit Dharamshi : Okay that is it. Thank you for the opportunity.

Moderator: Thank you. Our next question comes from the line of Rahul Gajare from Haitong Securities . Please go ahead.

Rahul Gajare : Thanks for the followup. This particular quarter we have seen increase in the interest cost compared to significant increase on sequential basis. I mean I do understand in your explanation you have talked about vendor financing . Is this discounting of EESL will be a onetime cost. Your
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Page 14 of 15 steady state of interest should go down given you improve your balance sheet side is that fair expectation on the interest.

E C Prasad : Yes that is right. So EESL is one time impact because this was a retention which was due for 7 years which you have discounted now so that is 5 Crores impact that is a onetime cost and the balancing even the EPC advances that we are taking so it is interest bearing advance that is an operational advances that will keep happening as we take on more projects.

Rahul Gajare : In the second quarter we had a high profitability in the EPC side and this particular quarter it was significantly low any specific thing that we should read into this.

E C Prasad : No I think we have explained this last quarter . As most of our old projects were coming to an end towards the last quarter and we are actually starting of the new order book so because of that when we start of a new project the margin recognized is actually lower so as we do a survey and get into the operations the margins should improve there.

Rahul Gajare : In the opening comment I think Anuj did indicate that demerger could actually take quarter or two from here earlier I think that was expected sometime now right. Is there something you heard .

Anuj Poddar : Rahul I will answer that. The SEBI approval took a long time that came through in December post that we managed to get the first NCLT order actually fairly fast which has happened in January . Our initial target was to have this demerger done within this fiscal by March. Right now next step is the share holder meeting that

will happen on 2nd March that is part of the normal process post the NCLT orders once that is approved in the share holder meeting that has go back to the authorities and there is a certain process after that. We cannot exactly pinpoint the time that it takes for them to approve that. I think it would be anything two to three months from there so I think May, June if we are lucky it could be earlier but not later than that.

Rahul Gajare : Sure that is all from my side. Thank you.

Moderator : Thank you. Our next question comes from the line of Chirag Lodaya from Valuequest . Please go ahead.

Chirag Lodaya : Just followup on this finance cost. What could be the finance cost for consumer division?

E C Prasad : Actually there is no finance cost. This is the cost of discounting of the bill of the vendors about 4% is the cost of discounting.

Chirag Lodaya : What I am trying to understand in a demerged balance sheet in finance cost as item on full year basis it could be in the range of 15 to 20 Crores is that the fair understanding.

E C Prasad : Yearly yes. You are right.

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Page 15 of 15 Chirag Lodaya : Okay thank you.

Moderator : Thank you. Ladies and gentlemen we have reached the end of question and answer session I now hand the conference over to the management for closing comments.

Anuj Poddar : Thank you once again everybody for joining us . I would not repeat my opening comments. You heard it all. We think it is a tough environment in that we continue to both deliver good performance in Q3 and directionally strategically also this year. We are in sync with whether it is on product innovation or brand etc. We are moving in the same direction and we are all excited. Thank you very much.

Moderator : Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: May 2023

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May 27, 2023

To,
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001
: Code No. 500031
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, Bandra Kurla Complex ,
Bandra (East) , Mumbai 400 051 : BAJAJELEC - Series: EQ

Dear Sir/Madam,
Sub.: 'Transcript of the Q 4FY23 Results Conference Call' of Bajaj Electricals Limited (the "Company")
Further to our letters dated May 15 , 2023 and May 23, 2023 , and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations "), we enclose herewith the Transcript of Q 4FY23 Results Conference Call (i.e., Post Earnings/Quarterly Call), as organised by ICICI Securities Limited on Tuesday, May 23, 2023 at 5:00 P.M. (IST) to discuss the Audited Financial Results of the Company for the fourth quarter and financial year ended March 31, 2023, were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Shekhar Bajaj
Chairman
DIN 00089358
Encl.: As above

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"Bajaj Electricals Limited Q4 FY-23 Earnings
Conference Call"

May 23, 2023

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ANAGEMENT : MR. ANUJ PODDAR – MD & CEO, BAJAJ
ELECTRICALS LIMITED
MR. E.C. PRASAD – CFO, BAJAJ ELECTRICALS
LIMITED
MODERATOR : MR. VARUN SINGH – ICICI SECURITIES

Bajaj Electricals Limited
May 23, 2023

Moderator : Ladies and gentlemen good day and welcome to Bajaj Electricals Q4 FY23 Earnings Conference Call hosted by ICICI Securities .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varun Singh from ICICI Securities . Thank you and over to you.

Varun Singh: Thank you, good evening, everyone. On behalf of ICICI Securities , it's our absolute pleasure to host the management of Bajaj Electricals for this conference call. On this call, we are joined with Mr. Anuj Poddar – MD and CEO, and Mr. E.C. Prasad – CFO .

So, we request the management to kick start the presentation post which we can open the floor for Q &A. Thank you and over to you sir.

Anuj Poddar: Thank you Varun. Good evening, everyone. This is Anuj Poddar . Thank you for joining in for our call today. Hopefully you had a chance to go through our results as well as the investor deck that we have shared. I'll just keep my opening comments very brief.

As you know the market environment in the demand situation is fairly tough. In that situation I'm pleased that we've reported a good performance this quarter. If I talk first about our consumer products segment , we've demonstrated and delivered a growth in revenues of about 9% in this quarter. That is well ahead of industry and therefore obviously signals the market share gains that we have delivered. That is something consistently for the last 2 -3 years we've been focusing on increasing our overall growth in market share. We've done this without truly impacting or hurting our margins. Our margin profile remains intact on an absolute basis of profitability, and EBIT for the consumer business is up.

Coming to the EPC business, that's the other headline that I will talk about ; for all this while we've always been speaking about the turnaround going on in the EPC business. We've been seeing that for the past couple of years and many quarters. I'm happy that this year FY23 is the first year after about 3 years that we've delivered a positive or breakeven performance on the bottom line of EPC. Equally important is the trend that you see on the top line of EPC. We've now started in the last year accepting and bidding for new orders and starting to grow the revenue of EPC. You're seeing growth in the top line of EPC in Q 4 but also importantly you're seeing an order book expansion. Just to call out the numbers , our order book in March '22 exit was 800 crores , on December '22 exit was about 1, 200 crores. Our March '23 exit order book is 1, 600 crores. What we're signaling is that going forward in FY24 , we will see a healthy revenue growth

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now for the EPC business. But we're also confident about the composition of this order book that you will see profits kicking into the EPC business.

Last comment that I'll make is that we are on track on the demerger. We have our next hearing on the NCLT on 8th of June. Assuming that all goes well, that should be the final hearing and we should be on track for having demerger order as of 30th June and therefore being two separate companies from 1st of July..

With that I'll conclude my opening comments and hand it back to you Varun for the Q &A.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Achal Lohade from JM Financial.

Achal Lohade: My question was first in terms of the receivables ; can you guide us in terms of what is the receivable for the CP business including the

lighting or if you could call out the EPC receivables ?

On the headline number there is a substantial increase in the receivable days. If you could elaborate as to what has driven this and how do you see it going forward?

E.C. Prasad: Achal, this is EC Prasad . Our total receivables is at INR 1,565 crores as against INR 1,361 crores in the last March , there's been an increase of about 200 odd crores. Now if you see the breakup , the EPC business receivables has come down drastically from about 730 crores to 434 crores now. There has been an increase in the CP receivables from about 424 crores to 838 crores. This is predominantly because of two reasons. One is our business mix which used to be predominantly towards trade till about last year has changed. This time the mix has changed from 70 :30 to 65: 35 in favor of the alternate channel which includes your e-commerce, modern retail , etc. where instead of a channel financing we give an upfront credit of about 90 to 120 days. So that is one of the reasons . Apart from that the market conditions have been tough. Over and above the channel financing facility we also had to extend some more credit to our dealers and distributors and that is the reason there is an increase. But I think over the next couple of quarters this trend will start receding again.

Anuj Poddar: Achal , I will just add to that , first headline is all the receivables are healthy receivables. There

is no risk or no concern that we have in that. Number two, he said while it's a mix change in the channel profile, it is in the form of a liquidity support that we've given to our channels because in a low demand situation there are two or three levers that you have. One is a lever of price discounting. Second is liquidity support. We've kept that within certain norms and calibration that we've done. But ultimately, we're balancing two or three factors, our revenue growth, our market share, our pricing discounting schemes such that to protect our margins and finally liquidity support so that all three are ultimately optimized for us and we're comfortable with what we've done.

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Achal Lohade: Second question I had with respect to the growth, the market share gains, obviously we see that we have done a phenomenal growth in 3Q and 4Q as well. Can you help us understand what is the extent of market share gain in some of these large categories like fans and water heater and mixers? I think that would be very useful.

Anuj Poddar: So Achal there's no concrete third party industry aggregate data that is there. It is derived from simply the fact that our growth in revenue across most of these is higher than industry reported growth. We are drawing the same inference from that. That's point one. Point #2, I want to just step back from this Q 3 and Q 4 that you mentioned to. For the last 3 years that's what we've been signaling that we will keep driving industry beating growth. On a larger spectrum of 3 or 4 years you will see that we have done that. If not #1, at least in the top 2 as in our growth profile. #3 we're doing that on the back of product launches, portfolio expansion, premiumization and brand strengthening. To me those are the drivers. If you look at that also some examples that we've given in the investor deck of product launches, we did have some white spaces, within our product portfolio, which means plugging in for example in fans or 750W mixers, etc. We are plugging that in. That's a driver to some of these things. Specifically, if I were to call out without specific numbers, I think we've gained market share in coolers and in fans in particular and then to a lesser extent in some of the other longer tenure categories there.

Moderator: We have a next question from the line of Value Quest. Please announce your name and go ahead with your question.

An

Anirudh Aga: This is Anirudh from Value Quest. A couple of questions from my side. First on the lighting front, so I think consumer lighting obviously has been quite weak this quarter and we've been guiding that all the GTM changes will start playing out from Q 1. One, are we on track for that and a part from GTM do you think there are incrementally more things that need to be done particularly on product pricing consumer pull? You had alluded to some of that in the deck but if you can help us in terms of how you're thinking about consumer lighting.

Anuj Poddar: So, Anirudh, on lighting our consumer lighting has degrown this quarter, which has been compensated by growth in professional lighting. On cumulative basis it is flat to 1% growth. I think consumer lighting degrowth that we're seeing is more a function of market. We're seeing that across since Q 3 that there is a softness in there. It seems to be continuing into Q 1 also at a market environment perspective. To your question between GTM versus product, our product profile product launches is completely on track there. Again, we've given some examples in the current deck. GTM, I think is ongoing transitional and some of that is both internally as well as we need better market conditions for the distributors or the market or dealers etc. to start taking on additional business or putting their moneys onto that. I think that will also accelerate when the market accelerates for that. There's a little slowness on the GTM but on the actual product side, we're completely on track and actually ready with our entire portfolio.

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Anirudh Aga: On the consumer pull side do you think we need to make additional investments especially, to build out lighting given our market position right now?

Anuj Poddar: Yes. We've not invested in the last few quarters on any marketing or in media on grand scale for lighting, but we will be doing that in this fiscal.

Anirudh Aga: How do we think about margins on the lighting front going ahead assuming that B2B would remain stronger at least for the first half given the context right now and some of these additional investments how are you looking at lighting margins particularly playing out?

Anuj Poddar: Anirudh, I can only answer that from a medium to long term. Short term is always hard to call its functioning. I think on a medium to long term we are very confident about the margin expansion. Again, if you look at this year also, don't look at a quarter but if you look at annualized basis, I think we've grown our lighting margin by about 2 percentage points. On professional lighting directionally, we should top out at extremely high single digit. I don't know that's 8%-9% for margins in professional lighting. In consumer lighting, we should in the 2 or 3 years be

in the te ens.. How that plays out on a quarter -on-quarter basis is a function of market and also directionally as our GTM as well as product s pickup with portfolio mix changes. Directionally we're very clear in terms of exact timing . It's a function of many things.

Anirudh Aga: This is one more question from my side on the fan s category. How much gross margin impact do you think we would have had this quarter given the fact that we would not have passed on the entire B LDC led price increase or the s tar rating lead price increase so to say ? Do you now see an environment where slowly it would get passed on which even the market leader has been alluding to that over the next couple of quarters at least we should be able to pass on the e ntire cost increase?

Anuj Poddar: I've seen those comments , I only wish that the market leader does that sooner rather than later. We'll hold them accountable from the actual market action rather than the actual comments. I do think if they do that , we wil l not shy away from following through on that path

. I think it is

healthy for the industry and for the consumers to actually take those pricing calls rather than try and cut the cost of the product , etc. That said I think while we've been impacted by not being able to take the full price increase in Q 4, some of that we've offset in our case by a mix improving while we have not fully passed on the price increase but because a mix is healthier now our share of premium fa ns is healthier therefore somewhat, we've been able to offset that.

Anirudh Aga: But any broad answer in terms of how much higher the margin could potentially have been? Hypothetically if some of this impact had not coming in Q 4. I mean just trying to get a sense in terms of how much the premi umization strategy has come through in the margin ex of the pricing ?

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Anuj Poddar: For us Bajaj particularly ?

Anirudh Aga: Yes, c orrect.

Anuj Poddar: Again , very hard to call a number. I think there's so many factors that are at play that blend s all of these things in. I was just looking at our margins for consumer or FMEG business, that is our company minus the EPC , on an annualized basis our gross margin is up about 2 percentage point s which is a healthy increase in 1 year. Again , to my mind our own portfolio strategy etc . and premiumization is a bigger driver of some of these changes while the actual external market some of that is offset because of tactical price movements etc. in the marketplace. To us that is more important that inherently structurally are we strengthening that . Similarly, therefore on fans also we are almost at least 5% underpriced post our rating and that 5% is a significant pricing gap. If you take a 5% incremental , will that happen in one quarter , two quarters , three quarters? Will that all flow down to the bottom line that you have to call? But you have a room for anything between 3% to 5% price improvement and at least 3% coming down to the bottom line.

Moderator: We have a next question from the line of A akash Javeri from Perpetual Investment Advisors.

Aakash Javeri: My question is on what is the current consumer perception of 4 and 5 Star rated fans versus the lower Star rated fans?

Anuj Poddar: Did you say foreign 5 Star, 4 and 5 Star?

Aakash Javeri: 4 and 5 Star .

Anuj Poddar: It's very early stages , I think the consumer behaviour and the market practices will evolve over the next I would say 1 to 2 years , not immediately. Q4, I don't think consumers have really moved to Star rated because of the non -Star rated fans yet highly prevalent in the marketplace. Having said that we're seeing one divergence in fans compared to larger whit e goods where you see Star rating . If you look at larger white goods , AC, refrigerators , they seem to have converged around a 3 star. Maximum sales are happening around 3 S tar because people can optimize between price and star rating . In fans we're seeing the opposite behavior right now where actually they have a polarized behavior either a segment of consumers buying 1 Star fans or buying 5 Star, very little in the middle. But I think that's also a function of supply and product evolution. As more relevant products come into a 3 -4 Star category , we'll see that start to even out a little more. The other view I have is that 5 S tars rather than focus on Star there's an over focus on BLDC. I think ultimately the currency of buying and selling and consumer evaluation will move to purely Star rating not technology. Because ultimately technology is a means to that end , that's for us as industry to bother about , the consumer should be ca ring about Star rating. Why I'm Bajaj Electricals Limited
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saying that is because technology will continue to evolve. The Star rating is a currency that will remain.

Aakash Javeri: You said like our mix of premium fans has incr

eased. How do we define premium?

Anuj Poddar: Let me put it the other way. For us were largely known as a sub economy manufacturer. Almost 70, in FY22 74% of our sales is coming from sub economy. By that I mean approximately 1500 MOP. Now 74% is down to about 67%. That's a 7- percentage point s shift towards economy and premiums, so e verything other than sub economy. I think a 7- percentage point s shift in 1 year is fairly strong. But that trend should continue as strong or significantly over the next 2-3 years when we'll significantly see an increase in premium fan share for us.

Aakash Javeri: How much is BLDC as a percentage of our current overall fan portfolio? How do we expect it to move over the next 2-3 years?

Anuj Poddar: For us particularly right now that is extremely small because we've just launched BL DC fans this season. For the next couple of years, you'll see BLDC pick up, for us right now it's negligible.

Aakash Javeri: My last question would be that could you throw some color on the current channel inventory scenario like how is it currently and when we expect it to normalize?

Anuj Poddar: You're talking in the context of fans in particular.

Aakash Javeri: Yes, fans in particular.

Anuj Poddar: I think somewhere by end of Q 2 that should have normalized because 3 to 4 to 5 months is adequate for some of that to start normalizing. But i t's a linear line, it's not 0-1. So that is already starting to correct. B ut by the end of Q 2 you will pretty much have seen normalized channel inventory on fans. To the earlier point I just want to add to BLDC, while I said that right now it's negligible, our products are pretty much there. It's not that we are waiting to play the BLDC game, we are very much in the game, but I think that pickup will now start happening over the next couple of years.

Moderator: We have a question from the line of Manoj Gori from Equirus Securities.

Manoj Gori: My question would be on the appliances side. We have been taking a lot of efforts on appliances as well as on Morphy Richards. Can you please update what 's the current status, where are we and where we are heading probably FY24 and FY25?

Anuj Poddar: So, Manoj you are from ?

Manoj Gori: The Equirus S ecurities.

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Anuj Poddar: The appliances if you see we've had about a 16% growth in Q 4. That's a good performance. I think the key driver for us in this quarter has been coolers, also aided by the weather and heat that is there. That said we continue to grow our appliance across the other categories. Example we've given is of the 750W mixer grinder, Ninja Series that we mentioned in the investor deck that is doing well, similarly grills etc. Given that we're a very wide multi category appliance here. We are continued to drive that across various appliance categories. In terms of your reference to Morph y Richards I th ink it has been a wea k year and a wea k few quarters for Morph y Richards. But w e're in the process of completely revamping the Morphy Richards product portfolio. You should start seeing some action on that later half of this year where you'll see more tract ion and growth in Morph y Richards. Overall, directionally our work strategically on appliances is in line with the brand repositioning of built for life. We are upgrading our appliances, both in terms of quality and durability and making them more aspirational and premium. You're seeing that premiumization p layout across all the appliance categories not just fans.

Manoj Gori: In appliances, so obviously you rightly highlighted like in fans as you highlighted like 74% of sub economy contribution came down to roughly around 67%. How do you define the premiumization in appliances? Obviously, some of the recent launches where you have started launching three jar mixer grinders which I believe would be a premium prod

uct or probably a

750 W mixer grinder motors. So how do you see the overall mix changing over there? Probably how should we look at from next 2 to 3 years point of view as well ?

Anuj Poddar: So, given that there's so many categories and so many parameters theref ore there isn't a singular metric. To take the examples that you mentioned there I'll give you multiple examples. You mentioned three jars that's an example, 750 W is another example. In the case of irons, we are largely dry and we're coming with steam iro ns. In the case of coolers, we do not have the full range and we've got a wider range and more higher ASP products and so on and so forth. Water heaters, we're typically older generation water heaters. If you look at our various water h eaters, they're far more contemporary greater mix towards storage water heaters rather than just instant, more decorative or premium water heaters etc. S o and so forth across all the various categories we are upgrading. I f you look at gas burners from being a one or two burne r product to having three and four burner gas stoves etc. Every product category has various definitions of premiu mization. But direct ional ly that's what you're seeing across all. I will give one more example, from gas burners being s teel or metal ones to glass top gas burners. There are so many of these various factors or components or elements of premiumization but we're addressing all of them. Overall, fina lly comes down to quality, durability, design, styling and ultimately the

brand promise that we're delivering. I think all of this together is where we'll know we are confident that next 2-3 years both our ASPs, our market share and our margin profile will enhance because of all of these movements across all the categories.

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Manoj Gori: The last question if I may squeeze it. On the distribution side we're focusing on better extraction from the touch points because I think we are fairly covered in terms of touch points, at least in the smaller cities and towns. Probably we were sharpening our focus on better extraction into larger cities and towns. Any progress over there and probably how you would rate it probably in FY23 versus FY22 level?

Anuj Poddar: Clearly again if you see a growth in this quarter or this year, it is completely coming from extraction. We have not grown on the trade side retail base. So numerically that's kind of flat.

All the growth is coming from extraction, point one, point two, within that also our mix towards alternate or the newer channels is becoming healthier. Like we said this year also, I think Q4 numbers I remember is about 35% versus 30% in the past. Our online share has been growing faster. The one I'll call out right now is modern trade. I think modern trade has done exceptionally well for us this year. Modern trade I take as a good proxy for urban and more aspirational consumers. There our visibility, our shelf space, our number of SKUs and our value per chain has actually been going up very well. I think on all of these sounds we're moving well. That's moving in tandem with the new product launches and the brand investments.

Manoj Gori: We should continue to grow faster than the industry across categories.

Anuj Poddar: I would hope so and I would expect so.

Moderator: We have a next question from the line of Anirudh Joshi from ICICI Securities.

Anirudh Joshi: Two questions. One, we have seen there is some increase in the trade discounts. One obviously there was a muted demand and secondly there is correction input prices. To what extent the increase in trade discounts is there right now? How do you see the remaining in next two to three quarters and what is strategy of Bajaj to counter that? That is question number one. Secondly, we are seeing —this might be early feedback, but we are seeing —that

there are many consumer

complaints regarding the BLDC fans. So just like similar to the white goods or even other products like mobile etc. will there be any strategy to set up service centres and can that act as a differentiation? Also, what is the warranty period that Bajaj is offering on this product again as a strategy to differentiate? That's it from my side.

Anuj Poddar: So, the first part on trade discount you're correct. I think there's a fair amount of discounting right now in the marketplace. Most of that is or maybe driven not so much for the commodity but probably because of a weak demand and situation to actually protect sales etc. To me that's more tactical than strategic. I will tell you as a point of principle we are not big fans of discounting.

We are fans of rather have a higher preference towards preserving price hygiene. That said, like I gave you the example of fans etc., we have to be tactical, and we cannot afford to lose market share and therefore we will keep doing that more tactically speaking. To us the offset or compensation for that is while we discount at a product level or SKU level to be competitive to

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protect that SKU sales, at a portfolio level we are targeting ASP increase or realization increase.

That's a strategic response to tactical discounting. In terms of consumer complaints on BLDC, you're correct. Some of that is a mix of not necessarily the leading players always but sometimes Tier 2, Tier 3 players etc. Particularly in the case of BLDC because of the PCBs etc. because those have a differential life versus a physical part of the fan. I would not attach too much importance to that right now. I think over the medium term this is part of evolution of both the product and the consumer being willing to pay for that where you will start seeing that becoming better. I don't think that should not be a huge challenge in the long run. That said, that is why I earlier emphasized that I think as an industry, as a mature industry and as leading players our focus should not be on technology. Our focus should be on giving the consumer the right product and energy efficiency, which is Star rating. Technology has many pros and cons, including BLDC will have pros and cons. We will rather focus on how do we give them maximum stars and maximum energy efficiency. It's for us to manage the trade-off between a particular technology and servicing costs of that technology. Lastly to your question on, actually before that the question on service centres. I think Bajaj one of its competitive strengths is our extensive and best network of service centres. I don't think in the medium term for fans including BLDC that will be a competitive advantage versus some of the more nascent BLDC players. Your last question of product warranties. Typically, our warranty is like I said in the case of fans, not just BLDC, we're the first ones to come out with a 5-year warranty on the motor but the 2-year

warranty on other products or other components of the fans .

Moderator: We have a next question from the line of Rakesh Roy from Omkara Capital.

Rakesh Roy: My first question regarding , lastly you were saying regarding about the same store sales growth. Can you highlight this one ?

Anuj Poddar: Yes, Rakesh that was what I responded to one of the earlier questions also. Our actual distribution or reach is not expanded. That is now flat. All our sales growth is coming from SSSG . It's the same as extraction that I answered earlier. We are focusing on actually driving same store sales growth. That's where I think greater growth will come from in the future.

Rakesh Roy: Can we go from this year this will implement or we will get data for SS SG?

Anuj Poddar: It's not external data that we publish. That's an internal metric that we have. That's more strategic in terms of ext

raction being a greater growth driver. Quite simply mathematically put I'm telling you my distribution network is flat. That means all my growth this year is really coming out of SSSG or extraction. When I'm saying distribution network flat , not growing . That's not because we don't give importance to it. But at the number that we are versus competition , our marginal growth and value of that growth will be limited. Therefore , it's more important for us to focus next action . That's on a 1-to-3-year perspective. If you look at a 5 –7-year perspective, you will see distribution or network growth also.

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Rakesh Roy: Next question regarding can you share the full year ECD number like how much is the appliance, fan and lighting or Morphy Richards number for full year FY23?

Anuj Poddar: We don't have that ready handy right now Rakesh . We have to get back to you.

Moderator: We have our next question from the line of Arun Agarwal from Kotak Securities.

Arun Agarwal: My first question is on the other expenses. So, we have seen an increase in other expenses, even last quarter we talked about the retailer bonding program, loyalty program and the increase in logistics cost. So, would you just share, throw some light on how these costs are evolved during this during the quarter?

Anuj Poddar: I had call out two or three items. Logistics cost is up that is above normal. This is part of our transition from Mahindra Logistics back to in-house. To be honest I don't think the agenda that we had on logistics cost optimization over the last 2-3 years was paid out the way we anticipated it. First, I don't think the outsourcing was delivered at the strategic goals that we had for it, so we do not realize that benefitting and when a good process of pulling it back, again right now we are not optimal to my mind. In each of these transitions comes the cost, there is a fair amount of one-time cost in logistics . I would say that we have at least 2 to 3 percentage points optimization that can come from logistics, maybe it will take another 2 years to realize that. But we are working on that, we will get to that at some point of time, we will keep working on that. So that is partly baked into Q4 because of this transition we had some duplicate cost in Q4. To the RBP while that's numerically appearing in other expenses, that gets netted off somewhere in the revenue and other lines where the discounting happens. It's a more function of RBP was a primary driver of discounting or giving value back to retailers, we have reduced the dependence on RBP and in turn we have certain other schemes that will play out in the marketplace. I don't think so much while optically it looks like an increase in other expenses, that's more a reclassification because rather than RBP, our discounting is sitting elsewhere in the P&L etc. looking higher over years. The other element , there are other smaller elements in the other expenses, there are certain warranty cost, warranty program that we got that sips in there, there is R&D, step up of investments that we have, all of the R&D increase investments also sitting in the other expenses, the combination of all of these line items.

Arun Agarwal: Is it possible to quantify the impact of that one-time logistics you talked about?

Anuj Poddar: Like I gave guidance you are sitting with about 2 or 3 percentage point improvement that should happen over the next 2 years on an incremental basis during this period of time.

Arun Agarwal: On the ad spends was it in line with what we have been doing or it was or slightly on the higher side?

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Anuj Poddar: So, ad spends between last year quarters Q4 to this Q4 was about flat, it's about 2.5%.

Arun Agarwal: The other question I had is even on your depreciation seems to have increased th

is quarter as

compared to the run rate that we have been seeing over the past few quarters so anything one off in that ?

E. C. Prasad: So, till about last year, as you are aware that logistics was outsourced. So now we have taken it in-house so all the godowns that we take on rentals, we have to account for as a right to use asset

and for which the depreciation has to be provided. So that is the reason of the depreciation going up.

Arun Agarwal: Also, on your CP business margins so it has been a slightly bit on the volatile inside and also lower than the peak that we have seen in the past while we understand that the demand is weak but directionally if you could just help us, guide how do you see your CP business, consumer product business margins over the next two-three quarters?

Anuj Poddar: Again, next two-three quarters is hard to call out because that's two -three quarters more dictated by market and pricing and discounting. Unless we see a buoyancy in demand margins will stay under pressure but that said only the long-term solution to margins is more strategic in terms of brand upliftment, portfolio mix, premiumization etc. that will be the real counter any short-term margin pressures from external environment.

Moderator: We have our next question from the line of Achal Lohade from JM Financial.

Achal Lohade: I wanted to check if you adjust for these loyalty program where our points reversal or these logistics cost etc., what is the adjusted margin for the fourth quarter and for the full year, if you can help us with that?

Anuj Poddar: Achal little tough again to quantify or give a specific number for me publicly etc. We have an internal sense but let me give you a more directional answer to that. There are many of these things play out, playing out some are one-time in nature, some are more a function of external market. Had it not been for this commodity inflation over the last 1-year, had it not been for this demand slow down and therefore this BLD C or it is rather BE transition, adding to cost which we cannot pass on, had it not been for our logistics seeing that has not gone for plan, we would have been sitting close to 9% to 10% right now. So, what I'm saying is now how do you say which element is contributing how much, none of it can all be perfect in a situation, so now you take anything between none of these issues happening and asking at 10% to versus some of this happening, some of this being one-time, some not being the number in between. So that's the best way I can put it out to you, but we are sitting anywhere between a 3% to 4% margin unlocking. On a like-to-like as is basis plus over a medium term as you know our brand moves in to different year, our products move in different years. On top of that you will have more.

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When will this play out, how will each of these factors play out? Somewhere in the next 3 to 4 years I am very confident that it will all accumulate together and play out.

Achal Lohade: Just to clarify this is the CP margins you are talking about?

Anuj Poddar: Only CP. Lighting will have its own trajectory and EPC of course has I have spoken about.

Achal Lohade: Next question I had, if we see the power distribution, I see that there is a massive order booking actually QOQ increase. Can you help us understand because if I recall right the problems what we had faced was largely in the power distribution subsegment? So, can you help us understand that?

Anuj Poddar: I guess the headline is these are good orders these will make money. First be very confident and clear about that. Number two when we had problems in PD that was particularly rural electrification projects. These are RDSS projects, this is a better scheme better nature projects. Number three, our problems were partly of our own making. When I say our own making, we had bitten off far more

than we can chew. We did not have the capacity to take on that size and quantum of business. about 5,000 crores above the project. These are far more calibrated. Number four, our project management execution skills today are much better than demonstrated in all the projects we have executed over the last several quarters. If anything, all the negative power distribution projects actually have been taken to closure and execution and money realized over the last 2-3 years. That if anything is the greatest confidence that our ability to execute them and execute them efficiently is there right now. Finally, to these specific projects we've done very detailed surveys, technical evaluations, contingency planning, numerical bidding strategy, commercial costing and upfront negotiation on the supplies etc. on these. So, the way these have been approached in every which way or manner is completely different from past issues. Again, to re-summarize, the nature of these projects within PD is very different from erstwhile projects. The quantum of this is far more manageable, the bidding, planning, competition is far more robust, and the execution capabilities are fully in place. We are very confident that these will actually generate not just profits in FY24 but even the payment cycles, working capital etc. has been optimized to actually make that very healthy.

Achal Lohade: Just one more thing. With respect to capital employed, is it possible to call out what is the EPC capital employed out of the total capital employed, as it get demerged?

E. C. Prasad: EPC capital employed today is 218 crores.

Achal Lohade: That's on a reported basis but as we see it getting demerged, what would that number be given the unallocable will also get allocated to that, right?

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E. C. Prasad: No, as on the appointed date the capital employed was 550 crores. So, this was what was reported.

Achal Lohade: Rest everything will come in the existing company, is that right?

E. C. Prasad: Yes, that's right. So, what the difference between the current capital employed and the capital employed as on that appointed date, will go to them as cash.

Achal Lohade: Just a clarification on the other income of 34 crores, is there any one off out there?

E. C. Prasad: So, this is predominantly we have taken insurance on the warranties that we provide to our customers, this manufacturing warranties to which is treated as an expense in the expense side and the claims that we get from the insurance companies accounted as other income, which is about 11 crores there. So, this will be in our routine nature of income that we will be generating but will be set off against the premium that we pay. We have generated treasury income of close to 5 crores and there are certain write-backs of vendors. This is about the 32 odd crores that we are talking.

Achal Lohade: You are saying 15- 16 crores is write back of the vendors?

E. C. Prasad: 12 odd crores.

Achal Lohade: If you could just give a statistic with respect to FY23 versus FY22 in terms of brand spend, advertising ASP basically?

Anuj Poddar: Q4 to Q4 is about 2.5%. Let me check full year numbers.

Achal Lohade: Full year, yes.

Anuj Poddar: Let us come back to you on that. I don't remember that by heart. I will tell you the full year numbers also.

Moderator: We have our next question from the line of Manoj Gori from Equirus Securities.

Manoj Gori: The second half so here I am referring on the fans as a category. The second half was very interesting. Probably for you as a company, when we look at your 3Q was extremely strong.

Still, you raise roughly around 2% odd growth during 4Q. How do you rate it and probably also you can say, have you seen any incremental comfort by trade partners for Bajaj as a brand and probably have we started seeing any structural market share gains so that would

be helpful?

Anuj Poddar: How do we rate our fans it is like that rating or judgment to yourself. We can only report our performance, but the numbers show that nearly at least market share gains are happening. As

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long as we are doing that, we are happy about that. In terms of just how are we seeing acceptance of past etc., it's little early days but anecdotally speaking I can tell you that that perception is starting to change. I won't call out names of particular stores or particular retailers or channels in a visit over the last 2-3 weeks across North and South and we're at least starting to see openness. I'm talking of metro leading counter that would not stalk our brands in the past, now starting to sometimes also be caught by surprise. Oh, I did not know you started doing this. For example, in Bajaj doing a ABS blade fan, if you look at our ABS blade fan, if you look at the quality finish, paint, sheen, etc. on that I would say it's not equal but better than most of our peers etc. So, as you start making those anecdotal or perception changes, the numbers will follow, we are very confident about that.

Manoj Gori: Also, your focus has been across categories in appliances or fans, or lighting probably which category would excite you more from 3 to 5-year horizon and probably any ambitious goal or aspirational targets that you have set for that category?

Anuj Poddar: You're asking us to choose between all our children. They're all equally precious to us but that said the delta for us in fans is largest simply because of the market size and given that we were a lagger which is not to say appliances or kitchen is not important to us but the delta for us over there may not be as much because we have been in a leadership position. Lighting is the other part where consumer lighting should be a strong delta for us. Again, given a traditional weakness in that at a product level also, catch up as that starts happening you should see stronger growth for us. The first one fans and consumer lighting over appliances.

Manoj Gori: Lastly how do you see sorry I would ask you to repeat it but probably how do you see the underlying demand environment and any signs you probably see like things taking some turn or probably you continue to see that demand weakness?

Anuj Poddar: To be honest we are continuing to see demand weakness. I have yet to see tailwinds on demand etc. so we are having to fight for our sales and revenue. I'm reading some commentary including FMCG the essentials, etc., and starting to see green shoots. We have yet to see it in our business or sector.

Just before we hang up, I want to answer the previous participant's question on the annualized brand spend so FY22 was 3%, FY23 is 3.2%.

Moderator: We have our next question from the line of Utkarsh Somaiya, an individual investor.

Utkarsh Somaiya: Can you please give me a breakup of the following between the two segments EPC and consumer products? The breakup of the current cash on your book how much will go to the EPC business?

Anuj Poddar: Utkarsh can you repeat, not very clear, breakup of the cash?

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Utkarsh Somaiya: Right and a few more line items? The breakup of the cash between the two segments consumer product and EPC?

E. C. Prasad: We have a cash and cash equivalent and investments of about 412 odd crores of which 200 crores pertains to the EPC which I explained a little bit earlier. The difference between the capital employed as on the appointed date and the effective date will flow to them and the balance will remain with the CP. So, 200 crores approximately go out to EPC out of this.

Utkarsh Somaiya: Can you also give me a breakup of the operating cash flow?

Anuj Poddar: Breakup of the operating cash flow?

Utkarsh Somaiya: How much cash flow is generated by each business?

Is it possible to share that?

E. C. Prasad: No actually we don't because this is actually done at a corporate level, so we don't track the operating cash flow at business level.

Utkarsh Somaiya: Can you give me a flavor like qualitative does the EPC business generate cash?

E. C. Prasad: It does, so most of you see, if you actually look at the capital employed the reduction has actually come from the EPC business because of the collections that they have been making from the old outstanding. There has been a significant generation from the EPC business. The 200 crores that I mentioned is actually the generation which has been done by the EPC business between 1st

April '22 and now.

Utkarsh Somaiya: You said the 200 crores cash you mentioned has all been generated in the current year?

E. C. Prasad: Yes, that's right.

Utkarsh Somaiya: From the 450 crores operating cash flow consolidated, is it fair to assume that one is generated by EPC?

E. C. Prasad: Yes, that's right.

Utkarsh Somaiya: And I don't know if it's possible but is it possible to give me a break-up of the depreciation as well?

E. C. Prasad: Break up of depreciation?

Utkarsh Somaiya: Yes, the depreciation for the year was 81 crores?

E. C. Prasad: We don't bifurcate depreciation.

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Utkarsh Somaiya: And what is the working capital days of each business?

E. C. Prasad: I don't have the data right now so probably we'll get back.

Utkarsh Somaiya: I wanted the ROC of each business if possible or the capital employed if you can give me?

E. C. Prasad: Capital employed of?

Utkarsh Somaiya: Of both the businesses?

E. C. Prasad: The total capital employed is 1,907 crores of which CP consumer business 700 crores, lighting is 111 crores, EPC is 218 crores. There is an unallocable of 877 crores which is predominantly the assets, goodwill all of that stuff.

Utkarsh Somaiya: Sorry I didn't get the unallocable part, can you please?

E. C. Prasad: Unallocable is 877 crores. Majorly cash and land and goodwill.

Utkarsh Somaiya: So which business does it belong to?

Anuj Poddar: Utkarsh, your voice is extremely feeble.

Utkarsh Somaiya: I just wanted to understand the unallocable which is the cash, goodwill and land which business does that belong to, the 870 crores?

E. C. Prasad: I didn't get that Utkarsh.

Utkarsh Somaiya: The unallocated capital employed which is.....

E. C. Prasad: So, land cannot be allocated to any business so it's actually a common corporate asset actually that's why it's one of the unallocable.

Utkarsh Somaiya: When you demerge the company where will it appear?

E. C. Prasad: When it gets demerged it will stay with the consumer business.

Utkarsh Somaiya: I can fairly assume this entire 877 is mostly I believe the consumer business capital employed?

E. C. Prasad: Except for the cash.

Utkarsh Somaiya: Except for the 200 crores cash?

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E. C. Prasad: Yes.

Moderator: We have a question from the line of Chintan Shah from JM Financial (Family Office).

Chintan Shah: So, I have two questions. One is you made multiple strategies so just wanted to understand how are we positioning a brand Bajaj versus the peers? Is it value or in terms of product differentiation etc. so highlight more on that? Secondly in continuation with that so once current transformation journey, so we had a lot of wide spaces for this in terms of product portfolio etc. so once that...

Anuj Poddar: I'm sorry to interrupt your voice is not very clear. I got that how are we positioning Bajaj? I did not get the follow on, and I can't get.

Chintan Shah: In continuation with that so we are a transformation journey so right now we had wide spaces, etc. So once that is sort of done so how are we looking at continue to gain market share and high - end margins versus peers

? So, what is the strategy on that if you can please elaborate?

Anuj Poddar: So, on the first part if I got it right, I got part of it. How are we positioning Bajaj? Like I mentioned firstly, as a company we are moving to a house of brands, a multi-brand company and therefore not a dependence on a single brand. Within that Bajaj of course is our flagship leading brand. We are positioning that around the tagline of Built For Life like I mentioned which is really around durability or sturdiness, but it will remain a multi category brand and will operate at multiple price points. It's not at the price points, at least from our traditional anchor point, which is a very low value product, it will start moving more northwards without vacating the economy of low value segment, at least at a pricing segment basis etc. In terms of the transition and therefore long term how do we intend to grow market share? This is really an extension of what I was saying. Strategically as you become a multi brand company, our product range becomes, our portfolio becomes more fuller. You plug in all the wide spaces that you have in our product portfolios and then each of those product segments and sub-segments should have differentiating characteristics that to our viewpoint should have some form of innovation or differentiation that provides a superior proposition for consumers. That as long as you start tipping over their purchase or brand salience in your favor, I think a 3%- 4% delta in your favor as this exponential impact of that is far more than we actually end up imagining. If we keep doing that consistently that's really what we are focusing on. That we'll keep doing that and that's not a transformation journey sometimes has start and finish but that creating greater consumer proposition, innovation than investment is almost a continuous recipe, we keep doing that. That's how we see ourselves driving long-term growth. Hopefully I answered your question though I could not hear it very clearly.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you sir.

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Anuj Poddar: Thank you very much. So, thank you everyone once again for joining us. As I said, this is a tough economic situation. It's been so for the last few quarters we're not out of that and continue to see headwinds around us right now. Given all of that I would only say that we're very pleased with our performance in Q4. More importantly we are not focused on quarterly performance.

What's important to us is strategically are we moving in the right direction, doing everything that we're saying on brand, on product, on general discipline, on approach to what we're doing.

We are holding true to all of those facets. As long as we do that, we are comfortable and happy about that. Thank you very much.

Moderator: On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

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August 16 , 202 3

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the 'Transcript of the Q 1FY24 Earnings Conference Call ' of Bajaj Electricals Limited ("Company")

Further to our letters dated August 2, 202 3 and August 10, 202 3, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q1FY24 Earnings Conference Call (i.e., Post Earnings/Quarterly Call), organized by Ambit Capital Private Limited on Thursday, August 10, 2023, at 5:30 P.M. (IST) , where in, inter -alia, the unaudited financial results of the Company for the first quarter ended June 30, 202 3 were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Company Secretary and Chief Compliance Officer

Encl.: As above.

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"Bajaj Electricals Limited Q1 FY'24 Earnings
Conference Call"

August 10, 2023

MANAGEMENT : MR. ANUJ PODDAR – MANAGING DIRECTOR & CEO
MR. E.C. PRASAD – CHIEF FINANCIAL OFFICER

MODERATOR : MR. DHRUV JAIN – AMBIT CAPITAL .

Bajaj Electricals Limited
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Moderator: Ladies and gentlemen, good day and welcome to Bajaj Electricals Limited Q1 FY'24 Earnings Call hosted by Ambit Capital.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhruv Jain from Ambit Capital . Thank you and over to you sir.

Dhruv Jain: Thank you. Hello, everyone welcome to Bajaj Electricals 1QFY24 Earnings Call . From the Management side today , we have with us Mr. Anuj Poddar – Managing Director and CEO, and Mr. E.C. Prasad – Chief Financial Officer of the Company . Thank you and over to you sir.

Anuj Poddar: Thank you , Dhruv . Good evening everyone. Thank you for joining our investor call today. Let me put my opening comments :

We have had a soft quarter performance . This is largely due to a soft and muted discretionary consumption demand environment in the economy, coupled with a weak summer due to unseasonal rains. If I split up our results a little more for you, particularly we talk about consumer products, appliances, as well as Morphy Richards business actually has seen a growth , but partly offset by de-growth in the fans business because of the unseasonal rains in the summer period. As always, we have continued and try to balance out and optimize between our top line and margins. We have strived to protect our margins despite the various pricing and discounting actions prevalent in the marketplace. And while maintaining a slightly flattish revenue trend. We are closely tracking all of the sector performance and competition in the market. We believe that our performance is well in line with that , we have maintained the market shares and strive to maintain our balance of interest in that context. At the same time, despite there being a soft environment, we've not shied away from a strategic focus on product launches as well as brands strengthening , revolution of each of our four brands that we now operate.

Finally, I want to highlight that margins are a reflection, not of the inherent weakness that we have, but of operating leverage. If I may share, we continue to build for growth, we are upping and have increased our costs in aspects such as our R&D, as well as the setup of new consumer lighting verticals since the last three quarters. And you are also seeing some impact of the demerger cost getting built in at a corporate overall level that will stay for two to three quarters before the growth kicks in . All of these costs designed to deliver growth , in the short term , in a Bajaj Electricals Limited

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weak demand environment these costs do come to bite us. But we are consciously not choosing to descale or roll back any of these because we think these are important for us from a medium to long term perspective . From an internal perspective we have done the math on this very clearly from idle budget perspective and we had let's say about another 100 crores of revenue, lot of that gross margin on that revenue would have flowed straight down to the bottom line. And therefore, we would have seen a very different margin profile. So, the point I'm really highlighting there is that what you're seeing is really a trend of external environment. The internal metrics as we track them are fairly healthy with the visible and conscious of that. Last one point , I'll bring out logistics since that is something we spoken last time to , that transition continues to happen we have a roadmap on bringing down the logistics costs, we will see visible results of that in the P & L from Q3 onwards, and you will

see improved benefits of the logistics cost optimization.

So, with that, I'll hand it back to the moderator . Thank you very much.

Moderator: Thank you. Ladies and gentlemen we will now begin the question-and-answer session. First question is from the line of Anirudh Agarwal from Valuequest Investment Advisors. Please go ahead.

Anirudh Agarwal: A few questions from my side. Sir first one on the lighting business if you could share the split between professional and consumer lighting and how both of those businesses had done , so consumer we know that there was some softness expected but how is the professional of the

business done. The second question related to that on the consumer front was , what are some of the lead metrics that you are tracking. So, obviously the top line numbers continue to remain muted. But in terms of the GTM revamp the number of dealers , distributors appointed if you could share some outlook on that or what are some of the other metrics that you track that tell us that in the next couple of quarters, things will turn around on consumer lighting as well?

Anuj Poddar: Anirudh thank you very much, firstly the professional and consumer lighting . Consumer lighting has seen a soft demand environment. So, there is de-growth in consumer lighting. On the professional lighting, we had a high base effect due to E ESL orders last year in Q1, if you take out the E ESL, professional lighting is a flat trend , therefore cumulatively you are seeing a negative growth or de -growth on lighting, but lead to high base and professional on EESL, otherwise it is flat, and it is negative on consumer. Having said that, when I 'm saying high base for Q1, we are confident that Q2 will see a growth in the lighting business. Coming to your consumer products side, there are various metrics that we track , couple of them that I will call out for you , from a market perspective our market shares looking at various categories we do continue to grow that , we are growing that in the appliances business, Morphy Richards which had been soft has come back. And fans also we are growing our market share though we had a de-growth in this quarter in particular . Just one additional point I will make in fans is that

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actually , looking at fans with a slightly larger arc, because you had the star rating regime ticking on 1st January. So, there is a lot of upheaval in that category from January till now. So, if you look at the six-month basis for that category, that 's a slightly more correct way to look at it. And we're seeing those trends and the trends are positive. One last metric in that because we 've been asked in the past, and we 've been sharing . Our premiumization journey and portfolio mix continues to be healthy across product categories in fans I will call out data, last time we had shared that, that our sub economy fans it used to be +80% a couple of years ago, in Q4 was about 67% of our total product mix , in Q1 now that is down to about 58% , which is showing a healthier mix on the economy and premium segment picking up for us.

Anirudh Agarwal: Right . And on the consumer lighting business if you could share how we are based in terms of the entire revamp now and are some of the lead indicators at least turning green or are we still a couple of quarters away from ?

Anuj Poddar: A couple of quarters away , I have split that into three things, our products, our distribution, and then the revenue. Our product portfolio is almost fully in place so we have made huge progress and even in this quarter we 've shown slides o f the products that we rolled out. So, there we are on par with the leaders, which is not the case that used to be in the past . On the distribution of go to market side one is internally our team is fully in place. On the distributor front, we 've put that in place but ther

e, there is weakness because of the market weakness so the distributors that we put in place have quite frankly not fully employed the best efforts in the marketplace, including feet on the street. So, they need to see a momentum uptick in the demand for them to start investing in that more fully to get ROI on the investments. So, we believe as the demand cycle kicks in in the consumer lighting, with the product portfolio ready , our team in place and the distributor is appointed the last leg which is of them starting to do the push in the market will see an uptick once we have a bit of a tailwind , you should see that . You will see some growth for us in Q2 that's more internal base, but you will see overall market growth from Q3.

Anirudh Agarwal: Got it. Final question from my side on the margin front . So, if you have any estimate in terms of the GM hit that we had because of not being able to take the price hike in fans?

Anuj Poddar: No, so we don't put out the GM , etc., at a category level. I will share that in the overall level using GM expansion for about sub 1%. But at a contribution level, it 's about 2.4% overall gross margin expansion that we 've had in our business in Q1. And that goes back to my earlier comment , had the operating leverage not been there that would have also been visible in the EBIT margins.

Moderator: Thank you. Next question is from the line of Renu Baid from IIFL Securities . Please go ahead .

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Renu Baid: First question is , the consumer business , how do we look at the overall margin trajectory improving once demand stabilizes or reverts from third quarter and in your view, how far are we now from our targeted levels of (+10%) or double -digit EBIT margins?

Anuj Poddar: So, Renu , thank you very much. And I know that 's the concern, that 's why I brought out that in my opening comments . The internal metrics are healthy, to my mind this is purely a question of operating leverage or de-leverage . As that kicks in , the demand kicks in, we are very confident it will see a sharp uptick in margins. So, that's my answer to you on both o f these aspects that

you asked .

Renu Baid: Sure. Secondly, in terms of the new BEE rated fans, compared to the current pricing and the costing, what kind of under recovery is still continue in this segment and how are we looking at the overall , the entire revamp of the positioning that we had done in the last two to three quarters , how is that resulting in terms of growth for us across segments and categories?

Anuj Poddar: So, on the fans, there is yet between 3% to 5% under recovery a lot of that is led by competitive forces , we've always maintained that we're happy not to be drivers or leaders in price erosion unfortunately, some of competition is doing that. It would be healthier if we were all able to pass on these cost increases to the consumers, maybe as the tailwind kicks in you will see that happen. We will not be laggards as and when the market forces allowed us to. On the overall, the brand repositioning , etc., while that 's not visible in numbers right now, we are doing brand track study, these are category -by-category. Just yesterday, I've seen another set of brand track study , and that is showing very clear metrics in the brand track studies for us. We have visibility on that front.

Renu Baid: Any updates on Nirlep that you can share in terms of how are we going ahead with respect to the distribution reach and growth in the portfolio?

Anuj Poddar: Yes, so Nirlep you will see by first half of September, re-launch of Nirlep everything is ready, we've done a trade announcement, two weeks ago . The first half of September, you will see a consumer communication on Nirlep, with the new positioning and product range also.

Renu Baid: And on the distribution side, your thing will have to invest materially

or they are reasonably

covered on the distribution doing for Nirlep?

Anuj Poddar: So, actually distribution has been in place for a while now. So, that was being waiting for a launch from our end, we signed that so that pre festive we are ready to launch so that in the festive period we get the benefit of upside of Nirlep also.

Renu Baid: Sure. And lastly related to the EPC business portfolio. Quickly in terms of what kind of timeline s can we look in terms of the listing of the portfolio and on de-merger how do we look at the

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balance sheet of the EPC business at the onset for this Company getting listed and starting afresh?

Anuj Poddar: So, firstly, in terms of timeline of de-merger Renu , I would just say we're the cusp of that, like we've shared all the statutory authority approvals are in place , there is last leg of documentation process, transition compliance, including with the clients and contractual, transitions in place right now. While I will not announce the public timeline, it should happen fairly soon from now.

Post, the demerger, where obviously listing will follow in course, whatever the statutory timelines on that between 30 to 60 days, I think it's 30 days . On the balance sheet, I'll bring in our CFO he is going to talk .

E.C. Prasad: So, Renu whenever this happens, this will happen with retrospective effect because our appointed date is 1st April 22 as on which date the capital employed for the business was around 550 crores . So, what has happened is , the difference between the capital employed as of that date and the date on which we make it effective will go to them as cash. So, the capital employed will remain as 550 crores which moves to them.

Moderator: Thank you. Next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Just a couple of questions. One you said discounting by competition, can you help us understand is it far more pronounced in a particular category or particular geography or combination of that?

Anuj Poddar: So, one is a combination of everything , it is happening across in the soft demand environment everybody is playing that differently, but there is a fair amount of discounting schemes or various forms of not taking price hikes , etc., that most competition is doing and slightly more pronounced in fans because , even if it 's not discounting the costs have gone up so price hikes not coming in. And therefore, on a net basis that amounts to a greater level of discounting but that across the board otherwise .

Achal Lohade: Anything specific in kitchen appliances as well?

Anuj Poddar: Kitchen also but I would say if you asked me relatively fans has a greater impact which was a lesser so, but it was there in kitchen also .

Achal Lohade: Understood. Secondly, with respect to how the demand environment has been in June the exit month of the quarter as well as July , are you seeing any signs of pickup or things remain because as we are getting into the festive period now ?

Anuj Poddar: So, if we look at Q1 April, May, June, clearly April and May were particularly extremely weak , June was definitely much better than April and May. So, there was a growth phase in that month .

Again , in June, what we've seen, and let's say fans in particular also , tertiary demand has really picked up , for coolers also we saw pickup in tertiary demand in May and June. So, that's a

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positive sign, some of that did not translate to primary or secondary demand, because at that point people are not stocking up. But even if a tertiary demand has happened, I will be more happier for that to have happened because it sets us well for the following seasons and with a positive sign for that to catch up. I'll hold off my comments right now in July and for Q2,

let

that come in. But we are far more positive on Q2 than Q1.

Achal Lohade: Understood. And sorry, I'm hopping on the margin front let's assume like you said in the second half things normalized in terms of demand environment. How do we look at the margin trajectory, how soon can we expect double digit margins given the various measures you are undertaking and also at the same time the investments?

Anuj Poddar: So, Achal, I'll never put a timeline but let me tell you, a second half like you said if demand picks up, we've done our math, the operating leverage will kick in, it would have happened even in these months that we hit slightly higher numbers we've got that one there. Like I said, our cost structure and our built in or baked in for higher growth in the future, and that we're not pulling in. So, therefore it has to come in through greater demand in revenue. Lastly, the one big lever that we see kicking in and Q3 is logistics. We are yet hampered with some of the transitionary costs that are there and that will, we map that out month-on-month, so you will see that kicking in from October. So, given that you will see margin expansion on Q3, on double-digit, while will not give a projection it will not happen this year but assume some point next year onwards you should start getting closer to that destination.

Achal Lohade: Understood. Would you be able to quantify what is the fixed cost here which we are talking about the operating leverage what is the extent of fixed cost element in our cost excluding raw material. How much is variable and how much is fixed?

Anuj Poddar: So, more than quantify, I will tell you that the components of that, like I said if you look at overall R&D cost, if you look at the overall cost of a consumer lighting division that we set up for which we have not got the upside now. And then overall establishment cost including, okay my CFO is telling 450 crore, I quite frankly don't have math's so I will have to reverse do the math on what we're seeing here. But these are drives, and then production, promotional cost, etc. We are creating four brands, all of those are coming in as a cost. So, these we don't want to step back on right now. And the last bit is a digital and transmission technology costs. Those are investments that are going in, we have a digital transmission roadmap that will end by October 24, OND 24th. So, those are also cost that are getting built in right now.

Achal Lohade: Understood. And just one more question, if I may with respect to the refreshed range across categories, is it possible to get a number as to how much is that contribution what SKUs you have launched in last say two years, what is the contribution now and how do we see that trajectory moving going forward. Given the step up in terms of R&D and the A & P you are talking about?

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Anuj Poddar: So, number of SKUs for this quarter we put in this quarterly deck, we've done that every quarter.

So, I don't remember the full number for FY 23, if I remember correct CP was about 160 SKUs and lighting, I don't remember offhand, but could be 500 or so and that range would be. A two-year number I'll have to see, but the year prior also similar slightly higher for CP, if I remember correctly exactly a two-year number. In terms of contribution if your question is NPD contribution to total revenues. While we don't publish that, internally we do track that three, four years ago that used to be in single digits. It is well above 20% right now, in NPD contribution.

Moderator: Thank you. Next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: So, it's related to the fan and where you had mentioned that and also in the PPT it's around 8.5% of a de-growth in the value terms and similarly, also you had mentio

ned that your premium fan

contribution has also increased. So, it's fair to assume that's the volume de-growth is in the double digits kind of?

Anuj Poddar: I haven't done the math, but yes, it should in a very early double digits.

Praveen Sahay: Okay. And also, if you can talk on, because you are one of the largest players in the fan segment, and that too in the economic side of a business. So, is there any change in the market scenario on that front as well?

Anuj Poddar: For us, you mean obviously?

Praveen Sahay: So, as the volume de-growth is in the double-digit range so is that a competition is a?

Anuj Poddar: So, that's why, I did mention in the opening comments, one of the other answer, we are growing market share, may not beyond Q1 in particular because everybody has since the January star

rating regime, there's a lot of disruption in the sense, market overall between the primary players, the distribution and retail network, etc., and how stalking is happening of everybody's portfolios. So, if you look at the six months, we've looked at our six months trend from Jan to now, we have only gained share that is two of last year and before that also. So, what I'm trying to say is, post the transition to start rating regime also we've looked at, share has continued to grow.

Praveen Sahay: Okay. And the next question is, if you can give that contribution or in the consumer product segment for appliances, fans and Morphy Richards?

Anuj Poddar: So, we don't break up contribution by these categories, we don't share that.

Moderator: Thank you. Next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

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Aniruddha Joshi: Sir two things, one can you share the upside about Nex brand and what are the products that we have introduced, the categories that we have introduced. How premium is the price point compared to our existing range of Bajaj. And second thing is now, Nirlep that we are launching, so post Nirlep what will be the positioning will it be a premium end of the market or low end of the market also, at some point of time it used to be a pretty strong brand in western India. So, I'm assuming it might have lost some brand appeal since there were almost no sales. So, how do we plan to rejuvenate the brand and now since we will be investing in two categories, Nex and Nirlep so do you see that taking additional ad spend and initial launch expenses and impacting the margins or so. That's it from my end.

Anuj Poddar: So, let me answer all your questions. What is Nex is a soft launch right now it's time to actually grow and be more push launch by next summer. It is largely fans category that we've launched or not largely actually entirely focused on the fans category, we've launched about, eight to 10 SKUs in that category. The price range for that starts at about 2500 and goes up to about 7500 at an MOP level. And therefore, if you see versus Bajaj, Bajaj sweet spot mostly was at 1300 kind of a range, and Bajaj did have and now does have a broader range that also goes up, that goes up into 3500, 4000. So, the next clearly starts at the top end of Bajaj it goes much higher. In terms of Nirlep positioning, tagline is "Everyday Health". So, positioning is going to be around health and nutrition. All our brands, we believe the positioning has never had a price point. So, premium economy is not the positioning, that can be a price offering of different products. The positioning of a brand is on a proposition so, Bajaj is "Built for Life", Nex is on "Feel the Future", and for Nirlep is on health and nutrition tagline of "Everyday Health". The products in terms of which segments they appeal to, based on the different product categories that is cookware, pressure cooker, etc., we will have a different range of products that will c

over

but then again on the case of Nirlep could be a wider range of coverage and historically add. To your question on the brand spent historically you are correct. It was historically western region brand and has been a brand that has been quiet and out of consumer mind for quite a few years now to come. So, therefore now as we re-launch it will take two, three years for that brand to get fully resurrected and when we do that, we will not keep it as a western region centric brand, but it will become a pan India brand, but that will require investment and consistency over the next two, three years we will give it that growth. Again, in that brand is not just a brand, but product category expansion is something we are doing, we are starting with pressure cookers and you see us launching September at the consumer level. So, we will keep expanding the portfolio in Nirlep also. So, remind me your last question, you had one more question. Anirudh, did I answer all, we had one more sub question to this?

Aniruddha Joshi: Just the pricing point, the Nirlep range is compared to.

Anuj Poddar: Pricing like a brand, more on health and nutrition, pricing is straddled based on all, so pressure cookers will be different, cookware will be different, it is scheduled by various price points based

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on where we see the different portfolio play out generally, but it will be broader or wider than it used to be in the past.

Aniruddha Joshi: Sure, sir understood. Lastly initially you indicated that we have gained market share. So, if you can indicate as far as in detail possible the key market share gains in the key categories for us?

Anuj Poddar: So, Anirudh unfortunately we don't share or publish that, the only reason being there is no official accurate data available for that. So, while we do subscribe to all the data market funds GFK, etc., that shows us that but till it is not accurate data we don't publish the data.

Moderator: Thank you. Next question is from the line of Rahul Gajare from Haitong Securities India Private Limited. Please go ahead.

Rahul Gajare: My first question is on the margin. Now, the road to double digit margin will necessarily come

through operating leverage, given your ANP is higher than peers obviously, when the revenue picks up the operating leverage will kick in. But, you are spending on four brands, and some of those brands are at a very nascent stage, like Nex and Nirlep. How do you intend to really see the benefit of operating leverage you did talk about R&D spend, but what are the other levers you have in your hand, to see the double-digit margin's journey that we have been waiting for?

Anuj Poddar: So, now little bit repeat of what I've already said, one is operating leverage clearly, we are spending on brand and R&D, but also if you at logistics to my mind is one, it remains where over two years I should have Nex have about 2% to 3% optimization, some of that will start kicking in from Q3 like I mentioned here. Also lighting if you see, a look at us consolidated now as an FMCG Company, lighting already seen a healthy uptick in margin that will continue to grow also based on product portfolio mix starting to become better. So, let me put in three buckets, operating leverage, product portfolio mix becoming better and attacking some of these inefficiencies such as logistics.

Rahul Gajare: Okay. Now, my second question is on Nex, do you see Nex as only a Fans brand, or do you see that as a premium brand or extension of Bajaj product? What is really the product publishing as far as Nex is concerned?

Anuj Poddar: So, for now, it remains focused on fans we will see in the future what we do. Keeping fans is a large enough category for us to focus on with two brands

Moderator: Thank you. Next question is from the line of Anirudh Agarwal

from Valuequest Investment

Advisors. Please go ahead.

Anirudh Agarwal: Two more questions from my side. First is on the generic channel, so GT obviously has seen significant de-growth in this quarter, is there anything to read into the urban versus rural GT

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performance. And I'm asking this question because the alternate channel has done really well in a quarter where GT has de-grown significantly?

Anuj Poddar: Sorry, I didn't fully hear, so you spoke about GT growth and what is the question?

Anirudh Agarwal: Yes, so is there a difference between how urban GT and rural GT has done?

Anuj Poddar: There is a difference and I've seen that now. So, I will say this, but take this with a little bit of, don't take it very literally, we are seeing a little strengthening of rural, but not being fully reflected because urban is actually starting to be weaker than it was in the past. So, if you look at most of the commentary last three, four or five quarters not just from us, from FMCG, etc., urban is holding, rural has been weak. So, now the commentary has been about rural green shoots, et cetera, we are seeing some of that, but we are seeing the bottom half of the urban market, exhibits a little sign of weakness on this discretionary consumption. That said, the reason I'm saying is don't take that very literally because some of this data is too shallow, it's literally last two months that we have cut that to actually deep dive into this thing, I would want to always see a trend a little longer term, a little broader before we take that as a genuine trend.

Anirudh Agarwal: Got it. That good to hear and then in that context, we had embarked on this SSSG journey on the GT channel specifically. So, will that still continue to hold, it is just a function of macro revival according to you or other thing that we need to do to really get that SSSG engine going on the GT side?

Anuj Poddar: No, so that SSSG holds, we are focusing on WD, it's a weighted distribution mode and we have historically done. And that's also a reflection of our product portfolio becoming more, I don't use the word premium, but filling in the product portfolio at the upper end we're lacking on. So, because of that, that's helping us in our WD journey. The gap that we had in our context was we are under indexing urban markets. So, that is also an area of focus for us, both the WD focus and urban focus are pretty much corollary to each other. That said, it is not at the cost of rural or other markets so that we will continue to defend but I do think, we will see over the next two, three years disproportionate growth for us coming from urban a higher value counter.

Anirudh Agarwal: Got it. One more question on the alternate channel front so this quarter we've seen significant growth on the alternate channel so, are we seeing very significant market share gains, especially on the MT side?

Anuj Poddar: Yes, MT has been good traction for last couple of years if you look at earlier decks also. And again, that's a reflection of our acceptance in urban markets of the new product range of these MTs, that historically were not warm to our brands actually, taking well to our brands. And the most recent example of that is, the personal grooming range that we've launched for Morphy Richards online for now, has got very good traction right now. And that's a Q2 launch it is

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publicly visible, therefore I'm talking about that. And some of that is where we will continue to

see expansion going forward also.

Anirudh Agarwal: Understood. And there is still a large pipeline of empty stores that you would have which we've not tapped in regional retail, etc. Would that be a fair assessment or would it be more SSSG lead going ahead?

Anuj Poddar: Both, so first

ly MT, it's not that we not tap the stores, but our presence in those stores or billing in those stores was less, the billing in presence in those stores have expanded while we have a decent reach across MT also so far. But like I said, we're not going to go away from the SS SG on GT, because that will remain the core from a scale perspective. And therefore as demand kicks in back from a broader environment perspective we do think GT will also grow, the growth will not come only from alternate channels.

Anirudh Agarwal: Understood. And my final question on the margin, so you broke down the margin expansion into three components. What part of that would, if we want to expand margin by 4% say over the next couple of years, what part of that will be driven by GM expansion broadly in your assessment?

Anuj Poddar: Very hard to put a pinpoint to that, but if I was to take a broad brush, about 2% more should come from GM.

Anirudh Agarwal: And that is premiumization largely right?

Anuj Poddar: Mix of premiumization, I do think there should be some optimization on your cost and sourcing front also.

Moderator: Thank you. Next question is from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Just one question from my end, on the appliances business you seem to have done very well about 10% growth. One thing would it be possible to share some color on how individual subcategory have done within the appliances?

Anuj Poddar: Shrinidhi unfortunately not, we don't break that up but, as a state broad ways growth across the appliance categories.

Shrinidhi: Some color on how?

Anuj Poddar: So, I will tell you our leading categories are kitchen, coolers and water heaters.

Shrinidhi: But a lot of peers have reported weak numbers in kitchen, so can you just put some order in which how they have grown at least?

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Anuj Poddar: No, so I can't break that up further, but we have had growth in kitchen also and that's the positive news I want to share.

Shrinidhi: Fair enough.

Anuj Poddar: may also call out even mixer grinders, etc., which had been subdued for a few quarters now, we started to see growth in mixer grinders category also.

Shrinidhi: Fine. And I just want to understand on the margin lever, and on the gross margin improvement levers, the premiumization is one important lever, just on the pricing itself I want to understand is there a scope to reduce the discount as which the like-for-like products are sold under Bajaj brand versus the market leader?

Anuj Poddar: So, I put it differently, a lot of the discounting that you are seeing now is the split reaction to a weak demand situation. And therefore, getting the tailwind in demand up is very important, because it's not this operating leverage in terms of a P&L, but a lot of this desperate, unhealthy discounting, will go away from the market as that kicks in. So, which is why I believe that these are not normal but will have far more significant impact on all of us in the positive sense.

Moderator: Thank you. Next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Is it possible to get some idea say from FY 23 data, in terms of the sales mix, how much would be ECOM, modern retail and GT and what we gather is that there is slight rethink about the TOC or RR EPs. So, any color in terms of how the mix is going to change?

Anuj Poddar: So, Achal if I got your question right, firstly you are asking FY 23 overall channel wise mix right?

Achal Lohade: Channel mix yes.

Anuj Poddar: So, FY23 on a full year basis, trade which is GT was about 65% and therefore rest being alternate in that I can call out e-commerce is about 12%. And then, modern trade and government. Right now in the June quarter trade is down to about 61% and therefore alternate is up to 3

8% to 39%.

In that again, e-commerce is about 11% because modern trade and others have grown well. I'm sorry, your second part of the question was?

Achal Lohade: So, with respect to the RR EP?

Anuj Poddar: No, so there is no rethink on RREP but, the way we were applying RREP something we made a little more evolved or sophisticated what we call an R REP 2.0. Earlier we had applied the principles of TOC as a one size fits all so across all categories, across all geographies, urban,

rural, etc., and across your state. We made some modifications to that to where it benefits us in Bajaj Electricals Limited
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the categories of markets we've kept it. There are some nuances that were required for example lighting business has different nuances, fans have certain nuances, and as we try to go deeper down on rural or absolute top WD counters, we need to cater to some of their unique requirements. So, all we're doing is, creating a more sophisticated RREP 2.0 is a full great internally that we have, and where what fits in is a little bit of a what I would call the hybrid or evolved RREP that we are rolling out right now. I'll give you one more example of that, in the RREP we had collapsed all BUs and all product categories into one CP and therefore all distributors also, one distributor for all product categories quite honestly, that was not doing justice to us or the distributors because they do not have either the bandwidth or the inclination of focus on all categories. So, there again when I say hybrid we started doing a hybrid depending on each market and each distributor, where a distributor has inclination and capacity to service all the product categories we maintain, where distributors or markets require different distributors for different categories we've differentiated on that. So, that's what I mean by RREP 2.0. We have just relooked at the model it's RREP but it's slightly more sophisticated model around it.

Achal Lohade: And in that case, do you see #A, the conflict and #B, any impact on the sales in the transition and how long will this transition or changes which will take place?

Anuj Poddar: No, so I wouldn't call it as conflict but we will see upsides on that for example consumer lighting, now you have some cases common distributors for consumer and lighting in some case is different, again we are talking Nirlep or the new Nex band we are going to again have a similar hybrid thing where some places common submit is not, but the upside is not fully visible for the reasons that I explained earlier in this market, distributor is not investing in the lighting go to market fully, particularly new people getting into this business established it's fine, we are newly getting into that you wait for little tail wind for that to come. So, in Nirlep once the launch happens then we'll start seeing that. In Nex, by next summer you will start seeing that effect. So, I put it not as conflict but this model takeoff will start happening as each of these segments or market or categories start taking off.

Achal Lohade: Got it. And just last question with respect to the in-house what is the mix as of now and how do you see it evolving next three to five years given now we are as good as a pure appliances Company. How do you see that mix evolving given the cash flows and the focus on the business?

Anuj Poddar: So, our mix on consumer stays between 15% to 20% in-house, on lighting our mix has gone up that's about +30% that is in-house but more important is the mix within the in-house so what we're making in-house and what we are making outside that is a constantly evolving so lighting for example, we pushed out on the consumer lighting and brought in more of the professional lighting higher value add products. Similarly, consumer lighting focus on higher value add products and stop doing so much

ch for the lower value products. The consumer side for example, I've shared this in the past while our mix in fans is changing at a product level. So, too, our Bajaj Electricals Limited
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manufacturing mix of higher value premium fans with its Nex or Bajaj fans is something that is more and more in-house including putting up a very advanced paint workshop, etc., in-house. Similarly on the mixers or water heaters, etc., we are upgrading the quality of profile of products that we are making in-house versus some of the more routine products is what we're moving out there. That churn will continue because every time as NPD comes in, we typically try and balance out NPD production and put a higher fraction of the NPD production in-house for various reasons there. Going forward, I don't have a number, lighting that 30%, 35% may go up, I don't know 40%, 45% not more than that. Consumer will be much below lighting, it will be sub 30% is my guess, if there is a bounce around 30%, that said to us a driver a lot of this decision also making ROCE metrics. So, we don't want to look at margin as absolute but overall ROCE what is healthier from an ROCE perspective.

Moderator: Thank you. Next question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: So, first question was on lifecycle of a kitchen business. Nirlep, I'm not very sure about when it starts you already said but when it actually takes shape going into the rest of the festival season, how does it look like, it will be a three-year journey, two years journey in terms of getting a top line right, and the business profit, or like 18, 24 months of breakeven at EBITDA level and then it turns profitable, so I am a bit under knowledge on kitchen appliances P & L. So, that's one, the sub question to that was also that, kitchen appliances largely a very regional local play in India.

And we have seen consolidation, we've seen other players buying out larger kitchen appliances brands, most business strategy we are talking about is, taking them outside of their home market. So, it's more pan India network, more wider ranges of kitchen appliances coming up in the similar brand names. So, largely this is going to be unorganized shift to organized from an industry perspective and then, when we do this pan India when we increase our distribution channel, how do the margins actually be it is again tying up with the lifecycle of the kitchen appliance. That's my first question.

Anuj Poddar: So, Rahul actually it's a very multifaceted, integrated question I'll try and break up them into different parts, break up to different products. One is Nirlep to us is a three-to-five-year journey it's not an 18-to-24-month journey. And not necessarily meaning from a breakeven perspective, but from the potential and the target addressable market for that product categories, etc., there's a lot of expansion and diversification possible in Nirlep without losing focus. Across all of what I would call NEKA range – non-electrical kitchen appliances. But there will be a step ladder to doing that we will not, cannot do all of it at one go. So, we will do it in a staggered manner, but you will keep seeing us drive growth on Nirlep over next three to five years in actually well beyond that. That said, we will remain P & L conscious so while there will be some investments in Nirlep, we don't expect it to be a huge drag on the P&L, there will be moderate investments that we will make, the way we look at it also from another larger areas of investments will be brand building, like one of the earlier persons asked on the call, it is a brand that has got Bajaj Electricals Limited

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a good legacy, but not necessarily a good immediate past and therefore it's something that we have to revitalize

and rebuild, we will do that over next three to five years, as we invest in that brand because we think the payoffs in that will continue into the future. In terms of your question on consolidation, etc. Yes, there is some amount of that happening in the industry, you will see a greater trend of that maybe two years from now by 25 or so, I do think you will see greater consolidation, consolidation will happen in two ways. One is maybe M&A kind of inorganic actions, but also purely player shutting off, even today you are seeing a lot of the reported numbers, look at the bottom lines and the margins, you cannot operate businesses at 0%, 0.5%, 2%, minus 2%, etc. So, somewhere people will have to make a call on capital allocation and what kind of returns and ROCE you want to generate from these businesses. So, that will trigger various forms of consolidation two years from now, and that we are very clear. The other lever or form of consolidation is unorganized to organized, which was another part of your question. That trend is very clear and secular that you are seeing across product categories, different categories, different levels of unorganized and organized. The non-electrical kitchen appliances that is cookware, etc., has amongst the highest levels of unorganized market share. So, that and therefore that goes in line with my earlier answer Nirlep, actually Nirlep not just three, five year but it's going to seven, 10-year runway as this shift from unorganized to organized continues to happen and we will continue to drive that shift here. To your question on globalization, we have to understand globalization in these categories will not play out like in many other categories. So, as pans has got a certain level of export market, the moment it comes to kitchen, kitchen nuances or preferences are very triggered by social cultural factors. In fact, not just from a global versus India, but within India, every region of India has very different cultural cooking, eating lifestyle, habits and therefore that is reflected in the kind of appliances and nuances that you have across these. And that dramatically changes as you go outside India. So, I do think there are very different challenges and product profiles that work outside India than work in India for the kitchen. So, that is not easily replicable or scalable. The other factor I'll put in there when people are talking about globalization or exports, a lot of this is today happening when it comes to cookware, et cetera, in the form of OEM business or contract manufacturing. That is something clearly we are not interested in, we don't see it as a strategic focus or priority for us. We think there are many challenges with contract manufacturing models from a lot put it out in the financial aspects you all understand that well. But clearly we don't think that's the way that we want to go into the future. So, any exports or global model that we look at in the near or long term will be based on brand led our own business, not on contract manufacturers. Hopefully, I answered your various parts of your question.

Rahul Agarwal: Yes. Thank you so much for that, just to conclude this question. So, basically should be built in like three to five crore EBITDA cap losses over the next three to five years. Is that fair enough?

Anuj Poddar: I will not give you a number Rahul, but you can build in small numbers like you stated of negative drag.

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Rahul Agarwal: Okay, get it . On the mix or in terms of in-house and outsourcing you obviously in the previous question explained a bit. But if you could highlight in terms of incrementally you said the shares are going to go up overall for the Company . What would be like a CAPEX plan and which are the products where you are investing going into next three years ?

Anuj Poddar: So, CAPEX pla

n I will tell you for the visible 12 months is in the range of 150 crores , any large CAPEX internals in-house of factory production we put it off for 2025 discussion, so we 'll evaluate that at that point. We 'll share any details at that point, at least for the next 18 months we don't expect significant CAPEX there . And this, again, comes from two factors. one is, we just think we have our hands full on doing many things on growth without resorting to heavy CAPEX, we have operationally product launches, NPD , etc., rather focus on that the re at the manufacturing end right now, but also in terms of R OCE consciousness, as we build up our balance sheet , cash capital on the balance sheet, that capital allocation decision of high CAPEX changing our performance metrics on this or approach on this we put it off for 2025 and later , we will review it at that point of time.

Rahul Agarwal: Get it . So, we should build about 150 crores next 18 months , is that correct?

Anuj Poddar: 150 crores annualized .

Rahul Agarwal: Annualized, okay get it . And lastly on lightning, consumer lightning mainly, we are seeing some price declines on LED pricing. I hear that it 's global, it 's not only India problem, and there is an import dumping happening either on led into India any thoughts on what is the exact trend here just bit more detail on this as in do you expect it to stabilize now or if that continue, the channel will still be vary in terms of stocking up more LED and hence, consumer lighting will continue to see a lower year of fiscal 24 ?

Anuj Poddar: So, my view is Rahul, these are two separate issues, there is price erosion in LEDs, that 's always been the case for many years, and it continues right now. But I would say the magnitude of price erosion, single digits right now un like we see double digits in the past . So, the scale or magnitude of the sharp timelines on price erosion will definitely reduce . That said, it continues to be a headwind against growth. So, the issue of lower total sales or consumer demand on consu mption is more led to demand factor than the economy factors then the price erosion. So, as that consumption, consumer demand , discretionary demand, housing , interiors , etc., comes in, that will pick up irrespective of price erosion, you 've seen that in, let 's say if minus the last three quarters or four quarters before that consumer lighting business was growing in India. And it will come back so, irrespective of price erosion, I don't know whatever timeframe we take of overall consumption demand coming back, you will see that trend also in consumer lighting. And therefore our task really is to make sure our growth in this business is more than the deflation effect of price erosion. And we 've done that in the past, if you minus the last one we 've done it, we will do it again there 's not a problem in that . Sorry, one last point to add to that. The Bajaj Electricals Li mited
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other counter to this price erosion is that price erosion is usually more accentuated at the lower end of the market into the product , commoditized products, the basic lamps , etc., and the other solution to that is actually to keep adding more value -added products , which is what we 're doing in consumer lighting in the past, we did not have t hat. So, if we look at a product range on consumer lighting that we 've been showcasing the last three to four quarters that value added products are continuing to grow and therefore the margins in those products also are healthier. You are seeing uptick in our lighting margins over the last many quarters even this quarter while it's a marginal uptic k, despite revenue de-growth you see the margin uptick . So, as revenue grows and consumer lighting grows, that margin uptake will be much sharper in lighting.

Rahul Agarwal: Perfect. And last small one on BLDC fans , I see the share goi

ng up pretty substant ially obviously

more of that has happened since January , Feb. Your experience on after sales as in the quality of the product and acceptability in the market , obviously sales have gone up but from an after sales perspective are you receiving any more compl aints , or is the traction very high or is it very low, or its pretty smooth?

Anuj Poddar: So, no complaints right now Rahul, but typically complaints in BLDC because of PCB, other factors which start coming in two years hence . And that is something we are very conscious of that, while there 's a positive side to BLDC in terms of energy efficiency, there is a positive induction technology that is not an outdated technology, it 's not a weaker technology, maybe it's as good or better if you look at a longer five-year perspective on the product , etc. But the life of a BLDC fan induction fan is different. And you will see across it 's not any particular manufacturer o r brand , you will see some impact on service , in claims and PCB failures, between a two-to-five-year timeframe on BLDC fans. A lot of that will start becoming visible again two years from now across the industry. Coming back to my view on the market with the new regime ,

today you're seeing the market segment itself between one star fan and five-star fan and the perception that 5 Star is a go to for energy efficiency. In reality, ultimately the market will converge towards the 3 Star fans or 4 Star fans also which today are seeing very less traction. If you look at every other product category whether it's an AC, refrigerator, etc., actually 3 Star and 4 Star product offerings account for greater shares than 5 Star. And that will happen in due course, as this category also matures. And mind you, all of that will be induction motors, not BLDC.

Rahul Agarwal: Got it. Are we provisioning more for BLDC for facing those kind of expenses to your ends?

Anuj Poddar: No, so we don't need to really provision higher, I will not share some of our internal how we have approached that, but we try to address that in different ways at a production level, etc.

Moderator: Thank you. Next question is from the line of Harshit Golecha an Individual Investor. Please go ahead.

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Harshit Golecha: I just have two quick questions. Can we see any take overs for in the near future, or say something like inorganic growth?

Anuj Poddar: Harshit, I was doing a takeover tomorrow, I wouldn't announce it in a call like this. Jokes apart, I am sorry, I was just taking that in a lighter way, I understand your question.

Harshit Golecha: Are we interested or something like for any M&A or inorganic growth for, or takeover of any brand or something like that?

Anuj Poddar: Harshit, my answer to that is, this is something that we have to be opportunistic about. It is not baked into it.

Harshit Golecha: But we are open for it?

Anuj Poddar: We are open to it. That's a change from two years ago, we were not open to it for various reasons including balance sheet reasons. Going forward, we are open to it. But it has to tick many boxes for us. So, we're not desperate or dependent or will not do it for vanity reasons. And just to emphasize that, therefore our growth will happen irrespective of inorganic. So, that's how we're looking at it.

Harshit Golecha: Okay. And when can we expect this EPC to demerge, maximum like timeline?

Anuj Poddar: Again, like I said, pretty soon enough you will hear that soon not very long, and not too many months from now. Well before the end of this calendar year, well before that.

Moderator: Thank you very much. Ladies and gentlemen we will take this as a last question for the day. I now hand the conference over to the management the closing comments.

Anuj Poddar: Thank you very much. So, I will just reiterate what I said at the

start. We know it's been a soft

quarter, but it is a soft quarter in the reflection of the market environment, not anything else.

Quite honestly, if you know we have compared that with our own level through primary data, or it will look at all the results and compare us with ECD and FMEG results, you are seeing that as a common trend and came across this segment. Internally we are very clear that, that is not stopping us from doing all the right actions, we will continue to drive the right actions. And as you see, markets improve or tailwinds come in, you will see margin expansion kick in which is, as I pick up the primary concern you all have but we are as confident as we've always been on that front. That's all, thank you very much.

Moderator: Thank you. On behalf of Ambit Capital that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2023

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November 10, 2023

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001
National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the ' Transcript of the Q 2FY24 Earnings Conference Call ' of Bajaj Electricals Limited ("Company")

Further to our letter dated October 27, 2023 and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q 2FY24 Earnings Conference Call (i.e., Post Earnings/Quarterly Call), organized by Ambit Capital Private Limited on Monday, November 6, 2023, at 4:00 P.M. (IST), wherein, inter-alia, the unaudited financial results of the Company for the second quarter and half year ended September 30, 2023, were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,
Yours faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer & Company Secretary

Encl.: As above.
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"Bajaj Electricals Limited
2QFY2024 Earnings Conference Call"

November 06, 2023

MANAGEMENT : MR. ANUJ PODDAR – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – BAJAJ ELECTRICALS LIMITED
MR. E C PRASAD – CHIEF FINANCIAL OFFICER – BAJAJ
ELECTRICALS LIMITED
Bajaj Electricals Limited
November 06, 2023

Page 2 of 19 Moderator: Ladies and gentlemen , good day and welcome to 2 QFY2024 Earnings Conference Call of Bajaj Electricals Limited hosted by Ambit Capital . As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*” then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Dhruv Jain from Ambit Capital. Thank you and over to you Mr. Dhruv Jain!

Dhruv Jain: Welcome to Bajaj Electricals 2QFY2024 earnings call . From the management side today, we have with us Mr. Anuj Poddar , Managing Director and Chief Executive Officer and Mr. E C Prasad , the Chief Financial Officer of the company . Thank you and over to you Sir for your open remarks .

Anuj Poddar: Thank you Dhruv and good evening, everyone . Thank you for joining this call . It has been a tough quarter and I say tough quarter it's because of two reasons . They are more external factors . One is a weak consumer sentiment in the marketplace particularly for discretionary products and second there is a slight delay in the festive season this year which is a little bit of a clash between Q2 and Q3 unlike last year . With that said , I believe we continue to make gains on our strategic objectives and initiatives . We have not stopped on that primarily around strengthening of our brand all the brand initiatives that you see as well as on product launches . In the quarter gone by as you have seen in the tech, we have had over 100 products

launched in the consumer business and similarly a large set of products launched in our lighting solutions segment . In terms of category gains , we have seen market share gains in fans, coolers and mixers which are all core critical categories for us . At a channel front while general trade has been soft a lot of that is because of weakness in the rural market in the lower end of the urban markets . In the more modern channels, which is ecommerce and modern trade as well as institutional government business we have seen very handsome double-digit growth over 20% as we have seen laid out in the deck and that boards well for us .

Finally, our cash flow continues to be positive in this environment and just a little heads up on Q3. Q3 has started on a positive note . October has trended positive, so we are hopeful for better Q3. With that I will hand it back to you and the moderator for questions . Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Natasha Jain from Nirmal Bang . Please go ahead.

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Page 3 of 19 Natasha Jain: Good after noon gentlemen . Sir can you first give us the growth or the degrowth in appliances, fans and Morphy Richards separately ?

Anuj Poddar: Natasha thank you, so we have had a degrowth in appliances in high single digit , but also a double-digit growth in fans and Morphy Richards has been flat .

Natasha Jain: Okay all right. Sir what I want to understand is while we have been consciously building our premium product portfolio then why we have not seen some kind of material impact in the margin positive impact rather because I believe these premium portfolios should get in some kind of operating leverage benefit right in the margin so why is that not happening?

Anuj Poddar: So, I will answer the other way Natasha and it is important for you to go and track which is what we have been doing . Look at from a two-year trajectory . Look at FY2022 margins 2023 margins and even the first half that is out this year for us and competition. The reality is there has been a very steep or sharp margin contraction across the sector and if you look at that versus us you will see everybody having contracted margins extremely sharply except us so in a reverse way, we have actually gained margins but some of that is lost because of tactical pricing things in a soft and weak market. I think there is very heavy discounting that all players are resorting to . We are also having to engage in some of that to protect the market shares but net, net the result of that I do believe we balanced out the top line versus discounting versus margins better than all of competition and we are tracking that every quarter and therefore going back to my point if you look at that over the last two years our contraction or impact on our margins has been the least versus others have significantly contracted and the reason for that possibly because in reality our margins have

expanded but then gone back in the form of tactical things . With that said , I do believe these are all signs of a weak demand environment . As soon as demand picks up, I think you will see a benefit in top line . A lot of that will flow directly to the bottom line as well as some of this race to the bottom on discounting will stop and I do think some of these are short term quick win s that will happen in a healthy market .

Natasha Jain: Understood Sir. Sir if you could just tell us how the BLD C fans portfolio did for you?

Anuj Poddar: So, Natasha we do not call out BL DC separately . Having said that we are a late entrant into BLDC . We continue to see an uptick in that . Overall premium fan segment for us has been about 20% holding out there and the other end the sub economy which used to be large percentage is at about 55% contribution for us .
Mode

rator: The next question is from the line of Manoj Gori from Equirus Securities . Please go ahead .
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Page 4 of 19 Manoj Gori: Thanks for the opportunity, Sir. Sir my question here would be if you look at obviously the initial opening remarks you highlighted like Q3 has started on the encouraging note so obviously lot of demand would have been driven from the festive demand however when I look at the base quarter your fan sales were extremely strong in 3Q of FY2023 so can you throw some light like probably how we are looking at 3Q in specific given that the base is extremely high and how do we see kitchen appliances to ramp up during the quarter lead by festive demand ?

Anuj Poddar: Sure, Manoj so I will just share a little more qualitative commentary on this one . Firstly, if you look at the last three to four quarters what has been a drag in the industrial sectors in kitchen appliances in particular, I think it has been almost four quarters that kitchen has been doing weakly and given our contribution from appliances and kitchen is higher among peers the impact on us has been adverse or more impact on us point one . Point two therefore the fact that we are holding out numbers is because of our premiumization other things that we are doing including mixers in particular has seen some traction against these headwinds and kitchen appliances overall . Second on fans it is been a little more volatile more because of star rating, etc . With that said like you called out last year Q3 as well as over the last two three quarters we managed to continue to grow fans including in this Q2 at double digits more because of our new launches and other endeavors that we have been doing. To your point specifically on last year Q3 if I remember correct, we were 64% or so on fans but mind you that was off a very small base . Q3 is not a big base for fans so I would not read too much into that and therefore if we look at Y-o-Y Q3 fans is the smallest component of that . I think appliances including water heaters really need to kick in . In that part coming back to so far what we have seen October trend has been positive particularly post October 15 and that is again led by tertiary demand, so I am not talking primary but secondary and tertiary demand we have seen good encouraging signs in October so far which you know gives us little comfort on primary following and continue hold out . The only watch out for us right now is how does winter pan out and when does winter set in . Assuming winter sets in, in time , water heaters is a big driver of sales in Q3 then we should be in a good position. Winter or the weather being the single biggest factor that we look at in this quarter .

Manoj Gori: Right Sir one more structural question on the demand side so if you look at specifically for last four quarters demand has been very muted but probably if you look at the growth has been for more than four quarters now? It has been a long period and that is why even our performance probably led by external factors we have been not able to achieve the desired target ? How do you see actually demand reviving? What are the key macro parameters that gives you confidence that we are moving in the like industry is moving in the right direction
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Page 5 of 19 and we are very close to demand devices and are you seeing any green shoots early green shoots ?

Anuj Poddar: So, Manoj I will hold off on commentary on future projection market because that is not controllable for us. Your guess is as good as that . With that said I will tell you the parameter that I track the data point which is not the GDP. I think the GDP is the biggest misnomer on addressing state of economies consumption okay . Currently it is being led and again any economist will tell you more by banking, NBFC, infra, capex and

other sectors .

Consumption is not falling so I think what is more important to track consumption story is really household savings income, employment and jobs that kind of data . That data has been weak for a while but that is where I am starting to see some positive traction . If we look at

jobs and I have shared this in the past . They used to be 90 million pre COVID. In COVID they had gone as low as 60 million till the start of this year . We were yet at 70 odd million till we stuck to 80 and 90. I have just seen the data today for September that is at 91 million so like 90 million thresholds of jobs is an important threshold to be above for demand to kick in . The other flip side of that is unemployment rate . Unemployment there is two sets of data out there in the market . One set of data is pointing to yet relatively higher unemployment rates, but I would yet say while percentage of unemployment may be not the most comfortable, I think of jobs are good and at least somewhere there is a purchasing power coming in. The third important data really is the interest rates and that is really putting a squeeze on discretionary spends with high interest rates . The EMI s have gone up for most households and therefore disposable income has gotten squeezed. That is the one parameter that needs to change for real spending power to come in . That is not controllable for us so strategically we have to just keep biting our time for that and keep spending and as that starts to correct or at least baseline itself without increasing more then people will come back to spending. Right now, I think we are hurting from that so to me these are the more direct parameters I lead to consumption that we are tracking, and which gives us a little more insight into why the demand this week. Lastly, I see to that is rural income, rural segment. I think that again we look at certain parameters . If that comes back so these are all the non-controllable for us. Coming back to your question as we continue to strengthen our portfolio mix like I said when you look at the internal mix data and our secondary market research indicated research, we are seeing gains in market share either the category level s the ones I called out with fans, mixers and coolers. We will see what happens in water heaters . By Q3 and Q4 we should see some positive traction there and at least in the channels that are doing well so general trade is not doing well but if you look at the alternate channels that I called out e commerce, modern trade, etc., we are getting share in that so to me those underlying metrics are strong and therefore when the headwinds convert to tailwind then we do expect a better go forward on that .

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Page 6 of 19 Manoj Gori: Right Sir so thanks for this detailed one . I will get back in the queue. I have a few more questions .

Moderator: Thank you. The next question is from the line of Rahul Gajare from Haitong Securities . Please go ahead .

Rahul Gajare: Good evening and thanks for the opportunity. I have a couple of questions maybe first on the financial side ? Now you all have a lean balance sheet with practically no debt and very limited change in the asset base ? Still, we have seen increase in your interest cost and depreciation, and I think you have touched on this aspect in your presentation but how do you see , do you think that this expenditure is something which will be stable at these levels, or you see that this will fluctuate based on how the business moves ?

E C Prasad : So, Rahul, E C Prasad here. So, if you look at the financing element there are two components to it . One is the vendor financing where actually we are operating about Rs.800 Crores worth of line on vendor financing so you have to also look at the income side where there is a treasury income of about Rs.5 Crores sitting there so net, net we are

operating at

about net interest of about Rs.3 Crores for operating a Rs.800 Crores line which will continue but if you actually look at the cost which I am paying it is actually very, very small . It is about 3.5% cost that I pay for the vendor financing which is very lucrative .

Anuj Poddar: Rahul I will just add to that we have had a payout obviously to balance sheet but obviously on a quarter-on-quarter basis our cash balance will continue to increase. We would have this quarter also accept for the payout so over time as that balance sheet keeps getting stronger that ratio will flip over here .

Rahul Gajare: Okay yes so, the second question I have is could you talk about your A & P spending that you have done in the Q2, and first half given we are basically facing weak consumer sentiment or demand and connected with this also the logistical transition back from Mahindra Logistics to any benefits or cost saving that you have seen due to this transition so that is the second question.

Anuj Poddar: So, on the A&P spend around this quarter is about 3% and Y-o-Y I think last year was 2.3%. Q1 do not remember the number but I think there was 2.5 % or 2.6% so this quarter is slightly higher so that is built into these numbers. I think at 3% we kind of balanced out between if the demand situation was good then we would spend more but beyond this certain spend is not giving ROI or converting to sales, but it is yet healthy enough for us to maintain a brand push that we are doing given the strengthening that we are at in terms of brands okay . Coming to logistics and I probably would have shared this in the previous quarter call also . I think there is two aspects to the transition back from outsource party to

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Page 7 of 19 us. One is service level and pure operational issues and logistics with the service provider which is the reason to have brought it back so our first strategic initiative or imperative was to make sure the service levels drastically improve before we focus on our financial metrics of that so in a way we over-engineered and over-solved for that at a high cost when we took over and that has been built into the numbers to make sure service levels and the flow of goods is good that is extremely good. We are perfect like we used to be before the transition out, so we have corrected for the issues that we faced in that. With that said now month on month we are starting to optimize the actual financial efficiency metrics on logistics. The first results of that you will start seeing in Q3 because we had as part of the handover, takeover and transition so then lock-in on warehouse and other contracts. The first set of that starts releasing this October so the first Q3 will start seeing some optimization on logistics cost but we have a road map from here right for the next 18 months on optimization of logistics cost. I think you should see about a 1% point improvement by this March and about a 2% to 2.5% percentage point improvement by March 2025 on logistics. We have a clear action plan and bottom up calculation of how that will be derived here.

Rahul Gajare: Okay that will be great. Now my last question is on the market share? In your opening comments you did talk about market share gain? It is possible to quantify some of them in some categories that you have had seen market share gains?

Anuj Poddar: So, Rahul to be honest we have never put out market shares. This is management data, so we look at that for our internal purposes but not data that we put out here but we saying that we say that to the level of assurance or accuracy that we have gained share in these categories here.

Rahul Gajare: Okay so it is not quantitatively qualitatively that you have seen a significant ramp up in a particular category? Is there a qualitative angle that you can?

Anuj Poddar:

So, let me call out fans and coolers because that is more visible. If you look at our growth over two years, etc., it is clear consistent growth in fans that we have had and that is obviously translating into market share. In every quarter we have been clearly calling out own numbers and so we see strong double-digit growth in fans so that is obviously leading to market share gain. I do not think that is representative of all players at least not quarter-on-quarter. Everybody had greater volatility. We are seeing that, and we are also seeing that if you do your own channel checks, etc., that Bajaj is becoming a player across fan segments which we were not in the past year. You will also see some push from us on the new brand mix that we launched in summers so like we said is a soft launch, but you will see some more traction coming summer on fans. The other category that we have had very visible market share gains is coolers. We used to be number four player. We are a number

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Page 8 of 19 two player. Here in this quarter, we have had extremely, extremely high double-digit growth in coolers and I hope we will continue to maintain that trend. Mixers is less evident because we were already leaders and this a category that has been overall seeing pressure or contraction so in that while we have gains if you again look at some of the new mixers, we launched it is a 750 watts to 800 watts Ninja series in particular. You go and do your channel checks you will see very good feedback on that. Again, we have launched something called military grade jars, etc. These are giving us and reason to buy and reason to gain share but that will be more visible as the category grows then that gains will be more visible. The fourth one that I called out but we have to wait to see that season kick in is water heater so I am hopeful that as that season kicks in you will see that in Q3 and Q4.

Rahul Gajare: Just to confirm Nex is going to be restricted only to fans category, right? You are not extending it to other product categories?

Anuj Poddar: No, it is a fan exclusive brand.

Rahul Gajare: Okay thank you very much and all the very best.

Anuj Poddar: The test for that will be in the coming summer so.

Rahul Gajare: Okay cool thank you.

Anuj Poddar: But by the way if I may plug, I must plug each of you in the call please go buy it next time and tell us we will help you do that. Give us genuine product feedback. We are extremely proud of that and confident of that product. The product is good that is your best test not what we are saying. See the product for yourself. It is superior technologically and design wise. If that is right, you can bet your life that the market will pay us for it.

Rahul Gajare: Okay thank you very much.

Moderator: Thank you. The next question is from the line of Anirudh Agarwal from Valuequest. Please go ahead.

Anirudh Agarwal: Thanks for the opportunity. The first question is on the gross margin so obviously overall

gross margins continue to be flattish on a Y-o-Y basis so if you can give us some sense of how this would move at a category level and a standard specific level so just trying to deleverage that gross margin number so that where are the gains and losses that we would given on the gross margin lines in the last quarter ?

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Page 9 of 19 Anuj Poddar: So again, I will try and give you a generic answer to this one. I think like for like basis our gross margin actually have expanded 4% to 5% points and I am saying that more if I were to take a similar ASP for that product category that used to prevail in the marketplace earlier or our cost structures for that or product mix. With that said some of that gain is lost back in the market because of discounts and why I am able to call that out. Sometimes t

hose

discounts are not at a ASP level but at a scheme level to actually get the sales and market share back in which is really common across the sector so if you look at a product level our gross margins have expanded by 4% to 5% points but at a s key level or volume level some of these are given back to the market and the reason we are able to overall therefore to my earlier comment if you look at a two year trajectory on margins have had the least impact towards this competition is because we actually fundamentally gained on our first level margin.

Anirudh Agarwal: Right and any impact of the channel mix changing from GT to alternate? I mean our alternate growth continues to be strong even on a reasonably large base now right so any impact that has on the gross margins?

Anuj Poddar: No, I do not think channels really have a bearing on the margins. I do think a product mix does vary a little bit on channels obviously general trade has because of the rural contributions may not be as high indexed as modern trade but that is really a function of the market or channel penetration not so much of a pricing strategy, so I am assuming your question was more linked to pricing strategy, so we do not have a bias on that perspective or basis on different channels.

Anirudh Agarwal: Understood so eventually how should we look at margins right so we had an expectation earlier of gaining about 100 bps on margins every year as we move ahead in three years so does that still hold in your view and what will drive this? Is it just the missing growth which you expect will come back and that will drive margin expansion or is there something else also that you are looking at?

Anuj Poddar: So, I will come back to my same comment Anirudh. If you look at what has happened in the sector. The sector margins have collapsed significantly. We have held out so had that not happened our margins have actually expanded because there is no way for us to have held out margins otherwise except because inherently, we have expanded because we have to participate in the same pricing tactics in the marketplace so that is point one. Point two therefore I think some of this is tactical short term when the market comes back by default these will come back. These are the signs of weak consumption sentiment. Point three is we are not going to rest on that. Like I called out we have a couple of other levers that will continue to drive margins for us so we will stay on that path, and we are confident about that.

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Page 10 of 19 Anirudh Agarwal: Understood. The final question was on the LED side so LED how are we looking at the scenario now so obviously industry growth as a whole has been weak since some time but how do you look at the pricing side now? How are we doing particularly on the product and distribution front both of which we were trying to do?

Anuj Poddar: So, if I talk about lighting and I split that up into consumer and B2B lighting. On the consumer lighting there is a headwind in form of LED price erosion about 15% to 20% based on DOB expected technology. That technology is probably again if I were to average it out 8% to 10% cost saving but about 15% to 20% price cut in the marketplace okay, so I think that is the headwind you are seeing in the B2C segment across the industry. I do think some of that will stabilize. For us what is important in B2C is just a product portfolio expansion. We have shared some of those products in this quarterly deck and again if you go do your channel checks especially you will see our whole product range. We are happy to share that with you internal product at, etc. How a product range in consumer lighting is significantly expanded and I think as we said that, that expansion will only happen on the last two to three quarters. I think next two to three years we should see consistent growth in th

the consumer lighting business on the back of the product range and the distribution that is being put in place or GTM being put in place for that. Coming to professional lighting side I think that is more an order book-based thing. In Q2 some of our revenue booking got

booked or rather got deferred from Q2 to Q3 in terms of this timing of invoicing and dispatch or installation of project, etc. I do expect Q3 in professional lighting to actually pick up from where we are right now .

Anirudh Agarwal: Right and this order book number that has been shared what would be the execution time period?

Anuj Poddar: About six months but this is the October one number that we have shared there is more orders since then, but you assume on lighting in general at the project level about a six - month order book but that is not static that is constantly getting executed and more getting added to it .

Anirudh Agarwal: Sir just final thing to wrap up essentially the point was that if we have a more normalized growth in H2 of this year margins will be stabilized ?

Anuj Poddar: Yes, so margin expansion to put it the other way will if you have normalized growth in margin growth or absolutes will be much in percentage terms will be higher than the topline because you will see a reversal of, right now you are seeing operating deleverage you will see of operating leverage taken topline growth. That is separate from our own internal improvements that we are working towards.

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Page 11 of 19 Anirudh Agarwal: Got it. Thanks a lot, and all the best .

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities .

Please go ahead .

Aniruddha Joshi: Thanks for the opportunity . Sir we have seen that almost all players are doing excessive discounting so do you see that probably nobody's having any additional growth rates so is so much discounting really required or what should be the way forward in a way to gain market share or to grow at a really faster rate because the discounting is going on for quite some period of time but almost no player has achieved any material benefit as such ?

Secondly in terms of what are the possible ways to differentiate than the competition instead of just doing discounting in line with the competition that we are doing and what has been the effort of that or the benefit of that yes? Thank you that is it from my side ?

Anuj Poddar: Actually, a very good question Aniruddha. Let me answer this. Number one discounting is the easiest tactical response in a weak market place and I think that is a not a strong players response typically that is a weak players response a weak industry response okay the industry is not able to defend itself . I do think our philosophy has always been that we do not lead the discounting. We do not initiate or trigger the discounting because we are not in favor of that, and I will tell you why because discounting at least in our sector we are not a sector that has got elasticity of demand . If I discount a fan and if you need a fan, you are not going to buy two fans unlike if I am a garment player if I discount a shirt, you may buy two shirts . I just think the discounting industry is only hitting its bottom line . It is not growing its topline. It is only trying to ship from each other but also while we are not leaders in that . We are not going to see market share if somebody does that so we will defend our position but we will never be leaders in that but that is a more tactical short -term view . I think a long-term view which is the good part of your question is you have to be able to move out of this game . For us coming from where we are which goes back to what I always share that as a brand and product we are stammering our brand and stammering our product innovation everything that we are doing. The last one year it is a j

ourney to actually build

greater brand signal. Everything I have spoken about or shared in our deck why we are following this multibrand strategy and why we have very core positioning defines for the brand why the innovations that we talk about durability for Bajaj or performance for Nex or lifestyle positions for Morphy Richards and you will also see what we come up with in the mid-level . I think it is to take the FMCG playbook where brands will actually to build brand sales back on differentiated product strategy . With that said that is not an overnight strategy . That is a three to five year strategy . That is how it will play out in the marketplace and when that plays out brand sales in turn translates to us not having to actually do these catch -up discounts with others. We will try and hold our price points into the future and not

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Page 12 of 19 just hold our price points, I think pricing power is something that we will earn for ourselves over the next two to three to four years by these measures . I do think we have a very clear strategic vision on that . To some extent that is different from the commentary I hear from competition . Everybody is free to take their own approach to these things, but we are very clear that we do not want to be trapped in this discounting game and we will work ourselves out of that by these measures which are not short -term measures . They have to be done the right way over the right period of time so hopefully that answers the question .

Aniruddha Joshi: Yes, Sir thanks for the detailed answer . Just one thing anything about the new premium brand that we have introduced so any any update that you would like to share on that any progress thank you?

Anuj Poddar: We have done a soft launch which we announced it earlier but the real test of that in push from us will come in summer because it is a fans category so that is when we really communicate with the consumer and that is when we have more to talk about that product but like I said a couple of questions earlier the best test for that right now is not the brand side because that communication will kick in later for the product side . You are welcome to test out our next product fan. It looks better and it performs better . You cannot ask for better .

Aniruddha Joshi: Sure Sir. Thank you.

Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial . Please go ahead .

Achal Lohade: Good afternoon, everyone . The first question I had was with respect to the competition ? Now is this discounting very evident in particular category or it is across the categories and also it is in particular region, or it is across Pan India?

Anuj Poddar: So Achal it is across category and across regions . It is not being unfortunately led by the weaker players, but a couple of the stronger players are the ones who are leading it which is why we are matching up to that there but again I think sometimes this is a sign I am repeating myself sign of market. I do not think anybody wants to indulge in that . I do think in the first opportunity of discontinuing and these are tactical schemes. They are not pricing . If you look at most discount announcements and competition also, they are typically at a scheme level so the moment this market picks up it is very easy to withdraw schemes such as these.

Achal Lohade: Understood and you said 400 to 500 basis point gross margin improvement was that a Y-o-Y comment Sir?

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Page 13 of 19 Anuj Poddar: So, it has been a trend across the last two to three quarters that we have seen . It does not follow through like I said because it gets lost in the scheme but otherwise it is a mix . It is Y-o-Y, but it is a mix between really product mix improving and some of are moving into segments where we are not operating

in .

Achal Lohade: Right where I mean my followup question was this margin improvement is it part of the reason is the raw material cost reduction, or it is purely the premium?

Anuj Poddar: No this is not to do with RM reduction. This is portfolio mix and our VAVE not the RM part.

Achal Lohade: Okay and coming back to the discounting part I mean the kind of cost reductions what we have seen in general given the raw material prices kind of cooled off a bit is that already been passed out fully or by the industry or you think some of that is actually retained and being reinvested?

Anuj Poddar: I mean it is notional to try and correlate how much of RM is passed on versus not . It comes back to if you look at holistically clearly the industry is taking money from its own pockets and passing it back to the market at the cost of its margins . Now we can notionally say from which bucket or which pocket it has come but net, net if you look at either is the discounting more than the RM reduction yes . Is the price increase adequate to where you had cost increases let us say fans or other categories though so whichever you cut the cloth the fact is you have passed on more to the market than what you earned back by RM or what you should have rightly increased prices by.

Achal Lohade: Got it and just one clarification with respect to fans has there been any change in the pricing in September, October or November or is there any plan?

Anuj Poddar: I am not sure I understood your question by change in pricing you mean we have not taken any increments or anything that not .

Achal Lohade: Not taken any price increase?

Anuj Poddar: No.

Achal Lohade: Okay understood and just one more question with respect to lighting business. In terms of this price reduction 15% to 20% while the cost reduction is at 8% to 10% again it is a purely the weakness in the demand or is there more to do more to do with anything else in terms of competition or anything a new competition ?

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Page 14 of 19 Anuj Poddar: I think in this case it is both . The weakness and demand you have seen in the last four quarters in B2C lighting, but this price erosion has happened only in the last two quarters . It is partly to do with technology and partly to do with competition .

Achal Lohade: Got it and just one clarification with respect to portfolio where are we compared to the

leaders? Are we at par now in terms of product offering in lighting ?

Anuj Poddar: Are you talking lighting.

Achal Lohade: Yes lighting ?

Anuj Poddar: It is about 90% so up per end of value added lighting and decorative lighting . I am not naming those products but you probably understand which we are not in but I think this journey to we ca nnot lead talk to that . From where we are coming, we need to from the lamps we need to just build in the recess panel, etc., before we can move to the upper end of that because we will not be accepted in that right now .

Achal Lohade: Got it. Thank you. I will come back in the queue Sir.

Moderator: Thank you. The next question is from the line of Laksh Jain from Plan Investment . Please go ahead .

Laksh Jain: Yes, Sir my question is related to the EPC part of our business Sir? We have made net profit of loss in fact Rs.4.4 Crores instead of Rs. 3.6 Crores of profit year -on-year and we are very vocal on becoming break even from a n EBIT point of view and again we are incurring losses so when can we expect this sustainable positive EBITDA and some reasonable profit this is my first question ?

Anuj Poddar: So, Laksh thank you for asking that question. It allows me to clarify . Firstly, this is two months data July and August. Secondly this is because it is a transition quarter . In this quarter as we move from Bajaj Electrical to lot of the client contracts, etc., needed to be innovated and transitioned. That is

a process across whether it is a transmission side , power grid, etc., and also the distribution side . Till that process of innovation, emergency, and system changes was not done at both ends, the client also has to do that . There was a fair amount of billing or invoicing of product supplies that was held up. We were not able to build that in Q2 because we had to dispatch in a new name . We had to do the GRN that whole loop has to be closed so we have lost certain amount of revenues and sales in this period. A lot of that will be caught up in Q3. Our order book in fact has significantly grown. We have made various announcements of new orders that we have got in that business so as that billing kicks in and the transition gets over you will see a sharp uptake in the coming Bajaj Electricals Limited
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Page 15 of 19 quarters on that revenue and that is flowing directly to a smarter and better bottom line and second there have also been one of transition cost in this . There is a lot of duplication that is happened initially set up on people, offices and certain amount of, I would not call consultant fees but just professional fees in this transition so that is built into this, so it is not a matter of concern . It is not really an operating loss in that sense. It has been one off because of the transition and hold up on certain billing in activities in this quarter.

Laksh Jain: And how much was this onetime expense Sir approximately if you could help us with that number?

Anuj Poddar: Onetime expense in this quarter.

Laksh Jain: For EPC business?

Anuj Poddar: Yes, it must be around Rs.2 odd Crores but that is a onetime expense. What I am really calling out is we do not have a number but let us say another Rs.100 Crores of billing that you could have done that was all held up in this quarter right . It has been to the bottom line and Rs.100 Crores also is much lower than we not putting out a projected number or we put that out in the original debt. We are looking at almost 2x of revenues on annualized basis this year which FY2023 so in that your fixed cost stay the same overhead so that starts flowing into the operating margin.

Laksh Jain: Yes, and that is it Sir and one more last question . We generated Rs.135 Crores of cash from EPC business this year so this brings to what will be our current cash in the EPC business Sir total as of today ?

Anuj Poddar: So current cash position as of today I will check back but I think it was about Rs.10 Crores to Rs.20 Crores which was left .

Laksh Jain: Okay so it is approximately Rs.150 Crores, right?

Anuj Poddar: No so Rs.135 Crores was transferred which was used into the business and I think they are now sitting on about Rs.20 Crores of cash .

Laksh Jain: Okay got it Sir. These are my questions. Thank you so much Sir and all the very best Sir for your new journey on this separate entity . Thank you so much.

Moderator: Thank you. The next question is from the line of Natasha Jain from Nirmal Bang . Please go ahead .

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Page 16 of 19 Natasha Jain: Thank you so much for the followup. Sir firstly I would like to know what is our lighting mix in terms of B2B and B2C I am sorry if you said that data? I got disconnected in the

call?

Anuj Poddar: We will just do that with numbers . Any other questions.

Natasha Jain: The other question Sir what is our alternate channel mix and what was it in the Q2 last year?

Anuj Poddar: So firstly, on the lighting B2C is about 40% and B2B is 60%. You have got that .

Natasha Jain: Yes, Sir and the alternate channel mix?

Anuj Poddar: Yes, the alternate channel so trade is about 57% so rest is all non trade channel .

Natasha Jain: Understood. Sir and my final question is more of a medium-term question? Now why while we did our channel checks we definitely appreciate that the quality of the

products has been

quite good? A lot of our channel checks did tell us that however the challenge that we saw is that probably the perception of the brand is still not a premium brand probably still an economy brand? I just want to know what is our strategy in terms of changing that perception and how are we spending our ads to build that part of our portfolio?

Anuj Poddar: So firstly, thank you for the feedback and I think part of the answer lies in your feedback . I think brands can talk itself and say whatever, but the product is a real test of and that has changed . As that changes in the marketplace that always has a greater weightage and impact of perception changing . The brand communication only amplifies that but cannot deliver that perception change in the absence of real product change on the ground. If you look at product change on the ground while we have rolled out a lot of these products it is a process of evolution and surely it takes three to five years for the entire portfolio to refresh so every year if you are refreshing about 15% to 20% of the portfolio it is a three to five year period by which time 60 % to 100% of product portfolio in the marketplace changes so you start hitting a tipping point on perception change after that three mark okay and the best example that you will see to how perception of a company or a brand or product has dramatically changed is two of the leading Indian automakers. I am not naming them, but you can guess

who these guys are. They were not known for ; they were known as cheaper ordinary auto makers but now look at five to seven years later into the journey the perception of both of these auto companies have dramatically changed both at a product and brand level so in a way that is the best proxy for you what we are aiming for . In three to five years, you will see us hit that infection point or tipping point where consumers would have forgotten the Bajaj Electricals Limited

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Page 17 of 19 old Bajaj and think of Bajaj or Bajaj Electricals and all of these brands together in a completely different way.

Natasha Jain: Understood Sir. That is helpful . Thank you so much. Those were my questions and thank you and Happy Diwali to you.

Moderator: Thank you. The next question is from the line of Chirag Lodaya from Valuequest . Please go ahead .

Chirag Lodaya: Thank you for the opportunity. I just have one question so given the current situation where we are seeing increased competitive intensity slowdown is persisting more than we would have envisaged and there is some change in technology on LED front , etc., which is leading to price erosion so given this context now how you would like to revise your margin guidance? Earlier we are pretty confident of reaching 9 % to 10% kind of EBITDA margin in near to medium term so given this situation how you are looking at the margin trajectory now going ahead?

Anuj Poddar: So, Chirag I always prefer to look outside in or know future back so I think over a medium terms there is no change in our guidance, and I would say the reason why is because markets you can not control so therefore our strategy does not change for that . Unless my fundamental medium to long term with the market changes so that has all changed. I do think any economy goes through cycles . This cycle has got to change at some point of time. Unless we believe the India, story or consumption story has gone away . If anything, some of these longer cycles or in a way also weeds out the weaker players or cuts back the nuisance value so if anything, if you look at from a three to five-year perspective this actually better for stronger established players that cuts out the nuisance value of weaker players, so it comes back . It actually comes back much stronger than had you not gone through this weaker phase and that is why remain confident not just of margin

s over the

medium to longer term but actually with a greater upside on topline on that . You will see greater consolidation happen because of this .

Chirag Lodaya: Right but if I have to just extrapolate how FY2025 - FY2026 even situation improves say from second half will still be near to 9 % to 10% or it will take more time than what you would have initially thought because see lot of things have changed versus the six months back so trying to understand are changing the time period for reaching that double digit

margin aspiration or you are still confident that whenever economy picks up we will see this double double digit margin coming soon?

Anuj Poddar: So very easy answer as soon as economy picks up you will see that . If the economy is in good shape by 20 26, we should beat that num ber.

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Page 18 of 19 Chirag Lodaya: Okay got it . Thank you and all the best.

Moderator: Thank you. The next question is from the line of Manoj Gori from Equirus Securities .

Please go ahead .

Manoj Gori: Thanks for the opportunity, Sir. Sir one question if you look at, we have been emphasizing a lot on the new product launches and more towards the premium and can you give some data points with regards to what would be the contribution , products that have been launched a year back and probably how this would have been in the same quarter last year from the products which were launched in the preceding one year ?

Anuj Poddar: So, Manoj we do not put out actual NPD contribution or MU contribution of that. T hat The best metric for that is things like for example when you call out category mix you look at fans as a category mix how that is improving. T hat is because of the back of new products . If you loo k at the new mixer that we put out lot of that 750 watts to 800 watts on the back of new products . If we look at coolers that growth which has been very high, it is on the back of new products . I will tell you two smaller categories . These do not get mentioned but these all add up to long tail. If you look at things such as personal grooming that we launched right now online in Morphy Richards is taken off extremely well . If you go and do channel checks or something like kettles, we have really grown kettle s at almost 300% in the last one year, etc., so these are all new products that are adding up and giving us some buoyancy. The big categories such as kitchen appliance, etc., that will kick in as a market will kick in. In the meantime, all of these segmental launches , new products or these products are what is driving growth for us as well.

Manoj Gori: Right Sir and Sir one last question so probably we have been seeing p rice erosion into B2C business setting in the lighting segment? Do you see this as a ris k even to your B2B business probably in some time of probably a few quarters ahead ?

Anuj Poddar: Not really so that B 2C erosion is happening particularly because of this DOB thing which is particular ly affecting the sector and also because that is an easier entry business for new players to come in some of whom lead that and sustainable business models . I think B2B does have more serious established players . It has got a higher entry barrier. It req uires more solution orientation, etc. It requires execution , project skills, etc., so I think that is slightly more insulated from this.

Manoj Gori: Right Sir. That was very helpful . Thank you and wish you all the best.

Moderator: Thank you. As there are no further questions from the participants , I now hand the conference over to the management for the closing comments. G o ahead Sir.

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Page 19 of 19 Anuj Poddar: So, thank you . I will keep my closing comments very brief . It is just wrap up of my opening comments . We know it is a tough environment . The results are mirroring the tou gh environment

externally. I think internally we continue to maintain our focus on our strategic initiatives . I think internal metrics continue to look strong. T he one thing we will not shy away from is focusing the medi um to long term . Hopefully we will not make short term myopic decisions in the interest of sacrificing a medi um to long term . If you do look back at both at two -year access and performance, you will see the merits of what they seeing but also qualitatively like one of you also mentioned on the call our product profile is changing the marketplace. We do have grand scores that are reflecting that. T o me those are two biggest most important parameters of any consumer centric business. W e are getting a product and brand strategy right. The numbers will follow based on market conditions, so with that I will wrap it up . Thank you very much and good evening to you.

Moderator: Thank you. On behalf of Ambit Capital that concludes this conference. Thank you for joining us and y ou may now disconnect your lines .

Call: Feb 2024

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February 9, 2024

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the 'Transcript of the Q 3FY24 Earnings Call' of Bajaj Electricals Limited
("Company")

Further to our letter dated January 25, 2024, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q 3FY24 Earnings Call (i.e., Post Earnings/Quarterly Call), organized by ICICI Securities Limited on Monday , February 5, 2024, at 4:00 P.M. (IST) , where in, inter -alia, the Unaudited Financial Results of the Company for the third quarter and nine months ended December 31, 2023, were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer & Company Secretary

Encl.: As above.
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"Bajaj Electricals Limited
Q3 FY '24 Results Conference Call"
February 05, 2024

MANAGEMENT : MR. ANUJ PODDAR – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – BAJAJ ELECTRICALS LIMITED

MR. E.C. PRASAD – CHIEF FINANCIAL OFFICER –
BAJAJ ELECTRICALS LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Bajaj Electricals Q3 FY '24 Results Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the

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listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi. Thank you, and over to you, sir.

Aniruddha Joshi : Yes. Thanks, Veeran. On behalf of ICICI Securities, we welcome you all to Q3 FY '24 Results Conference Call of Bajaj Electricals. We have with us senior management represented by Mr. Anuj Poddar, Managing Director and CEO; and Mr. E.C. Prasad, CFO.

Now I hand over the call to the management for initial comments on the quarterly performance, and then we will open the floor for question-and-answer session. Thanks, and over to you, sir.

Anuj Poddar : Thank you, and good evening, everyone. This is Anuj Poddar. Thank you for joining our call this afternoon. I will start with a few opening comments, and then we'll move on to the questions and answers.

As you've seen, it has been a relatively soft quarter, and I think that's in keeping with the overall trends of a soft consumption demand environment that we are seeing in the economy. That said, let me try and just delay a bit of the data for you.

Consumer Products business has been a bit softer with a marginal decline in growth at about 8%, while the Lighting Business has held relatively flat despite the soft environment. In the Consumer Products business also, it's important that we highlight a few takeaways into the numbers. This if you look at on a Y-o-Y basis, actually, it's coming off a higher base last year. Last year's base had 2 contributory factors that made it a high base.

One is the BEE transition in the Fans category because of which there was a high liquidation of non-star rated fans in Q3. We, as a company, in particular, had an exceptional Q3 last year in Fans with a 64% growth. So we have an exceptionally high base of Fans last year. The other contributory factor for us last year was the redemption of the RBP points that contributed upwards of INR 50 crores in revenue in Q3.

So if you take out the impact of these 2 factors, actually, we've had a soft to moderate growth in the Consumer Products business also on the top line Y-on-Y in Q3. Coming to the Lighting business, as I shared, it is a flat to plus 1% growth between the Consumer Lighting and the Professional Lighting businesses there.

Within the Consumer Products and Lighting, again, if I look at it from a channel mix perspective, actually, our alternate channels, which is our modern trade and online as well as CSD as well as exports, they've all grown well. The softness that we're witnessing is largely driven by softness

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in the general trade. Those channels that are underperforming, and that's where we've seen decline in growth and that's resulting to cumulative decline in growth that you've seen.

Coming to margins, I think our margins have been softer. The impact of that is 3 elements. One is we've had a one-time impact of warranty provisions correction. We shall talk about that later in the call. So that's a one-time impact. Besides that, there are 2 ongoing impacts. One is, because of the soft-demand environment, there's a high level of competitive intensity in discounting that is leading to softness in the net gross margins, as well as negative operating leverage because of overall scale effects.

The underlying metrics for us, which we continue to track, continue to be strong. We're happy to talk about that later in the call. And overall, strategically, we're confident in terms of what we're doing in the brand and products, some of which we showcased in the deck. And again, we'll be happy to share more on both of these

ideas.

And the final point that I'll make is in the cash flow despite the P&L, we continue to remain very focused on cash flow. We continue to optimize the working capital in this quarter also, which generated positive cash from operations of about INR 115 crores.

So with that, I'll hand it back to the moderator. Thank you very much.

Moderator : Thank you very much. We have our first question from the line of Dhruv Jain from AMBIT Capital. As there is no response, I would like to take the next question. The next question is from the line of Mr. Achal Lohade from JM Financial. Please go ahead.

Achal Lohade : Sir, can you first, from a 9 -month perspective, if you could just broadly talk about the category - level growth, how the growth has been, let's say, for finance or mixer or air coolers or in those categories, if you could?

Anuj Poddar: I can give Appliances, Fans and Morphy Richards level. So a 9 -month perspective, appliance has been an extremely, extremely low single -digit de -growth, so it is almost flat. Fans has been a slightly higher single -digit de -growth. I think that's largely because of this particular Q3, because of the high base effect. Before Q3, Fans was also in growth in the first 6 months. And Morphy Richards in single -digit growth. So it's the first time we're starting to see growth in Morphy Richards since the last few months here.

Achal Lohade: And would you be able to also talk about 3Q for the similar 3 segments?

Anuj Poddar: Sure, yes. So in third quarter as well, it's a similar trend. Appliance is very low single -digit de -growth. Fans in the case is in the high teens de -growth because of the high base effect that I spoke about. And Morphy Richards is mid -single digits growth.

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Achal Lohade: Understood. And the softness was across -- throughout the quarter or it was more pronounced in the beginning and then you were seeing some improvement since December? Anything -- any color on January as well?

Anuj Poddar: So it was largely through the quarter. But if I had to take a very strict tweak on that, then it did pick up in December over the start of the quarter. So if anything, that's not a very sharp uptick, but it is an upward movement that we've seen between October through to December.

January is a little early to say. Feb will give us a clear trend. January also came to same line. But we do expect Feb, March to pick up also because the winter has now kicked in. One other observation we've had in Q3 is that our secondary sales have trended well ahead of primary sales. So in fact, we built a favourable gap wherein when primary picks up, that should be able to close the gap, that should be in our favour again.

Achal Lohade: Understood. The other question I had with respect to the margins. Now even if we adjust for -- if you could first talk about the warranty thing as to how it is kind of getting accounted for? And the second, adjusted for this warranty, how the margins would have looked like on a Y -o-Y basis? And you also pointed out about the high competitive intensity impacting the gross margins as well. If you could give us a sense as to what extent has that had an impact at gross margin level for this quarter?

Anuj Poddar: Sure. So first, I'll let our CFO talk on the warranty provisions.

E. C. Prasad: Yes. So Achal, this warranty insurance, we bought in last year and this was probably the first in the industry. So there was no precedence of how this was accounted for. So we and the auditors had taken a call that the premium that we are paying has to be amortized over the period of the insurance.

However, after -- the initial phases, we had products getting insured at various levels throughout the months. Now having reached a point where all our products are now insured, we had assessed this accounting once again. And we are of the view that

that ideally, we should be charging off the entire provision instead of amortizing over the period of the insurance. So this -- hence, that is a onetime impact that you see of INR 21 crores because the insurance premium that we are paying, we're now charging off completely to P&L.

Anuj Poddar: Your question on the margin. So if you take out the effect of schemes because we internally tracked that separately, gross margins at the FLM level have gone up by about 1.5% blended across our product categories. Then some of that has gone back in the form of schemes to trade. But in a product category level if you aggregate that, it's up by about 1.5%. I think this is a mix of 2 aspects. One is the portfolio optimization or premiumization, and second is improvement on COGS.

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Achal Lohade: Understood. And sir, if you could update on the logistics, where are we? What I remember earlier, we had talked about close to 200 to 250 basis point impact of these duplicated costs. So where are we on that journey?

Anuj Poddar: So we are actually back to the levels, the cost levels that we had in about Q3 last year. So we are back to that level. So the related cost that was there in Q4 FY '23, which is JFM '23 and April,

May, June '24 -- sorry, April -- I'm sorry, I'm mixing it in calendar year and financial year. So the elevated costs that were there in the first 2 quarters of this calendar year because of a transition, that has all gone negated and rolled back to normal cost of logistics that we had about a year ago.

Achal Lohade: Understood. And in terms of the demand situation, how do you read from a medium - to long - term perspective? I mean, the recovery has been fairly elusive for a while now. So how do we see this for the industries you could comment? What are the sort of lead indicators would you look at? Any comment on that, please?

Anuj Poddar: So Achal, to be honest, we've been calling it out since 4 quarters, I think others have called it out later. We are seeing weak consumer sentiment in the economy across the board, starting initially with rural. But that had built up into lower urban, lower middle class segments, okay? And I think that is manifesting itself across many consumption sectors, though there are some exceptions.

For us, given that historically, we've been slightly more skewed towards rural and second, third tier, etcetera, and the lower price segments, obviously, the impact to us has been sharper. That said, as our journey towards premiumization is moving and our brand scores are improving, our focus on retail also towards urban India has been increasing, and we will continue to drive that. In the short term, while rural or the non -premium segments are facing the brunt more, obviously, we are facing a slight more brunt. But we are in the process of de-risking on that. We're starting to see some of that in Morphy Richards also from this quarter onwards. We should continue to see that on Morphy Richards, but also on the other main brands and other categories as we start to premiumize on that front.

That said, how long will this continue in the future? I don't know right now. To your question on lead indicators to meet employment or jobs, interest rates, these are a couple of lead indicators. I do think jobs are in much better position now than they were until about 6, 7 months ago. If that trajectory concludes or if it simply holds on that front, and the second lead indicator of interest rates stabilize to start coming down, I think that to my mind, will be the trigger for consumption to come back on a structural basis.

On a tactical basis, election is coming up any time soon in the next 3 to 4 months. I think that should put some cash in the economy at a consumption level. So I think tactically, there will be

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a

short -term blip because of election. Structurally, I think when interest rates come down in job zone, we will see a structural upside.

Achal Lohade: Understood. This is very helpful. Just one question, if I could ask, in terms of the mix of premium products, if there is any way to quantify in various categories?

Anuj Poddar: So at an overall level, if I look at, let's say, in Fans, we don't publish the data, our overall over the last 2 years, premiumization has been about 6 percentage points saying in our contribution between subeconomy fans to the other economy and premium fan in favour of economy and premium. Similarly, if I look at water heaters, we had about 2 percentage point contribution shift in favour of the water heaters. If I look at Lighting and recessed, ceiling lighting, again, we've had almost about a 4 percentage point improvement there in portfolio premiumization. So we had 3 core segments where we were not premium at all.

Achal Lohade: Understood. I'll fall back in the queue for more follow -ups. Thank you so much.

Anuj Poddar: Thank you, Achal.

Moderator: Thank you. The next question is from the line of Anuj Sehgal from Manas Capital. Please go ahead.

Anuj Sehgal: I had a question on the distribution side. So Bajaj Electricals went through the whole RREP program and went into a distribution model where it was more of a poll -base model. Are you guys still continuing with that? And in the current scheme of things where things are generally slow, I just wanted to get a sense of how that is faring and the whole idea of improving return on capital, both for the business and also for the distributors, how has that sort of played out, let's say, in the last 12 to 18 months?

Anuj Poddar: So that's WIP. It's a good question. What we are now in the process of implementation what we call RREP 2.0, which means there certain features of the original RREP that we're retaining with some features that we are revisiting or changing going forward to suit the current business and the future business, okay?

What I mean is if you look at RREP, there's a whole theory of constraints on not dumping, having certain price discipline, territorial discipline, those aspects, we will continue to maintain. There are aspects where we had moved to a model where we will have a single distributor across the entire product portfolio, entire multi -category. That part we're revisiting. And we think we need different distributors who can cater to or specialize in the focus on different product categories,

particularly as we expand our product range and offering. So that part is something revisiting. Similarly, in the traditional RREP, we have fared well on penetration and reach expansion, particularly into Tier 2, Tier 3 rural. So that benefit we are continuing. But that was also the cost of weighted distribution, large urban counters, large value counters, which we had not been very

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strong in, we were under indexed in. That was not probably because of distribution defocus, but also because of brand and products are not premiums.

So as we are preimmunizing our brand new products, we are looking at different approaches for urban India in a large value counter. So that's an aspect we're opening up. So in summary, the core of theory of constraints, pricing discipline, not dumping we're retaining, but other aspects aligned to our business model and new product category premiumization, urban focus, those we are able to retain.

Anuj Sehgal: Okay. That's very helpful. And just to clarify, the reason you have to do that is because as you preimmunize you have to have a dedicated sales team for specific product segments so that they can be more effectively -- they can more effectively service as our large accounts. Is that the main reason?

Anuj Poddar: Yes. But I'll explain that a little more qualitatively. For

example, consumer lighting, we do not

have a separate business vertical -- we now have a separate business vertical and may require a separate distribution for consumer lighting otherwise it does not get focused. And the way trade of functional with lighting is different from how it functional appliances. So in Fans, we have wholesale, etcetera, that's a large channel, but we're missing out on that whole part of the trade that was not -- that old R REP was not conducive to that. So we actually opened up some of those things there.

Third, when we're launching Morphy Richards, Nex or even the NPG categories, etcetera, the bid plan is separate because actually in retail counters for those product categories are different from the traditional retail counters for our traditional Bajaj products. So to cater to that, we do need separate go-to-market efforts on that.

In some cases, the same distributor can do justice to it. In many cases, they can't. So to actually service -- the best examples, consumer lighting, fans, Nex, Morphy Richards, NPG, etcetera, we could not have contributed to the existing model. So we therefore said we will revisit our distribution model and keeping with our current and future product focus areas.

Anuj Sehgal: Got it. Very clear. And my second question is on the margin trajectory for the consumer business.

Obviously, you have laid out a road map of getting to double-digit margins, but we are nowhere close to that even if we exclude the one-offs. So how should we think about the margin trajectory for the business, let's say, over the next few years?

Anuj Poddar: So Anuj good question. There's 2 buckets I'll put it in, buckets for cost aspects that are unique to us and cost aspects that are indicated to the external market. On cost aspects that are unique to us, our current investments in R&D, tooling, digital IT, etcetera, what we're doing, those are unique to us and those are overloaded right now. I think those will continue to mature over the next 12 to 24 months. And then when that happens, those will start falling off faster and the ROIs on that will start kicking in. That's why there should be some margin release.

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The second bucket which is really hurting us now more than anticipated was the external market factors, which is manifesting itself in two ways that I told you. One is discounting. I think lot of this discounting and schemes are tactical and therefore, making the expansion in gross margin that we are otherwise enjoying. So I think as soon as markets picks up and some of these competitive tactical bottom fishing goes away, I think that will come back.

And the second is pure operating leverage. Right now, it's negative operating leverage. Our internal math is, we need about cost structure, etcetera, at INR 330 crores, our operating leverage starts kicking in. Right now, operating is below that, about INR300 crores, INR310 crores, where we are seeing a negative leverage.

We have two options, either to start contracting ourselves structurally, which I don't think is in our medium-term interest. So therefore, we will hold to our current model and structure till we start seeing some traction in the market, which we think we should in the medium-term.

Moderator: Thank you. The next question is from the line of Anirudh Agarwal from Value Quest Investment Advisors. Please go ahead.

Anirudh Agarwal: First question was on the kitchen appliances segment benefit. So notwithstanding the fact that

macro has been slightly muted...

Anuj Poddar: Sorry, Anirudh, you are not very clear. I heard your kitchen appliances. I didn't hear after that.

Anirudh Agarwal: Hello? Is it better now?

Anuj Poddar: Yes.

Anirudh Agarwal: Yes. Thanks. So first question was basically on the kitchen appliances segment. So kitchen appliances, notwithstanding the fact that macro has been

been fairly muted, all the initiatives that

we've been taking over the last couple of years or so on distribution, on product and so on so forth, don't seem to be adding up to any sort of growth for us, right?

So, if you can just help de-average that in terms of how new products would have contributed, distribution expansion would have contributed? And what is the impact of the core industry growth slowdown, that will help?

Anuj Poddar: So again, Anirudh, good question. And I'll just be candid with you on what we're seeing on the data and then we can conjecture on what's happening. Yes, there's clearly a slowdown in kitchen appliances in particular since the last few quarters. We're seeing that for us and also seeing for other competition where kitchen appliances is a large part of the portfolio.

What we have been focusing on a product level, there is a fair amount of innovation even on a proposition of durability, etcetera. Our primary research on brand scores and the recognition of Bajaj Electricals Limited

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our durability, we are seeing clear upticks on brand scores for us in the kitchen appliances as well as recognition of our products scoring higher on durability.

Is that translating to monetization? No. Is that because of a weaker market? Probably. What we also believe is that conversion of our brand and product innovation into actual brand salience will take some time. So I think today, we are coming in from a historical perspective where we've not enjoyed high brand salience. We've typically been price warriors.

Even in kitchen appliances, even if we've been players of scale, today we're moving into value proposition innovation. It takes two, three, four years where people start recognizing us for that and start allowing us to convert that into pricing power. So in a stronger market, hopefully, we should start seeing that traction. In a weaker market, today, we don't have the ability to price ourselves out of a weakness of a market.

Anirudh Agarwal: Right. Understood. And basically, related to that, if we just highlight some numbers. In the distribution expansion part, where would we be in terms of the number of distributors, number of retailers' reach? And any other internal metrics that you would be tracking to understand where we are headed with the entire distribution expansion strategy?

Anuj Poddar: So our retail count on annual basis right now is about 2,10,000. On a quarterly basis because of some counters not being active in every quarter, that falls just under 2,00,000, yes. At a distributor level -- one sec, let me just put out the exact number for you. Give me a second, I'll just give you the distributor count. That distributor count today is about 742. And this was again expansion, like I told you, because of starting to move to non-exclusive distributors across different categories.

Anirudh Agarwal: Right. Understood. And the same 742 would have been around 550, 600 a couple of years back, if I remember right?

Anuj Poddar: So a couple of years back, it was that. It was about -- one year back, it was about 654.

Anirudh Agarwal: Okay. So essentially, you're saying that we've got the distributors going up, but the retailers' reach essentially has not gone up. But is there any sense on the WD?

Anuj Poddar: But retailer reach, to be honest, we are not looking to push that because I think marginally, utility of retailer expansion is low. Our focus now has moved to WD from ND, which is to focus on the urban higher value counters where we are present, but extraction needs to be higher.

So rather than focus on just expanding from 2,10,000 to 2,20,000, I don't think the incremental 10,000 counters will give us business. As opposed to the 20,000 counters, how can I start extracting greater values, particularly with my urban and premium products per share?

Anirudh Agarwal: Right. Then the metric to track

for you would be WD, right?

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Anuj Poddar: That's right. WD and our own portfolio mix, etcetera; urban, rural mix, all of those metrics.

Anirudh Agarwal: Okay. And are you seeing any improvement on that front as of yet on WD and...?

Anuj Poddar: So we saw some in the initial two quarters. Now last two quarters have been kind of flat lining.

I think what we're also seeing is that growth is one aspect, but the cash collections have become weaker in the market. I'm not talking to us because they're largely linked to channel finance. But from retailers to distributors, just with the cash flow has become weaker, the liquidity in the system has dried up, the credit periods have elongated. I think these all typical outcomes of weaker markets. So when the market picks up, I think cash needs to move much faster for that to pick up overall.

Anirudh Agarwal: Right. Understood.

Anuj Poddar: One of the comments I made I think to answer the first question. It's the first time that we've seen a gap between primary and secondary sales. The secondary sales in Q3 have outstripped primary sales. But that lag is only built up, which means people are de-risking a little bit. So that's a good place to be in because when people start then moving away for this de-risk approach, then primary sales should grow faster than secondary sales whenever that happens.

Anirudh Agarwal: Right, understood. And on Fans, Anuj, I mean, let's say, Q3 obviously had a higher view last year, but even on a 9-month basis has been fairly soft. So any outlook on Fans sales as we go ahead?

Anuj Poddar: So on Fans, to be honest, we stay confident. Fans and coolers are 2 areas where even in this year, 9 months, our primary research shows that we've had a marginal growth in market share almost 1 percentage point. So if you look at an overall basis, I think we're trending well. I think Q4, again, we should see a further pickup, particularly on premium Fans. Q3, typically, people stock up at least a little more in sub economies. Q4 is where we should see some pickup in premium. But overall, market share gains are something visible to us on our primary research.

Anirudh Agarwal: Great. And if you could just quantify on the gross margin front, what the impact of these additional schemes and discounting was because given the fact that we've been premiumizing at a decent clip, plus pricing benefits from lower commodity cost on a Y-o-Y basis, there should have been some improvement on the gross margin, right? I mean, as you said, 1.5%, but if you can just elaborate a little bit more on that as to why the single 5 percentage point gross margin impact Y-o-Y?

Anuj Poddar: This impact is as high as almost 3.5 to 4 percentage points. So that is hurting us. We started to take -- signal a correction in that. The way we're doing that is from December, we started to take some price increases, though we've again passed some of that back on, but this is to start

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signalling that. Ultimately, we need to start also some price increases and the scheme will go down.

The other thing now we started linking from Jan onwards when some of these are flat line schemes, now it's only schemes are getting more and more linked to volume expansion. So to us, now some of the schemes are not all of it can be linked to volume expansion. We started splitting the schemes or the impact of the schemes between the general givebacks to give back or supporting trade, some of it is linked to the overall growth. So we'll see how the market takes that, but it started from January.

Anirudh Agarwal: Understood. Final question from me was on the warranty cost. So recurring warranty cost will be seen in the quarters to come?

E. C. Prasad: Next quarter will be the normalized warranty that we provide for based

on the failure rates of

the product. So there won't be an aberration like what we had this quarter. So it will be in the range of INR 5 crores to INR 6 crores.

Anirudh Agarwal: Understood. So basically, on the other costs, broadly run rate would be the number X of this INR 21 crores of incremental provision that you've made, that would be the fair run rate to assume going ahead?

E. C. Prasad: Yes, I didn't get that question.

Anirudh Agarwal: No, I was saying on other expenses. So if I exclude the warranty cost for Q3, the incremental provision that you made, so that number is the sustainable run rate on other expansion?

E. C. Prasad: Yes, yes, that's true. That's true, yes. And besides that, the A&P spend this quarter was a bit low, so that can add up a bit in Q4.

Anirudh Agarwal: Okay. Okay. Understood. By how much? I mean, what the spends have been in this quarter and 9 months till now, if you can share?

Anuj Poddar: This quarter has been about 2.8%, 2.9%. YTD has also been in the same range here.

Anirudh Agarwal: Understood. And this is slightly lower versus last year or?

Anuj Poddar: It's about 1 percentage point lower than last year. Last year, as I would say, with Q3, Q3 was about 4.3% because we had spends towards the 'Built for Life' Campaign. But if seen on an annualized basis, about 1 percentage point.

Moderator: Thank you. The next question is from the line of Dhruv Jain from AMBIT Capital. Please go ahead.

Dhruv Jain : Sir, I had a question on the Lighting business, right? So we've seen this prolonged realization impact, right? So when does this start to reverse? And do you expect same next year, the investor is back to double-digit growth? Any free train of thoughts would be helpful, sir.

Anuj Poddar : So firstly, yes, there has been softness in Consumer Lighting in general. And then in the last couple of quarters, the price erosion has been impacting Lighting, Consumer Lighting business. That said, in this quarter, our performance in Consumer Lighting is flat at about 0%, which means we have bucked impact of the softness to make up for it in alternative ways. We are confident that 2 to 4 quarters out, we shall start seeing growth in Consumer Lighting. Our product range is fully in place now. Our go-to-market has been slightly slower than anticipated because of the softness in marketplace. That said, along with the consulting firm that we've just engaged, we embarked upon a 12-month project for actually expanding a go-to-market.

I think first 6 months Phase 1 is more about more preliminary work. But -- therefore, I think post 6 months, we should start seeing the benefits of that project, which shall culminate in 12 months. So anywhere from 6 months to now to 12 months onwards, you should see an impact or benefit of our go-to-market project that we've initiated and therefore, in turn, benefits on our revenue monetization rate.

Dhruv Jain : Okay. And sir, on the capex side, I think you've done about INR 100 crores kind of capex in this 9 months. And so incrementally, what is the kind of run rate of that you would be expecting? And is there a shift in mindset of kind of doing more things in-house or any free train of thoughts there, sir?

E. C. Prasad : So most of these capex are pertaining to the dyes and moulds that, in the new products that we have invested in and not on the expansions of factories, et cetera. And this would continue for one more year because we'll be launching more products under the Nex and also in the Bajaj categories. So we can expect about INR 40 crores, INR 50 crores more capex coming in for the next financial year.

Dhruv Jain : Okay. And I mean just final question from me. So we've seen a little bit of prolonged kind of down cycle here, right? But individually, say, the 4, 5 key categories that you operate in, do you thi

nk that growth for the next 4 or 5 years will be high single digit? Or do you think that there are certain categories, which can bring surprises further from here? The reason for asking this question is that in certain categories like fans, we are seeing penetration of close to about 90%. So just your thoughts there, sir?

Anuj Poddar: That's a good question, Dhruv. I wish we could predict that precisely. That said, I think fans on a value basis should continue to grow despite the penetration levels being high because of an upgradation at an average ASP level of fans category across form is number one. Number two, I think replacement cycles. So fans should continue to come down over the next many years

because Indians typically have fans replacement cycle as longest tenure, that has to continue correct -- over a period of time.

When and how the inflection point comes, we shall see. I think the bigger opportunity to my mind lies in appliance space. The recent past, particularly kitchen has been used for everything in the medium term, appliances because of lower penetration, as well as this movement towards higher ASP should see a double figure.

Every cloud has a silver lining as I say. So we've now reached an elongated period of weak market environment. But what that also does really is, it prevents a lot of entrants that were coming in. I do think some of us are all facing a brunt of this and our ability to face a brunt of this is stronger or better than many of these other players. So the 2-tier perspective, I think some of the players, Bajaj, for sure, will be left standing in beneficiaries of this elongated and high-stressed period.

Dhruv Jain: So just one small question to your answer here. So is it that competitive intensity currently is materially lower versus what it was two years back? Are you seeing that on the ground?

Anuj Poddar: It's also competitive intensity, so I think the number of players that are starting are attracted to the sector two, three years ago was very high. I think from a number of players perspective, the intensity is slightly reducing. The nature of competitive intensity is more amongst the existing players that there's a race to the bottom because of tactical measures like discounting, etcetera. That's solely a desperation to sell.

I think that cannot continue for long. So the players as they start reducing, when there's a drive toward consolidation, then automatically some of this pricing irrationality also goes away. So when market comes back, I think what we should be left with is a more consolidated market, fewer stronger players and with a better pricing strategy and rational behaviour. So I am differentiating between the types of competitive intensity.

Dhruv Jain: Okay great. Thank you so much for the elaborate answers and all the best thanks.

Anuj Poddar: I just want to call out and take this opportunity to address what I spoke in the opening comments, that to us, we are clearly here as long-term players. We are here to actually maximize on the next five to seven years. And therefore, we are being very clear on our brand and products. And we are seeing -- I'm saying this with complete conviction, that our brand scores are clearly showing sharp uptick across most of our product categories.

And this brand architecture, how's the brand approach that we unveiled, we've shared with all of you, we're starting to see where the positioning of the brands, particularly Bajaj as a durable brand, is starting to get recognized. Having said that, these are not short-term changes. These are changes that take time to actually start moving the needle where -- as it needle moves over

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the next two, three years, as we mature in these claims and perception in the marketplace, that's why we called out

something with a good design award.

As we start getting recognized for better products, better quality products, better aesthetic products, etcetera, that pricing power brand salience will hold us in very good status over the next three to five years. Okay, not put in the debt is also quality. We measure COPQ, our quality metrics. That is improving drastically. I think all of this with design to actually help us stand out in the next three to five years.

I don't want to name competition, but we are seeing inverse scores for some of the competition, I think the short term that is helping them. For the long run, I think that will start hurting them as a brand -- as products as these line scores continue to deploy them. Moderator, you can go to the next person in the call.

Moderator: The next question is from the line of Chaitanya Panchmatia from PL Capital. Please go ahead.

Chaitanya Panchmatia: I want to ask you, what is the announced manufacturing right now? What percentage of total manufacturing is announced? And what is your target for FY25 or going ahead?

Anuj Poddar: Percentage Inhouse. So percentage of inhouse manufacturing right now is about 20%, 80% outsourced. We don't have a specific target, but I think that should -- for FY25, that should remain at a max of 25%.

Moderator: The next question is from the line of Rahul Gajare from Haitong Securities India Private Limited. Please go ahead.

Rahul Gajare: You've talked about demand at length. I just want to understand one aspect. We do realize that the demand is not as badly impacted at the premium products. And I think you did -- when you commented on the growth of mid-single digit for Morphy Richards, I think that is just supporting that argument, that -- at the premium end of the product, the demand is not as badly impacted. So what is your thought on, I mean -- and you also indicated that your premium shift has been about 6%. So I would think, at least in your fans, your premium portfolio should be about 25%, 26%. How do you tackle this separately? How do you deal with premium basket? And how do you deal with mass market basket, especially in the light of the next brand also that you have launched? So that's the first question.

Anuj Poddar: So Rahul, I think all valid points. And therefore, we ask and you'll see, historically, our indexing has almost been 95% -plus on premium. So as we start making that shift, I think as a gradual shift, we're starting to see that in our portfolio leading the trends, but also with mixers, grinders, water heaters, etcetera, portfolio mix is improving within that.

While Morphy Richards will lead that in the top 10, Morphy Richards is a small contributor there. I think that will continue to grow even in this weak market, as we've seen. But for us, the

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bigger step-up will also come from Bajaj itself premiumizing, which we are starting to see. So the fans shift that I talked to you was led by Bajaj, but also the water heaters, mixers, grinders, etcetera, is happening in Bajaj.

Coming to Nex. I think Nex for us was three to five years strategy. So I think going into long-term future, fan will remain a key category for us. And we do think the category, given its size and scale, that merits us having two brands in that category. And Nex will just help us accelerate

that shift of gaining share in the premium segment. This year, as we've shared in the deck, we've just launched -- opened it up to trade. We'll see what the response of trade is, but it's not a singular focus for us, that will continue going forward.

Rahul Gajare: I think you all also talked about looking at additional capex of about INR 40 crores to INR 50 crores in mo ulds. So this is going to be across Morphy Richards, Nex and Bajaj? Or are you going to be focusing more Morphy Richards for a particular type of business and Nex only on

the Fans? Can you just clarify that?

Anuj Poddar: So the capex across the company, across brands, that said, actually, Morphy Richards has very less tooling in mo ulds. So that tends to be bought out products more. So we look at the nature of products, then we showcase some of that in the deck this quarter last quarter. These were not high-volume products. So these are typically not exclusive products to us. But these are -- it's more curation as a brand that we're doing. These are typically third -party products.

A lot of the innovation exclusive products to us still lie under Bajaj, but also in the Nex. So all this capex tooling, etcetera, that will happen in Bajaj and Nex, and that's where we see higher volumes. So we are optimizing that across these different brands and categories.

Rahul Gajare: Anuj, my last question is on the balance sheet. The company has no debt, decent cash flow. I think even in this particular quarter, you would have done, about INR 100 crores of free cash. So your interest cost is about INR 20 crores. And can you just help break this into vendor financing and other than -- if there are any major elements in that other -- so we know how to model this going ahead?

E. C. Prasad: Yes. So out of the INR 20 crores, about INR 11 crores is on the channel financing. We use about INR 800 crores of channel financing limits and this INR 11 crores is pertaining to that. Apart from that, because of the lease accounting that we do for all our warehouses, the new office that we have taken, etcetera, so that -- for the lease accounting, the financial liability is about INR 5 crores. And apart from that, there are some interest on account of the taxes, GST, etcetera, which is on the appeal. So those were there. So these are the, yes, breakup of the interest.

Anuj Poddar: You're seeing interest of cost under the finance cost line, but we also have any interest gain or treasury income that come in other income, yes. So going forward, as cash balance and balance sheet keeps building out, and finance cost line will stay. It will not net out there. But on a cumulative basis, it will start becoming a net surplus for us.

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Rahul Gajare: Okay. I missed the -- I did not get the lease number. You talked about INR 11 crores being channel financing. What is the lease numbers?

E. C. Prasad: Lease is about INR 5 crores.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: The first is related to the warranty, that's the reassess of warranty. Can you give some more color on that? And like -- because PPT is saying INR 21 crores and the press release is saying INR 23 crores. And also if you can give some more color on this, like what exactly the change and this cost has actually arise?

E C Prasad : Yes, sure. So INR 23 crores is at a company level, INR 21 crores is for Consumer business and INR 2 crores to the Lighting business. So that's the breakup. And as I mentioned -- see, this product was new to the industry. I mean, we were the first one to introduce the manufacturing warranty insurance. So the premium accounting, we are not very clear. I mean, even the auditors had a view, we had a view. And based on that, we used to amortize the insurance premium over the period of the warranty.

So for example, if you're giving a 2 -year warranty, that premium used to be amortized over the 24 months. Now most of our products are under the insurance. So now the outflow on the premium and the warranty is almost equal today. And at this stage, we had revisited this to see whether this accounting is proper or not. And then we found that there is a huge gap coming in between the premium that we are paying and the actual expenses that we are incurring.

To correct that, we said that we'll discontinue the process of amortizing this premi

um and charge

it off upfront. So this INR 21 crores is a difference of that. From next month onwards, it will be a normal impact that will come in.

Praveen Sahay: Great. And second question is related to, as you mentioned earlier in the call, about scheme linked to the volume expansion has impacted the gross margin. So can you elaborate more on that, like more discounts you are giving to push the volume? Is that a way to look at why the gross margin impacted?

Anuj Poddar: I'm not sure I fully followed the question, but let me try and address it anyway. So first, I'll just break that up. Our underlying gross margins are improving because our COGS have improved slightly, but also because the portfolio mix has improved towards premium products, so our

gross margin is slightly expanded if we go by our ASP, MOP, DLP, etcetera.

That said, we have certain schemes running across categories for channels, etcetera. So we have a month-end credit or payback to them of certain commissions, incentives. So when you net that out, that is the one that is taking away. That's the various forms of discounting in schemes. That

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is adding up to almost 3 to 4 percentage points. But without that, our actual gross margin expanded by 1.5%.

So that's the overall performance in the last couple of quarters, including this quarter 3. The linkage to volume that we said, we are tinkering around the team to see how we can mitigate the impact of some of the stuff. So there are two measures that we've done for that. One is now we further started signalling price increase because I think prices do not increase adequately, not just by us, but by industry also. So we have since the last couple of months started signalling price increase to the market.

But while in the initial stages, also passing that back through discounts. But at some point, we'll pull back those discounts to actually get full effect to the price increase. The second aspect that we spoke -- comment I mentioned earlier, is some of these schemes that were not linked to volume growth, we now started linking the schemes to volume growth to try and see if we can get an operating leverage benefit of the scheme also and therefore negates on the discount at an EBIT level.

That said, I think these are all practical measures that we are trying to optimize and balance to balance between top line market share, defense and bottom line. I think the real -- how this will really fall away when we start moving against these headwinds and demand comes back, there I think we'll all stop having some of these measures in place.

Praveen Sahay: Okay. Great. Thank you. And lastly, on your advertisement, what is the normal as a percentage of sales we can consider?

Anuj Poddar: So right now, we're operating at about just under 3%. So for the near term, if you can consider that, when we start seeing more buoyancy, we would like to go up to 4% -odd. But right now, we don't need to balance and we are not seeing great ROI advertisement with muted demand, then we don't want to burn cash here. So on an earlier comment on the price increase that I mentioned, our price increase in Fans between December and Jan has been about 2.5%.

Praveen Sahay: Thank you sir. Thank you for taking my questions. All the best

Moderator: Thank you. The next question is from the line of Sarang from Entrust Family Office.

Sarang: Hello, Thank you so much for the opportunity. My question is related to Morphy Richards. Just wanted to know couple of things over here. Like how big is the brand for us? And like you mentioned that the growth rate in MR is in single digit. My question is with the expected turnaround in sentiments and demand coming back, what can be the expected growth rate going forward? And also on the profitability front, if you can throw some color on how MR is doing?

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And lastly, how well penetrated is MR given that we have already -- we are already a well-established player when it comes to distribution network? So these are my questions related to Morphy Richards.

Anuj Poddar: So first on MR, we're now starting to see growth rate. We had de-growth happening if you take -- go back 2 quarters before that de-growth, not because premium segment was de-growing, but because we do not have a product road map in place. This was something I've spoken in the past. But post signing of the long-term licensing deal is when we started working on a long-term product road map. And now since the last 2 quarters, you are starting to see us introduce new products that are unique to Morphy Richards indistinct and separate from Bajaj. This is also a function or part of the journey of repositioning Morphy Richards as an aspirational lifestyle brand so premium if this is a price point.

But if you look at the nature of products, now we're starting clearly, have very differentiated products in Morphy Richards, whether it be coffee maker, garment steamers, air fryers, digital toasters, so on and so forth, personal grooming etcetera. So we are distinct from a portfolio of the company that we have under any other brand.

Now we're starting to see the growth in Morphy Richards. I think going forward, the growth rate of percentage will only pick up in Morphy Richards, both as the market evolves, but also as our products -- start coming out more and more of these products, we do expect that to happen, showcase some of these products.

Sorry, if the question on penetration from India perspective, Morphy Richards operates the segment, if you cut that into a low single -digit penetration. But as that part of India growth, I think that penetration level and growth rate should stay healthy, if that answers your question. The question on penetration was more geographic in nature. I think Morphy will remain or at least in the new future, our focus on Morphy will remain towards the top 50 cities of India. So while it's open through certain channels, particularly online to anybody anywhere in India. But from a go-to-market perspective, I think top 50 cities is a big change for us.

Sarang: Okay. Okay. Any color on channel mix if you can provide for Morphy Richards?

Anuj Poddar: So I think Morphy is a flip of the rest for Bajaj, and Morphy is about 60% plus in alternate channels, and between 30% to 40% in general trade. Bajaj is exactly the other way around it.

Sarang: Understood. Thank you so much.

Anuj Poddar: Thank you.

Moderator: The next question is from the line of Hardik Rawat from IIFL Securities.

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Hardik Rawat: Most of my questions have been answered. I just wanted to understand what has been the volume growth this time around in the Lighting segment because considering that there's been a price erosion still you managed to stay flat Y-o-Y. So just wanted to understand on that front.

Anuj Poddar: So the volume growth -- also, if you look at our product mix, it has been relatively flat. Why we -- despite pricing erosion, our revenue has also shrunk because our ASPs have gone up for portfolio premiumization. So it's not volume growth that is compensated, but its portfolio premiumization that's compensated for a pricing erosion.

Hardik Rawat: So is it fair to assume that volume growth has also been flat Y-o-Y, both volume and value?

Anuj Poddar: Yes.

Hardik Rawat: Alright. Thank you so much.

Moderator: Thank you. The next question is from the line of Chirag Lodaya from Value quest Investment Advisors.

Chirag Lodaya: Yes. Thank you for the opportunity. Sir, I had one question, you mentioned in the beginning that we are moving towards nonexclusive distributors, etcetera, so where are we in that journey? And if you can

share initial signs of what kind of results you would have seen from categories, etcetera?

Anuj Poddar: Chirag, as I said earlier in the call also, we've added about 100 distributors over the last one year, from 640 or 650 to about 740 right now. So that's part of -- some of these are because of the move towards nonexclusive etcetera.

That said, I think the growth expansion in terms of appointment of these distributors has been slower than we expected. I'll come to the reasons. And secondly, while we appointed distributors, their investments in putting feet on street or DSOs or push in the market has been lower or slower than we expected. I think both are a result of a weaker market, where there are also little risk averse right now not taking those bets on investments as they would in a boomed market. Or if they are willing to take those investments, earlier point I made where credit cycles in the market have elongated, their own paybacks from retail has slowed down. Therefore, they are also getting pinched right now.

So if the market had been more buoyant, we would have seen a further expansion of our distributor count, but also further feet on street from these distributors. So I think that GTM has been slower because of these factors that I mentioned.

Chirag Lodaya: And how are we implementing its category by category, city by city, state by state, how are we implementing it?

Anuj Poddar: I'm not sure what the question means. How are we implementing what?

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Chirag Lodaya: I mean, it's a big rejig right, on the overall GTM side. So...

Anuj Poddar: Yes.

Chirag Lodaya: You are thinking category by category, expecting out one category and appointing new distributors, you are picking particular geography and you are distributing those categories amongst different distributor. How you are taking it?

Anuj Poddar: So I think there are 2, 3 factors. Firstly, if you look at all our current distributors and current business, the clear skew between with distributors focus on which category, which is not going just a super like particular category for maybe various reasons, either the interest or potential or affinity or ability, etcetera. So that's first factor where we see a clear skew where there is we

see, let's say, an opportunity in fans for the distributors to focus on appliances. Then that merits a discussion on, should fans continue with the a distributor or move to separate a distributor. That's point or factor 1.

Factor 2, where we are ourselves, let's say, in fans or the categories for growing something, let's say, Nirlep is a good example or Morphy Richards where we're growing, we feel the need to now pick up that business. But we map the plan of that distributors, but plan of the distributors skewed to a certain number of counters, which you think for Nirlep requires a different kind of counters.

Then again, either that distributor has to be willing to actually invest in more DSOs to change or create a new plan for Nirlep or we need a separate distributor for Nirlep. Similarly for Morphy Richards or Next as we go forward. Therefore, we're also mapping into the future as to what our product category brands are and what is the big plan reply for that.

So it's a mix of both, what is it that they currently have data showing that's skewed towards where we feel is a loss of opportunity or going forward into a future where we feel proactively need a separate approach and is the distributor right or able or willing to do that.

Third aspect in all of this really is actual scoring in performance of these distributors, each of their -- fundamentally, investment appetite, etcetera, maybe constrained and may not match our expansion. So I think if we put all of these 3 factors, that's what defines our go -to-market structure. That's the plan on the query.

In execution when you do some cha

nges like this, you can't come at it hard at one go across all

India because there is impact of disruption. So some of those changes are by design calibrated so that both the business of trade and the business of us is not disrupted in a negative manner, but it's done in a smooth manner. This is something we've been doing.

For example, if you look at lighting. We started this journey almost 18 months ago we carved of lighting. So unlike the earlier implementation of TOC RREP where it was a very harsh

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implementation that had a stop/start mode, this is something we've been doing since the last 18 months in a more calibrated manner.

We have example of that is fans, where you've seen us have growth in fans business also by introducing wholesalers and other segments that were not operating earlier. We've done that in a manner without really disrupting business on overall basis. So the execution is far more calibrated, the strategic structural approach is more one time and very clear what we want to do.

Chirag Lodaya: Fair point. But in your opinion, how much time it might take for 2 years? 18, 20. If I just take 18, 20

Anuj Poddar: We will continue over the next 18 months we feel. So this will not -- and it's not designed to cater to now, but this is designed to cater to the next 5 years what we have to do. So the next 18 months, we will keep rejigging on our go -to-market and distribution so that if you look at out 3 to 5 years out, this distribution structures will cater to that.

Again, there are different models than that. So like if I only called out one model, which is in consumer lighting, we're engaging a consumer -- sorry, consulting firm where we're actually approaching that in a certain project -level basis, so we're doing that. Similarly for Nex. In the Nirlep, we are right now actually doing that on almost a clean slate greenfield basis. But for existing Bajaj and Morphy where we are actually doing that in a far more calibrated manner.

Chirag Lodaya: Right. And anything material you would like to call out on Nirlep because a lot of NPDs you have mentioned in the presentation on cookware also. Anything meaningful happening there, can we expect material growth?

Anuj Poddar: So Nirlep launch is slower than anticipated, we expected Q3 launch will happen. It did not happen for various operational reasons. Q4, we launched, but this is not a pan India launch right now. We're testing it in Maharashtra and East, which is Western Bengal and parts of Odisha right now. Because we see how that goes before we expand that in the coming fiscal year.

Chirag Lodaya: Got it. And just one, what would be our net working capital days today?

E C Prasad : Net working capital days is close to 22 -- 22, 23 days.

Chirag Lodaya: Versus the same time last year March '23?

E C Prasad : So we need to calculate that. So we'll come back later with that figure.

Chirag Lodaya: No problem. And just lastly, hypothetically, if we start growing double digits from next year, is it possible to achieve this 9-10% margin guidance in next 1 or 2 years? Or you would like to recalibrate given the situation?

Anuj Poddar: If it grows double digits in 2 years, it is possible.

Bajaj Electricals Limited

February 05, 2024

Chirag Lodaya: Thank you and all the best.

Moderator: Thank you. That was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Anuj Poddar: So thank you very much once again for joining us. I think you have address all our questions.

All are in the same end -- that we stay firm on our conviction on a strategic road map, which clearly, to us, internally, our brand score and brand product score that we are seeing is telling us that we are in the right part, we're not taking shortcuts.

We're not compromis

ing product quality. We're not compromising on the brand. While we are taking certain tactical calls on sales, but I'd rather tactical calls on sales and discounting while holding firm the proposition that we're offering to consumers. I think that will hold us in good stead over the medium term.

We are seeing competition takes at irrational calls not just on pricing, but actually on product quality, etcetera. I think there is different ways to achieve margin. We are not tempted to follow that course. We will stay the course in what we are doing.

With that said, we are confident about also the anecdotal feedback that we're getting on our products, etcetera. And I think if that continues on a consistent basis, then I do believe that our monetization and all of this will also improve, our pricing power will improve, that remains our core thesis as we go forward. Thank you once again, and good evening.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Corporate Office: Mulla House 51, Mahatma Gandhi Road, Mumbai 400 001
Tel: +91 22 6149 7000 | www.bajajelectricals.com
Registered Office: 45/47, Veer Nariman Road, Fort, Mumbai 400 001
Tel: +91 22 6110 7800 | Email: legal@bajajelectricals.com | CIN: L31500MH1938PLC009887

May 17, 2024

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the 'Transcript of the Q 4FY24 Earnings Call' of Bajaj Electricals Limited ("Company")

Further to our letter dated May 6, 2024, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q 4FY24 Earnings Call (i.e., Post Earnings/Quarterly Call), organized by Ambit Capital Private Limited on Tuesday , May 14, 2024, at 4:00 P.M. (IST) , where in, inter -alia, the Audited Financial Results of the Company for the fourth quarter and financial year ended March 31, 2024, were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer & Company Secretary

Encl.: As above.
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"Bajaj Electricals Limited's 4Q & FY 24 Earnings Conference
Call"

May 14, 2024

MANAGEMENT : MR. ANUJ PODDAR – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , BAJAJ ELECTRICALS LIMITED

MR. E C PRASAD – CHIEF FINANCIAL OFFICER , BAJAJ
ELECTRICALS LIMITED
MODERATOR : MR. DHRUV JAIN – AMBIT CAPITAL

Bajaj Electricals Limited
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Moderator: Ladies and Gentlemen, Good Day and Welcome to Bajaj Electricals Limited 4Q & FY24 Earning Conference Call hosted by Ambit Capital.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhruv Jain from Ambit Capital. Thank you and over to you, sir.

Dhruv Jain: Thank you. Hello, everyone. Welcome to Bajaj Electricals 4QFY 24 Earnings Call. From the management right today, we have with us Mr. Anuj Poddar – Managing Director and Chief Executive Officer and Mr. E C Prasad – Chief Financial Officer of the Company.

Thank you. And over to you sir, for your opening remarks.

Anuj Poddar: Thank you, Dhruv. Good afternoon, everyone. This is Anuj Poddar. I would like to start by acknowledging that we would have liked to have had a better quarter than we have ended up having. That said, I will just call out some of the challenges and some of what's gone well for us. In terms of challenges, our consumer products business has faced the impact of weak demand, particularly in kitchen appliances, appliances have pulled us down as well as general trade witnessed weakness in demand. I would also say that part of that is due to the fact that our dependence and contribution from rural markets as well as our dependence on non-premium segments is much higher than competition.

What is working well and continues to work well for us is our growth in alternate channels across all the sub-segments there; we have had double-digit growth, we have seen growth in the fans business, our coolers business and Morphy Richards also in the last couple of quarters, we have been witnessing growth in our sales there.

Our lighting business, I would believe continues to do well. While we see a certain contraction in the revenues, that's largely because of LED price erosion in consumer lighting and in the case of professional lighting, the base effect was high, last year Q4 we had a high base. That said to me overall performance in lighting business is satisfactory and our margins there are actually continuing to strengthen and therefore you see the EBIT performance in the lighting business is good. The underlying trends in the lighting business in this quarter have also been good and therefore, we are confident about the year ahead as well.

What stands out for us in this quarter, despite the pressures on the profitability, on cash flow, working capital, balance sheet, we have done extremely well. We have generated cash flow from Bajaj Electricals Limited

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operations of about Rs.147 crores in this quarter, demonstrating our intent to maintain a healthy grip on the operational part of the business here.

I will just call out the two main drivers or drags on our CP margin performance. One is the discounting that both competition in the industry and we had to resort to particularly in a weak demand situation. And this is partly accentuated in our case because as you know we have been churning out our product portfolio from phasing out old products into new products, fair amount of old products because they're getting phased out, have been heavily discounted by us.

And the second area, which we hope to solve as we go forward is logistics. That we have spoken about in the past, that remains a bit of a drag for us and that is continuing to impact our operational performance, but we are working to address that.

The last point I will make, while this is the Q4 numbers, I will call out that April has turned out much better, we witnessed top line growth in April,

both for our consumer business as well as

lighting business. Fingers crossed, but clearly Q1 looks much better than Q4 has been.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Sir, my first question is on your consumer product segment. Now, your presentation mentioned growth in fans. Now assuming at least 60% of your top line in CP comes from fans, yet, we saw operating leverage play out. So, firstly, I want to understand if you can tell us the volume

growth in premium and non -premium fans and also the value wise split between premium and non-premium ? Second , a related question is were we able to take any price hike? And also if you can throw a little more light as to how massive channel discounting has been despite pickup in growth both at industry and Bajaj level ? So, this is my first question on the CP side.

Anuj Poddar: Natasha , I will try and answer your questions. Let me know if I missed anything out. So, firstly, fans for us as Bajaj has not been above 50% I think you mentioned , 60%. Fans for us is in the 40% contribution range. So , we remain largely an appliance -driven company . In terms of volume growth premium, non -premium , both have been in the single -digits. That said, our non -premium has grown faster this quarter, so our share of non -premium, which is everything excluding premium is about 70% because of higher growth in the non -premium for us this quarter . In terms of price increase like I called out in the opening comments , rather than price increase , I think we have been impacted by fair amount of discounting given the demand situation . So, we have not had a price increase in Q4, but we have taken a price increase effective 16th May. So, that comes into play later this week.

Natasha Jain: Sir, my second question is on the lighting side. So, your presentation mentioned that there was EBIT margin improvement mainly on the back of gross margin improvement. So, on that , three Bajaj Electricals Limited

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questions. First, can you give a split between your consumer and professional lighting? And also if you can quantify volume break between the two , and if we were able to take price hike in the PL, and is that a reason why EBIT margin should have taken place?

Anuj Poddar: Natasha , consumer lighting is about 35% , professional lighting is about 65%. We have not had a volume growth in CL. So, the decline that you are seeing in revenues pretty much approximates the price erosion. The volume is being relatively flat here . In professional lighting, quite honestly, we don't look at in volume terms , because given the nature of products solutions business also , so there volumes don't have a direct bearing.

Natasha Jain: But were the price hikes , I mean, is that applicable in this segment or how should we read the gross margin improvement ?

Anuj Poddar: I will answer differently. Firstly, if you see an industry commentary also like you've had a fair amount of LED price erosion and consumer lighting through all of this year. So, there haven't been price hikes rather than there's been a downward pressure on pricing. That said, my sense is sometime in Q1 as soon as May or June, you should see the price bottom out because a lot of the price erosion was coming because of DOB technology that is already now stabilized. So, I don't see any further price erosion because of that. So, prices should flatten out and going forward volumes and normal growth should come back into consumer lighting also both for us and for industry.

Moderator: Next question is from the line of Praveen Sahay from PL India. Please go ahead.

Praveen Sahay: Sir, my question is related to the consumer products segment. As you have mentioned that the plan and the nature, can you give some more color on the

fans growth , how is that single digit ,

double digit growth how you had seen? I can understand that 70% contribution is a non - premium, but how is the growth part ?

Anuj Poddar: So, Praveen, your voice is not very clear, but I will answer what I heard. So, our growth for fans for us has been in the single digits both in premium and the non -premium segment. Mind you, only part I will add is that we have had some more launches towards the absolute end of the quarter. So, some of that pickup is happening. It happened in the last 15 days of March but also now happening in April. The one example I mentioned there, the small motor BLDC fan that to a segment we were absent in , that is something we launched towards the end of the quarter and we have continued to do well in that in April. So, I'm confident that our growth in fans during this year will pick up further.

Praveen Sahay: And there is no price hike so far ?

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Anuj Poddar: Price hikes now are coming into force from 16th May, so we have rolled that out an announcement from 16th May -

Praveen Sahay: Sir, how is the Morphy Richards growth?

Anuj Poddar: Morphy Richards is high single digits, I think it's the second or third quarter in a row that we are back to growth in Morphy Richards and that is happening both on volumes but also expansion of portfolio in Morphy Richards.

Praveen Sahay: Lastly, sir, can you give A&P spend for a quarter and a year?

Anuj Poddar: Both the year and the quarter is 3%.

Moderator: Next question is from the line of Anirudh Agarwal from Value quest Investment Advisors. Please go ahead.

Anirudh Agarwal : Anuj, the first question was on the appliances business, right. So, appliances for us continues to be fairly weak . Obviously, the industry context is what it is. But you mentioned that in April, you have seen growth in the consumer business. Have you also seen some sort of revival in appliances now on this basis or is it largely still led by fans?

Anuj Poddar: So, Anirudh, appliance also I will call out , it's kitchen appliances that has been dragging us down through last year as well as in Q4 , in fact coolers grew in Q4 also , coolers by the time of Q1 actually we pretty much stocked out, that's true for most of their leading top four brands and coolers I have talked out , that's a level of demand we have got back some supplies from May but in general, coolers are in short supply so that continue to grow . The growth that we're seeing in Q1 is led by fans, coolers to the extent stocks available and some I wouldn't say bounce back in kitchen appliances, but at least the downfall is slightly arrested over there . To add to that, Morphy continues to do well in Q1 April so far also.

Anirudh Agarwal : And on gross margins, obviously, I mean there is some extent of additional discounting. Any quantification of this, I mean on a normalized basis, assuming that you would not have to resort to this additional discounting, let's say whenever overall macros improve from here, what is the sort of gross margin that the business can deliver in that context?

Anuj Poddar: I am a little apprehensive of giving that number, but I will still give it to you to let you understand the level of discounting impact that we are facing, so it's almost through various means , the discounting is as high as 5 % to 6% across different product categories that is happening. How much of that can be pulled back ? When? That part I wouldn't want to hazard a guess . But some of that is what we're pulling back . The 16th may that we have spoken about is I think 6% is very high. We are willing to now relook at how we drive that. I think that is hurting our margins and
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I'm not sure the demand elasticity is that high in this . We will take a bet that we will take a price hike and i

n fact hopefully not have an adverse volume impact on that, but not all of the 6% can be rolled back right now.

Anirudh Agarwal: This 6% would be largely primary or a mix of primary and secondary , how would that be?

Anuj Poddar: So, for at least direct impact to me, so 6% is impact to me, but the way that those discounts are seen, the structure, some of it is contingent on secondary sales or secondary volumes, but I'm talking about impact on us so therefore financially it's a full impact on us.

Anirudh Agarwal : Last question from me was on overall expenses, right . So, on employee cost this quarter, we have seen a reduction. So, what sort of run rate should we consider for employee cost going ahead ? And on the other expenses front, what sort of elasticity do you see? I mean this year despite top line degrowth, other expenses have remained fairly elevated. But in a scenario where top line starts growing meaningfully, hopefully that is soon , what sort of elasticity would you see on other expenses, how much operating leverage would we get in that case?

Anuj Poddar: So, Anirudh, first on employee cost , you are seeing a little correction this quarter because of true-up of certain provisions , we had higher provisions that we true'd up a little bit , also, particularly because of variable incentives given the performance we had the opportunity to look at that. That said, I think you have the same Q4 figure of last year employee cost in the investor deck . I think from a future extrapolation, it will be somewhere between these two figures. We will remain optimal on employee cost. Our annual salary hike comes into play in July. That's when you'll see a normalized inflation impact on employee cost. But we're coming to focus with our digitalization , etc., remaining a lean company , lean team . On other expenses. I think both ways we are kind of fixed. So, this is the level of other expenses that we think we would operate at, which means as our volumes or value of sales grows that should translate to operating leverage for us , we don't see other expenses going up in variable sense.

Anirudh Agarwal : Final question , Anuj, sir. Versus the plan that you had laid out some time back , any structural changes or anything that you would want to revisit as part of that plan?

Anuj Poddar: I don't know what you are alluding to, but two or three things that I see that should add to delta to us. Consumer lighting is where I think we are in very early stages. I'm confident that this year we will see good growth in consumer lighting. #2 , logistics remains something quite , I will accept that we have not improved fast enough , I wanted to see improvement by now in logistics cost. I think we may be a few months away from that . Recently given this , we reviewed , we may bring in some other external consulting intervention in logistics because we want to see improvement in that much faster. I think there's at least 2 -2.5 percentage sitting just in logistics . So, to me the three levels of performance that should drive improvement in the coming year ; one is consumer lighting , secondly, logistics, once we start getting that right and third is

operating leverage in the consumer products business side . In the operating leverage I would include reversal of some of its discounting.

Moderator: Next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: There is always a strategy where one would either go for growth or one would go for margin. You did indicate that 40% of your business approximately is about fans. So , how much is the growth that you've done in the fans business in this particular quarter , can you just spell that out?

Anuj Poddar: So, in terms of growth, we have grown in single digits in fans and like I said, it's about 40 %-plus is the contribution of fa

ns to our total revenues in CP , because some of our fan launches were slightly delayed , so have come in March. So, we have seen the benefit continuing to April also, like an example , we have shown in the deck also small motor, BLDC fan , etc., So, as this is being part of the narrative we have had, as Bajaj continues to upgrade or fill in the white spaces in our f ans portf olio, including the premium fans, BLDC and other small motor , decorative fans, etc. , that has continued to add and we'll come to see growth in that. The second piece I will call out there, we have got some reference to the Nex we continue t o launch new fans, we will continue to see pick up in the run rate of Nex, we have got more expansion happening in terms of offline stores to go and start seeing visibility of Nex fans in the stores, offline trade also we have got more directly and distributors appointed for Nex and you should see a pickup this year also for online sales of Nex. So, I think between Nex fans overall and Bajaj new fans F Y'25 should see faster growth for us.

Rahul Gajare: If you want to choose between growth and margin, which direction are you likely to go for, because we have seen even through the year that we have actually got hurt on both growth and margin , because if there is a lot of discounting, typically , at least the growth numbers should have been much higher than what it has come through?

Anuj Poddar: So, I agree with you, Ra hul, that's a fair question. I think we didn't try to choose one or the other, hindsight it looks like this is how it's transpired. One thing we have got a two year graph on our margins and decline in margins and everybody's drop ped margins . Don't take at a quarter level, but if you look at the annualized basis , our margin decline has been slightly better than some of competition . That said, I think this discounting has not helped us adequately in terms of growth. So, now we're really looking at that, which is why I'm calling out this price hike from 16th May. We will now try and see if we take a price hike, maybe we won't see a n adverse impact on volume. So, that's the current thinking . We will try and flip it around the other way.

Rahul Gajare: One of the reasons for lower profitability has been new product launches. So, have we done broadly with all the product launches that we had to or there is still more gaps to be filled?

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Anuj Poddar: No, there's a lot more. So, I would say in the next two years we will continue to see. We have always said that right now you are seeing enough. You are starting to see all the new products that we have spoken about, but it's not a one -time exercise , it's a 2 -3 exercise , we'll continue to see that over the next t wo years. I don't think that does not mean it will be adverse for the next two years. That simply means as you get to tipping point over the next 12 , 18 months, our pricing power will i mprove. So, right now we are only seeing the cost side of that, but not seeing the gains of that. So, in the next 12, 18 months you should start seeing the gains of that in terms of our speed -to-price ourselves upwards.

Moderator: Next question is from the line of Manoj G ori from Equ irus Capital. Please go ahead.

Manoj Gori: My question is, if you look at over the last 3 -4 years, we have been taking many initiatives and probably we have revisited some of the strategies like product launches , logistic s, we revisited the Morphy Richards . So, probably where are we placed , how long will it take to probably finalize strategies on most of the categories and when should we expect to see some benefit, probably it would be very difficult to give a specific number , but any color that would be helpful ?

Anuj Poddar: So, Manoj, a good question. I will put it this way. I think strategically we're very much not just on plan but doing w

ell. It's operationally or execution -wise that we' re not fully on pace with what we wanted. W hen I say strategically , in terms of the brand architecture , how the brands that we have spoken on new product launches and the features of the new products that we have been showcasing as well as with design . If you go out do channel checks , etc., you will have a positive feedback on th at. So, I think that is important . For us where that is coming through in a

measurable way, though we don't publish that. Brand scores or brand has significantly improved over the last two or three years across product categories and across the brands that we have. So, mainly on quality metrics, we have seen significant improvement. And when I say this is all measurable metrics that we are tracking on quality. So, in terms of new product launches and fans, strategically, we are doing well. On Morphy Richards, it's taken us some time, but the last two, three quarters, we're starting to see the traction on Morphy Richards also, both in terms of category expansion and revenue growth. Operational execution wise, where I'm saying we have been slightly weaker and not delivered to what we aspired for, has been particularly aspects around logistics and logistics -cum-inventory and making sure the right product is available in the right part of geography. I think that is where we have been behind the curve. I won't go back into history in the Mahindra Logistics experience and subsequent to that we have taken it in-house last year. We have not managed to improvise it the way we wanted. That said, like I said in my opening comments, we are revisiting that we might bring in an external intervention of a consultant to get that right this year if we have not managed to get that right on its own. So, that to me remains a one point which we need to solve for in regress, because I think not just logistics or the cost, but its impact on sales boost is also to us very important.

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Manoj Gori: Secondly, if you look at from March onwards, we have started seeing some positive growth momentum. So, is it broad-based rural versus urban premium versus non-premium or probably any light on that?

Anuj Poddar: So, I will just call it out saying, we have seen growth in April I've told you, it's after many months that we have seen sales growth, in fact, it's at a very early double-digits growth. But I don't know it will extrapolate that for the full quarter, but the fact that even in a month we have got a double-digit growth, that's positive news from our perspective. Given our contribution mix from rural, etc., while we have not cut that, because there's always a margin of error in that. But it has happened because it's both across rural as well as urban and across therefore price points there. So, I will just leave it at that right now.

Manoj Gori: Last question is on kitchen appliances. So, obviously, we have gone through very tough times at the industry level over the last few quarters. Do you see things probably have bottomed out, probably further decline should not be visible for the industry and for Bajaj in specific?

Anuj Poddar: I would put it this way, Manoj that if I had to pick between kitchen appliances, fans, coolers, even water heaters for coming segment, I would think fans, coolers, water heaters will be my growth drivers more than kitchen appliances would be, at least for the next couple of quarters. That said, this festive is what I'm banking on. Kitchen appliances has been subdued for a while, so by festive, hopefully, kitchen appliances should also come up and pick up pace.

Moderator: Next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Sir, my question is, now you've mentioned in the PPT that GP channel degrew by 3% versus all other channels grew by

strong double-digit and yet for top line compress of 8%. Now, can you

tell me what is the revenue contribution from different channels and also the rural versus urban?

Anuj Poddar: So, Natasha, firstly, you are right in the math. So, that's 3%, others are double digits. The reason is it doesn't add up to it is because the channel level we track and get gross sales data, the overall we're reporting on accounting at net sales. So, that's why causes certain discrepancy. #2, in terms of our contributions, GT is at about 62%, which means the balance adds up to about 38% here. And in terms of rural-urban that part we don't publish here.

Moderator: Next question is from the line of Manoj Gori from Equirus Capital. Please go ahead.

Manoj Gori: One question which I missed, probably on the EPR side like any cost that we recognize during the quarter and probably how should we look at in the coming years, probably what should be the calculation and then probably as a percentage of sales or probably as a percentage of volumes how should we look at?

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E C Prasad: Cost for the current year was about Rs.9 crores and we expect it to be about Rs.12 crores next year.

Manoj Gori: Some of the competitors have also highlighted like that would be passed on. So, should we assume that industry who would be passing it on, especially when you look at the price hikes have been very difficult?

Anuj Poddar: So, my view on that, Manoj is, you pass on or not is on a holistic basis, not a line wise thing. I do think as an industry we're guilty of not having passed on overall cost, whether it was star

rating impact on fans or overall commodity impact or the CP, cumulatively, we have not passed on adequately to the market. I believe that's a defensive strategy we should have and in our individual case we will prefer to pass it on but have to match competition. But now we have taken a call at least like I said from May, we will now take to a situation and try and pass on more cost there.

Moderator: Next question is from the line of Hardik Rawat from IIFL Securities. Please go ahead.

Hardik Rawat: Just wanted to understand one thing. You've mentioned that the board has approved a proposal to raise up to Rs.500 crores through NCDs. Just wanted to understand what this raise would be for?

E C Prasad: So, that's an enabling resolution that we have taken so that if some opportunities comes up for an inorganic sort of a deal, then we will have the money in place. So, nothing planned as of now, but that's just an enabling resolution.

Moderator: Next question is from the line of Amit Kumar from Determine investment. Please go ahead.

Amit Kumar: I'm just sort of trying to reconcile the broad macro data with what is happening in the industry.

So, last year we have had in fact even better than expected. So, expectation was 6%, 7%. We're definitely ending up with actually closer to 7.5% kind of GDP growth, right? I mean, this is a category whether it is kitchen appliances or other appliances, so to speak, it's a category which is not sort of fully penetrated. There's so much of opportunity in rural areas and bottom of the pyramid, population as well. And then we are looking at a situation where at the industry level, growth has been so disappointing in last year. So, we have seen that in a few other consumer categories also, FMCG, etc., at the beginning of the year. But in the fag end of the year, FMCG seems to have recovered. So, any sense, I mean what is really going on? There is obviously that unorganized to organized shift opportunity also available, smaller regional brands shifting to Bajaj or some of the other brands and then premiumization. The whole of last year has been pretty disappointing from a macro perspective and from a demand perspective itself especially in light of the kind of GDP growth numbers

that we are seeing basically. Do you have any thoughts on what is going on really here?

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Anuj Poddar: So, Amit, this is a question better for some economists. We are lay people here. That said, I will give you a certain couple of pointers or hints to where to look at this. If you look at the Q3 GDP data, if I remember correct, 8.2% or something, but the private consumption expenditure growth and that is about 3 %-odd. So, delta of almost 5% was a historical high delta between GDP growth in private consumption expenditure, which is not usually, you probably have a couple of percentage points gap between these two. So, what that also shows is a lot of the GDP currently is being driven by infra -CAPEX rather than actual consumer expenditure and consumption.

That's point #1. Point #2, let me before that to your point on, it seems to be broad trend across consumption sector, not just our sector but also FMCG. I can agree with you. While you said Q4 FMCG shown growth, I think it's very early stages, not been very strong growth, I won't call out individual company names, but there is some positive commentary on that in FMCG including a couple of weeks ago what Nielsen mentioned and maybe in Q1, you will see some growth in FMCG including rural bounce back as well. I would be very happy to see that because I think us as FMCG, typically have a lag of one to two quarters from FMCG. So, once that happens, we would hopefully follow suit on that. And only the third point that I would point you towards is keep watching interest rates and inflation. Particularly interest rates cools off, I think that should be a big trigger for consumption expenditure to come back. I think that's something holding people back right now. Just one fourth point I will slip in. The government, I would like to believe is cognizant of this. There's enough chatter. There was some chatter around this year's open account in Feb, but since that is a vote of account, maybe in the July budget, they will take some planned intervention to boost consumer sentiment. I think there are easy ways and means to do that without impacting fiscal deficit.

Amit Kumar: But there is no sort of specific driver for this segment, which is the appliances and durable sort of segment which is sort of keeping things so muted, nothing negative?

Anuj Poddar: No, nothing negative to the segment. I think it's a proxy or marker of overall consumption sentiment right now and I do remain bullish that will turn around. And for whatever it's worth, like I've told in April, we have seen growth, maybe part of that is with the good monsoon outlook, maybe demand that's been subdued for a while, at some point low base effect will kick in. So, statistically many of these things will play out. But directionally, I think we should not be too far out from consumption expenditure to coming back into play, one form or the other. Just on the other points that I mentioned that right now GDP is being driven by infra and CAPEX cycles. That also has finally has to percolate down to consumption expenditure like usually has a lag. So, if normal case consumption expenditure doesn't pick up, then this infra CAPEX percolation

down to people's hands and spending back, that automatically will also come into play.

Moderator: Next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: I had a question on the CAPEX, right? So, you've done about 130 -odd crores of CAPEX in FY'24. Just wanted to understand what's the kind of direction in terms of CAPEX intensity

Bajaj Electricals Limited

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Should we look at it from FY'25 and FY'26 perspective, Any specific categories that you are looking to invest a lot more on from an in-house capability perspective?

E C Prasad: Dhruv, most of these CAPEX are relating to the

new products that we invested on, especially in

form of the tools and moulds, etc., And as Anuj mentioned, this would continue for another two years. So, you can expect similar sort of a CAPEX levels for the next two years.

Anuj Poddar: Just add to that, Dhruv, in terms of capacity, otherwise we're not looking at some big bang, large scale factories, but our capacity across most of products are fans or mixers, water heaters, lighting has continued to increase over these last couple of years. That's too smaller CAPEX interventions that we're continually making.

Dhruv Jain: Just had a question on the new products, right. So, you've been driving this new product initiative for some time now. So, if you could just throw some light on as a percentage of sales what would be the contribution and any direction that we should think about it and if you could just give some data around margins, what could be the kind of margin differential between these two?

Anuj Poddar: Dhruv, sorry, we don't disclose our contribution from new product development. That said, obviously, we track it internally. So, that has had a steady state growth over the last two years.

We just had to do that as part of our own board meeting also today. But this data we don't publish here.

Moderator: Next question is from the line of Praveen Sahay from PL India. Please go ahead.

Praveen Sahay: Sir, can you give the CAPEX number for this financial year? And also as you are explaining about the planned expansion, can you give some color on the in-house manufacturing contribution right now and the way forward?

E C Prasad: So, the CAPEX spend for the year is Rs.124 crores and the in-house manufacturing is about 20%.

Praveen Sahay: Rs.124 crores for FY'24?

E C Prasad: Yes.

Praveen Sahay: And how you have planned for some project?

E C Prasad: Next three years will be similar levels; it will be in the range of about Rs.150-odd crores.

Praveen Sahay: The in-house, as you mentioned is 20%, is there any material change you are expecting in the coming couple of years?

Bajaj Electricals Limited

May 14, 2024

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Anuj Poddar: So, I will give you an indication. In the last two years it has grown from 17% to 19% to 20%. I think this year should go up to 22%, 23%. So, that's a kind of incremental that is continuing to happen. But what's happening is qualitatively there's more high end stuff that's been coming in and the lower end commoditizing is being getting pushed out here. And second part I will add to that all of this tools, and moulds that we talk about that CAPEX is not restricted to our plants.

So, that is where we did a control over, lot of that is placed at the third-party manufacturers also.

Praveen Sahay: Because earlier if I remember, you had guided for 25% to reach by '25 and that will also improve your some bit of a margin profile as well. So, that's why that's a query on the in-house, how this 20% to go forward?

Anuj Poddar: So, again I will comment and I don't remember what exactly you might have heard me say in the past, but I've always said, we don't have a target number, that might be where we end up with, but that's not a goal by itself, but the quality of that is important, so what we do in-house and what we do outside, that is important. Secondly, the ROE and ROCE is important to us starting with the pure EBIT margin. If you connect what I said earlier also, we are also investing in the quality of manufacturing and our control on the production cycle at third-party manufacturers. So, increasingly all the tools, moulds, dyes, etc., third-party manufacturers also increasingly owned by us. So, to us, we're not really white label services, but it's our contract manufacturing and our IP, our product, our control over the production and quality over there. So, to us that is how we're looking at manufacturing.

Praveen Sahay: And also

if you can give some numbers on how is the distributor count has increased by end of the FY'24?

Anuj Poddar: Sorry, can you repeat? I didn't hear this.

Praveen Sahay: Distributor count, how is that?

Anuj Poddar: So, to give you a sense, last year in March '23, it was 660, this year March '24, we exited at 749.

Moderator: As there are no further questions, I would now like to hand the conference over to management for the closing comments.

Anuj Poddar: Now, I will just thank everyone once again for attending this. I will reiterate what we said. We have had a mixed quarter. We would have liked it to have been better. We have had some shortcomings particularly on the CP business, led by appliances and general trade. But at the same time, there are other positives in terms of our lighting business, alternate channels, coolers and some growth in fans and Morphy Richards also. April has started off better for us. We remain positive for the year ahead. Thank you.

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May 14, 2024

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Moderator: On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

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Tel: +91 22 6149 7000 | www.bajajelectricals.com

Registered Office: 45/47, Veer Nariman Road, Fort, Mumbai 400 001
Tel: +91 22 6110 7800 | Email: legal@bajajelectricals.com | CIN: L31500MH1938PLC009887

July 29, 2024

To, BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers ,
Dalal Street Mumbai 400 001 .
National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051.
Dear Sir/Madam ,

Sub: Transcript of the Investor s' Meet of Bajaj Electricals Limited ("Company")

Further to our letters dated July 17, 2024 , and July 23, 2024, we wish to inform you that the Transcript of the Investors ' Meet , which was held on Monday, July 22, 2024, at 4:00 P.M. (IST) to discuss the recent management announcement at the Company, i s attached herewith.
We request you to take the above on record.

Thanking you

Yours faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer and Company Secretary

Encl. as above

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"Bajaj Electricals Limited Business Update Call"

July 22, 2024

M
ANAGEMENT : MR. SHEKHAR BAJAJ – CHAIRMAN , BAJAJ
ELECTRICALS LIMITED
MR. ANUJ PODDAR – MD & CEO , BAJAJ
ELECTRICALS LIMITED
MR. E.C. PRASAD – CFO , BAJAJ ELECTRICALS
LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Bajaj Electricals Limited
July 22, 2024

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Moderator : Ladies and gentlemen good day and welcome to Bajaj Electrical Business Update Call hosted by ICICI Securities.

I now hand the conference over to Mr . Anirudha Joshi from ICICI Securities. Thank you and over to you sir.

Aniruddha Joshi : Thanks Aditya. On behalf of ICICI Securities , we welcome you all to Business Update Conference Call of Bajaj Electricals.

We have with us today Senior Management represented by Mr. Shekhar Bajaj – Chairman, Mr. Anuj Poddar – MD & CEO and Mr . E.C. Prasad – CFO.

Please note, this is 30 minutes Conference Call and as the Company is in silent period there will be no question-and -answer session. Now I handover the call to the management for their comments. Thanks, and over to you sir.

Shekhar Bajaj: Good evening. I am Shekhar Bajaj. Welcome to all of you. BEL is built on a strong foundation of strategy and leadership.

I want to assure you that our Company is driven by a robust and well-defined strategy and not by any single individual. This strategy has been crafted and executed by a team of seasoned professionals on our board and top management. Our collective vision and strategy have guided our decisions and actions , ensuring we remain on the path to sustainable growth and success. Alongside my 44 years of leadership, we have Rajiv Bajaj representing the next generation of our family , our Board and team of distinguished Independent Directors , who are pivotal in steering our future direction. Change is an inevitable part of any dynamic organization and as long as our strategy is in place these changes are managed seamlessly. As I mentioned for the past 44 years , I have had the privilege of leading this organization. 5 years ago, following the untimely demise of my son Anant, we faced the challenging task of onboarding Anuj Poddar without the opportunity for a proper handover. Despite these challenges Anuj stepped up remarkably and has been a dynamic leader and the face of the Company . Anuj has been involved with the board and myself in making key decisions and crafting strategies. We commend his achievements which includes making our Company debt-free , executing major projects and leading the demerger of our EPC business.

I want to take a moment to reflect on the challenges we faced , 5 years ago when he took over. At that time our Company was burdened with over 2,000 crores in debt, and we had numerous pending EPC orders. It was a period of uncertainty and significant pressure. However , we have turned the tide through strategic planning and relentless effort , with support from our board and senior leadership team . As of March 2022, we are proud to say that BEL is debt -free, and we
Bajaj Electricals Limited
July 22, 2024

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continue to be so. Additionally in September '23 , we successfully demerged our EPC business creating Bajel Projects Limited , which means BEL is now purely a consumer Company .

Our achievements are a testament to the resilience and commitment of our board. Our strong leadership team and indeed every single employee works towards our Company's goal. They reflect our ability to adapt , adopt innovate and overcome obstacles. I wish to assure everyone that the Company will continue to remain professionally managed. We are committed to find ing a perfect leader for the role of Managing Director for Bajaj Electricals Limited , someone who will continue to implement the organization's robust strategy as Anuj did.

I would like to make it clear to all our investors and stakeholders that the strategies that we have set for ourselves and our focus on R &D and brand investment and other initiatives will continue on the same trajectory. Until we fill the gap , I will take complete charge and the leadership will report to me. Pooja Bajaj : Executive Director will solely focus on devel

oping the CSR work .

Coming to our two businesses ; for the consumer product business , I'm happy to let you know that on August 1st, Vishal Chadha will join us as our COO and Head of Consumer Product Business. Vishal brings nearly three decades of experience from leading organizations like Britannia , Nokia and the latest Kohler . An alumnus of IIM Lucknow , Vishal's diverse experience in FMCG , consumer devices , e-commerce will significantly benefit our organization bringing fresh perspective and new energy to our operations. Vishal Chadha will be appropriately guided over the next 2 months by Anuj to ensure continuity and stability in the consumer business. This transition period will allow Vishal to immerse himself in our operations , understand our culture and align with our strategic objectives. I along with the board, including Rajiv Bajaj will be there to offer him support and guidance .

As far as our lighting solution business is concerned , it already has been ably run by Rajesh Naik. Rajesh is the veteran in the industry and has been leading the lighting solution business for us for nearly 5 years. He has done a remarkable job during this period to grow the business and drive significant margin expansion. I'm confident of continued growth of the business under

the leadership of Rajesh.

Finally, I want to appreciate Anuj's contribution. We are grateful for his dedication and hard work. While we are sad to see him go, we wish him continued success in his future endeavors.

His resignation marks the beginning of a new chapter for B EL and we are confident that our strong strategy and leadership will continue to drive us forward towards a prosperous future and greater heights. Thank you all for the support and trust in Bajaj Electricals. Thank you.

Anuj Poddar: Thank you chairman. This is Anuj Poddar. I will add to the comments from my side. Good evening to all of you, the dear investors and analysts on this call.

Bajaj Electricals Limited

July 22, 2024

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While this decision has been made professionally on professional terms, I do want to add that on a personal note you all know how passionate and attached I have been to Bajaj Electricals and to all the stakeholders and therefore it has been an immensely tough decision for me to make from a personal perspective. I want to upfront address a couple of points which whether in terms of queries or speculations that I have heard and I want to make that very clear.

Firstly, I am not joining competition. I am not joining any player in the same industry.

Secondly there has been absolutely no internal trigger or any other conflict of any sort or any disagreements of any sort, either with the promoters or with the board within the Company in any form or manner. I want to make that extremely clear because I was asked this question and taking the chance to put that out in the public record.

And I also want to put it out there because coincidentally there have been two back-to-back exits earlier with CP Head – Ravi Negi and now by myself. That is purely coincidental. There is absolutely nothing else to that. My professional decision is triggered by an external opportunity. This to be honest doesn't come every day.

On a personal note, if I may add I am 50 years of age. To me at this point of time for purely professional reasons seems to have been the right choice to make. Having considered all factors, it is a significantly different challenge and an ability to create impact at a very different scale.

So, this purely because of that.

Having said that I want to make a few points from a Bajaj electricals perspective. At Bajaj Electricals we have crossed many significant milestones. The chairman enumerated some of them. We have really solved for many deep structural problems that we faced a few years ago. There were many initiatives that we have undertaken. These are long lead ini

atives. There is a

lot of hard work that has gone into this. A lot of heavy lifting has been done behind these. While I recognize that there is always some more work to be done and there are some operational issues that are currently WIP and the process of being solved for or improvised upon. These to my mind are much simpler and they can be done and achieved in a much shorter timeframe. I do believe that on the trajectory that we are on, with a lot of the heavy lifting having been done and we are on the job of solving some of the current operational tactical issues, we will see the benefits and upside fairly soon. Today you will acknowledge that Bajaj Electricals is fundamentally stronger and much more stable compared to what it was 5 to 6 years ago. That said therefore also the task here on is more linear, it is more controllable. And I'm very sure that with the plan that the board has in place, we can get an equally strong if not even more capable leader than myself to take this journey forward.

Bajaj Electricals Limited

July 22, 2024

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I want to put on record my sincere and complete appreciation and thank you to the chairman for his trust and support that I have always received, as well as that forming of the board our team all our partners and most importantly all of you our investors who have proposed faith in me and our team and in all the steps that we have been taking till date. I continue to be available to the Company right till end September. I will serve out my notice period. Till that date you have my commitment that I will work to my fullest capacity. There will be no letdown on that front.

In terms of the two businesses, the chairman has already spoken about, we already have very strong leadership for the lighting solutions business under Rajesh Naik. It is if I may say so almost on autopilot. It is following a good and strong trajectory. Also, for the consumer products business, we made sure that we have onboarded, selected our new leader there, Vishal Chadha before my exit announcement. He will be coming on board on the 1st August, and I have got a two month overlap during which period I will groom him and lend him all support to take over the consumer products business.

The other fact that you must know Vishal has changed industries a few times in the past. He is an extremely quick learner; quick adapter and we are very confident on his ability to pick up and run very fast into this new role and into this new industry. The entire strategy as the chairman

mentioned remains intact. It is locked and loaded. All our business operations and execution plans will continue in the same direction on the same trajectory. Our products and brand and investments behind that is locked and loaded. There is no scope or no intent to revisit that. There are many aspects that are in the process of being ramped up by digital transformation that should get completed by end of this calendar year. Our contribution for new products that we have been rolling out has been increasing year -on-year. We will continue to see significant increase in contribution in weightage , offer new products in terms of total revenue contribution that should cross the majority mark by next calendar year.

While you get to see the financial results every quarter , what you don't get to see is the various internal metrics that we have been focusing on. And when I say we , we meaning management , the promoters , the board have been privy to this and these are all pointing a very healthy positive direction. Be it our brand health scores , be it our quality metrics , be it our contribution from portfolio premiumization , all of these are healthy , positive , lead indicators which will translate to financial benefits in the coming year. A particular growth that we are witnessing on Murphy Richards , on the new brand that we have launched Nex, on some of our fas

ter moving channels

etc., these are all boding well for the future. Over the next few quarters and by the coming year all of this should start reflecting better numbers and margins for us as a Company.

If I speak particularly with consumer lighting segment which is also something that we have been focusing on, this year we have been working on a go to market strategy for that. We have done that , rolled it out over select pilot markets. We will soon be rolling out more efforts on the Bajaj Electricals Limited

July 22, 2024

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consumer lighting GTM on a pan India basis and therefore we shall also see benefits on the consumer lighting business in the coming quarters.

Most important to me always has been the organization culture , the team and the talent that we built. This again, I would put in the bucket of long lead items. We significantly moved the needle on that. We are a much better organization culture workplace talent pool today and this is something that is now here to stay. So, overall I remain extremely confident about the future trajectory of Bajaj Electricals and our business, and my best wishes are and will always remain with the Company and all stakeholders. Thank you very much. With this I'd like to hand it over to our CFO.

E.C. Prasad: Thank you Anuj. Thank you , Chairman. Good evening, everyone and thanks for attending this call at a very short notice. I understand that there are a lot of apprehensions about the turn of events that has happened lately. I would like to assure each one of you that Anuj is leaving behind a strong legacy . He has created a strong team of professionals under him , each one of whom can deliver results on a given day. Apart from the role that I play as a CFO , the strategy function also reports into me and I'm happy to share that the finance function almost today works on autopilot. So, most of the time I spend with the strategy department and I on my part would continue to focus on all the strategic initiatives of the organization like GTM of lighting and CP , VAVE initiatives , investments in R &D, premiumization , logistics transformation , digital transformation and cost optimization and profit improvement. And these are the priorities for us going forward.

We will also continue to invest strong in our brand to strengthen our brand architecture. Our balance sheet continues to be very strong, with a very healthy liquidity and a strong cash flow which is also a strong reflection of the future potential this business has. We have a very strong and cohesive team of professionals who will continue to work under the guidance of our Chairman till the Managing Director position is filled up. I will continue to monitor the business and this financial health along with the two business heads, Rajesh Naik and Vishal Chadha. With this before I close , I would want to urge each one of you to stay confident in the potential of our Company to deliver results over a longer period of time. Thank you very much.

Moderator: Thank you. I now end the conference over to Mr . Aniruddh a Joshi for closing comments.

Aniruddha Joshi: Thanks , Aditya. I thank the management of Bajaj Electricals for choosing ICICI Securities to host the business update call. Now I hand it over back to the management for the closing comments that they may have. Thanks , and over to you sir.

Bajaj Electricals Limited

July 22, 2024

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Shekhar Bajaj: Thank you everyone for attending this call. There is nothing more to add. As you know it is the silent period. So , whatever we have to say we have already said. But thank you very much for attending.

Moderator: Thank you. On behalf of ICICI Securities , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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August 9, 2024

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the ' Transcript of the Q1FY25 Earnings Conference Call ' of Bajaj Electricals Limited ("Company")

Further to our letters dated July 18, 2024, and August 6, 2024, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q1FY25 Earnings Conference Call (i.e., Post Earnings/Quarterly Call), organized by ICICI Securities Limited on Tuesday, August 6, 2024, at 4 :30 P.M. (IST) , where in, inter-alia, the unaudited financial results of the Company for the first quarter ended June 30, 2024 were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer and Company Secretary
Encl.: As above.

Page 1 of 17

"Bajaj Electricals Limited Q1 Earnings Conference Call"

August 06, 2024

MANAGEMENT : MR. SHEKHAR BAJAJ – CHAIRMAN , BAJAJ
ELECTRICALS LIMITED
MR. ANUJ PODDAR – MD & CEO, BAJAJ
ELECTRICALS LIMITED
MR. E.C. PRASAD – CFO, BAJAJ ELECTRICALS
LIMITED
MR. VISHAL CHADHA – CHIEF OPERATING OFFICER
(CONSUMER PRODUCTS), BAJAJ ELECTRICALS
LIMITED
MR. RAJESH NAIK – CHIEF OPERATING OFFICER
(LIGHTING SOLUTIONS BUSINESS), BAJAJ
ELECTRICALS LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Bajaj Electricals Limited
August 06, 2024

Page 2 of 17

Moderator : Ladies and gentlemen, good day, and welcome to Bajaj Electricals' Q1 FY '25 Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.

Aniruddha Joshi : Yes, thanks, Aditya. On behalf of ICICI Securities, we welcome you all to Q1 FY '25 results conference call of Bajaj Electricals.

We have with us today Senior Management represented by Mr. Shekhar Bajaj – Chairman; Mr. Anuj Poddar – Managing Director and CEO; Mr. E.C. Prasad – CFO; Mr. Vishal Chadha – COO Consumer Products; and Mr. Rajesh Naik – COO Lighting Solutions Business.

Now, I hand over the call to the Management for initial comments on the Quarterly Performance, and then we will open the floor for question-and -answer session. Thanks, and over to you, sir.

Shekhar Bajaj: Thank you. Good evening, everyone. I am Shekhar Bajaj and thank you for joining us at this meeting.

I want to emphasize that over the last 3 -4 years, Anuj and the Board have focused on putting a strategy in place that includes both market initiatives and building a strong executive management team. My role is that of a mentor and giving the depth of our team, some of whom you will meet on today's call.

As you would have seen in our Q1 FY'25 Results , our strategy is starting to play out and we have sharply improved our profitability sequentially vis -a-vis the March'24 quarter, which is normally a very strong quarter for our business.

Let me give you a few “ High -Level Business Updates ” for the Quarter :

On the Consumer Products Vertical :

Our Consumer Product vertical has demonstrated revenue growth after 4 quarters. We have also managed a few price hikes and streamlined some of our discounting schemes as our products gain greater acceptance with our customers. Our alternate channel segment continues to work well and few subsegments have shown a double -digit growth. Morphy Richards is also delivering high- teens revenue growth since the past few quarters. Our pain point continues to be Bajaj Electricals Limited

August 06, 2024

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our kitchen appliances segment, which has been affected by sluggish rural demand and the need for us to continue to premiumize our portfolio. The monsoon update and recent government interventions are driving a rebound in the rural economy. And whilst we are seeking early green shoots, we are confident we have a very positive second half.

The Lighting installations vertical continues to do well and has delivered double -digit EBIT margins with promise to continue to do better in succeeding quarters.

Operational Focus :

Cash from operations in Q1 was Rs. 155 crores, which is a testament of our rigor on operational excellence. Strong balance sheet with surplus cash as on 30th June 2024, is Rs. 442 crores, which reflects a strong liquidity position. We remain committed to our strategy towards premiumization, digital transformation and being more cost competitive. We at Bajaj Electricals are very conscious on managing all our stakeholders' expectations. The recent demerger of EPC Projects business, as you will appreciate, has been a great success both in terms of data identity and focus for the 2 distinct businesses and has resulted in fact, on market capitalization.

Now let me do a quick introduction of our executive committee that work closely with me and the wider board:

Anuj whom you know well , will be with us till 30th of September 2024. I would like to reiterate o

ur gratitude to Anuj for the efforts over the last 6 years and equally importantly, the bench strength we have groomed to take BEL forward. I would like to introduce the other members of our executive team. Rajesh Naik, who has been redesignated as Chief Operating Officer for Lighting business and has spent over 5 years in BEL as he leads our Lighting business. He has played the major role in turning around the Lighting business. And under his leadership, we will hear more from him on our future interaction.

As you are aware, Vishal Chadha is now in his first week as the Chief Operating Officer for our Consumer Products business. His expertise in FMCG, consumer devices and e-commerce will significantly benefit our organization, bringing fresh perspective and new energy to our operation. Now Vishal will receive a comprehensive 2 months of patient handover from Anuj to ensure continuity and stability in the consumer business.

E.C. Prasad, our CFO, as you know well, has been driving cost rationalization, digitalization, and implementation of our well laid out strategy. As I hand over to Anuj for the quarter update, let me assure you that we are committed to finding the best person to take over as MD of BEL, and we will keep you informed in this regard.

Now I would like to hand over to Anuj to present our results. Thank you.

Bajaj Electricals Limited

August 06, 2024

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Anuj Poddar : Thank you. Thank you to our Chairman. Good afternoon, everyone. This is Anuj Poddar. Thank you for joining in. I think the Chairman has covered all the key points. I will just emphasize a few points and repeat them.

Firstly, the Lighting Solutions business has had a good quarter. If you see our track record in Lighting Solutions, we have been growing consistently over there. The top line has been managed well despite a price erosion in the marketplace. But at the same time, our margins have been consistently expanding and we finally crossed the double-digit margin in quarter 1. That's a very good trend. Going forward, I am very confident about our Consumer Lighting business gathering pace and keeping pace along with the professional lighting business and overall continue to drive our top line. And importantly, our margins should continue to expand for our Lighting business.

Coming to Consumer Products business : As we all know, last fiscal was a soft year for the Consumer Products business on the top line, and that had an effect for us on the bottom line too because of various factors, including the discounting and other measures that we have to resort to. The worst is clearly behind us. The headline for us to take away from our current quarter is that we bottomed out. We have grown sequentially quarter-on-quarter from Q4 of last fiscal to Q1 of this year. In revenue terms, if you see till the last quarter, our alternate channels, which is led by online and modern trade have been growing, but our general trade has not been growing.

This quarter, you have seen a modest growth in general trade too. This is despite our high dependence on rural markets and kitchen appliances, which are a bit of a drag.

But overall, now, we are back on to a growth track across all our channels. The margins sequence also had expanded. This result both of our moderate growth on top, but also of certain pricing actions that we have taken towards the end of quarter 1. And finally, this is despite our ad spends

in this quarter having picked up versus the previous quarter and last year, there was about a 1.5% incremental ad spend that's baked into these numbers. So, the headline I leave you with for our Consumer Products business is that we have bottomed out. Our trend line from here should look positive, and I will come back to a few comments on that.

The third point is really cash: Cash is something we have consistently for the past several years, been very focused on every quarter. We have contin

ued to generate very strong operational cash

flows, always well ahead of our reported profitability. This quarter, our team has done a great job of generating about Rs. 150 crores of cash from operations. And that's again a testimony to

how we're managing our working capital. Now we are continuing to strengthen our balance sheet.

And this is my view and headlines in the quarter.

I just want to take a couple of more minutes to talk about the larger view on where we are as a company with Bajaj Electrical :

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If you look back at the last few years, we solved for significant structural corporate level issues, and at the same time, built the strategic foundation for growth of our businesses, which is Consumer Products and Lighting businesses. We have taken a lot of initiatives that I think set the stage for this growth in terms of our internal operating structure in terms of our product road map, in terms of our brand positioning and in terms of our overall architecture and digitization, etc. We are starting to see the benefits of that in the Lighting business. And I am also confident that we'll start to see the benefits of that for the consumer business in the coming quarters and by next year.

What can really take us forward now in the Consumer Products business in particular is a lot of cleanup on the operational and execution side. On that front, too, we are very clear on what we are doing. We're taking clear steps on that. We are seeing incremental improvements in that. We have internal metrics which go beyond the P&L numbers that you see at an operational level,

whether in terms of NPD contribution, whether in terms of quality metrics, in terms of our portfolio mix and premiumization. All of these are trending well, which is what gives me confidence. Finally, there are various operating levers, which I think will drive margin expansion for us. Without getting into detail, this includes our pricing strategy. We're reviewing some of these pricing approaches, discounting structure. We have seen some benefit in Q1. We'll continue to drive that going forward. Logistics, which has always been a pain point for the past few quarters, we have started to see improvements in our logistics function. Digitization that I spoke about, we're starting to see becoming a lot more data-centric and that data is helping us make more logical, quicker, more nimble decisions in aid of business. And finally, the other measures such as VAVE and other exercises and supply chain. All those initiatives are rolling now and therefore, confident that you will start seeing the benefits of that in the coming quarters and by next year.

With that, I will end my opening comments. I just want to use this opportunity to thank all of you investors for their faith and support that we received as a company and that I received as an MD for the past 5-plus years. Thank you. And hand it over to moderator. Sorry, before that, actually, let me introduce Vishal Chadha and Rajesh.

In the past, we have not had the business heads join us on these investment calls because we have been very focused on the business. But I think it's a good time for you to be introduced to them for you to know the depth of our leadership and that both businesses are in good hands.

First, I will hand it over to Vishal. The Chairman has already introduced Vishal, but I will let him introduce himself and speak a few sentences.

Vishal Chadha : Good evening, everyone. I joined the company on August 1. I am very, very excited to be a part of this iconic brand and organization. And in taking forward this transformational journey, on Consumer Products. So, we'll obviously interact more in the future. Thank you.

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Anuj Poddar : I will just add to that. While it's only the fourth working day for Vishal, I think we have done

our homework in the selection. It's been a very rigorous selection process. We are very confident about our choice there. And the first 4 days, at least augurs well. Everything that we see in this first 4 days gives us post-purchase satisfaction. So, I think we are in good hands. He's picking it up much faster than we expected. With that, let me also bring in Rajesh Naik. He is not new. He's been with the company for over 5 years, that he's been a big pillar of driving the change and growth for the Lighting Solutions business.

Rajesh Naik : Good evening, everybody. This is Rajesh. And as mentioned, I am part of this particular group for the last 5 years. Started with professional lighting where we were able to do a lot of clean-ups in terms of debtors, inventory. And now we are completely clean on that particular side. Consumer Lighting is again a big area for us, where we are very strong, and we are working on the new GTM strategy, which is going to give us high double-digit growth in both the segments. So, thank you for joining.

Anuj Poddar : Thank you. And moderator, back to you.

Moderator : Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Praveen from Prabhudas Lilladher. Please go ahead.

Praveen Sahay : And the first question is related to the Consumer Product. And in the press release, you had mentioned that the green shoots visible in the rural area, even though we had seen a 3.7% growth in the CP business. So, do we expect in the next 9 months, the growth in the CP business to accelerate or to be in the double-digit of range? Hello?

Anuj Poddar : So, Praveen, thank you for your question. We don't give forward guidance in numerical terms, whether it's double digit, single digit. But I will just emphasize what we put in our note and what I said in the opening comments, we are seeing definitive green shoots. We are seeing a pickup in rural demand that includes trade channels. We are confident, therefore, that second half of this year should be strong, as the Chairman mentioned. All the signs right now augur well, whether in terms of what we are picking up or whether you look at monsoon and other factors, etcetera, and some measures that the government has taken at the budget which should put more money in the hands of the rural consumers. So, we remain positive, and the second half of this year should show growth.

Praveen Sahay : And related to that, sir, in the presentation, it's mentioned even after like cooling product contributed more than 50%. Our margin has not improved on the Y-o-Y side if I look at. So, is that the appliances which has not done as a higher-margin product as compared to the cooling product, which increased the contribution?

Anuj Poddar : So, there's 2 levels of margin, Praveen at a gross margin level and at an EBIT margin level. And the gross margin actually it's improved by about 1.5 percentage points over last year. So, that's

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a function of our product mix and premiumization continue to happen in certain pricing actions we have taken. At the EBIT level, margins have not improved Y-o-Y. But two factors : One, as I said, we have an incremental ad spend this year versus last year Q1 is about 1.5 percentage points. And secondly, this is a function of operating leverage while certain basic overhead employee costs have gone up, a 4% top line is not adequate to cover that. And that's what I feel that going forward, as operational improvements kick in, but also second half of this year as operating leverage kicks in, you should see more of the gross margin improvements translate into EBIT improvements as well.

Praveen Sahay : Great. Second question related to the Lighting business. Definitely in the gross margin front or in the EBIT margin front, we have done very well. But if I look at on the growth side, it's sti

ll a

single digit. Is it only the realization or the product mix changes, price increase change that delivered the numbers? Or is there a volume growth as well?

Rajesh Naik : So, in terms of professional and consumer, there is price erosion, which is still continuing, and which is impacting the growth. Otherwise, in volumes, we are growing in consumer lighting part.

Praveen Sahay : Is it possible to give any indication on alternate channel contribution, sir?

Rajesh Naik : For lighting?

Praveen Sahay : For overall business?

EC Prasad : This is E.C. Prasad here. So, E-Com is contributing about 13%. And overall, if you look at alternate channel, it is contributing close to about 39%.

Praveen Sahay : 39%, including E -Com ?

EC Prasad : Yes.

Moderator : Our next question is from the line of Nilesh Patil from ICICI Securities. Please go ahead.

Nilesh Patil: So, in the presentation, we have mentioned that the demand for kitchen appliances has remained soft in Q1. So, do you expect any recovery in H2 FY'25 led by festive season?

EC Prasad : So, yes, Nilesh, so a couple of factors. One is what we said is the rural economy coming back.

So, that would help the growth of the kitchen appliances. Apart from that, few more indicators are on the interest rate reduction, a good monsoon, etcetera, should be in a position to deliver better results for the kitchen appliances. I mean we get confidence from the fact that the summer products have done extremely well. The fans have grown, the coolers have grown. So, we feel

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that with all of this happening in the next 2 quarters, the kitchen appliances should also get back to growth.

Nilesh Patil: And as you mentioned about the Fans growth. So, we have seen that most of the peers have taken price hikes in the Fan segment. So, has Bajaj Electricals also followed the same trend?

EC Prasad : Yes. So, we have also taken some price increase with effect from 15th of May. Yes.

Nilesh Patil: And may I know the quantum of the same?

EC Prasad : It's in the range of 2% to 3%.

Nilesh Patil: Okay. And sir, could you just throw some light on growth in the Morphy Richards segment?

EC Prasad : So, it is in the higher teens, Nilesh.

Moderator : Our next question is from the line of Achal from Nuvama. Please go ahead.

Achalkumar Lohade : I wanted to check with respect to Fans, the kind of growth what we have seen. Would you argue that you have gained market share, or you were fairly in line with the industry? And if we have any supply side constraints in terms of making the Fans demand for in the first quarter?

Anuj Poddar : Achal, our growth in fans, while we have had growth, I would say it has been below industry growth. And the reason for that is our share of contribution from sub-economy continues to be very high. We have seen growth in the premium segment, which is, I think, growing much faster.

While our percentage contribution of premium fans has grown Q-o-Q and Y-o-Y, it yet remains a very small part of our portfolio. And I think we should be doing a much better job of growing in the premium segment. As that happens, we should see better growth in fans going forward.

On the second part, supply, so supply has not been a challenge for Fans. It's just our GTM and our product mix change that has to pick up and gather pace.

Achalkumar Lohade : So, is it purely about the price segment or it's also to do with the rural urban mix as well?

Anuj Poddar : In Fans, I would say, I mean, overlaps, of course, but it's just a segment of product since we have traditionally been a subeconomy player. Our acceptance as a brand in the premium segment is a journey that is happening. We are continuing to grow, but that's not overnight. That's as far as Bajaj is concerned. NEX is the other premium fan brand that we have launched as you are aware.

That is picking up pace. If you have seen, w

e have launched some campaigns towards end of

Q1. While we do not have a supply constraint on that, the products are continuing to get rolled

out. So, I think latter half of this year, in next season is where you should see a strong pickup of NEX. And with that, our overall contribution in premium fans should jump up significantly from next year onwards.

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Achalkumar Lohade : The second question I had was with respect to kitchen appliances. If I recall previous commentary, a fair amount of discounting was playing out in this particular category. Are you seeing some stability out there or it still remains as they were?

Anuj Poddar : Achal, kitchen appliances remain a challenge, particularly in our mixer grinder kind of a category. We have taken some pricing corrections, which means an increase from May and June.

We have faced a fair amount of resistance from the marketplace to that. So, we have seen the market has not responded very well to that. But we are clear from here on, we will protect our margins. And I think volume growth in kitchen also should come back from second half of this year. So, we started to ring-fence our margins. We had taken aggressive discounting approach last year. We have rolled that back in view of demand uptick that we expect there.

Moderator : Our next question is from the line of Anuj Sehgal from Manas Asian Equities Value Fund. Please go ahead.

Anuj Sehgal : My question is on the Consumer durables business. So, if I look at the business over the last several years now, the last time it did double-digit margins was in FY'12, it was 12 years ago.

Of course, the business has gone through changes, you have the range, REIT expansion program and there were disruptions through that. And then of course, the company has now demerged.

What I want to understand is that why is it that the consumer durable business has low single-digit margins, whereas other companies in the similar space with a lesser scale than Bajaj Electricals are able to do high single-digit to low double-digit EBIT margins.

And the other related question is that over the last 3, 4 years, we have been aspiring to increase the margin profile of the business and are expecting the margins to improve, but something or the other keeps happening, whether it is operating deleverage or a higher cost base. So, I want to understand if there is any structural issue with the business, so maybe bloated cost structure or the distribution efficiencies are not there or maybe there is some other issue with the business. It would be helpful if you could highlight because for the scale of the business you have, the

margin profile is pretty mediocre and has remained that way for now several years. So one, why is the margin low? And secondly, what can be done to improve the margin of the Consumer Durable business?

Anuj Poddar : So, Anuj, fair question. To be honest, this merits a much longer answer and discussion, but I will try and give you the headlines on that. Firstly, while our business scale is large, you must remember that fundamentally, we have been positioning as a low-price-point, value-for-money, rural-focused company, or brand and significantly so. When I say significantly so, it's not a marginal difference versus competition, but significantly more skewed on these parameters. If you look at the trend line over the last year or 2 years from a marketplace, this is not a favorable position to have been in rural markets are hurting. Value-for-money segments are actually degrowing. There's a lot of discounting that's happening for those segments, etc. And therefore, we have been caught on the vertex of that positioning.

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Our strategic effort over the last few years has been to move out of that, reposition ourselves both to the product portfolio, premiumize, invest

in our brands, create an R&D pipeline. We are

largely a trading-led company in the past. So, we're investing in innovation. I mean, we're doing this, the strength of a large-scale business also comes with a challenge of investing in so many categories for R&D and refixing all of these and refixing our go-to-market across all of these.

That does come at an investment growth. We have not shied away for the last 2-3 years actually investing strongly behind this change. And you're starting to see that change, which is what I was calling out in the opening comments, on our NPD contribution, our quality metrics, our

brand scores, etc. As that happens, that's a journey or process over the next 2-3 years, or rather over a course of 2-3 years, we start seeing the financial benefits of that. I would say we are somewhere between 3 to 5 quarters from getting the benefits of that.

Last point, I would make on that is the operating leverage. Operating leverage, when we have a business of this scale and is under pressure, it works against us. When you start seeing tailwinds and growth in the business, that operating leverage, again, comes back very strongly in a business like us. So, the question on cost structure, the large business comes with fixed cost structures that we have not shrunk or cut back on severely in bad times because that's not how we would look at a growth business. But in good times, which we think should come up, we will see the benefit of that. Our CFO would like to add.

EC Prasad : So, Anuj, one more factor. I mean, you had asked a question whether our costs are muted. So, if you actually benchmark our cost with anyone else in the competition, you'll find that our costs are in line with what others operate at. So, what we have done is we have controlled our unproductive costs pretty well.

What we have spent is on the productive cost, like the brand spends and the R&D spend, etcetera, which is much higher than what the competition is spending today. And as Anuj mentioned, as we reach where we want to reach in terms of the product architecture, in terms of the brand, etcetera, we will lower those spends. And at that point in time, our margins would look much better. So, that is one aspect. Second aspect, I would also like to remind you that, unlike our competition, which are more into manufacturing-centric, we are more traders. Like only 20% of our products comes out of manufacturing. So, that also impacts the EBIT. But if you actually look at an ROCE level, we are not that far behind from where our competition are.

Moderator : Our next question is from the line of Dhruv Jain from AMBIT Capital. Please go ahead.

Dhruv Jain: Sir, I had a question on your alternate channels. So, I think you mentioned that your alternate channel contribution is about 39%. Just wanted to understand if there will be a significant cost differential or a margin differential between the general trade and alternate channels because that seems to be growing faster. That was my first question.

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EC Prasad : So, actually, we are reviewing that. But ballpark, I can tell you that our margins are not lower in alternate channel as compared to the general trade. So, we are maintaining the MOPs. We are maintaining the pricing that we are giving to the competition. And plus add to that, the structure of the ordinary channel is much, much leaner than a structure of a general trade. So, that way, we are not burning cash in the alternate channel.

Dhruv Jain: Makes sense. And the second question was with respect to Fans and Lighting. So, last couple of years, we have seen that the markets have been having regulatory changes, technology changes, etc. But if you were to hazard a guess, say, over the next 3 years, how should we look at the growth of these categories given both of these categories are fairly well penetrated?

Rajesh

h Naik : So, this is Rajesh here, I will take that on the Lighting. Because as you have seen, technologically, LED has taken almost 95% of the space in the Lighting business, and it is continuously improving in terms of efficacy. So, in my view, it will continue for the next 3-4 quarters until we reach the highest efficacy in the LED chips. With that technology improvements, definitely, there will be continuous price erosion, which will be there. But again, in the market, the requirements of lighting levels are going up, which will compensate for this price erosion, which is there. And the LED or semiconductor having possibility of going on IoT spaces, which we are working closely with R&D.

Anuj Poddar : So, Dhruv, this is Anuj. I will answer on the Fans. I think your question is valid. It's a very high penetration category. So, overall growth in terms of penetration of volume, room to grow is limited. But I think the 3 levers of growth, 2 common to industry, 1 for us. On the industry front, I think the ASPs will continue to rise for Fans. So, there is a process of overall premiumization time, and that will continue to drive growth ahead of volume growth for the industry. And second is the replacement cycle is becoming shorter. So, the reason for people to change Fans, despite high penetration, is becoming more compelling, either in terms of just consumerism and disposable mentality and/or also because of star rating and energy efficiency. There is a strong case for ROI, strong ROI case for replacement of fans. Those are 2 external factors. I think for Bajaj, there's a third factor playing, which is from where we are coming. This factor of high penetration has been true for many years. But despite that, over the last 5 years, we have come up from a #7 player to #4 player in the Fans category. I think that journey should continue. We expect to break into top 3. Again, the various levers, we have had white space in our portfolio. That will drive growth for us in Fans. And now with the second brand, NEX, I think by next year, like I spoke about, that brand should also be in a much stronger footing. And therefore, we have a 2-brand strategy that should help us break into the premium segment, far more significantly than we have done so far. So, that should help us drive growth in Fans ahead of industry growth rates there.

Dhruv Jain: And sir, if you were just to break down the share of premium fans as a percentage of the industry or for you, that would be helpful.

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Anuj Poddar : So, Dhruv, industry numbers vary, so I don't want to be the one quoting an industry contribution number. But I think our contribution is much lower than industry. While we don't give a specific number, both Q-o-Q and Y-o-Y, our contribution from premium plus B LDC has been growing

here. And this is just at a Bajaj level. By next year, when you add NEX also, we will grow much more sharply on this side.

Moderator : Our next question is from the line of Naitik from NV Alpha. Please go ahead.

Naitik Mutha : Sir, can you please give me the breakup of what sort of contribution does Fans make? And what sort of contribution does Kitchen Appliances make to the Consumer Durables?

EC Prasad : So, Naitik, we don't give out those numbers. But as far as the overall contribution is concerned because we are in a subeconomy -economy in Fans, the contribution in Fans is low.

Naitik Mutha : It would be lower than the consumer appliances than kitchen appliances.

EC Prasad : Yes.

Moderator : Our next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : So, questions to Mr. Vishal. So, obviously, this is your just first week. But what are the 3 key business areas that you plan to work on, let's say, in the first 6 months of the initial work? I mean whether it will be distribution, or it will be investing more b

ehind the brand, or, in a way, you

will focus more on the market share gains or you will focus more on the margins? In a way, so what are the key priorities that you have in mind that you would be working on?

Vishal Chadha : See, while I don't want to get into the specifics immediately, Anuj and the Chairman have talked about a transformational journey that the business is on, which is all about improving the efficiencies and margins and the growth. Now all of these come tog ether with, obviously, a top line growth and focus on operational efficiency and the ability to extract more. So, to give an answer, for me, it's going to be not just one area. Anything which adds to any of these is where the focus is going to be. Specifics, I can only talk about in the coming calls. It's too early for me to comment on it right now.

Aniruddha Joshi : One question to Mr. Anuj. So, we have seen now there is 100% rural electrification, and Bajaj is the brand which is most penetrated in rural markets. The distribution-wise as well as the brand awareness -wise, the brand equity is also very well known in the rural market. So, why the growth rates are relatively muted considering there is a very strong right to win for Bajaj Electricals in the rural markets? So, how should we read it over the, let's say, next 2- 3-year perspective?

Anuj Poddar : So, Aniruddha, good question. Let me answer from a rearview mirror of the last 1 year and then talk from the future. I think right to win has to be accompanied with an ability to spend. So, Bajaj Electricals Limited

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while the electrification has enabled power, and our presence as a brand or distribution is given right to win, but ability to spend for the rural consumer has been significantly compromised or curtailed in the last many quarters for reasons that we're all aware of. So, I think once the ability to spend comes back, which, like we said, we are seeing green shoots, then our right to win kicks in, in the monetary terms. So, that's maybe. That said, over the next 3-4 years, I think these are cyclical factors th at has to come back. Whether it comes back later half of this year, which remains our base case assumption right now, or in what quantum or manner, that will come back, then we should benefit from that.

Aniruddha Joshi : Very helpful. Last question. On N EX brand, you had indicated in earlier quarters also that there will be more brand expansions and more number of products will also get launched. So, any update that you would like to share on that? That is the last question from my side.

Anuj Poddar : Yes. So, there's 3 expansions happening there. One is our ceiling fan range itself has continued expanding in Nex. Secondly, we have just recently launched a TPW : i.e.table, pedestal, wall fan in Nex. And third, we are starting to take bookings for coolers. So, next summer, we'll also see NEX coolers in the marketplace. So, NEX, from being a specialist in premium Fans that promised 20% higher air thrust in cooling, it is broadening itself to being cooling specialists across ceiling fans, TPW fans and coolers. We will be the cooling specialist providing superior cooling to our consumers.

Moderator : Next question is from the line of Rahul from Haitong Securities. Please go ahead.

Rahul Gajare : So, Anuj, my question is, given, in the last couple of years, we have spent a good amount of money on R&D, which is clearly reflected in the product quality, the look and feel of the product that we have put out, and which I am sure has got a good traction. I want to understand how have the warranty expense that you have had over the last couple of years changed? Maybe you could talk on an annual basis.

Anuj Poddar : So, Rahul, firstly, so far, we have not heard a question from you. You are a regular, I mean, this last call of ours, of mine, at least, I've not heard you. So, thank you for being there. In terms

of

the warranty, clearly, like I said, the quality metrics are looking up, which means a number of customer complaints we're getting for product servicing or spare part replacement in the warranty period has been consist ently coming down. That's very visible and quantifiable metrics for us.

And as a result of that, our actual servicing costs, of this, our product replacement or spare part

replacement costs are coming down. That said, I think there's another side of the equation that this is a result of our investment in product quality, which means our cost of the product has gone up. That's had a saving on this end of the leg of servicing. Now we need to also recover this cost at the pricing level. I think we have a gap in ability to have recovered that, investments that we made in the product cost and the pricing side, that is what I've been alluding to. We are
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starting to make pricing corrections. And by next year, we should be in a much better position to start seeing those upsides on the pricing front.

Second, since you mentioned R&D costs, that's the other factor that E.C. was alluding to. If you remember, on the previous call, we had spoken about we have pretty much matured in terms of the NPDs that we wanted to create. From this year onwards, we should start seeing a stabilization of the number of new SKUs we need to launch, which also means that a catch-up is pretty much done. And therefore, by next year, we'll get into a normal cycle of NPD introduction and R&D cost.

So, going forward, from FY '26, our R&D costs should also start tapering down to normal levels.

So, directionally, qualitatively, what we expect to see that our double-loaded R&D costs should start tapering off next year to normalcy levels gradually, and our pricing power as that starts kicking in next year, that should start giving us an upside benefit here.

Rahul Gajare : Sure. I think that is very helpful because these are some of the levers that you will have for margin expansion.

Anuj Poddar : So, let me share a little more data point for you while we don't put out exact numbers. That's why we said we're tracking our NPD contribution to total sales very actively. That's growing year-on-year. It did sub- 50, now it's 40-plus. Sub- 50 right now for CP overall revenues there.

My view is, as by next year, we should cross the 60% contribution from NPDs. That's why, in a way, we crossed the inflection point, where our perception of the brand product portfolio,

etcetera, starts changing significantly today still below majority on that. As you flip over on the other side, that's when you really come into the greener pastures, and your pricing power game will start from there. Let's say, keep in mind, this is all calibrated journey, but you should start seeing an inflection point thereon.

Rahul Gajare : This is very helpful. And thanks, Anuj, for your time at Bajaj that you have taken the company to the next level. And best wishes for your next ventures.

Anuj Poddar : Thank you.

Moderator : Our next question is from the line of Achal from Nuvama. Please go ahead.

Achalkumar Lohade : The question pertains to the logistic cost. There has been a pain point for a while now. If you could guide us, where are we now? What kind of cost reduction have we seen in first quarter?

And how much do we see over next few quarters or year?

Anuj Poddar : So, Achal, I will be very transparent on logistics. I think there's 2 issues we have been grappling on logistics. First is cost, but before cost to us come the quality of our logistics and in efficiency of that. I think the quality of our logistics service and in efficiency have been a bigger pain point
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for us because, to my mind, that's been hurting our sales, and we have been losing sales every month for that. So, we have

been focusing on first getting that right. Q1 has also been a challenge

in that, and we have had to change the C&F agent at our largest central warehouse in Bhiwandi and that change happened in June, and that disruption also had a certain impact on our revenue ability.

But that said, I think the change is completed in June. That has gone up very well. All of July, the new C&F has done a much better job. And while July is not captured in the Q1 results, we have seen a significant improvement in our overall logistics service levels and efficiency. And that is very important for us from a business operations and sales perspective. That said, we're not fully done. I think incrementally, we shall continue to see improvement in logistics. We opened 2 more branch warehouses, and there are 2 to 3 more on the anvil. As these warehouses kick in, I think our service levels should go up, our turnaround time should go up, become better. And our cost should come down because of transport efficiencies that kick in. So, I think, naturally, all of this bodes well for our costs to come down. So, the way I see it is, by Q2, which is this current quarter, logistics efficiency should translate to much better service to sales. And by Q3, we should start seeing the benefit of the logistics costs coming down.

Achalkumar Lohade : Any quantification you could provide, sir? What is the incremental logistics costs you had to incur in first quarter? And what kind of savings one would expect in FY '25 or FY '26?

Anuj Poddar : My view is sitting on about 2 percentage points of logistics savings, percentage points in terms of percent of

sales. That should come into our books by end of this year. How that comes between now and end of the year, we shall see. So, we should see at least 2 percentage point reduction by end of this year.

Achalkumar Lohade : Another question I had, while you have indicated the green shoots are visible, would you be able to give some sense in terms of how the July month has been for the entire consumer products as a segment?

Anuj Poddar : Achal, at this stage, it won't be appropriate. We will not talk of July right now.

Achalkumar Lohade : All right. And just one more quick question. In terms of competition, we see several players kind of adding product categories, adjacencies, etc. Are you seeing competitive intensity actually going up, particularly in the kitchen? And even like what we understand today is the market leader in air cooler is getting into water heaters. So, in such a scenario, how do we ensure A) the growth and B) the margins? If you could give some sense on the direction, that would be helpful, sir.

Anuj Poddar : So, Achal, good question. Competitive intensity has been increasing in our industry across various categories for the last several years. I think that will continue to happen. And therefore, I mean you have been closely tracking us and engaging with us. That's why, strategically, we

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have taken a slightly differentiated approach, which you're familiar with. If I talk about the Bajaj brand, the build for life, which is focusing on higher durability, backed by technological interventions, or specific product specifications that are superior to competition. We believe that's the only way to deal with and compete in otherwise what is becoming a cluttered marketplace.

If I talk about, for example, water heater category that you mentioned the other player getting into, I do believe the water heaters that we're now coming out with, with a 10, 6, 4- year warranty, they are way superior warranty terms than anybody in the marketplace, but actually backed by way superior product quality or technical specifications that none of the competition players match up to.

That product range of water heaters, it's this season that we will hit the marketplace soon, and therefore, we should start seeing the benefits of that.

But that's a symbolic of how we are trying

to play this strategically, that competition will be there. It will keep getting more cluttered and competitive. The only way to create a right to win is to actually not be part of that clutter, but actually have created a differentiated product approach based on technology or R&D that we

have invested in. And many of these integrations are patented. And therefore, we shall, over the next 2, 3 years, get the benefits of that.

Moderator : Our next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain : Sir, I just have 1 question. Now historically, for many years, we were probably one of the fewest brands who is present across depths and breadths of India. This was one of our moats for a long period of time. Now when I see your competitors, they are aggressively penetrating to deeper pockets of India, be it Tier 3, 4 or even below that. So, do you think that moat to which Bajaj enjoyed over so many years is now reduced or probably even gone away? And if so, how are you planning to compensate for that? That's it.

Anuj Poddar : Natasha, good question. Let me answer that with many dimensions to this moat, okay, while, overall, numerically, our distribution reach was much wider than all of competition, that translates to numerical distribution. When you start slicing that in terms of weighted distribution, the urban counters, which contributed disproportionately to the sales volumes and revenues, we were actually under indexed there because of our positioning of our products and brand. And therefore, that is something we were solving for. While we defended our ND, which is numerical distribution, therefore, over the last couple of years, with our brand and product strategy and now distribution, is to actually focus a little more on weighted distribution in the urban counters where we may have been present, but we are not monetizing that adequately. Point one.

Point two, I think, historically, if you look at any consumer company, there's 2 large levers of strength that we're building: One is product strength and second is distribution strength. With

the advent of online platform, e-commerce, etcetera, the importance of distribution moat has

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somewhat been coming down because every new company can also reach every part of India through online platforms. So, distribution moat, by itself, is not adequate to defend or to win.

Your product moat becomes much more important than it's been in the past. Therefore, if you look at our narrative over the last 3, 4 years, it's been much more focused on product-level

intervention and changes that we're making while defending distribution because going forward,

I think product will win you far more than distribution will win you.

Moderator : Ladies and gentlemen, that was the last question for the day. I now hand the conference over to

the management for closing comments.

Shekhar Bajaj : Thank you very much. Shekhar Bajaj here again. After a long time, I got a chance to interact with investors. And I've been keeping a track, but I was not participating. So, in the future, I will participate much more actively , and therefore, you'll hear more of me in the future. But anyway, thank you for your various questions and answers. And I can assure you that we are working very hard, and we have got a very strong team and a very good Board of Directors to guide us. So, I see that the next few quarters should be substantially better. So, I am very positive about the future. Thank you.

Anuj Poddar : This is Anuj Poddar. I will just add to that. Once again, thank you from my side to all of you, investors, and analysts. Like the Chairman said, I think we have a very strong team, and that's one reason to also have Rajesh Naik and Vishal Chadha on the call today so that you can get a flavor of that.

I am sure as you interact with them going forward, and the entire team at Bajaj Electricals that we built, we are proud of that, and which Chairman has been a constant guiding force. So, I think your interest and the interest of all stakeholders are in good hands. My best wishes are always with the company and with all of you. Thank you very much.

Moderator : Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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November 12, 2024

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the 'Transcript of the Q2FY25 Earnings Conference Call' of Bajaj Electricals Limited ("Company")

Further to our letters dated October 28, 2024, and November 7, 2024, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q2FY25 Earnings Conference Call (i.e., Post Earnings/Quarterly Call), organized by JM Financial Institutional Securities Limited on Thursday, November 7, 2024, at 4:00 P.M. (IST), wherein, inter-alia, the unaudited financial results of the Company for the second quarter and half year ended September 30, 2024, were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer and Company Secretary

Encl.: As above.
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"Bajaj Electricals Limited
Q2 FY '25 Earnings Conference Call "
November 07, 2024

MANAGEMENT : MR. SHEKHAR BAJAJ – CHAIRMAN – BAJAJ
ELECTRICALS LIMITED
MR. E.C. PRASAD – CHIEF FINANCIAL OFFICER –
BAJAJ ELECTRICALS LIMITED
MR. VISHAL CHADHA – CHIEF OPERATING OFFICER
CONSUMER PRODUCTS – BAJAJ ELECTRICALS
LIMITED
MR. RAJESH NAIK – CHIEF OPERATING OFFICER
LIGHTING SOLUTIONS – BAJAJ ELECTRICALS LIMITED

MODERATOR : MR. DEEPAK AGARWAL – JM FINANCIAL

INSTITUTIONAL SECURITIES

Bajaj Electricals Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Bajaj Electricals Q2 FY '25 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch tone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal from JM Financial. Thank you, and over to you, sir.

Deepak Agarwal: Yes. Hi, everyone. Good evening. On behalf of JM Financial Institutional Securities, I welcome you all to Q2 FY '25 Earning Conference Call of Bajaj Electricals Limited. Today, we have with us management represented by Mr. Shekhar Bajaj, Chairman; Mr. E.C. Prasad, CFO; Mr. Vishal Chadha, COO of Consumer Products; Mr. Rajesh Naik, COO, Lighting Solutions. Without taking much of your time, I will now like to hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A. Thanks, and over to the management.

Shekhar Bajaj: Thank you very much. Good evening, ladies and gentlemen. I'm Shekhar Bajaj here. After a long time, I'm going to get a chance to interact with you, which I think I'm really looking forward to. Thank you for attending our Q2 Earnings Call. Hope you have had a great Diwali and wish you a very happy and prosperous New Year. Bajaj Electricals is built on a strong foundation of strategy and leadership. Our achievements are a testament to the resilience and commitment of our board and our strong leadership team. It has been 3 months since Vishal Chadha joined to lead our consumer products business, and I'm delighted with the progress made by him thus far. Further, Rajesh Naik, who has been with us for more than 5 years, continues to steer the Lighting business to new heights. We have set up an Apex committee comprising of Vishal Chadha - COO of Consumer Products; Rajesh Naik - COO of Lighting Solutions; E.C. Prasad - CFO; Suman Ghosh - HR Head; and myself to make the key decisions encompassing strategy and business till we have appointed our new MD and CEO.

We have appointed a marquee global search firm with respect to the appointment of our MD and CEO. As far as the macro environment is concerned, rural growth, which lagged behind urban growth in terms of consumption has now begun to outpace its urban counterpart. Keeping in mind the rise in disposable income backed by above-normal monsoons, the consumption in these regions is set to register an uptick, which will drive the demand.

There's also been a temporary reduction in government capex due to the recent election, which has affected our lighting business. On consumer behavior and buying patterns, there's a clear shift towards premium products. Consumers increasingly opt for premium and feature-rich products even in FMEG. I would like to assure you that Bajaj Electrical is working hard to commercialize its premium offerings. We are already seeing early signs of positive traction in Q3, and I'm sure we'll have more success to report in the succeeding quarters.

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Coming to the financial update, we have delivered a flattish quarter. The company has achieved revenue from operations of INR 1,118 crores as against INR 1,113 crores, a growth of hardly 0.5% over the second quarter of the previous year. For the quarter, the company has made a profit before tax and profit after tax of INR 15 crores and INR 13 crores, respectively, as against profit before tax and profit after tax of INR 45 crores and INR 32 crores, respectively, in the corresponding quarter of the

previous year. It should be noted that the corresponding quarter of the previous year also had a one-time benefit of INR 21 crores on account of the reversal of warranty provisions because of the insurance taken by the company to cover its liability on warranties.

So from an operating point of view, against INR 24 crores last year, it has gone down to INR 15 crores because you have to minus INR 21 crores out of INR 45 crores, which is a profit before tax of last year, INR 21 crores came out of this reversal. So, INR 24 crores has gone down to INR 15 crores just to have a comparison in the correct way. We are seeing some early signs of strong festive demand, and I'm very hopeful Q3 will reflect the fruits of a lot of efforts of the team.

I now hand over to our CFO, E.C. for detailed financial and operational highlights. Thank you.

E. C. Prasad: Thank you, Chairman, sir. Good evening, ladies and gentlemen, and thank you for attending our Q2 earnings call. Hope all of you had a great Diwali. At the outset, let me reiterate that we had a flattish quarter. The Consumer Products business registered a marginal growth of 1.2% on the back of a very suboptimal performance in fans, which degrew by a single digit. Further, appliances also showed a flattish growth.

Our coolers registered a very strong growth, almost to the extent of 2x. Kitchen appliances continue to remain an area of concern, and this has been true for the entire industry. But with the demand uptick, we are hopeful of a better performance in the coming quarters. I'm glad to state that Morphy Richards has registered a higher double-digit growth, and the growth in Morphy Richards continues for the last 3 quarters.

Despite a flattish growth in turnover, we remain committed towards our investment in R&D and other initiatives, which have resulted in adverse operating leverage for us. This has impacted our CP EBIT margins, which are at 1% as against 4.8% in the corresponding quarter of the previous year. Further, the corresponding quarter of the previous year, as mentioned by the Chairman, had a one-time benefit of INR 21 crores, which translates to 2.4%, resulting on account of reversal of warranty provisions because of the insurance taken by the company to cover liabilities and warranties.

If you exclude this 2.4%, actually, the comparison is 1% as against 2.4% for the last year. The good thing, however, is that we know what the problems are, and we are actively addressing them. Like we had communicated earlier, we are on a transformation journey to address our product portfolio gaps, including premiumization of our portfolio. We have improved the logistics cost in this quarter by a few basis points and are working further to reduce the same over the coming quarters.

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We've also increased our efficiencies in managing our manufacturing costs. We have, over the past 2 years, launched a lot of NPDS, which require a well-calibrated commercialization to settle down both in terms of communication and acceptance by the consumers, which will help us monetize the same. The commercialization plan has, however, taken longer than that we expected for, thereby resulting in a higher operating deleverage. Over the next few quarters, we'll spend heavily on the brand and other initiatives like revamped GTM, VAVE, digitization and manufacturing efficiencies, etc. The result of which will be visible to you in about 3-4 quarters from now.

Until this time, our focus will be to increase the top line and regain the market shares. Coming to Lighting Solutions. The Lighting Solutions business degrew by 2% due to continued price erosion during the quarter, which also had an impact on the operating leverage. However, in the key focus categories like the D-Lite and the ceiling lights, etc. we have delivered a double-digit volume growth and a single

digit value growth. Our EBIT was better at 6% as against 5.6% reported during the corresponding quarter of the previous year.

The Lighting business has refreshed its entire offerings and portfolio during the last 4-5 quarters. However, we've not done much of a communication. We have recently launched our "Built to Shine" campaign, which we intend to promote aggressively over the next few quarters. And coming to professional lighting, the order book of the professional lighting business stays healthy at INR 243 crores, and we are committed to grow this business.

Coming to our balance sheet and financial metrics. The balance sheet of the company continues to remain very healthy and strong. All the balance sheet ratios are at optimal level. In spite of a suboptimal P&L, we continue to generate positive cash flow or positive operating cash flow of INR 22 crores. We ended the quarter with a surplus funds of about INR 378 crores. Lastly, we have also begun the Q3 on a very positive note owing to the festive season. Thank you, and that's all from us. And we are now happy to take the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Sir, my first question is on the NEX portfolio. Now I believe that last season, we could not roll out all of our products, and there were certain delay also in terms of scaling it. So how are we placed now given that we're just going to enter the seasonal quarter for all your NEX portfolio products, the first question is that?

Shekhar Bajaj: So you want us to answer question wise or you finish all your questions and we answer together.

Natasha Jain: Sir, you can answer this, and then I can -- if I have a follow-up, I'll ask on that.

Shekhar Bajaj: Okay. Vishal Chadda, who is our COO for Consumer Products will respond to that.

Vishal Chadda: The NEX portfolio, we have rolled out the fans portfolio. Coolers are being commercialized as we speak. In terms of the bulk of the launches, they have already happened. Now it's about taking

them to market and commercializing them. Some new launches, depending on the white spaces will be in the pipeline, but by and large, the bulk of the launches are now in place.

Natasha Jain: Sir, should we see a complete rollout in the upcoming season?

Vishal Chadha: Yes.

Natasha Jain: Understood. Sir, my second question is now, again, on NEX, we do not have a brand ambassador per-se to promote our products. So, on the ground, channel checks that we've done, we've understood that for NEX, particularly the visibility is very low. So I want to understand from a strategy point of view that do you plan to first - hire a brand ambassador. And if so, when can we expect that? Because otherwise, how do you think will the visibility be scaled up for your NEX portfolio?

Vishal Chadha: So at the moment, we have no plans for hiring any or onboarding any brand ambassador. We believe that the product itself is strong enough and speaks for itself. We are continuing to invest in BTL as well as in digital to make the consumer aware about the NEX brand and the portfolio. So we believe that this should be enough for us to gradually gain traction.

Natasha Jain: Understood. And sir, 1 last question, if I may. Can you please call out your current GT vers us non-GT and within non -GT, e -comm versus non -e-comm?

Vishal Chadha: So the trade business is broadly 55%, alternative around 45%. And because it was the peak season around e -commerce, that's around 20%.

Natasha Jain: 20% of the 45% or broadly 20% of your total sales?

Vishal Chadha: Overall .

Moderator: The next question is from the line of Praveen Sahay from PL India .

Praveen Sahay: My first question is related to the consumer pr

oduct business. And in the first half, if I look at that's a 2.5% of growth. So if you -- and also in a quarter, there is a flattish appliances. So in the initial commentary also, you had said about the festival demand is expected to be better off. So if you give some further light on that, how are the appliances, especially in the festival season in the October month has done because if I see that pre -buying happened, before festivals. So it has not been covered in the Q2. So how are the initial days for the Q3 because of a festival, especially in t he appliances ?

Vishal Chadha: So, the response in the early days of quarter 3 have been in line with our expectations and encouraging.

Praveen Sahay: And is there any competitive intensity has increased significantly because of that, you are seeing some flattish Appliances business, even the base is not so high on the Y -o-Y side, if I look at, but still we are flattish. So is there a competitive intensity has increased or the demand is still very weak?

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Vishal Chadha: The competitive intensity, especially on the lower side of the price band has enhanced. And there has been a flattish growth. But if you look at our core categories, there has been some positive growth.

Praveen Sahay: Okay. Okay. And also, if you can give some indication related to the Fans, like degrowth in the fan is -- and in the second quarter is going to happen in the third quarter as well because the season is changing because of that how you are seeing this Fans division?

Vishal Chadha: So in Fans, as was mentioned in the CFO's opening remarks, in this quarter, we have had a degrowth. But the good news is that as a percentage in our BLDC and premium portfolio, as a percent contribution to overall ceiling fans, we have improved versus last year. So some part of the premiumization story is playing on. But we had taken a price increase in the early part I think, in May. And because we have by and large been a player in the sub -economy segment, which is extremely price sensitive, the impact fully hit us in this quarter .

Praveen Sahay: Okay. Got it. And lastly, related to the Lighting. Also in the opening remarks, you mentioned that the reduction in the government capex early part of the year impacted Lighting. How is the situation right now?

Rajesh Naik: So this is Rajesh. Initially, when the elections were there, there were some embargoes in terms of releasing the new projects, and that's why the order intake was low or the tenders were on hold. Now they have started getting released. Again, in Maharashtra, election is there, and there are 1 or 2 states that also undergo elections. And wherever we had a good presence, there we had this impact because of the elections. But otherwise, it's improved overall.

E. C. Prasad: One more thing, Praveen. E.C. Prasad here. On the Fans' question, I think in October, actually,

we have come back strongly as far as the Fan is concerned .

Praveen Sahay: Okay. So is there any particular reason for that, sir ?

E. C. Prasad: No. It's actually a festive demand, which has picked up so that has helped us.

Moderator: The next question is from the line of Manoj Gori: from Equirus Capital. Please go ahead.

Manoj Gori: Sir, my question is, if I look at the CP business performance, we definitely seem to have lost some market share Obviously, when we look at the NPD efforts that we have taken, it's for a while now. So ideally, our product portfolio should have been better on a Y-o-Y basis and at least there should have been some positive impact but that's not visible.

Secondly, again, on the CP business, when I look at this year versus last year, your festive season was early. So ideally, the channel would have built more inventory as compared to the previous year during the September month. But again, that's not visible in the numbers

. So can you just

throw some light over here like where we went wrong that would be a ...

E. C. Prasad: Manoj, I wouldn't say we had gone wrong. Actually, we have taken significant price increases in Q1 and Q2 across all categories of NPDs ranging from 3% to 6%. And I think that has not

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gone down well. Our NPDs actually are coming at a higher cost, and we had to take this price increase to mitigate that cost. So that has not gone on well because Bajaj has always been perceived as a value -for-money brand, it will take some bit of branding and communication for the consumer perception to change. And I think, over the long term, probably in the next 2 -3 quarters, we'll be able to achieve that with increased brand spends and other activities that we are doing. People will start recognizing us for the premium offerings that we are bringing in.

Shekhar Bajaj: Shekhar Bajaj again, I just wanted to also add that normally, the dealers are buying maybe a month earlier. So therefore, as the Diwali is end of October, 1st November, because of that, October would have been a good month. That's why one of the reasons why Fans has done well in October is because it is the season, which is November. So September is too early. People do not buy in September for November. And therefore, I think September was muted because of that, there is no festival demand, which came up in September. But October, yes. So you would see when the numbers come out, October has been reasonably good.

Manoj Gori: So sir, does this imply that the October sales growth at the secondary level that the channel would have registered during the season ? Our growth should be similar to that level .

Shekhar Bajaj: Yes, I think so.

E. C. Prasad: Yes, yes.

Manoj Gori: Okay, sir. Sir, secondly, on the margin side, obviously, we already indicated like we'll be doing investments for another 2, or 3 quarters. So should we expect like there would be some operating leverage because obviously, you highlighted like Q3 has started on a stronger note ? But if you look at probably should we expect higher investments might weigh on margins at least in the near term for the long -term benefits?

E. C. Prasad: Yes. To a large extent, yes, because we are spending quite heavily on those initiatives now, although some bit of results will start coming in, but for it to fully get utilized and to see the result, it will be at least 3 quarters .

Manoj Gori: And that would be largely towards NPD and brand -building exercises.

E. C. Prasad: NPD, brand -building exercise , and also cost reduction. So, we are also working on the VAVE program which is also costing us some significant money. The benefit of this will come at a later stage, we have identified significant cost reduction ideas, but all of that will translate into the books only about 3 quarters from now.

Shekhar Bajaj: Also, R&D.

Manoj Gori: Correct. Correct. And sir, lastly, if I may squeeze in with 1 small question. Any feedback or probably your observations on the rural demand uptake or probably it continues to remain a laggard, any observations from your end?

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Shekhar Bajaj: I've already mentioned that already, there is a clear -cut sign that the rural demand is picking up. And luckily, Bajaj as such is a very strong player in the rural market. We are almost -- 30% of our turnover comes out of the rural market compared to, say, let's say, Peers' is 8% to 10% only and because of that, I think the rural market picks up, we will also benefit out of it.

Moderator: The next question is from the line of Mahesh Atal from Atal Investments . Please go ahead.

Mahesh Atal : Sir, my first question would be, how do you see this electrical geysers and coolers market scaling up? Was this the first half growth, whatever we had th

is because of the excessive heat that we

had in various regions? Or do you really see that in this market staying the same way for the next half year?

Vishal Chadha: The question didn't come through very, very clearly. Could you please repeat it because we're not able to understand the question.

Mahesh Atal: I just wanted to know the market on electrical ge yusers and coolers currently, the broader view of yours on that because we see growth coming there, cooler side 2x gr owth we have reported.

So do you take this growth for the first half to the reason that there was excessive heat in some parts of the country or you say that people in the rural region are having -- I mean changing their mindset to coolers and all. So beca use we see one day, the ACs market also growing and coolers also growing. So how do you see that? I mean, do you see that sustainability in this market?

Vishal Chadha: So yes, coolers have been a growth for us, and we think that this will continue to remai n a growth area for us. As far as water heaters are concerned, the season is going to be now, so we'll see how the market pans out there.

Mahesh Atal: Yes. So do you see the sustainability of this 2x growth was because of the seasonal variations and all ?

E. C. Prasad: So cooler, yes. Actually , with this global warming and etc, I think the demand for coolers is set to increase. And because of the affordability factor also, I think people who cannot afford air conditioners are shifting towards coolers. So I think the cooler demand is there to stay for the long term. There are a lot of potential opportunities. Heaters, we have -- I mean the early signs are not that great because the season has not picked up, but we'll have to wait and watch how it spans out .

Mahesh Atal: And these coolers , when you talk about, are you also there on the industrial side, coolers?

E. C. Prasad: No, no, only the consumer side.

Mahesh Atal: Only the consumer side. I have 1 more thing on Fan side. Do you see this BLDC technology, which has come up, how far it will be -- like when do you see the entire market changing to that technology? Do you see the green shoots like people moving to BLDC because premium, as you said, is growing. That means the BLDC is growing. So do you see this s caling up from here like month -on-month?

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Vishal Chadha: So BLDC as a segment has been showing faster growth. But from - I mean I would not like to comment on how the industry is going to shape, but there will always be a set of consumers because there is a price difference between induction and a BLDC, which is at a more premium level. There will still always be demand for induction fans also. But again, it depends on the pricing data and how technology production evolves .

Mahesh Atal: And sir, what percent age of our revenues are premium currently out of the total revenues that you reported?

Vishal Chadha: So in the economy, subeconomy range where we play really, 70% of the business is from there and 30% is from the rest.

Mahesh Atal: So basically, we can un derstand that 30% is premium and the rest is our sub -economy.

E.C. Prasad : Subeconomy and economy, yes .

Mahesh Atal: And this 30%, where do you want to take it to in the next 2 years or so?

E. C. Prasad: In line with the industry

Moderator: The next question is from the line of Achal Lohade from Nuvama Institution Equities . Please go ahead.

Achal Lohade: Sir, first question, I don't know if you have this data. If we were to look at from a 12 -month perspective, given some element of seasonality, etc, how do you see these numbers in terms of growth or a decline for fans, appliances, lighting.

E. C. Prasad: Are you looking at a forward -looking projection for the year?

Achal Lohade: No, no, no. On a trailing 12 -month basis, right? Because the quarter may n ot be the right represent

ative for 12 months , past 12 months versus the previous year's 12 months for the same period, what kind of growth or decline has been for these categories, Fans, Morphy Richards , and appliances.

E. C. Prasad: So I've got a 6 months figure right now. I don't have the last 12 months, I will w ork that out. But fans grew by about 2.7% in the last 6 months .

Achal Lohade: Right. And how about the other categories, sir, the Morphy Richards and appliances?

E. C. Prasad: So Morphy Richards grew by 20% over the 6-month period, and appliances are flat - about 1% growth.

Achal Lohade: Understood. If we were to look at fans for the second quarter, you have said it's a single -digit decline. If I look at some of the peers who ha ve reported numbers such as they have shown a decent growth. So how do we explain this? Is it more to do with the only excuse being the rural? Is it the availability? Is it positioning? Because we are not that strong in premium and hence the

E. C. Prasad: So it's a mix of a lot of many things that you mentioned. The first thing is, as I had explained earlier, so some of our offerings that are coming at a higher cost now for which we had taken price increases, and that did not go well with the market. Second is because of that, the areas where we are strong at the bottom of the customer segment, that area we have actually vacated, which has been taken over by some of the competition. So we are working towards, again, bringing back some of the products at low price and on those segments to take that market. I think that is one of the major reasons for the loss of share in the fans' business in the last quarter.

Achal Lohade: Understood. Sir, if I recall previous comments in the call, we had clearly said that while we want to grow in the premium, we are not going to vacate our existing positioning. So I'm just curious, is there a change in the strategy?

E. C. Prasad: No. No, it was not by design. It's actually -- because our NPD were costlier, we had to actually take price increases. So we are working on 2 things. One is we are doing the VAVE exercise to bring down the cost of the fans and the second is also looking at Fans at cheaper price ranges that will operate at a lower end of the segment.

Achal Lohade: Understood. The second question I had specifically with respect to competition. You mentioned at the lower end, there has been increased competition. So is that competition from the national players, is that from the regional players, or absolutely unorganized?

Vishal Chadha: No. If you're talking about fans per se, it's also from national players.

Achal Lohade: It's also from national players. Okay. Understood. The third question I had in terms of the NPD contribution, can you call out what is the NPD contribution for the 2Q and the first half? And what is the aspiration here?

Vishal Chadha: We don't share those numbers. We want to grow and increase it gradually, and we are on the right track over here.

Achal Lohade: Okay. Okay. Understood. And just a couple of data points. There is a mention of actuarial valuation impacted this quarter. Can you help us understand what is the quantum of this actuarial valuation impact?

E. C. Prasad: INR 4 crores.

Achal Lohade: Sorry?

E. C. Prasad: INR 4 crores, Achal.

Achal Lohade: INR 4 crores, okay. And another question is a restatement of 2Q FY '24. If I look at 2Q FY '24 got restated by about INR 30 crores, can you help us understand the reason for that?

E. C. Prasad: Yes. So actually, last year, we had actually taken this warranty insurance premium, which resulted in a write-back of the warranty provisions that we have made to the extent of INR 21 crores.

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crores. So as against that, there is a charge of INR 9 crores in the current year. So that is a swing of INR 30 crores. So, we had got a one-time benefit because of the insurance last year.

Achal Lohade: So you have restated the 2Q FY '24 to that effect. Is that sir?

E. C. Prasad: No, no, we have not restated it. So if you look at last year's overheads, it is lower by INR 21 crores because of the impact that we had taken in the last year.

Achal Lohade: Understood. And I'll take it offline.

Moderator: The next question is from the line of Paarth Gala from HDFC Securities. Please go ahead.

Paarth Gala: Just the question on the logistic cost. So if you can spend time on that in terms of, what has been the savings that's part in 1H and are we on track to making good of the 150-200 bps by the end of the year and also in terms of servicing to the channel, has there been an improvement because that is an area which was under some pressure last quarter as well. So just these two things, if you can spend some time on.

E. C. Prasad: So yes, Paarth, see earlier when we had discussed this 2% saving, our logistics cost has reached somewhere around 8%. That has come down significantly now. But still, there is a scope for improvement about 100 basis points. So we are working on that. And hopefully, in the next 3 to 4 quarters, we should be there. As far as the PAT is concerned, the deliveries have now improved significantly, and the turnaround time has also improved.

Paarth Gala: Okay. So we've made good of 100 bps so far because clearly, we were looking at...

E. C. Prasad: Yes.

Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: So I just wanted to understand while the quarters have been a bit softer, in terms of market

shares, how we would have done, whether we would have grown ahead of the market or how has been our growth considering the market growth also. And is there any market share gain /loss across any of the categories if you highlight that, that would be really great.

E. C. Prasad: Yes. Aniruddha So, actually, although there are GFK data, etcetera available, I mean, it's not fully reliable because they don't do the research based on the 100% population. But looking at the results, if you actually see, I mean, we have degrown by 6% in fans, while others have registered a strong growth. That obviously means that we have lost the market share. And even the appliances also, we have lost some market share, but we are quite sure that we'll come back strongly in the next 2 quarters. In-ceiling lights, we have actually gained market share.

Aniruddha Joshi: And in terms of the appliances, fans, etcetera, what is the strategy to regain the lost market share and also to grow the market share once we regain the lost ground? Is it going to be pricing or more action or differentiated launches or a combination of that? So how should we read on that? Also, if you can give more color on the market share loss, and is it happening in rural markets

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or urban markets, or if you can articulate in terms of the North, South, East, and West, where are we seeing the maximum heat of competitive pressures?

E. C. Prasad: Very difficult. I mean, quite difficult to answer that at a geographical level. But overall, we have lost the shares. And the question that you asked, whether we'll resort to pricing gain, the answer is no. We don't want to resort to pricing game to gain market shares. As I mentioned, that we got a lot of strategies in place. One is getting the cheaper version of the models at the lower end of the segment, Second, we are doing a lot of exercise on the VAV E, substantial cost-saving initiatives have been identified. When it spans out, we'll be able to offer better pricing to our customers. We are also working on the GTM : Go-To-Market strategy. So all of these

strategies

put together will help us gain back the market share.

And lastly, the branding. So we have launched a lot of new products and also introduced a new brand over the last 3, 4 quarters, and we need to do aggressive communication so as to ensure that we are at the top of the mind of the consumers. So we have got these 3-4 strategies in place, which will help us regain the market share.

Moderator: The next question is from the line of Anuj Sehgal from Manas Asian Equities. Please go ahead.

Anuj Sehgal: My question is actually on the margin Consumer business. So over the last 10 years, the margins have been at best in the industry have margins close to 10%. Earlier, the reason was that the EPC business was part of the company and the allocation of costs was an issue. Now, of course, that also has been demerged. And I understand that the portfolio is more tilted towards the mid-to-low end, but what should we how should we think about the margins of the consumer business, let's say, over the next 3-5 years?

E. C. Prasad: So, the guidance that we have given earlier stays intact. So we would like to be a double-digit margin company over the long term. And there are many levers to it. One of the levers is operating leverage. Actually, we have made a structure or an overhead that can support a turnover of more than INR 6,000 crores, but we are not delivering to that extent today because of the various reasons that we have mentioned earlier.

As the turnover comes back, about 3-4% will come from the leverage itself. Apart from that, as I mentioned, we are working on the logistics costs, manufacturing efficiency improvement, and the VAV E. All of this will improve the margins. So we are committed to get there, but it's only -- probably we're not delivered as per the time, but we are a bit delayed, but I think we'll be there.

Anuj Sehgal: And is there something is there something that is wrong with the cost structure of the business, which also needs to be addressed? Or is it just a function of the business scaling up to the numbers that you expect and operating leverage sort of coming through?

E. C. Prasad: Yes. It's just about the operating leverage kicking through, if you actually compare our overheads with anyone in the industry, they are almost at par or better than others. So once the turnover kicks in and the operating leverage -- I mean, I think we'll be -- we should be getting back this 3-4%. However, actually, if you can compare 3-4 years, our overheads, which were about 10%

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have now gone up to 14%. So it's a straight 4% gap out there. The moment we reach about INR 6,000 crores of turnover, we will get that 4% back.

Anuj Sehgal: Okay. And then just lastly, on the gross margin. So as the product portfolio becomes more premium. Would you expect the gross margin to also improve? And related to that, I believe almost 85% of these products are outsourced. Is there any plan to bring more products in-house,

which could possibly also aid in improving the gross margin or the strategy is going to remain with asset -light or with a large outsourcing to your vendor

E. C. Prasad: So Anuj, we are working on this revamped strategy. We'll get back to you shortly as it materializes on the manufacturing side.

Moderator: The next question is from the line of Deepak Agarwal from JM Financial. Please go ahead.

Deepak Agarwal: Just wanted to understand, firstly, on the Morphy Richards side. So we have seen that you have delivered higher double -digit kind of growth, but wanted to understand from you more color on how one should look at down the line for the next 2 to 3 years, what's the strategy over here in terms of new product development and everything.

E. C. Prasad: So yes, Morphy will continue to play in the premium and above categories. And as and when we feel the need to

launch new categories, we will. In that, we have already launched the personal grooming, which has played out really well for us. And anything to do with the lifestyle products, we will continue to invest behind it. As a brand, the awareness and all the brand metrics of that are also trending in the positive direction because we also continue to invest behind it.

Deepak Agarwal: Got it, sir. Also, second question was only on just to understand the mix between your Lighting, between the Professional Lighting and Consumer Lighting, if you can help us the mix between the same.

Rajesh Naik: So as of now, professional lighting contributes to 60% and Consumer Lighting is 40% .

Deepak Agarwal: Okay. Any guidance over the sir, the margins over here, sir? How one should look at the same?

Rajesh Naik: Lighting in both the segments has improved drastically over the last 2 -3 quarters, which you can see we are continuing to grow that , and that you can see in the financial results as well.

E. C. Prasad: And Deepak, actually, our focus is shifting from more of battens and lamps where we are stronger to more of ceiling lights, etc, which will actually increase our margins. The only issue playing out today is a change in technology. I think with the DOB technology getting adopted to ceiling lights also, there is a price erosion, which is happening. But I think we expect that to stabilize in the next 2 -3 quarters.

Deepak Agarwal: Okay. How much price erosion that was there in the last quarter, sir, Q2 and H1, if you can just highlight that ?

E. C. Prasad: Deepak, I didn't get the question.

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Deepak Agarwal: How much price erosion in the lighting segment was.?

Rajesh Naik: H1 is 10% to 12% price erosion has already happened, and we expect that to continue for the next 3 -4 months. And it is across the industry, you must have seen other competitors also talking about price erosion.

Deepak Agarwal: You told 10% price erosion, right?

Rajesh Naik: Yes, 10% to 15% in different categories.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Shekhar Bajaj: Thank you very much for all the various line of you who have asked the questions. I hope we give you satisfactory response. We are all working very hard. We hope that the third quarter will show much better results. And all the strategies that we've been working on will finally start getting implemented. And therefore, we are hoping that the next February meeting that we will have will be a much happier situation. Thank you.

Moderator: On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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February 10 , 2025

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the 'Transcript of the 3QFY25 Earnings Conference Call ' of Bajaj Electricals Limited ("Company")

Further to our letters dated January 21, 2025 , and February 4, 2025 , and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the '3QFY25 Earnings Conference Call' i.e., Post Earnings/Quarterly Call, organized by Ambit Capital Private Limited on Tuesday, February 4, 2025 at 4:30 P.M. (IST) , wherein, inter -alia, the unaudited financial results of the Company for the third quarter and nine months ended December 31 , 2024, were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer and Company Secretary
(ICSI Membership No.: A 51129)

Encl.: As above.

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"Bajaj Electricals ' 3QFY24 -25 Earnings Conference Call"

February 04, 2025

MANAGEMENT : MR. SHEKHAR BAJAJ – CHAIRMAN , BAJAJ
ELECTRICALS LIMITED
MR. EC PRASAD – CFO , BAJAJ ELECTRICALS
LIMITED
MR. VISHAL CHADHA - CHIEF OPERATING OFFICER
CONSUMER PRODUCTS , BAJAJ ELECTRICALS LIMITED
MR. RAJESH NAIK - CHIEF OPERATING OFFICER

LIGHTING SOLUTIONS , BAJAJ ELECTRICALS LIMITED

MODERATOR : MR. YASH JAIN – AMBIT CAPITAL PRIVATE LIMITED

Bajaj Electricals Limited
February 04, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Bajaj Electrical s' 3QFY24-25 Earnings Conference Call hosted by Ambit Capital Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Yash Jain from Ambit Capital Private Limited. Thank you and over to you, sir.

Yash Jain: Thank you. Hi, good evening, everyone.

On behalf of Ambit Capital, I welcome you all to 3QFY25 earnings call of Bajaj Electrical s Limited. From the management side, today we have Mr. Shekhar Bajaj – the Chairman ; Mr. EC Prasad – CFO; Mr. Vishal Chadha – Chief Operating Officer for Consumer Products, and Mr. Rajesh Naik – the Chief Operating Officer for Lighting Solutions.

Thank you and over to you, sir.

Shekhar Bajaj: Thank you. This is Shekhar Bajaj here. Good evening, ladies and gentlemen. Thank you for attending our 3Q Earnings Call and wish you all a very Happy New Year.

We have delivered a good set of results for this quarter, owing to good festive demand. On the macro front , while the headline CPI inflation eased to 5.2% in December '24, it remains above the RBI target rate. Due to a depreciating rupee, the central bank is likely to maintain a tight monetary stance. I believe the interest rates will continue to remain elevated for a few months, potentially curbing private consu mption and investment. Consumer preference is moving towards pre mium and feature -rich products.

I would like to assure you that Bajaj Electrical is working hard to commercialize its premium offerings. We saw signs of positive traction in 3Q and I'm sure we will have more success to report in succeeding quarters.

Coming to Financial Updates :

We delivered a good quarter. The company has achieved revenue from operations of Rs. 1290 crores as against Rs. 1,228 crores, a growth of 5% over the 3rd Quarter of the previous year. For the quarter, the company made profit before tax and profit after tax of Rs. 45 crore and Rs. 33 crore, respectively, against profit before tax and profit after tax of Rs. 50 crore and Rs. 37 crore, respectively in the corresponding quarter of the previous year. It should be noted, however, that in December 2023 quarter, w e had one -time impact towards warranty provision true-up of Rs. 23 crores and income tax refund interest income of Rs. 36 crores. Hence, on a like -to-like basis, profit before tax of December '23 quarter is Rs. 37 crores, against which we have delivered Rs. 45 crores for this quarter , which translates into a growth o f around 21%.

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Consumer product business has shown momentum by delivering a revenue growth of 8.5% on a year -to-year basis, mainly due to good festive demand in the month of October 2024. We have crossed Rs. 1,000 crore revenue threshold for consumer products after two years and are very encouraged by this achievement.

The Lighting Solutions business revenue contracted by 7.5% due to price erosion. We have launched our "Built to Shine " campaign for our vertical in this quarter and have invested around Rs. 11 crores. That is around 4.3% of the Lighting Solutions business revenue towards brand building.

I now hand it over to the CFO for Detail ed Financial and Operational Highlights . Thank you.

EC Prasad: Good evening, ladies and gentlemen. This is EC Prasad. Thank you for attending our Q3 earnings call and wish you all a very Happy New Year.

Coming to the overall performance :

At the outset, let me reiterate that we had a very good set of numbers owing to a

good festive

demand. We delivered a strong profit before tax of Rs. 45 crores as against Rs. 50 crores on a YoY basis. However, like Chairman explained, we had a one -time impact towards warranty provision of Rs. 23 crores and income tax refund interest income of Rs. 36 crores in the corresponding quarter of the previous year. Hence, on a like -to-like basis, the profit before tax of December '23 quarter is Rs. 37 crores against which we have delivered Rs. 45 crores in this quarter, which translates into a growth o f around 21%.

Coming to the consumer products :

The consumer products business registered a strong revenue growth of 8.5% on the back of a good festive demand and trade business revival. Appliances , which had shown slower growth in the previous quarters have grown strongly by high single digits. Within appliances, the domestic appliances have shown strong growth, owing to categories like coolers and heaters, which showed high double -digit growth. Kitchen appliances continue to remain under stress, even at the industry level, but with the demand uptick, we are hopeful of better performance in the coming quarters. Morphy Richards continue to register high double -digit growth. Probably this is the five straight quarters that Morphy Richards has been registering a double -digit growth.

Fans remained flatish.

Our CP EBIT margins are at 5% as against 1.7% in the corresponding quarter of the previous year. While the margins have increased 3x, it is necessary to know that quarter of the previous year had a one -time warranty provision true up of Rs. 21 crores, which translates to around 2.2%.

Hence, on a like -to-like basis, we still have delivered a 5% EBIT margin, vis-à-vis 3.9% in the corresponding quarter. The increase in margins are predominantly due to an increase in gross margins of 2%, which has been offset by our continuous investments in R&D and various other Bajaj Electricals Limited

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projects for improving our operational efficiencies. The brand investments were at 3%. Our transformation journey to address our product portfolio gaps, including premiumisation of our portfolio, is underway and is showing good traction. We continue to improve our logistics and manufacturing efficiencies by a few basis points.

We are glad to share that we have regained market shares in certain appliance categories on a QoQ basis. Over the next few quarters, our focus will be to increase the topline and improve the market shares while continuing to spend heavily on the brand and other initiatives like revamped GTM , VAV E, digitalization, manufacturing efficiencies etc.

Coming to Lighting Solutions :

The lighting solution business de -grew by 7.5% due to continued price erosion during the quarter, which also had an impact on the operating leverage. However, under our revamped GTM initiative, we have identified 167 focus markets, which registered double digit volume growth and mid-single -digit value growth. We have also observed pan-India volume growth in our focus categories like ceiling lights and battens. Our EBIT was at 2.1% as against 8.4% reported during the corresponding quarter of the previous year. Again, here it is necessary to know that we have invested in "Built to Shine " campaign and have invested around Rs. 11 crores in brand building activity, which translates to around 4.3%. Hence, on a like -to-like basis, our EBIT margins are at 6.4% vis-à-vis 8.4% of the previous quarter of the corresponding year.

However, on a Q oQ basis, we have held our EBIT margins after grossing up the brand investments. The brand investments for this vertical will continue to be high for the next few quarters in our endeavor to increase our market shares.

Coming to professional lighting :

The order book stays healthy at Rs. 231 crores and we are committed to growing this business.

Coming to balance sheet and financial metrics

cs , the balance sheet of the company continues to

remain very healthy and strong. All the balance sheet ratios continue to be at optimal level. We continue to generate positive cash flow from operations. This quarter we generated about Rs. 83 crores of positive cash from operations and we ended up the quarter with a surplus funds of Rs. 423 crores. That's all from my side and I will hand it over to you now for taking the questions.

Moderator : Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session. Anyone who wishes to ask a question may press "*" and 1 on their touchtone telephone.

If you wish to remove your self from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Natasha Jain from Phillip Capital. Please go ahead.

Natasha Jain: Yes, Thank you for the opportunity, sir. My first question is on the consumer product side.

Firstly, congratulations on a good set of numbers. So, 3rd Quarter is a seasonal quarter for

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domestic appliances and Morphy Richards as well. So, I understand the double -digit growth here, which is appreciated. Now coming to 4th Quarter , we have observed that on the ground there is demand moderation across consumer goods. Given 4Q will be a bigger play for fans and for Bajaj fans is a comparatively lower revenue contributor. So, how does 4Q look like to you? Are you seeing demand softness across electricals?

Vishal Chadha: Hi, this is Vishal here. Our endeavor will be to do better than last year in the same quarter and that's what we are hopeful for.

Natasha Jain: Got it. And sir, which category products have you taken price hike for? Can you quantify it if possible?

Vishal Chadha: We have taken price hikes across almost all categories, be it mixers, be it water heaters, especially in two channels or irons, whether it is national format retail or in e-commerce. So, across categories, not just one.

Natasha Jain: Got it. And sir my next question is on the ad spend. So, you mentioned that in lighting, you have spent Rs. 11 crores, and your EBIT stands at Rs. 5 crores. So, can you just tell us what this huge ad spend was on in terms of lighting? Where did we spend this, precisely?

Rajesh Naik: So, mostly, this is Rajesh here. Most of that was on the ATL. We created the first film after almost two years. We went to the market line in terms of investing into the brand. And that was mostly ATL.

Natasha Jain: Sir what would be the percentage of, I mean, ad spend as a percentage of total revenue in 3Q?

EC Prasad: It's 4.3% for the lighting business.

Natasha Jain: For lighting and overall, sir, any plan?

EC Prasad: Overall, it's 3.3%, Natasha. So, CP ad spend is 3%. Lighting solution is 4.3% and overall, 3.3%.

Natasha Jain: And we will maintain this standard going forward also?

EC Prasad: Yes, as I mentioned, so we will be continuing to spend heavily on our brand in our endeavor to get back the market shares.

Natasha Jain: Got it. And sir, just one last question, if I may. Given that summer season's coming, now can you just talk a little about scaling up of your NEX portfolio as to what products can we see coming into the markets which weren't there earlier? Thank you, sir.

Vishal Chadha: So, NEX, coolers are the ones which we will be bringing into the market, but the ramp up will be gradual. Fans, as you already know, are already existing. So, it will continue to remain a premium offering from our organization.

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Natasha Jain: Thank you so much, sir, and all the very best.

Shekhar Bajaj: Thank you, Natasha.

Moderator: Thank you. The next question is from the

line of Aniruddha Joshi from ICI CI Securities. Please go ahead.

Aniruddha Joshi: Yes, thanks for the opportunity. So, you have indicated in the presentation regarding MFI impact in lighting. So, just more seeking more clarity on MFI overall. What is the overall contribution and overall company level also and what was the impact if you can quantify it or share more qualitative details on that? Also is the MFI impact still continuing or do you see probably the peak of the impact is already seen?

EC Prasad: So, Aniruddha, EC Prasad here. So, MFI used to contribute about 5% odd in our total offerings. And MFI has been impacted since the RBI came down heavily on the MFI and that issue still continues. So, two areas of concern for us are the MFIs and the government channel, which has actually underperformed during this quarter. We hope that the government channels will start picking up, but MFIs will still continue to struggle for some more time.

Aniruddha Joshi: Okay, and means two-three quarter also we can continue to see some impact on MFI channels also.

EC Prasad: MFI yes, but the government channels probably will pick up.

Aniruddha Joshi: Government channel means CSD types you can say.

EC Prasad: CSD and CPC. There again, for various reasons the demand was low, but I think in the quarter we see a demand coming back from those channels.

Aniruddha Joshi: Okay, and the 5.5% you said is of the total sales number, correct?

EC Prasad: Of the total sales number, yes.

Aniruddha Joshi: Sure, understood. Second, on lighting, we're still seeing the price erosion continues to be there. Means, what will be in a way the end game here? Means, do you still see the prices continuing to get eroded, or even now? Or is there any in a way full stop to that? How should we think about this business then?

Rajesh Naik: This is Rajesh here again. Price erosion has been done in few categories in consumer products. I think one of the category, which is ceiling light, it has to still hit. So, I feel that next one or two quarters it will continue for the price erosion. And it can come into the professional lighting also in some time. I think price erosion game is not completely over. And then DOB technology is completely set across product categories that will continue to have price erosion for next few quarters.

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Aniruddha Joshi: Price erosion is not yet over in consumer products also and it is yet to begin in commercial products means B2B illumination products ?

Rajesh Naik: In lighting , it will be less because there it is more of performance driven , but yes it will have some impact of price erosion in professional lighting also.

Aniruddha Joshi: Sure sir, understood. And the third question in terms of now we have seen consumer products doing well. So, you mentioned about some of the focus market or change in GTM strategy also.

So, if you can elaborate a bit more on this changing GTM strategy, distribution expansion or like that, that is the last question from my side. Thank you.

Rajesh Naik: This is Rajesh again, because whatever we discussed about focus market for more of consumer lighting initiative, where we wanted to have the faster growth. And that's where we launched Project Vriddhi. And we started with first pilot of five cities . And after success, we saw the success there in high double -digit growth , we expanded that to 167 markets . And there we are saying we are continuing to see high double -digit growth in volumes and single -digit growth in value as well. So, that is at 167. We will be expanding that in the next two quarters to the all - Indian level.

EC Prasad: So, Aniruddha , you asked what this initiative is about? It's about focusing on the WD, that is the weighted distribution, rather than the numerical reach to be on the relevant counters, doing the BTL activities

properly, all of that stuff in those focus markets, which has actually started yielding results for us.

Aniruddha Joshi: Sure, this is very helpful . Thank you.

Moderator: Thank you. The next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: Hi. Good evening, gentlemen, and thanks for the opportunity. Some of the questions asked earlier were helpful. So, I have some other questions around new products. Can you throw some light on the product gaps which are there, both on consumer and lighting, given that there is a focus on premium products at this point in time?

Vishal Chadha : So, from a consumer products point of view, we feel that some of the product gaps which we are hoping to address in the coming quarters are primarily around the area of fans. Other than that, in the remaining categories, we obviously keep looking at wide spaces, which I can't comment too much about at the moment, but from a high level for the big categories, fans will be our focus to fill in the gaps.

Rajesh Naik: Talking about consumer lighting to be specific, it was professional , it is like back to back when we do the customization of the products for the specific shop. But consumer lighting, we had gaps earlier almost, last 3-4 quarters, we were able to bridge all the gaps which were there as Bajaj Electricals Limited

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compared to the competition. And as we wanted to grow much faster in ceiling lights, we are focusing on bringing more and more new products into that particular thing.

Rahul Gajare: So, product development on the lighting side especially on the consumer side is behind us now. We can say that ?

Rajesh Naik: Yes, almost 27 products were launched in Quarter 3 only in the ceiling category.

Rahul Gajare: Now in the PPT , you've talked about double -digit growth in Morphy and all . Any specific product that you would like to call out in terms of exceptionally strong growth that ...

Vishal Chadha : Could you please repeat?

Rahul Gajare: One thing is, any specific product that you would like to call out in terms of growth? You already highlighted, I think, that you had double -digit growth in Morphy, but besides that or is that the highest growth that you've seen in the 3rd Quarter ?

Vishal Chadha : No, we have got segments within Morphy which are growing faster than the overall Morphy growth obviously. And those include segments like coffee makers, food processors, and so the personal -care segments. So, these are some of the segments which are growing faster and doing well for us.

Rahul Gajare: And how much would Morphy be in the first nine months in terms of revenue?

Vishal Chadha : It is around 7.5% to 8%.

Rahul Gajare: 7.5% to 8% of the total CP business ?

EC Prasad: Yes, of the consumer business, yes, consumer products business.

Rahul Gajare: In this particular quarter ?

EC Prasad: Yes, Rahul.

Rahul Gajare: So, firstly, congratulations. We have seen margin uptick in the business, specifically on the consumer coming closer to 5%. I want to know from here, what is going to be the key levers for margin expansion? Now, the backdrop of this is we have probably reached about 30 %-31% gross margin, which is probably best in the last 10 -15 years. So, which are the areas which essentially will drive margin expansion from this level? Thank you very much.

EC Prasad: So, Rahul, we're doing a lot of things. One is the VAV E exercise that we are doing is expected to realize about 3 %-4% more margins, some of which might get passed onto the market, but there is a potential line there. Second is, as I mentioned even in the last call, we still have a lot to do as far as the operating leverage is concerned because we have created a structure to deliver

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about Rs. 6,000 crores plus of revenue, which we have not yet reached

. So, as we reach that milestone, the operating leverage will kick in and we will have about 2 %-3% coming from there. Two other areas that we are focusing on is on the manufacturing and the logistics cost. There again, there are a lot of improvements possible, which we are. So, logistics, we are aiming to get down the logistics cost by 1% point and manufacturing also by a percentage point.

Rahul Gajare: Okay, thank you very much. All the very best.

Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama Wealth Institutional Equities. Please go ahead.

Achal Lohade: Good evening. Thank you for the opportunity, sir. Can you help us understand this quarter is seasonally the best quarter in terms of the product mix, if I understand correctly, given the water heater is a high margin, the room heaters etc. So, first of all, how do we see, so you explain, you know, the drivers for the margin improvement. But if I were to ask you in terms of ballpark range, can we, can we move to 7%-8% kind of a margin in next two years. Do you think that is irrelevant? Does that assume a reasonably good healthy demand or even with the current lackluster demand, you can still aim for that kind of a margin?

EC Prasad : So, Achal, some of the VAV E benefits will start coming in in the next year. So, you can expect about 2%-3% to kick in. Operating leverage obviously depends on the volume and the demand.

So, I hope both of them start kicking in together, probably we will be reaching a 7% sort of margin .

Achal Lohade: By FY 27. Have I understood right sir?

EC Prasad : Yes, 2 years.

Shekhar Bajaj: Once again, I'm Shekhar Bajaj here. Just as a side I'm mentioning that luckily Vishal has come from not our industry and also we have a sales head also not from our industry, so they don't have the mindset problem and therefore we can easily improve our margin by 1% or 2% .

Achal Lohade: Understood. Second is in terms of the premium mix, if you could just give us a sense in the consumer products and the lighting. What is the mix right now? What was it, let's say, 3 years ago? And how do you see over the next 3 years? Some sense, some direction, some quantification, if you could ?

Rajesh Naik: In our case, in the consumer lighting space, we were not in line with the industry in terms of mix. We were more driven in the lamp segment because our distribution was large and we were reaching to most of the counters and the lamp category was contributing to almost 50 % to 60 % . And our ceiling category, which is supposed to be premium in respect to the consumer lighting segment, was at low single digit. Now, in the last 2-3 quarters, we have improved that to almost 17%-18%. And we are continuing that journey to bring it to the level of 25 % to 30% contribution

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coming from ceiling light. And even in terms of battens, we are trying to bring more products in terms of inverters, battens, and even the high voltage battens, which will take that to the premium category and where the price space will be much lower. So, we are working on adding feature-plus products in all the categories, including lamps where we had inverter as a category. And we were the first to launch high-voltage inverter lamps into that category. So, we are building on premium in all three categories where we are having the focus product segment approach.

Achal Lohade: And how about consumer products?

Vishal Chadha : In consumer products, as far as mixes are concerned, we are close to 40% of our premium offering and we hope to continue to strengthen it in the 750 watts and above space. In the case of water heaters, we are between 20 % to 25% and the fans at a n YTD level for premium as well as BLDC, we are close to around between 20 % and 25% also. So, which we hope will to keep increasing as we go forward.

Achal Lohade:

Understood. And in terms of the logistic cost, we have been hearing for some time in terms of the changes, right? So, where are we on in that journey? You've kind of hinted in a passing remark with respect to operating leverage and the logistic cost savings. But I recall the previous target used to be fairly steep 200 to 300 basis point equipment. Is that still intact? Or do you think that is now not possible anymore?

EC Prasad : That is intact , we have actually reduced our logistics costs over the last nine months or so by about 1%-1.5% , and there is still a scope of one more percentage.

Achal Lohade: Okay, can you give us some sense what is the cost now in terms of logistic cost?

EC Prasad : So, the benchmark that we are targeting is about 5%.

Shekhar Bajaj: Okay. That 5% will take another couple of years according to me. At this moment, I think we are around 6.2 %-6.3%, which I think we should be positioned to bring it down, but it will take a couple of years now. Now every 0.1% reduction takes its own effort, but that's our objective.

Shekhar Bajaj here.

Achal Lohade: And just a comment in terms of the replacement of after CEO position, where have we, how soon can we expect, is there anything, any update on that?

Shekhar Bajaj: Do you have a problem with me around?

Achal Lohade: No, not at all, sir. It's just that, we were earlier having ..

Shekhar Bajaj: I was CMD for many years and I became CMD temporarily, now I am in fact CMD. I am just joking. We are working on that. Hopefully soon we will have an MD around. But till then, I'm

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very much now, my wife is much happier to see me away from home. Otherwise, she was getting tired of me. So, I'm fully involved now, so there's no problem.

Achal Lohade: Thank you so much and wish you all the best.

Moderator: Thank you. Ladies and gentlemen, to ask a question, you may press "*" and 1. The next question is from the line of Natasha Jain from Phillip Capital. Please go ahead.

Natasha Jain: Thank you for the follow -up, sir. Just one data, if I may have missed. Can you please call out the mix between professional lighting and consumer lighting?

EC Prasad: 60-40, Natasha. 60% professional and 40% consumer lighting.

Natasha Jain: Got it. And you mentioned that in professional lighting, also, we can see a slight bit of erosion going forward, right?

Rajesh Naik: Yes. It is there as of now also, but it has happened in the consumer lighting. In professional, because it is driven through specifications, it is little less. But yes, it will continue to have some price erosion.

Natasha Jain: Got it. Thank you so much sir and that's all. All the very best.

Moderator: Thank you. Participants who wishes to ask a question may press "*" and 1 now. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Yes, thank you for the follow -up, sir. If you could give some broad sense in terms of the demand situation. Sorry, I missed the initial part if you've already commented. If you could repeat in terms of urban, rural, and category -specific comments if you could . Like what we heard is in this quarter, the delayed winter seems to have had some impact on the water heaters. Has that the case been with us as well etc.?

EC Prasad: So, Achal , we remain cautiously optimistic about the next quarter. This Q3, we have done pretty well as far as the heaters and the coolers etc. are concerned. Even the water heaters , we have registered our growth in spite of the delayed winter. And we expect the domestic appliances to do pretty well. Kitchen appliances, we feel will remain muted for some more time because the discretionary spend has still not kicked in. And I think with the stimulus given by our Finance Minister, probably in the next 2-3 quarters, things could start looking

up. But having said that,

the inflationary pressure still continues to be pretty high. The interest rates still continues to be high, and we don't see that cooling in the next 1 or 2 quarters. So, that will have an impact on the demand , but I think the seasonal products should do well in Q4 and Q1 for next year.

Achal Lohade: Understood. And is it fair to say that we are more indexed to urban than rural or is there any inaccuracy in the understanding?

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EC Prasad: So, we are actually more indexed to rural, but having said that, with the launch of all these new products, we are also addressing a lot of urban markets now, which you are not addressing earlier. So, that also helps in a way.

Achal Lohade: Understood. And if you could comment on the market shares, any ballpark range in terms of various categories? I know it's hard to give out but still a broad sense.

EC Prasad: We don't give that out, Achal, on the call but ...

Achal Lohade: Let's say even for FY 24...

EC Prasad: Some of the categories over Q2.

Shekhar Bajaj: One of the problems that we have is that there is no proper system by which the market shares are known officially. Unofficially, we can find out and keep having our guesses, but there is no body by which we can be sure that automobile and scooters and two -wheelers and all have their

market share, which is exact because it is something that is monitored . Its unfortunate small appliances and all , there is nothing like agency or organization which keeps a track. Therefore, everybody can keep saying we have got high market share, but we don't know really. That's why we don't want to make that statement. Thank you.

Achal Lohade: Got it sir. Thank you.

Moderator: Thank you. The next question is from the line of Yash Jain from Ambit Capital. Please go ahead.

Yash Jain: Hi sir. Just a small question. Any guidance on CAPEX or what we are planning to do here?

EC Prasad: So, CAPEX will continue to be in the same range.

Yash Jain: That will be any number, sir?

EC Prasad: So, it should be in the range of Rs. 100 to Rs. 150 odd crores for the next year.

Yash Jain: Okay. Thanks, sir.

Moderator: Thank you. The next question is from the line of Viral from Oaklane . Please go ahead.

Viral: Thank you for the questions.

Moderator: I'm sorry to interrupt you, sir. We are unable to hear you clearly.

Viral: Am I audible now?

Moderator: Yes, please go ahead.

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Viral: Yes, thank you for taking my question. So, relatively new to tracking this company. So, just wanted to understand in terms of lighting solutions, what are the factors that are driving this price erosion? And in your experience in terms of working in this industry for so long, what are those factors that could stop or restrict this kind of price erosion?

Rajesh Naik: This is Rajesh. The price erosion was mainly because of the high volumes which are coming in. As you know, in electronic industry, as the volumes go up, the prices come down because of the production leverage. Second is the technology change itself. It was earlier driver technology, which has now gone to driver on-board technology, with which almost 15% to 20% price reduction with the same features as possible. And that continues from one particular product category, then it gets implemented to different categories. And that was the only reason why the price erosion continued for almost two years. And now it may also go in professional lighting if that particular technology stabilizes for industrial environment.

Viral: So, how could we stop, I mean, what measures could be taken to stop this kind of price erosion?

Rajesh Naik: So, in my view, this particular price erosion will get stopped once the DOB stabilizes across all product categories because there is no new technology

as of now in sight in terms of in next 1

or 2 years which can again destabilize the pace of this implementation.

Viral: Thank s a lot.

Moderator: Thank you. The next question is from the line of Rahul Gajare from Haitong Securities . Please go ahead.

Rahul Gajare: Thanks for the follow up. I just had one question. You talked about price hike being taken across categories. Is it possible you can quantify it in the consumer on a broad segment level , at consumer level and the lighting level?

EC Prasad: Rahul , it's about 2 % to 4% across categories.

Rahul Gajare: In consumer, right?

EC Prasad: Yes, in consumer, yes.

Rahul Gajare: Okay, thank you very much.

Moderator: Thank you. The next question is from the line of Prasheel Gandhi from Anand Rathi. Please go ahead. Prasheel Gandhi, please go ahead with your question. Your line is unmuted.

Prasheel Gandhi: Hello, am I audible?

Moderator: Yes, you are.

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Prasheel Gandhi: Sir, just wanted to double check you highlighted that you are targeting 7% EBITDA margins by FY27. Is that correct?

EC Prasad: Yes, that is right. So, internally we are targeting much more, but we are hopeful of reaching that in the next 2 years.

Shekhar Bajaj: Let me clarify, Shekhar Bajaj here, that the CFO is always very, very ambitious and very positive. We have to be really careful. You know, the markets are very tough. So, that's our objective. But what will happen only time will show. So, don't keep putting that every time in every meeting. You don't say, where's your 7%? So, please don't do that.

Prasheel Gandhi: Yes, sure. So, secondly, could you just highlight the demand trends that have been in the January month? So, could you give a bit more flavor to that?

Shekhar Bajaj: No, flavouring is only done after the quarter is over.

Prasheel Gandhi: Thank you very much and wish you the very best.

Moderator: Thank you. Participants who wishes to ask a question may press "*" and 1 now. The next question is from the line of Aniruddha Joshi from ICIC I Securities. Please go ahead.

Aniruddha Joshi: Yes, thanks for the opportunity again. So, now with MFI and CSD channels getting impacted, is Company thinking about the new channels which are emerging like quick commerce etc.? So, any strategy on quick commerce that you can indicate. And secondly, what is the industry level sales in both ECDs or consumer products as well as lighting , consumer lighting at MFI channel as well as the CSD channel or overall CPC plus CSD both put together channels ?

EC Prasad: So, you wanted to know the industry or our share?

Aniruddha Joshi: No, sir, industry level, what is the share of MFI? And industry level

EC Prasad: So, we don't know that the industry share, but going by our past trends, we are definitely stronger in those two channels. We had a significant share both in the government channel as well as the MFIs. Government channel would for us contribute 9%-odd, and as I mentioned, about 4% to 5% in MFI. And we were one of the strongest players there. And your second question is on the alternate channels , quick c ommerce. So, we have the early mover advantage in quick c ommerce. We are already there in quick c ommerce. But as of now, it's a very small share, but I think gradually it will pick up .

Aniruddha Joshi: Okay. Sure , sir. Thanks.

Moderator: Thank you. Participants who wishes to ask a question may press "*" and 1 now. Ladies and gentlemen, you may press "*" and 1 to ask a question now. Participants , you may press "*" and 1 to ask a question now. Ladies and gentlemen, you may press "*" and 1 to ask a question now.

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Participants, you may press "*" and 1 to ask a question. As there are no further questions from the participants, I now hand the conference over to the management for closi

ng comments.

Shekhar Bajaj: Thank you very much, all of you who have participated. We are very, very positive about what's happened in the 3rd Quarter and we are looking forward that the 4th Quarter should be strong so that we end the year very strongly and we want your continuously support and best wishes because we are working very hard. We have got a very good team in place and we are very, very positive. We have started the month well and we are hoping that the quarter should be strong.

Thank you.

Moderator: Thank you. On be half of Ambit Capital Private Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

Corporate Office: Mulla House 51, Mahatma Gandhi Road, Mumbai 400 001
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May 16, 2025

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001
National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the 'Transcript of the Q 4FY2 5 Earnings Conference Call ' of Bajaj Electricals Limited ("Company")

Further to our letters dated May 5, 2025 , and May 12, 2025, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q4FY25 Earnings Conference Call (i.e., Post Earnings/Quarterly Call), organized by PhillipCapital (India) Private Limited , on Monday, May 12, 2025, at 4:00 P.M. (IST) wherein, inter- alia, the annual audited financial results of the Company for the financial year ended March 31, 2025 , were discussed. We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer and Company Secretary
(ICSI Membership No.: A51129)
Encl.: As above.

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"Bajaj Electricals Limited Q4 FY '2 025 Earnings
Conference Call "

May 12, 2025

M
ANAGEMENT : MR. SHEKHAR BAJAJ – CHAIRMAN
MR. SANJAY SACHDEVA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. E.C. PRASAD – CHIEF FINANCIAL OFFICER
MR. VISHAL CHADHA – CHIEF OPERATING OFFICER ,
CONSUMER PRODUCTS
MR. RAJESH NAIK – CHIEF OPERATING OFFICER ,
LIGHTING SOLUTIONS

MODERATOR : MS. NATASHA JAIN – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Bajaj Electricals Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Bajaj Electricals Limited Q4 FY '25 Earnings Conference Call , hosted by Phillip Capital (India) Private Limited .

As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Natasha Jain. Thank you and over to you , ma'am.

Natasha Jain: Thank you, Avirat . And good afternoon, everyone. I , Natasha Jain , on behalf of Phil lipCapital , welcome all of you to the 4th Quarter FY '25 Earnings Conference Call .

From the m anagement today we have Mr. Shekhar Bajaj, Chairman ; Mr. Sanjay Sachdeva – MD and CEO ; Mr. E .C. Prasad – CFO ; Mr. Vishal Chadha – COO, C onsumer Products ; and Mr. Rajesh Nai k – COO, Lighting Solutions .

I now request the management to give their opening comments , post which we shall open the floor for Q&A. Thank you, and over to you, sir .

Shekhar Bajaj: Good evening, ladies and gentlemen. Shekhar Bajaj here. Thank you for attending our Q4 Earnings Call . We hope you had an opportunity to review our financial results and earnings presentation , which are available on the s tock exchange.

First, I am extremely delighted to welcome Mr. Sanjay Sachdeva into Baja j Electrical s Limited as our new Managing Director and Chief Executive Officer. He graduated as an electrical engineer from IIT Delhi and later pursued his master's degree in management from the IIM Calcutta. He has joined us from Unilever, where he had extensive experience to scale and lead successfully the consumer business in India, China, Brazil , North Africa , Middle East, Russia and finally Japan.

Further, he has consistently driven profitable growth in highly competitive environments, successfully turning around businesses across geographies, delivering strong business result in volatile market conditions and strengthening talent and organizational capabilit ies. H is global experience will be of immense value to Bajaj Electrical s given our vision of continuing to grow in India while establishing a strong footprint globally. I am confident that with his experience, coupled with the strength of our pe ople, brand and cultural values , we will continue to drive sustainable and profitable growth. I extend my best wishes, and I am confident that he will adapt swiftly and begin contributing meaningfully to our strategy and vision.

Like we have mentioned in the past, Vishal Chadha, our Chief Operating Officer for Consumer Products ; and Rajesh Naik, our Chief Operating Officer for Lighting Solutions , are driving business growth and we remain committed to continuing to deliver better results.

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On the macro front, headline inflation eased to 3.6% in February 2025, d riven by a sharp decline in food prices . Further, as per RBI b ulletin, recent tariff announcement by US A dministration have heightened policy uncertainty, posing new headwinds for global growth and inflation. While India cannot remain immune to these developments, the progress achieved on the disinflation front gives headroom to monetary policies to focus on balancing the growth inflation outcome. The two consecutive RBI rate cuts will ensure liquidity for business i n a time of uncertainty .

Coming to the financial performance:

It has been a strong performance in the 4th Quarter with healthy revenue and profit growth. The company has achieved revenue from operations of Rs. 1,265 crores , as against Rs. 1,188 crores, a healthy growth of 6.5% over the 4th Quarter of the previous year. The company's

profit before

tax has zoomed to Rs. 71 crores , which is an increase of 191 %.

Consumer Products business has continued to show good momentum by delivering revenue growth of 8.4% on a year -to-year basis, even in a delayed summer. The EBIT has jumped to Rs. 39 crores from Rs. 16 crores, w hich is a jump of 138%. The EBIT margins have also improved by 210 basis point to 3.9%, owing to a significant increase in gross margins. I would like to congratulate Vishal Chadha and his team for this significant increase in gross margin and for the robust performance and look forward to continuation of this momentum over next year. While the Lighting Solutions business revenue remain ed flat, I am delighted to see a strong double -

digit value growth in trade for Consumer Lighting .

I will now hand over to Sanjay Sachdeva for the initial address , and then to the CFO for detailed financial and operational highlights to Sanjay.

Sanjay Sachdeva: Thank you, Chairman, for the warm welcome and kind words. I am truly honored to join Bajaj Electricals as MD and CEO. I am equally delighted to connect with all of you for the first time since I joined the company.

As you know, Bajaj Electricals is a storied organization with a proud legacy and rich heritage , spanning over eight decades . It is built on the foundation of trust, innovation and its strong portfolio of trusted brands, deep rooted customer relationships and widespread distribution network are testaments to its enduring presence and impact across Indian households and industries alike. What particularly excites me is the company's unique ability to blend tradition with transformation , from pioneer advances in Consumer Products and Lighting Solutions to its agile approach in embracing digitalization or sustainability.

Having extensive experience to lead businesses successfully across the globe , during my tenure at Unilever, I do see immense potential and possibilities in bringing these together to Bajaj Electricals as we chart out our next phase. I am truly excited to be part of this iconic company and work alongside a team which I have already experienced to be talented, ambitious , and Bajaj Electricals Limited

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portray a spirit of excellence. Together with the strength of our people, the power of brand, and deep commitment to our values, I believe we can shape a bold, sustainable future, and create enduring values for customers, communities and all other stakeholders.

My initial four weeks at Bajaj has involved meetings with employees , associates, strategic partners, factories, R&D center and frontline teams. It reinforced my perception of the strength of the company, the brand , and the rich legacy. We have a talented, vibrant and energetic team throughout the company. This strong fundamental reassures me of the immense potential, as I said, that Bajaj holds as we move forward. It gives me confidence that the strategy , decade of Bajaj Electricals , is a winning strategy. This will unlock value and will continue to deliver strong results.

We are strengthening our distribution and product strategy through focused expansion, R&D investment and premiumization. As you know, initiatives like Project Vriddhi is driving scale and success across markets. We are also enhancing brand presence with digital engagement. We are also driving cost leadership with projects like Mulya or positioning a lightning solutions vertical as a key growth driver. With a strong organization culture, a well-defined strategy , and a committed team, I am confident that we are well positioned to shape a bold and future-ready Bajaj Electricals. The performance of the last two quarters is a testament of our capabilities.

With this, I now hand over to the CFO for detailed financial and operational highlights.

E.C. Prasad: Thank you, Sanjay. Thank you, Chairman. Good evening, ladies

and gentlemen . And thank you

for attending our earnings call. We hope you have had the opportunity to review our financial results and the earnings presentations which are available on the stock exchanges .

Coming to the overall performance :

At the onset let me reiterate that we had a good quarter with a healthy revenue and profit growth. We delivered a strong profit before tax of Rs. 71 crores as against Rs . 24 crores on a Y-on-Y basis , which translates into an upside of 191% . We have picked up momentum in the second half of the year with our revenues growing 5.7% as against 2.2% in the first half of the year. We are confident that we will continue the momentum going forward .

On an annual basis , we delivered a profit before tax of Rs. 170 crores as against Rs. 173 crores last year. However, please note that last year we had a one-time gain of interest on income tax refund of Rs. 41 crores. And this year we have an exceptional net gain of Rs. 21 crores. By adjusting these one-time impacts, we delivered a profit before tax of Rs. 148 crores as against Rs. 132 crores , thereby resulting in a significant improvement of 12.4%, which is commendable.

Now coming to the Consumer Products :

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The Consumer Products business registered a strong revenue growth of 8.4% on the back of a good demand for domestic appliances, followed by fans , and continued trade revival. Appliances continued to show strong traction and grew by double digits. Within appliances, domestic appliances have shown strong growth owing to categories like coolers, which showed high double-digit growth. Kitchen appliances, especially mixers, continue to remain under stress even at the industry level. But with the expected demand uptick, we are hopeful of better performance in the upcoming quarters. Morphy Richards continued to register high double-digit growth. Fan

showed a low single digit growth.

Our CP EBIT margin has expanded to 3.9% as against 1.8% in the corresponding quarter of the previous year. The increase in margin issue is due to a strong expansion in gross margin of 3.6%, which has been partly offset by operating deleverage on account of higher depreciation of moulds for new products, and various other projects for improving our operational efficiencies. The brand investments were at 2.4%. Our transformation journey to address our product portfolio gaps, including premiumization of our portfolio is underway and is showing good traction. We continue to improve our logistics and manufacturing efficiencies by a few basis points.

In our continued effort to improve our GTM, we have created a BU structure for our fans business. This is to enhance our focus on this growing category, including the new launches in the premium segment. And this initiative is expected to yield results in the coming quarters. Over the next few quarters, our focus will be to increase top line and improve the market share while continuing to spend heavily on the brand and other initiatives like revamped GTM, VAVE, digitalization, manufacturing efficiencies, etc.

Now coming to the Lighting Solutions:

The Lighting Solutions business remained flat due to degrowth in Professional Lighting, which also had an impact on the operating leverage. Please note that even within Professional Lighting, there were some delays in order execution of urban local bodies that has resulted in the de-growth. Otherwise, all other areas in Professional Lighting also witnessed growth. Under our revamped GTM initiative, we have delivered a double-digit value growth in general trade for this quarter which was close to about 12% odd, which is probably the highest in the industry.

Professional Lighting contracted owing to a drop in outdoor luminaires. Our EBIT was at 7.8% as against 8.5% reported during the corresponding quarter of the previous year.

r. The brand investments from this vertical will continue to be high for the next few quarters in our endeavour to increase our market share. Coming to Professional Lighting. The order book stays healthy at Rs. 248 crores. And we are committed to growing this business.

Coming to Balance Sheet and Financial Metrics:

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The balance sheet of the company continues to remain very healthy and strong. All the balance sheet ratios continue to be at a very optimal level. We continue to generate positive cash flow from operations of Rs. 87 crores for the quarter. We ended the quarter with the surplus funds of Rs. 509 crores.

Now coming to the other strategic initiatives that we had highlighted in the last quarter:

With regards to our export strategy and with a view to expand company's international footprint and enhanced business opportunities in the Middle East and other untapped markets, the Board have already approved the incorporation of a wholly owned subsidiary of the company in UAE. The activity on this is on track and we will share updates with you as soon as possible, or as soon as it materializes.

Further, on the proposal to explore the possibilities, opportunities and feasibility of setting up the company's manufacturing unit at a suitable location in India, the company has already commenced the evaluation and exploratory work. We will again share the updates with you as soon as it materializes.

This is all from our side, and now we are happy to take the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aniruddha Joshi from ICI CI Securities. Please go ahead.

Aniruddha Joshi: Yes, thanks for the opportunity. And really great set of numbers. So sir, two-three questions, first to Mr. Sachdeva. What are the top three priorities that you would be working on? Whether it will be branding or like earlier there was a strategy of Nirlep and Bajaj as one brand, Morphy Richards as one brand, and there was one more premium brand the company was also working on. So, whether the same strategy continues? In terms of distribution, what will be the challenges or changes you would like to bring in? Because Bajaj tried a lot with Mahindra Logistics also, so any plan on that? That is question number one.

Question number two is regarding Nashik VRS. Is it already over or it may continue in Q1, Q2 as well? And the last question, in terms of like this quarterly results, is there any change in ad spend? Because we see 100-bps drop in other expenditure or so, and even the number is lower on a Q-on-Q basis as well. So is there any reduction in terms of brand building efforts or so?

Yes, that's it from my side.

Sanjay Sachdeva: Thank you. This is Sanjay. I will start answering and then I will ask EC to take the other two questions. So, as I said, the strategy decade of Bajaj Electricals is a winning one and it's showing results. I do not intend to change it, neither the strategy nor the priorities. Of course, there will be some tweaking, but it will not fundamentally change the direction of the company. So this will be Bajaj brand, Morphy Richards, and Nex. This will be all the priorities which have

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mentioned will continue, and we will drive growth through there. So fundamentally, things will stay the same.

E.C. Prasad: So Aniruddha, let me answer the last three questions. One you mentioned about logistics. Yes, logistics cost continues to be high for us, and we are working on it. We have achieved around 100 basis points reduction over the last one year or so. But having said that, there is a long way to go. And we are looking at it both internally, and if required even we will take external help to get the logistics cost to where

it should be. That is as far as logistics is concerned.

Coming to VRS:

The VRS in Nasik is over. Out of the 117 workers, 115 workers opted for the VRS so that is done with. As far as the other overheads are concerned, the brand spend continues to be the same as last year. So last year was around 2.5% and this year it's about 2.4%. But the overall reduction that you see is because of the operating leverage, because the total other overheads remain the same at Rs. 205 crores. Last quarter was Rs. 205 crores, last year Q4 was Rs. 205 crores, and this year Q4 is also Rs. 205 crores. Because we have been able to contain a lot of unproductive spends, etc.

And because of the operating leverage kicking in, we have gained that 1% in the other overheads.

Aniruddha Joshi: Okay, understood. This is very helpful. Last question, the MFI issue that we were facing in terms of distribution, so is that resolved or now it is already in the base now?

E.C. Prasad: So, Aniruddha, that continues. I mean, we still have an issue on the MFI front, MFIs have still not started going on full steam as it was earlier.

Aniruddha Joshi: Okay. And any expected timelines to see any resolution or something?

E.C. Prasad: Not really, Aniruddha. So RBI eases the limitations that they had put on the MFIs, I do not think that demand is going to come back quickly.

Aniruddha Joshi: Okay, okay. And this will adversely impact in June quarter or it's already done, is the issue already in the days also?

E.C. Prasad: No, I did not get that, Aniruddha.

Aniruddha Joshi: No, see, like we are facing the problem since past four quarters already the numbers are in

E.C. Prasad: No, no, we faced this the entire year of last year. And even in Q1 we are facing the same issue.

Aniruddha Joshi: Okay, sure. Understood. Thanks a lot.

E.C. Prasad: Thank you, Aniruddha.

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Sanjay Sachdeva: Thank you.

Moderator: Thank you. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Hi. Thank you for the opportunity. Sir, congratulations on a good set of margin. Sir, quickly on Consumer Lighting, we are seeing a healthy set of margin. So should we expect this margin to continue going forward? Secondly, this quarter the revenue growth has been flat for this segment, should we expect now upcoming quarter we will see growth in this segment?

Rajesh Naik: Yes. This is Rajesh. If you remember, we have been discussing about product mix being changed so that we can drive margins, so the price erosion was there. So we continuously improve our first level margins with the product mix, and which has helped us to improve that by almost 2.5% (overall) in the FLM itself, which will continue, and we are driving the top categories or the product mix where higher margin products are being sold. So that should continue.

Keshav Lahoti: Understood. How much was the ad spend as a percentage of sales in this year? And what is the expected spend for next year?

E.C. Prasad: For the full year?

Keshav Lahoti: Yes. For the full year and how you are forecasting for next year? You have highlighted there is strong focus on brand investment.

E.C. Prasad: Yes, full year is around 3% for the year. And next year, we plan to take it up so somewhere would be in about 3.5% to 4%.

Keshav Lahoti: Okay. And this would be on which business side, all across or specific for any segment, the higher one?

E.C. Prasad: No, this is really throughout.

Keshav Lahoti: Okay. Thank you. That's it.

Moderator: Thank you. The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: Yes. Thank you for the opportunity. My first question is related to the channel mix from the past few quarters. We are giving an alternate channel growth numbers,

and definitely that's export or government, even the modern format retail are doing very well. So if you can give some color on how is the alternate channel contribution right now for you? And where you want to see this channel contribution in the way forward?

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E.C. Prasad: So yes, alternate channel is about somewhere between 40 % to 45% and the trade contributes the balance. As far as the growth goes, I think E-com growth during the year has not that been great.

Whereas we continued to do well in the MFR. And last year trade was a problem for us, but this year trade has actually bounced back and trade is showing good growth.

Praveen Sahay: So this mix you expect it to continue like 45%, 55% alternate versus GT to continue for the company?

E.C. Prasad: Yes, it will be somewhere in the range of 60 :40 to 55 :45.

Praveen Sahay: Fine, sir. The next question is related to the gross margin, and in the note you had mentioned that that's because of price hike and the initiatives, VAVE initiative, the value initiative and the value engineering. So if you can give some more color on that, your 280 basis point improvement in the gross margin. How much is coming from the price hike and in the CP and the Lighting where you had taken the price hikes?

E.C. Prasad: So Praveen, I would not like to comment on that because it's actually very confidential. But the assurance that I want to give you is that we continue to work on the VAVE projects, a lot of VAVE initiatives have been identified and you will see the margin improving continuously. So, going ahead also you can expect about 2% to 3% savings coming from VAVE, and also about 2% to 3% coming from the price hikes.

Praveen Sahay: Okay. Fine, sir. And the question related to your one-off, there is a sale of land you booked around Rs. 30-odd crores. So is that over or something also you are expecting the way forward?

E.C. Prasad: No, nothing as of now. So if there is something we will let you know.

Praveen Sahay: Right, sir. And lastly on the Lighting, sir. Lighting you had Consumer Lighting around single digit or double digit in the growth in the GT of Consumer Lighting, so is it possible to give some color on how much is the volume-led growth versus pricing?

Rajesh Naik: So just to give your input, we have been discussing, you must have seen that we have been discussing about volume growth, which is coming in, and the value growth was not there. But this quarter we were able to drive both, volume as well as value growth, which is the positive sign, and we will continue to drive that.

Praveen Sahay: Is it fair to assume that whatever the price erosion was there in the Consumer Lighting that is over?

Rajesh Naik: We have been discussing this for the last two quarters, in Lamps as well as Battens category. In the two categories it is almost at the bottom, but there is one particular category which is Ceiling Lights where it will still continue for next one or two quarters. So the price erosion impact will be there for a few quarters.

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Praveen Sahay: Okay, sir. Okay. Got it. And if you can give any color on the CAPEX for this year would be helpful. Thank you, sir. And that's the last question.

E.C. Prasad: So yes, the normal CAPEX will be close to about Rs. 100-odd crores. But as you would have seen in the last, I mean, the budget board meeting we had said that we are also evaluating a factory for which a principal approval of about Rs. 300 crores have been taken. So if that materializes, the CAPEX would be in the range of Rs. 400 - Rs. 450 crores.

Praveen Sahay: Thank you, sir, and all the best.

Moderator: Thank you. The next question is from the line of Natasha Jain from PhilipCapital. Please go ahead.

Natasha Jain: Yes. Sir, I have three qu

estions, first is in terms of depreciation. The depreciation has considerably increased on a Y-o-Y basis, but CAPEX has halved in terms of the cash flow statement. So what has happened here really if you can explain?

E.C. Prasad: So Natasha, in last year, although we spent about Rs. 130 crores, most of the CAPEX was in the CWIP - capital work in progress, because it was not used for production. So, this year it has all come into the CAPEX because we started making products out of these moulds, and hence the depreciation for the year is very high.

Natasha Jain: Understood, sir. Sir, my second question is in terms of channel inventory. Now if I see the season has not been encouraging and secondary sales are slow for all cooling products. Having said that, how do you see 1st Quarter panning out, especially do you think that inventory will still continue to be high in the channel and therefore no pricing advantage?

Vishal Chadha: Firstly, I would want to give flavor of the full quarter. Hi, this is Vishal here. I mean, it's early

into the quarter so I cannot really predict or comment on how the quarter is going to proceed going forward. And from our point of view, looking at the tertiary offtakes and how the offtakes happen over a period of time, we calibrate our business and our sales into the channel accordingly. So we do not see any different from what we have been doing in the past so far.

Natasha Jain: Thank you, sir. Sir, my last question is for Mr. Sanjay Sachdeva. Now, if you see the consumer durable industry, it has been marked with very heightened competition. And because of heightened competition, the price hike has not happened in this industry for a long time now. I mean, even the premiumization or the BLDC price has not been passed on to the channel. The industry is only moving towards premiumization with non-premium products not really picking up. So given this background, how do you read this industry as in what are your broader level strategies to navigate further? Thank you.

Sanjay Sachdeva: So first of all, I do believe that premiumization is picking up. And I also do believe that price increases have been, to some extent, the norm. We have also taken the price increases this last

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year. And as EC was saying, there will be maybe another price increase this year. So there will be therefore both premiumization and price increases to mitigate inflation will be there. Yes, of course, we will not pass on entire raw material inflation to consumers, partly we will absorb through savings. But there will be some level of price hike.

Not to forget, except for maybe fans where penetrations are pretty high, most of the category penetrations are low. And therefore, building category penetrations can be a big driver of growth. Replacement market is also pretty large. So therefore, I can see many drivers, not only premiumization and price increase, but also increasing the penetration and therefore the overall market size. And then there are always the new categories of products which, whether it is let's say coolers now or whether it is grooming. So across there will be many categories which will be taking off. So, there are multiple drivers as I said, and we do see therefore a huge potential of FMEG categories.

Natasha Jain: Sure, sir. That's helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: Thanks for the opportunity, sir. I have a question on the gross margin. So we have seen some changes of gross margins quarter-on-quarter. How should we think about gross margin going forward, is there any target that you would like to spell out? Or what are the levers you are buying apart from cost savings in terms of gross margin? And if you could also spell out what's your

premium share really transpiring as a percentage of overall sales? And is there any target that you would want to give out going forward in the next two or three years?

E.C. Prasad: So, Dhruv, yes, you are right. So few of the levers through which we will be targeting the gross margin, one obviously is the V AVE excise that we are doing, and that will continue. Secondly, the price increases that Sanjay also mentioned of and third is the premiumization. So actually we are far behind the premiumization curve. Actually if you look at the industry, our aim is to reach the industry standards in the next couple of years. So, all of these will trigger improvement in the gross margins.

Dhruv Jain: Any targets that you would like to give out?

E.C. Prasad: As far as the gross margin is concerned, no, no targets please.

Dhruv Jain: Okay. Sir, I had a question on the Lighting side. So, I mean, obviously we have seen that for the entire industry, but specifically how should we think about growth going forward there? So when you see this full realization issue sort of bottoming out? And what is the kind of growth that we should expect going forward, say, in the next three years for Bajaj Electrical in the Lighting vertical?

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Rajesh Naik: This is Rajesh again. I will not be able to give the exact number what growth we are targeting. But one positive side, as I mentioned earlier, there are two categories in Consumer Lighting which has bottomed almost, and only one category which is undergoing price erosion. So I think in next one or two quarters that will also bottom out. And as we have seen in Project Vriddhi, our reach has increased, the top line has increased, and our overall volumes have almost increased by double digit, which gives us confidence that coming quarters we will continue that journey. Once that MFI thing goes away in terms of another two quarters MFI impact will be there what we were indicating a little while back. If that goes then we can see the good strong growth into Consumer Lighting. Talking about Professional Lighting, sorry, you were saying something?

Dhruv Jain: No. So another question is on Professional Lighting only, so on Professional Lighting you spelt out you have an order book of about Rs. 450 crores, right, so what's the execution timeline there?

Rajesh Naik: So he mentioned about Rs. 240 crores is the order intake which is an unexecuted order book. The good part is that, the same time when we exited last year it was almost half. So when we say that it is delayed execution of orders, because there were clearance which happened. Which means that we have good order book and coming this particular next few quarters we should be having a good growth in Professional Lighting as well. May not be in this quarter specifically but because it is delayed we are getting clearances in this month and next month, so maybe quarter two we should be having a better quarter.

Dhruv Jain: Sure. Sir, I had a question on the alternative channel. So you spelled out that alternative channels will be probably between 40 %-45%. So I just wanted to understand if there is any difference in the profitability versus general trade that you can spell out?

E.C. Prasad: Dhruv, generally no. So, as we had mentioned earlier also, we do not differentiate the prices on the alternate channel vis-à-vis the trade. So we maintain our pricing. So for us, I mean, even if there is a difference, there is I mean a very small element, but otherwise we do not see a much difference between trade and alternate channel.

Dhruv Jain: And sir my last question is that, you had launched the Nex brand last year if I am not wrong. So just wanted to understand what's the contribution of that in your overall mix? And how's that shaped out?

Vishal Chadha: This is Vishal here again. On the

Nex brand, it's going a little slower than what we had anticipated, but it's still on the upward trajectory. And we have expanded the portfolio by launching coolers under that brand also, earlier we only had fans that we talked about in the last quarter also, we have just launched coolers into that. Furthermore, Nex is a brand when we did consumer research, it came out very clearly that the endorsement of the mother brand as Bajaj would be something the consumers would find more reassuring. So in that communication, we are now calling it Nex as a Bajaj brand. And it's growing in line, a little slower than our expectation, but it's still growing very well. And we are in this journey in the long run. We are Bajaj Electricals Limited

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not looking at it short term, it's still a young brand compared to a brand like Bajaj which is 80 years old. So we have a long runway for it and we continue to invest behind it disproportionately.

Dhruv Jain: Thank you so much. These were my questions. And all the best.

Moderator: Thank you. The next question is from the line of Naitik from NV Alpha Fund. Please go ahead.

Naitik: Hi sir. Thanks for the opportunity. Sir my first question is, what sort of growth are we envisaging in the consumer appliances business? And if you could specify which categories are you thinking will lead this growth for us?

E.C. Prasad: So Naitik, very difficult to answer, because hypothetically, you never know which way the market is going, but our aim is to better market growth. And you would have seen, I mean, in Q1 also we were aiming for good growth, but then the war like situation with Pakistan had an impact, especially in the North zone. And I do not know how long the market is going to get closed. So you never know, but our aim is to ensure that we grow better than the industry.

Naitik: Right. And sir, with that do we also expect the margins in the segment to sort of reach 5% or 6% or how are we looking at this?

E.C. Prasad: So yes, we have aspirations, I think we have already given a guidance that would like to be a double-digit EBIT business in the next three years or so. And in the current year we will be targeting somewhere around 6%.

Naitik: Okay. Sir my next question is, in terms of CAPEX we have taken board approval, and if we go ahead with the plan, Rs. 300 crores, that would be for which product line, sir?

E.C. Prasad: All across, all the product lines.

Naitik: Right. Okay. That's it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: Yes. Thank you for the follow up questions. Sir first is the related to the balance sheet, and in the balance sheet there is one line item that is the investment in the JV and that's related to the Employee Welfare Trust. So Employee Welfare Trust is a joint venture investment? If you can explain, why is it so? Or is it a norm?

E.C. Prasad: Yes, so this welfare fund was established long back in 1981. And if you remember, we had a demerger which happened with Bajel a couple of years back. So at that point in time we were not quite sure under what ratio this entire welfare fund asset has to be divided. But now after that thing has settled down, we have decided that the trust would also be bifurcated in the ratio of 67% to 33%, which was the net worth ratio of the Bajel and BEL at that point in time. And

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since you have decided that , we also had now have the number of trustees in the same ratio, and that is why what led to this disclosure and asset pickup in this quarter , and it is a joint controlled .

Praveen Sahay: Okay . Got it , sir. The second question is related to the consultancy fee , is that over or still it's going on?

E.C. Prasad: So Praveen, a lot of the initia

tives are still going on. For example , the V AVE it's going to

continue. We are having our GTM exercise, which is continuing. Lot of the things relating to the new initiatives like setup of subsidiary in Ras Al -Khaimah , UAE . So yes , you will th ese expenses continuing for at least a couple of years now.

Praveen Sahay: Right sir. And one follow -up for the Lighting . Professional Lighting , there is a de growth, s o what led to that de growth in the P rofessional Lighting ? Is that some project we had delay or something ? What exactly it is?

Rajesh Naik: Yes. So Rajesh again . I just mentioned some time back; we had good order book. If you see our order book , as the CFO mentioned, it is almost double than last year. We had orders in hand a lot before because of the clearances which we did not receive from the end client and which we are receiving now in this quarter .

Praveen Sahay: Okay . Got it, s ir. Thank you. Thanks a lot.

Moderator: The next question is from the line of Natasha Jain from Phil lipCapital. Please go ahead.

Natasha Jain: Yes. Thank you for the follow -up, sir. Just two questions. One, can you call out the EPR amount you have taken this quarter versus last year same quarter , and FY '2 5 and FY '2 4 also?

E.C. Prasad: So EPR for this year is about. Rs. 9.5 crores and last year also was similar . Going forward next year it will be a charge of about Rs. 18 crores.

Natasha Jain: So why double , any specific reason or we are just correcting?

E.C. Prasad: No, Natasha, it depends on what we sold seven years back. So yes, that's how it is.

Natasha Jain: Got it. A nd in terms of consulting fees, s ir, what is the hit that we take in our P&L every quarter?

E.C. Prasad: Natasha, I do not often remember it, so I will get back to you when we meet.

Natasha Jain: Sure, sir. Sure. Thank you, s ir.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

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Shekhar Bajaj: Shekhar Bajaj here again . Most of your questions have been answered. I hope you are very happy with the performance. A t least all of us are very positive in terms of looking at the future. Let's hope this world situation gets over and the market again picks up. But we are still hoping that we should continue to improve our bottom line, our profitability and our margins as was mentioned by EC, that our margin s should go up every year so that we should come to the level of double digit in next three to four years is our objective , our EBIT must go to kind of – So that's it. So thank you very much all of you for participating. A nd we will meet next quarter. Thank you.

Moderator: Thank you so much. O n behalf of Phillip Capital (India) Private Limited , that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Aug 2025

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August 12, 2025

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001
National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the 'Transcript of the Q1FY26 Earnings Conference Call' of Bajaj Electricals Limited ("Company")

Further to our letters dated July 29, 2025 and August 7, 2025, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q1FY26 Earnings Conference Call (i.e., Post Earnings/Quarterly Call), organized by Ambit Capital Private Limited on Thursday, August 7, 2025 at 4:30 PM (IST) wherein, inter-alia, the Unaudited Financial Results of the Company for the first quarter ended June 30, 2025, were discussed. We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer & Company Secretary
(ICSI Membership No.: A51129)
Encl.: As above.

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"Bajaj Electricals Limited Q1FY26 Earnings Conference Call"

August 07, 2025

M
MANAGEMENT : MR. SHEKHAR BAJAJ – CHAIRMAN, BAJAJ
ELECTRICALS LIMITED
MR. SANJAY SACHDEVA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER, BAJAJ ELECTRICALS
LIMITED
MR. EC PRASAD – CHIEF FINANCIAL OFFICER, BAJAJ
ELECTRICALS LIMITED

MR. VISHAL CHADHA – CHIEF OPERATING OFFICER ,
CONSUMER PRODUCTS , BAJAJ ELECTRICAL S LIMITED
MR. RAJESH NAIK – CHIEF OPERATING OFFICER ,
LIGHTING SOLUTIONS , BAJAJ ELECTRICAL S LIMITED

MODERATOR : MR. DHRUV JAIN – AMBIT CAPITAL PRIVATE LIMITED

Bajaj Electricals Limited
August 07, 2025

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Moderator : Ladies and gentlemen, good day, and welcome to Bajaj Electrical s Limited 1 Q FY26 Earnings Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions once the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhruv Jain from Ambit Capital Private Limited. Thank you, and over to you, sir.

Dhruv Jain: Thank you. Hello, everyone. Welcome to Bajaj Electrical s 1QFY26 Earnings Call. From the management side today, we have with us Mr. Shekhar Bajaj – Chairman of the Company, Mr. Sanjay Sachdeva – MD and CEO , Mr. EC Prasad – CFO of the Company, Mr. Vishal Chadha – COO for Consumer Products , and Mr. Rajesh Naik – COO for Lighting Solutions .

Thank you, and over to you, sir, for your opening remarks.

Shekhar Bajaj : Thank you very much, Dhruv. Good evening, ladies and gentlemen. I am Shekhar Bajaj – Chairman of the Company. Thank you for attending our 1Q earnings call.

We hope you had an opportunity to review our Financial Results and Earnings Presentation , which are available on the Stock Exchanges . I would also like to extend our heartfelt gratitude to all our shareholders who attended the AGM. Your continued trust, engagement , and participation are truly appreciated and form the cornerstone of our journey forward.

1QFY26 was marked by significant volatility and shifting market conditions. The Electrical and Consumer Durable s sector started the quarter with cautious optimism, expecting an economic recovery and a strong summer season. However, the industry encountered a series of unexpected disruptions. Instead of the intense summer heat seen in 2024, the country experienced early and unseasonal rain in May, cutting the summer short. The premature onset of unseasonal rain in May disrupted the anticipated trajectory of consumer demand.

The sudden change of weather disrupted expected consumer demand, affected sales plans , and caused issues with inventory and supply chain readiness. It also dampened retail momentum, leading to a cautious pause in both consumer activity and trade confidence during the latter half of the quarter. In spite of such high volatility in the Electrical and Consumer Durable sector, while our seasonal business in consumer products performance was affected, our non-seasonal business has done considerably well.

Further, our Lighting Solutions vertical has delivered a standout performance for this quarter, delivering the highest EBIT margin of 10.6%. This not only reflects the strength of our portfolio diversification but also underscores our ability to respond with agility and precision in the Bajaj Electricals Limited

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complex market environment. We remain confident in our strategic direction and the resolution of our business model. With continued focus on operational excellence, innovation , and market responsiveness, we are well -positioned to navigate short -term headwinds and unlock sustained value for our stakeholders.

I now hand it over to Sanjay Sachdeva – our MD and CEO , for detailed Business and Financial Highlights . Thank you.

Sanjay Sachdeva : Thank you, Chairman. Good evening, ladies and gentlemen, and thank you for joining our Investor Call .

As Chairman explained, this quarter has been marked by considerable volatility, particularly in consumer demand patterns. To explain the results of this quarter, it is necessary to understand the business model in more detail.

- Firstly, I would like to highlight to everyone on the call that the Summer of 2024, which was last year, was exceptionally intense, leading to near stock -out sit

uations

across industries in categories such as air coolers, including us. These insights and learnings are factored into our inventory planning, demand forecasting, and investment planning this year. However, unexpected shifts in climate conditions

significantly disrupted supply chain dynamics, impacting consumer preparedness and ultimately affected overall sales performance.

- Secondly, our business model is more centric towards seasonal products with Fans and coolers being seasonal heavy in Q1 and water heaters being seasonal heavy in Q3 and Q4. While the overall seasonal revenues were down in high double digits, the non-seasonal revenues were up in high single digits. Seasonal products like Fans and coolers were heavily impacted, thereby creating a drag on our overall performance. We saw around 45% degrowth in coolers, for example, and double -digit decline in Fans .

On the other side, the non-seasonal products have done well. As I said, we have high double -digit growth in most of the categories. When we see from this lens, it is clear that seasonal products bore the brunt of the early onset of monsoon. And this, we strongly believe , is a one -off trend for this fiscal year.

In spite of the volatility in the market dynamics, the Lighting Solutions vertical has done exceptionally well. Not only it has delivered a single -digit value growth, but also improved EBIT margins to 10.6%, as Chairman said, which is the highest ever EBIT since we crafted a separate vertical in 2022.

Further, Consumer Lighting witnessed double -digit value growth in general trade. We have improved our share in high-margin and value -creative products like ceiling and outdoor lights.

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Professional Lighting have also delivered good growth, and we expect the same to continue in near future.

It is worthwhile to note that our brand investments for this quarter were high at 4% versus approximately 3% last year. Over the next year, next few quarters, our focus will be to increase top line, improve market share, continuing to spend heavily on the brands and other initiatives like revamped go -to-market, digitalization, manufacturing efficiencies, etc.

Lastly, I would also like to highlight the core fundamentals of our business model, which are a strong brand, strong primary and secondary distribution, better products , and, lastly, trustworthy after-sales . Our brand investments will continue in both above -the-line and below -the-line.

Our distribution will keep getting stronger as we calibrate the same. Our products, NPD, will contribute close to 40% of our revenues. And we continue to reinvest behind after -sales service in order to ensure they remain best -in-class. All these fundamentals remain strong and would not be affected by one -off seasonal impact.

Now, coming to numbers and other strategic initiatives :

We delivered an EBIT of 2.5% at the Company level, mainly due to higher EBIT in the Lighting Solutions vertical. The drop in EBIT is due to the operating deleverage. However, our balance sheet continues to remain strong.

As you would have noticed on the exchange filing, in our continuous effort to foray into adjacencies and leverage our existing distribution channel as a first step, we are entering into switchgear products under our Lighting Solutions vertical. This is going to be synergistic with our existing business as we will be leveraging our existing go- to-market structure. We are very positive about this segment and expect it to help us strengthen our business model in Lighting . We have taken an in-principle approval of restructuring our Nirlep business, which currently has a drag on our financial results.

With this, I would like to open the call for questions. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of A

niruddha Joshi from ICICI. Please go ahead.

Aniruddha Joshi : Yes. Thanks for the opportunity. Sir, just wanted to understand within Fans , if you can share more details, which region has been affected more, East, West, North, South? And within that also, as we understand from channel check , the TPW is relatively more affected , so is that assumption also correct? Means, TPW is more affected than the ceiling Fans ?

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Lastly, any channel -related impact here? I guess MFI channel has been doing poorly for us for, I guess, some quarters now. So, is there any channel -led impact also , which is there in the numbers? And lastly, what is the inventory as on the, let us say, excess inventory on the books at the end of June quarter or even at the end of July? Yes, thank you.

Vishal Chadha : Yes. So many questions . Vishal here. I will first answer the impact. Yes, you are right , the TPW fans got impacted significantly higher than the Ceiling fans' business for us. And our dependence on TPW is stronger in the regions of East and South, and that is where the impact was felt the

highest.

EC Prasad : So, just to give you a perspective , inventory is not in that precarious condition as far as we are concerned. And the cooler advanced billing in July has already started off well. So, we do not foresee any major issue as far as inventory buildup for coolers is concerned.

Aniruddha Joshi : Okay. And sir, in terms of , are there any additional initiatives the Company has taken as far as selling is higher trade commissions or higher discounts to the influencer , that is , electricians , or any additional consumer offer?

EC Prasad : No, nothing like that.

Aniruddha Joshi : Okay. Sure, sir. Okay, thank you.

Moderator : Thank you. The next question is from the line of Mr. Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade : Good evening, sir. Thank you for the opportunity. My question is, first, in terms of the foray into switchgears. So, if you could just give your broader thoughts about this, what kind of capital deployment, what kind of revenue mix can we look at? And how much of our channel is actually an overlap here for the switchgear business? And will this be only switchgear , or will we also look at switches from the beginning itself?

Rajesh Naik : So, this is Rajesh here. And to be very open in terms of what we are trying to foray into is mostly a residential segment where we are strongly present through Consumer Lighting channel , and we are not looking at M V or HV switchgears. So, it is actually adjacency to our standard channel, and where the brand is strong and our reach is much higher. So, that is where we want to start. And I will not be able to give you the forecast in terms of what is the percentage of mix that will come in. But yes, we are looking at the industry size, we can see in the near future it can contribute to that 10% -15% contribution coming from there.

Achal Lohade : Sorry, did I hear this 10%, 15% of the Lighting can come from this segment , have I understood right?

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Rajesh Naik : As of now , we are just starting , so we will get some idea in terms of acceptance, what the mix which we want to drive . And then we are targeting 10% to 15% by this financial year.

Achal Lohade : And given this is typically a high-margin segment, does it mean that this will be margin accretive, or do you think it will be initially a drag? And the sourcing, if you could highlight, would we be investing in manufacturing ? What kind of capital expenditure or capital deployment are we looking at in this segment?

Rajesh Naik : As of now, we are targeting to maintain the margins at a similar level.

EC Prasad : So, Achal, initially , what we will be focusing on is capturing some of the markets. So, it 's not so much

about margins. So, we would like to maintain the same margin. And as already said by Sanjay and Chairman Sir , that the margins this quarter have been very healthy for Lighting , and we would like to maintain that. As you rightly said, this is a very margin accretive product, but initially, we would like to capture the market. So, that is how we look at it.

Shekhar Bajaj : Also , one more point , that we are not planning to do any major investment in this area , we will be mostly sourcing from outside.

Achal Lohade : Understood. And sir, on the Nirlep part, if you could give us some sense as to what has happened, what challenges are we facing? And what is the way out?

EC Prasad : So, Nirlep is a totally different GTM. And we have realized that instead of focusing too much on different spaces, it is better to concentrate on our core, because Nirlep is a totally different go-to -market. There is no synergy , and the factories of Nirlep were making losses. So , that is the reason we thought it is best to look at alternatives and concentrate on the core.

Achal Lohade : So, no cooker, cookware in that case, have I understood right?

Vishal Chadha : We will continue with the cooker under the Bajaj brand. What we are saying is that we will be looking at alternatives for the Nirlep brand.

Achal Lohade : Understood. Is there any one-off in terms of expenses? And just last question, if I may, with respect to how do we go from here on? We have seen market share losses in the past , and it seems that we have continued to lose some market share even in the last quarter. How do we see it from here on? If you could give some directional thoughts on this , please, across the category ?

EC Prasad : Which category are you seeing?

Achal Lohade : So, let us say, for Fans or a water heater , or kitchen appliances.

EC Prasad : So, Achal, I think there has been a positive momentum in this quarter as far as the market share is concerned across all the categories.

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Achal Lohade : Okay. So, you are saying basically Fans for the industry have declined in double digits , have I

understood right?

EC Prasad : Yes.

Achal Lohade : And just the directional thought in terms of growth, et c.

EC Prasad : Achal, I did not get you clearly.

Achal Lohade : So, in terms of the growth outlook from here on, given we are talking about improvement in the rural sentiment , given the robust monsoon, and also the, how do you see it for us ?

EC Prasad : Very difficult to comment. It all depends on how the season plays out. So, we are all looking at this festive season very keenly. And probably once we see a good festive season, then we can comment on that. But after having seen Q1, I think we cannot comment on what the year is going to look like.

Achal Lohade : Got it. And just last clarification, if I may, sir. What is the exposure to products which are sold predominantly during the festival time? If you could give some sense, is it 25% -30%? Or is it 50%-60%?

EC Prasad : So, we will come back to you. I do not have the figures ready, Achal, I will get back to you.

Achal Lohade : Sure. Thank you so much.

Moderator : Thank you. The next question is from the line of Natasha Jain from PhillipCapital. Please go ahead.

Natasha Jain : Thank you for the opportunity, sir. I have two questions. First one, in terms of your Consumer Products segment, your presentation mentioned that you have double -digit growth in water heaters. Just trying to understand, is this predominantly because of a shorter summer? Or is there a trend change that we are seeing that products like a geyser water heater have now become a year-round product and not just a winter product? The first question is that.

Vishal Chadha : So, our guess estimate on this is that it is because of the early onset of monsoon, and typically the sales of water heaters do tend to pick up

during that period , so that has been a reason for the positive momentum also.

Natasha Jain : Got it. So, sir, does that mean that water heaters probably going down the line may not see that stronger growth in the appliance category, or do we expect the momentum to continue?

Vishal Chadha : It really depends on, as E C just explained in the previous question , that it all depends on how the season pans out, and we remain cautiously optimistic.

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Natasha Jain : Understood, sir. Question in terms of Lighting . You have mentioned that you had single -digit volume growth and double -digit value growth, so just trying to understand, are we behind in terms of the entire price deflation that was taking place, and because we have premiumized here or gotten better products , the value deflation is not impacting us? Because if I see the peers ' numbers, even the largest premium player in the industry, they saw a margin decline primarily because of price deflation. So, if you can understand on those trends.

Rajesh Naik : So, the industry has been seeing the price erosion, which continues for some time. And as I mentioned in the last call also, it may continue for the next one or two quarters. But yes, we have, we were driving our product mix, which was more towards lamps and batten, which is almost like a commodity. And we were able to change our mix from the high premium products coming from ceiling lighting as well as the outdoor Lighting , which has now improved from 14% to 30%. And because of this, even the volume growth was not there, we were able to achieve double -digit value growth.

Natasha Jain : Understood, sir. Thank you so much. All the very best.

Moderator : Thank you. The next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: Thank you for the opportunity. My first question is on Lighting. So, you mentioned in your presentation that you have seen growth in Consumer Lighting . Just want to understand, so that basically means that there has been some in the B2B Lighting , right? So, just wanted to understand what is happening on that front? How much of it really contributes to the overall Lighting mix? And how are you looking at the B2B Lighting side over the next, say, two years or so?

Rajesh Naik : The mix, if you see , the major growth has come in Consumer Lighting , and that too from the trade. We are still having drag on the alternate channels because of MFI, which has not grown, which actually is a decline. And that is why the overall growth, if you see , is not in double digits . Otherwise, if we would have got that MFI piece also running, then we would have in the double -digit growth also. But yes, talking about B2B, we are seeing good traction there. A lot of infrastructure projects are coming in. We are on the winning track for major projects. And we see in the next two -three quarters, we should be able to show good growth in the B2B segment as well. I will not be able to give an exact number as to what percentage we will be growing.

But yes, there is a good traction and good acceptance in infrastructure.

Dhruv Jain: Sir, the order book that you would like to share?

Rajesh Naik : It is around Rs. 210 crores is the order book what we have as of now .

Dhruv Jain: In the B2B side, okay.

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Rajesh Naik : Yes.

Dhruv Jain: Sir, my second question is on just trying to understand this switchgear a little better. So, switchgear is not a category that we see that can grow beyond 8%- 9%, at least one of the peers that it will not grow beyond 8%- 9%. It is also a category that will require a lot of investment in terms of awareness of the brand and marketing, right? So , just trying to understand, how difficult it will be for Bajaj or how easy it will be for Bajaj to scale up this vertical,

given the fact that

growth is not the best in this category, and being a new entrant, how are you thinking about it?

Rajesh Naik : Basically, the thought behind entering this category was adjacency because we are not creating a separate vertical for us , we are using the current infrastructure in terms of our reach, in terms of our people and in terms of our distribution network, which is currently operational in the market for Consumer Lighting , and we are taking leverage of that.

Yes, I agree there are a few people who are growing much faster, but it is, again, a big opportunity because of urbanization and a lot of new buildings, new towns are coming up . And

that is where we thought we will be able to make an impact because of our brand name as well as our network, which is there in Consumer Lighting as well as consumer products.

Dhruv Jain: Sir, my third question is on the consumer product segment. So, in this quarter , we have seen that coolers have dropped by about 14%. Now , if you could just give a broad share of, so I do not want the exact , but if you can give a broad share of what individual category contributes as a percentage of revenue within the consumer products segment , so that we can get a sense of how we should think about growth going forward?

EC Prasad : So, Dhruv, we do not disclose the share of coolers as a percentage of total business. But having said that, the market survey says that we are number two position, back to number two position as far as the cooler is concerned.

Dhruv Jain: Okay. Last question on capex , if you can just spell out what will be your capex for FY26 and FY27?

EC Prasad : So, we will be predominantly investing on new product development. And you have already seen in March, the budget approved is about Rs. 140-odd crores. Plus, we are also evaluating the new factory. And as and when it comes up, we will let you know.

Dhruv Jain: Thank you so much. All the best for the future.

Moderator : Thank you. Ladies and gentlemen , as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Shekhar Bajaj : Thank you very much, Dhruv, and thank you to those people who have participated in this conference. This quarter , for me, it was not at all satisfactory, but there were circumstances

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which has been explained. We are hoping the next three quarters should be much stronger. And at the end of the year, you should be satisfied that we are improving everywhere. Thank you.

Moderator : Thank you. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Nov 2025

Bajaj Electricals Limited | CIN: L31500MH1938PLC009887

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November 6, 2025

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001
National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051
Dear Sir/Madam,

Sub.: Submission of the 'Transcript of the Q 2FY26 Earnings Conference Call' of Bajaj Electricals Limited ("Company")

Further to our letters dated October 15, 2025 and October 31, 2025, and pursuant to the provisions of Regulation 30 (read with clause 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q 2FY26 Earnings Conference Call (i.e., Post Earnings/Quarterly Call), organized by Ambit Capital Private Limited on Friday, October 31, 2025, at 4: 00 PM (IST) wherein, inter-alia, the Unaudited Financial Results of the Company for the second quarter and half year ended September 30, 2025, were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,
Yours Faithfully, For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer & Company Secretary
(ICSI Membership No.: A51129)
Encl.: As above.
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"Bajaj Electricals Limited
2QFY26 Earnings Conference Call "
October 31, 2025

MANAGEMENT : M R. SHEKHAR BAJAJ – CHAIRMAN – BAJAJ
ELECTRICALS LIMITED
MR. SANJAY SACHDEVA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BAJAJ ELECTRICALS
LIMITED
MR. E.C. PRASAD – CHIEF FINANCIAL OFFICER –
BAJAJ ELECTRICALS LIMITED
MR. VISHAL CHADHA – CHIEF OPERATING OFFICER ,
CONSUMER PRODUCTS – BAJAJ ELECTRICALS
LIMITED
MR. RAJESH NAIK – CHIEF OPERATING OFFICER ,
LIGHTING SOLUTIONS – BAJAJ ELECTRICALS LIMITED

MODERATOR : M R. DHARUV JAIN – AMBIT CAPITAL PRIVATE LIMITED

Bajaj Electricals Limited
October 31, 2025
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Moderator: Ladies and gentlemen, good day, and welcome to Bajaj Electricals Limited 2 QFY26 Earnings

Conference Call hosted by Ambit Capital Private Limited. As a reminder, all participant clients will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhruv Jain from Ambit Capital Private Limited. Thank you, and over to you, sir.

Dhruv Jain: Thank you. Hello, everyone. Welcome to the 2 QFY26 Earnings Call of Bajaj Electricals Limited. From the management side today, we have with us Mr. Shekhar Bajaj, Chairman; Mr. Sanjay Sachdeva, MD and CEO; Mr. E.C. Prasad, CFO; Mr. Vishal Chadha, COO, Consumer Products; and Mr. Rajesh Naik, COO, Lighting Solutions. Thank you, and over to you, sir, for your opening remarks.

Shekhar Bajaj: Good evening, ladies and gentlemen. I'm Shekhar Bajaj here. Thank you for attending Bajaj Electricals 2Q earnings call. We hope you've had an opportunity to review our financial results and earnings presentation, which are available on the Stock Exchanges. At the outset, I would like to extend my heartfelt wishes for Diwali. Hope this new year brings joy and prosperity to you and your families.

The government's announcement of comprehensive GST reforms featuring significant rate reductions across most product categories marked a major milestone in simplifying India's indirect tax regime. While these reforms are expected to stimulate consumption in the second half, their rollout caused short-term transitional challenges during the quarter.

The anticipation of GST cut rates led to pricing uncertainties across trade channels, resulting in the temporary postponement of demand even though our category was not directly impacted.

This was further compounded by the early onset of monsoons with subdued overall demand. The summer products experienced weakness with the overhang of shorter summer and higher channel inventories.

In spite of high volatility in the electrical and consumer durable sector, our non-seasonal products, like mixers, iron, and water heaters, have done well, registering a combined single-digit growth. Further, our Lighting Solutions vertical has delivered a standout performance for this quarter. It not only delivered 9.6% revenue growth, but also delivered a strong EBIT margin of 7.9%. We remain confident in our strategic direction and the resilience of our business model.

With the continued focus on operational excellence, innovation, and market responsiveness, we are well-positioned to navigate short-term headwinds and unlock sustained value for our stakeholders. Furthermore, with the IMD forecast of strong winters, we are optimistic for our coming quarter.

Lastly, you all may have heard the announcement and exchange intimation of the resignation of our CFO, Mr. E.C. Prasad. He is moving on to take up an external opportunity. He joined us in November 2019 and has played a pivotal role in transforming Bajaj Electrical.

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Under his leadership, he led the demerger of the EPC vertical, transformed B EL into a debt-free company, carved out a Lighting Solution vertical, and streamlined our overall business model. His contribution to the Board and the company is invaluable, and we wish him luck in his future endeavors.

With this, I now hand it over to Sanjay Sachdeva for our detailed business and financial highlights. Thank you.

Sanjay Sachdeva: Thank you, Chairman. Good evening, ladies and gentlemen, and thank you for joining our investor call. My wishes for Diwali and the New Year. Hope this brings

joy and prosperity to

you and your families. As the Chairman explained, this quarter has been marked by considerable volatility impacting the demand pattern of our consumer products vertical, mainly due to the extended monsoon and the GST rate reform.

The Lighting Solutions vertical has done exceptionally well. We are observing price stabilization in the LED segment, which has augmented revenue growth. Not only has it delivered revenue growth of 9.6%, but the EBIT is up by 46% from INR 15 crores to INR 22 crores on a year-to-year basis.

Year-to-date margins in the business remain at 9.2%, which is very encouraging. Further, consumer lighting witnessed double-digit volume and value growth in general trade. Our strategy to increase our revenue contribution in focused categories like ceiling lights and outdoor lights is showing results, and we expect the traction to continue going forward, including in quarter 3.

We launched Switchgears in August 2025 and are very happy to see its progress. The initial response from the channel partners is encouraging, and it reinforces our confidence in the strength of our brand.

Lastly, professional lighting has also delivered a good growth along with high single -digit margins. And we expect, again, to continue this in the near future. In the case of the consumer products vertical, the first quarter of the financial year '26 had an early onset of monsoon, and you know that. This has impacted sales of summer products even in Q2. The high channel inventory has put pressure on our sales to our distributors in trade.

Further, while GST rate reforms are sweeping, it did not have any impact on our ECD business. However, this uncertainty and anticipation of GST rate cuts led to pricing...

Moderator: Ladies and gentlemen, the line for the management has been disconnected. Please stay connected while we join them. Ladies and gentlemen, the line for the management has been connected .

Over to you, sir.

Sanjay Sachdeva: Okay. Let me talk about a few things again. So, we had launched switchgears in August 2025 and are very happy with its progress. The initial response from the channel partners is encouraging, and it reinforces that we have a very strong brand. Lastly, professional lighting has also delivered good growth with high single -digit margins. We are confident this will continue over the next few quarters.

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In the case of the consumer products vertical, the first quarter of financial '26 had an early onset of monsoon, and you're aware of that, and this has impacted our sales of our summer products. Even in Q2, the high channel inventory has put pressure on primary sales, which is , our sales from us to our distributors and to our channel partners.

Further, the GST rate reforms are sweeping and did not have any impact on our ECD business, but the uncertainty and anticipation of GST rate cuts led to pricing uncertainties across trade channels. This resulted in the temporary postponement of demand.

Further, when we dissect the results, while at an overall level, CP revenues are down by 4%, but certain categories have done well. These are categories like mixers, iron, and water heaters, where Bajaj is an undisputed market leader and where penetration levels are low and overall

growth is, therefore, in our favor. Now, this is where we have grown high single digits at a combined level . Ceiling fans, in this quarter, we have grown by double -digit , which again gives us confidence in the resilience of our business.

The drag in revenue is due to seasonal products like TPW fans , and air coolers. We have improved our gross margins in this quarter. However, the fixed cost absorption is creating an operating deleverage in this vertical. Over the next few quarters, our focus will be to increase top line and improve market share, while continuing to spend

on the brands and other initiatives

like go -to-market, digitization, manufacturing excellence, etc.

Lastly, a few weeks back, as you know, our Board had principally approved the acquisition of the Morphy Richards Brand. This acquisition is in line with our strategy of dual brand architecture. We are very positive about this acquisition and expect this to play out well in the future.

With this, I would like to open the call for questions. Thank you.

Moderator: The first question is from the line of Renu Baid from IIFL.

Renu Baid: Best wishes for Diwali to everyone. My first question pertains to understanding a bit more about -- so what has been your readthrough of demand pickup after the implementation of GST, the festive offtake, Diwali offtake in October? How has it been so far? And how do you plan to offset the inflationary pressures through what range of price hikes are being planned in this quarter or so? That's the first question.

Vishal Chadha: This is Vishal. The initial estimations, which we have about the festive month, are that it's muted.

And coming to the second question around inflationary pressures, we will be -- we have already announced, in fact, price hikes in fans due to commodity price increase , and we are keeping a close watch. And as and when we believe the market has the capability to absorb , as well as our own objectives, we will be taking further price hikes accordingly.

Renu Baid: Sure. On the launch of switchgears earlier this year, how has the reception of this product been from the trade channel? And what kind of investments have we made or plan to make in terms of GTM , as well as on the product performance and launch here?

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EC Prasad : Okay. So, Renu, the launch event was very successful. Actually, we got orders much more than what we expected. So we are still in the process of fulfilling those orders. We are yet to get feedback on the secondaries that are happening. So , probably by the end of this quarter, we will come to know about the secondaries, but the primary pickup has been very great.

Renu Baid: Right. And would this be a pan-India focus to start with or more regionally...

EC Prasad : No, it's on a pan-India basis. And there is no investment for this project.

Renu Baid: So, it would be entirely bought out for us at this point in time.

EC Prasad : Yes.

Renu Baid: Got it. Right. And lastly, a bit more in detail in terms of what we have now, as the Morphy Richards, coming under our umbrella technically. So, this dual brand strategy of having Morphy clearly positioned across the range for the premium, mass premium segment, and Bajaj for the rest of the other categories. So, what kind of subsegments are we looking to expand under the Morphy brand? And how do we plan to roll out our dual brand strategy in the market in the next couple of quarters?

Vishal Chadha : So we are still evaluating -- Morphy already operates under -- in categories like kitchen, personal care, etcetera. And we are still evaluating which other categories it could extend to. But in the short term, we expect it to continue to operate in the current categories it operates...

Moderator: The next question comes from the line of Achal Lohade from Nuvama Equity Investments.

Achal Lohade : Sir, if you could talk about these one-offs or recurring, if you could explain, you've talked about the warranty insurance claim. What is the like-to-like number in the previous quarters? How do we see this in terms of the numbers? Is there a positive net-net, Y-o-Y, Q-o-Q? If you could give a comparable number for 2Q'25 and also 1Q'26?

EC Prasad : So, this is the warranty insurance that we have taken on our warranties that we give. So last year, it was an expense, actually. So, the expenses far exceeded the claims that we have received. So, this year, the claim received is much higher

than the expenses. And the delta, what you are seeing there is about INR 13 crores.

Achal Lohade : So is it fair to say that -- last year was impacted. Yes. So, going forward, does it make sense to say that you will have a higher likelihood of claims than additional expenses? Is that a fair assessment?

EC Prasad : Yes, yes, yes.

Achal Lohade : Okay. Second question I had in terms of the A&P spend; would you be able to quantify how much that was in 2Q'26 versus 2Q'25?

EC Prasad : So we have spent about 2.3% this year as against 2.5% last year.

Achal Lohade : Sorry, when you're saying this year, do you mean for the quarter or the first half, sir?

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EC Prasad : For the quarter.

Achal Lohade : For the quarter. Okay. And this is as a percentage of total revenue, right, and not just the CP revenue?

EC Prasad : No, no. Total revenue.

Achal Lohade : Got it. And you've mentioned that you have seen a gross margin expansion. Would you be able to quantify? And how much more headroom do we have in terms of gross margin expansion?

EC Prasad : So, the VAVE is still going on. So that's a continuous process that we have taken up. We have seen a significant improvement of close to 200 basis points on the gross margin. And this is likely to continue. I mean, there will be even more benefits coming in through VAV E. Having said that, if there is a reason to pass on something to the market, we'll have to do that.

Achal Lohade : Understood. And if you could comment on the key categories like fans, water heater, and irons. In terms of market share, have we kind of maintained, gained, or lost a little bit of market share over the last 6 months or whatever, 12 months?

EC Prasad : So Achal, I think it's more or less flat. So, I wouldn't say it's a drop. It's a very thin margin. Somewhere we have gained a few -- in a few decimals, somewhere we have lost in a few decimals. So, it's more or less flat over the last 6 months.

Achal Lohade : So, on a total basis, it is flat. In certain categories, we could have lost a little bit, or in certain categories, we could have gained, but there is no disproportionate change in any of the categories. Is that the right understanding, sir?

EC Prasad : Yes, that's right. That's right.

Achal Lohade : Understood. And given how October has played out, do you see that the worst is behind us? Or, if you think the consumption-related pain is still around, we still have to wait for a few quarters for us to have a double-digit kind of growth in the CP business?

EC Prasad : So, Achal, we are actually cautiously optimistic about what's happening. I mean, things are -- I mean, the demand again is what you're seeing is skewed towards high-end consumer durables and all of that stuff. We do not see a lot of momentum happening in the small appliances.

But having said that, I think there is a lot of money in the people -- much more money in the people's pocket because of all the reforms that the government has done. So, we are optimistic that things might come back, but we have to wait and watch.

Achal Lohade : Understood. Sir, if I...

Moderator: Achal, sorry to interrupt in between, sir. You may rejoin the queue for the follow-up question. The next question comes from the line of Nishita Shanklesha from Sapphire Capital.

Nishita Shanklesha: I had a question about the acquisition of Morphy Richards. So, when will this acquisition be value accretive to us?

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EC Prasad : So it will be value accretive from day one. We are still in the process of getting the agreement signed. So hopefully, in a month's time, we should be done with the agreement , and then the value accretion will start immediately.

Nishita Shanklesha: Okay. So, how much incremental revenue do you see from this acquisition in H2?

EC Prasad : So, we wil

I save on the royalty that we are giving to the Morphy, the parent company. So , quantum, we normally don't disclose, but we'll be saving on the royalty, which is a significant amount.

Nishita Shanklesha: Okay. So, like, can you quantify the royalty that you will be saving?

EC Prasad : No, we cannot -- because it's sensitive information as far as the competition is concerned, so we won't be disclosing that.

Nishita Shanklesha: Okay. And if you can give any revenue guidance for FY'26 ?

EC Prasad : No, we don't give a forward statement. So , we would not like to do that.

Moderator: The next question comes from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, my first question is, what is the revenue contribution share for new product development in this quarter? I think we have an ambition to reach 40% of revenue. And what is the timeline to achieve those targets? And what is the primary source for this innovation, like internal R&D or OEM partnerships, etc. ?

EC Prasad : So, Mr. Balasubramanian, your voice is not very clear. What I could hear was the contribution from NPD. So that's about 40%. So, when I say NPD, that is a product that has been launched over the last 2 years.

Balasubramanian: Okay, sir. And sir, for Nirlep restructuring, what is the potential one -time financial impact? And what kind of post -restructuring , what kind of impact do you expect?

EC Prasad : So as of now, where we stand, we don't see any major impact. We are still evaluating the various possibilities. And as and when we are closer to the deal, we'll let you know.

Balasubramanian: Okay. Just one small question. I think the launch of Turbo Prime BLDC , and what is the plan to compete with specialized BLDC -focused players and a commoditized offering? What is the target market share for BLDC fans? And how critical is this in defending the core fan business?

Vishal Chadha : Sorry, could you please repeat the question? I didn't understand the question.

Balasubramanian: Sir, on that , I think the launch of Turbo Prime BLDC, and what is the plan to compete with specialized BLDC -focused players and commoditized offerings? And what is the targeted market share for BLDC fans over the next 3 to 5 years' time frame?

Vishal Chadha : So, I can't really comment on this Turbo because I have no idea. We have launched. But on the BLDC piece, BLDC continues to -- at this moment in time, our BLDC contribution to our fans

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is around 15% to 20%. And it's -- as you all know, BLDC is a fast -growing market. So , we will be coming up with new models and new offerings, and we will take our fair share in the market.

Balasubramanian: Sir, what is the market share, sir? So , market -- sorry, what is the market size for the industry?

Vishal Chadha : Our understanding is that in value terms, BLDC is now 1/4 of the total fan market.

Moderator: The next question comes from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: As I can see from your presentation, your fan total have declined in spite ceiling fan growing by double digit means the TPW fan has seen a significant decline. Possible to quantify a range about what is the decline of TPW fan as well as cooler ? And what is the TPW and ceiling fan mix?

Vishal Chadha : Well, as can be inferred, TPW is a double-digit degrowth. Sorry, what was the next question?

EC Prasad : Percentage of TPW.

Vishal Chadha : So, we don't share that data in terms of the split.

Keshav Lahoti: Okay. Got it. So , we see the lighting margin is still healthy, but although there is a decline sequentially, what is the reason for the same? And how should we see the margin going forward?

And secondly, once you enter the switchgear business, the switchgear margin would be in line with lighting, or possibly it would be dilutive because the business is at an initial stage

?

EC Prasad : So sequentially, the margin improved -- sorry, please continue.

Rajesh Naik : I was just mentioning switchgear ; it will not dilute the overall margin of the Lighting business.

It will add to that because initial sales first quarter -- first 2 quarters we will be investing in BTL

and other activities, so that we get the traction in the secondary as well as the tertiary. And then it will be in line with what Lighting Solutions is delivering. So , there will be no drag in the

margins.

Keshav Lahoti: Got it. So, Lighting, I can see there is a sequential decline, like EBIT margin is 8%, while last quarter, it was 11% sequentially. However, it is higher year-on-year. So, how should we see the margin going forward? And whether you have given higher incentives for this spend, so there is a decline sequentially?

EC Prasad: No, no, it's not because of that. It's because of the mix of the B2B versus the B2C. So that's why you see these changes quarter-on-quarter. Nothing to do with dilution in the margin. So that's why the better comparison is with June '24 last year, where we have increased from 6% to 7.9%. The B2B contribution of the last quarter was much higher, but it is highly margin accretive, and that's why the EBIT was close to 10%...

Keshav Lahoti: Understood. Got it. And how is the channel inventory on TPW and the cooler side?

Vishal Chadha: The channel inventory, as was mentioned in the opening remarks by the Managing Director, continues to remain high.

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Moderator: The next question comes from the line of Aniruddha Joshi from ICICI Bank.

Aniruddha Joshi: Sir, 2 questions. Now, with this brand restructuring that is getting implemented, where does the brand NEX stand now? Because earlier, there were a lot of hopes around that brand. Now, how should we think about NEX positioning? Question number one.

Question number two, we have seen this year unusually high rainfall even in the month of October. And even in the small season generally, the summer product companies get in -- due to October heat, that also seems to be washed out. And again, that's called out by some of the paint companies or even, let's say, the ice cream, etc., also. So, how do you see the season in Q3 working out? Yes, that's it from my side.

Vishal Chadha: Yes. I'll take the second question first. You're absolutely right. There is usually a small second summer, which this time did not pan out. And that's why I said in the beginning that we see a muted number in October also.

Coming to the first question, we had indicated some time back that NEX is now a sub-brand under the Bajaj brand name. It's no longer an independent brand as it was earlier. And with the two brand strategies that we have for Morphy as well as the Bajaj brand, NEX will be a subset of the Bajaj brand.

Moderator: The next question comes from the line of Natasha Jain from Phillip Capital.

Natasha Jain: My first question. Sir, in your presentation, you've written that there is a single-digit value decline in domestic appliances. Could you call out which product category these would be in?

Sanjay Sachdeva: Coolers.

Natasha Jain: Okay. Sir, because just below that, you've written that coolers have witnessed a double-digit value decline. So, I wasn't sure what the single digit would be in domestic appliances? Would that be geezers and water heaters or...

Sanjay Sachdeva: So, it's coolers, which have declined double-digit. Water heater has grown; iron has grown. So, it's basically the -- when we say DAP, that includes coolers in.

Natasha Jain: Got it. Okay. So, there is no product category basically with a single-digit value decline, as mentioned in the presentation?

Vishal Chadha: No. It's a combined.

Natasha Jain: Got it, sir. And just wanted to know your sense, how do you see the market for fans panning out given a

B EE rating is in the office? Do you expect pricing pressures?

Vishal Chadha: Yes, we do expect it because the new rating starts from 1st of January 2026. And with the channel already carrying a high inventory, we do expect pressure on it.

Natasha Jain: So, any -- already, are you seeing any kind of pricing pressure amongst the brands or competition?

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Vishal Chadha: I can't comment on that.

Moderator: The next question comes from the line of Rachna from Simpl.

Rachna: Sir, can you please give us some color on your kitchen appliances category? As you know, in the presentation, it's mentioned that we have seen a double-digit value growth. So how have our three brands, Bajaj, Nirlep, and Morphy Richards, performed individually across core categories and channels?

Also, if you could provide some color on the new products launched and regarding Nirlep, we had earlier discussed our plans to restructure the brand. Could you provide some color on that as well?

Lastly, if you could quantify the contribution of kitchen appliances as a percentage of total ECD

business and a ballpark figure regarding the EBITDA margins in the kitchen appliance category?

That would be my question.

Vishal Chadha : There are a lot of questions over there. So I'll start with the ones I remember. So as far as the kitchen category is concerned, whether it is mixers or its induction, or kettles, etc. , we have grown in all the subsegments of those. At a brand level, Nirlep has seen a decline, and Bajaj has seen growth.

Rachna: Okay. And regarding channels, could you quantify the pace of new products in the Bajaj brand?

Vishal Chadha: Sorry, I didn't understand the questions.

Vishal Chadha : Which channels do we have -- we have done well across all channels.

Rachna: Okay. And how has the trend of -- how have the mix of premium categories of premium products improved for us in the kitchen appliance category?

Vishal Chadha: Yes. We have seen an improvement in our premiumization in the mix category, which we measure.

Rachna: If you could quantify that?

Vishal Chadha: No, we don't quantify those numbers.

Rachana: Sorry?

Vishal Chadha: It's high double -digit growth.

Rachna: Okay. And the contribution of kitchen appliances as a percentage of total ECD business, if you could quantify that as well?

Vishal Chadha: We don't , unfortunately, share that information in this.

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Moderator: The next question comes from the line of Manan Goya I from ICICI Securities. Due to no response, we will move ahead with the next participant. The next question comes from the line of Manoj Gori from Equirus Capital.

Manoj Gori: Sir, one question. I do understand that we -- currently , the inventory levels of fans are higher in the channel. But last time when we saw that star ratings were getting implemented in the December quarter, Bajaj , especially, was very aggressive in terms of inventory, pushing inventory into the channel, and probably we registered somewhere around 50% growth in the December quarter of fans as a category .

How do you read the situation here, whether channel would be influenced to stock more to avoid -- to get the benefit of the pricing? Or how do you read the situation for current quarter? Yes.

That's the first question.

Vishal Chadha : While we do anticipate pressures in terms of stocking up of the channel because this time is the second time, we are probably slightly better prepared in terms of navigating this change. So, I don't think it will be as much of a push into the channel as probably happened the last time.

Manoj Gori: Right. And sir, at the portfolio level, as Bajaj as a group for consumer products, probably we have been taking initiatives to premiumize our positioning from channel point of view, from consumers' point

of view, how successful we have been, if you can quantify numbers probably, let's say, for FY '25 versus FY '21 or FY '17, how has the progress been at the portfolio level? I'm not talking about any specific category. So , if you can throw some light over here, it would be helpful.

Vishal Chadha : So, in terms of the premiumization of our portfolio across all our core categories, we are progressing well, as I had mentioned earlier also.

Manoj Gori: Can you quantify any number because earlier, we used to talk about numbers, probably like -- our numbers used to be -- so subeconomy for fans, we used to be around 92% a few years back.

We came -- we improved that to 76%.

So can you throw some light because see, obviously, when you say it's improved, the improvement can be anything. So, I just want to have some broad sense of how the premiumization trend is playing out because we have been taking these efforts for years now.

Sanjay Sachdeva: So, let's put it like this. We measure our premiumization by the contribution of premium products to the total category. And we keep measuring the percentage change in this. Suffice to add, across categories, whether it's fans or whether it's mixer grinder or heater, we are growing anywhere between 100 to 300 bps of contribution increase since the period.

Manoj Gori: 100 to 300 basis points increase every year we are seeing on the premiumization side.

Sanjay Sachdeva: So, between categories, it keeps changing. So that's why I said...

Moderator: The next question comes from the line of Achal Lohade from Nuvama Equities.

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Achal Lohade : Just a clarification. When you say channel inventory is high, is that for us? Is that for the entire industry?

Vishal Chadha : Well, I'm assuming it's for the industry because everybody has faced the same early onset of monsoon.

EC Prasad : And Achal, if you see the results also, I think everyone more or less has reported the same amount of growth or degrowth. So -- and what we find from the channel partners is that the inventory across is very high. And not only that, I mean, even the inventories of white goods are affecting the overall market, even for us.

Achal Lohade : Right. Okay. And in terms of the -- even the channel inventory is so high, how do we look at this when you say you have announced price hike and you will not shy from taking further price hikes? How do we add these 2 things? Is the industry also responding with price hike, or is it only us who has taken a price hike?

Vishal Chadha : Well, most of the players have announced price hikes. And the way we typically would do it is we would do it in a calibrated manner, depending on the situation and the situation of inventory.

So some places, it will be a little higher, some places it will be a little lower. And in certain places, we might need to claw back that in terms of additional channel incentives.

Achal Lohade : And what is the quantum of increase we have taken, sir? We have announced, rather?

Vishal Chadha : We have announced an increase of anywhere between 1% to 3%.

Achal Lohade : 1% to 3%. And since when, sir?

Vishal Chadha : We can't announce the exact date, but it will be sometime in November, early December.

Achal Lohade : You're planning a price increase. Okay. Okay. Understood. Sorry, I thought you had already taken the price increase you meant.

Vishal Chadha : No, we haven't taken it as yet, but it has been announced.

Sanjay Sachdeva : But announced.

Vishal Chadha : We have announced it, but we haven't taken it because we need to give advanced notice to the partners.

Achal Lohade : Right. Understood. In terms of the BIS, there have been talks about BIS across other appliances as well. So, if you could highlight which other categories, you're seeing that BIS is kind of getting implemented in? And how does it affect us in terms of whether it

helps in terms of

significant change in growth rate, or not really, it's fairly -- everybody is able to manage that part?

Vishal Chadha : As of now, we are able to navigate, and I have no comments on this at this moment in time.

Moderator: The next question comes from the line of Balasubramanian from Arihant Capital.

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Balasubramanian: Sir, this AWE Plus Smart Ble LED lamp is compatible with Amazon Alexa and the Bajaj Smart app. And what is the broader strategy for creating connected home ecosystems? And is there any plan to integrate more appliances beyond Lighting? And how will you compete with larger tech and ecosystem players?

Rajesh Naik : So, as a strategy, this was the first step that we have taken in the Lighting because it is the obvious integration, which can be done with Blue tooth. But we are working to bring the complete ecosystem, which is across home appliances, whatever depends can be managed through the app that we are working on. And once that is ready as a single app, we will come back to the market.

Moderator: The next question comes from the line of Dhruv Jain from Ambit Capital.

Dhruv Jain: Sir, I had 1 question. So, if you look at the last 4 or 5 years, the consumer products business has grown maybe at 4% or 5% CAGR. Now we understand that there have been challenges in the industry. But over the next 2 or 3 years, in your view, how does this accelerate going forward? Or it's going to remain a little bit muted in the next 2 years, if the industry challenges persist. So, just want your thoughts that as how are you looking at this -- your consumer products vertical as a whole over the next 3 or 4 years? Do you think double-digit growth is possible or will it be similar to what is going on right now?

Sanjay Sachdeva : So, we don't give forward statements, but all that we can say is that it largely depends on how the market growth rates are. And we intend to maintain our market share or grow our market share. So that will give you the idea of what kind of growth we should expect. But very difficult, as you could see this year, because of the season, the growth rates were very different from what we had predicted. So very difficult to say that. But you can add the two.

Dhruv Jain: Fair enough. And sir, on the margin side, again, if we look at the margins in the consumer business, they have also come off significantly. So, how should we see that going forward? Apart from the wave initiatives and some of the cost initiatives that you are driving, do you think that in the next 2 or 3 years, we could go back to those similar levels? Or it's just going to be a gradual recovery in your...

Sanjay Sachdeva : So, there are 2 ways you should see margins. I think you're seeing the EBIT margins. As we said, yes, the FLM, which is our gross margins, that's improving, which is very good news, and it's improving handsomely. And we -- in spite of the fact that we didn't have a good quarter for summer products, we decided not to curtail our investment in many initiatives, which I think are good for us in the long term, and they are strategic in nature.

Therefore, you see at the EBIT level, we have not brought it down to -- and also, there is a deleverage because of the turnover coming down. So, when things turn around, which we are sure is going to happen as we move forward, you will see margins coming back.

Dhruv Jain: Sure, sir. And just one bit on the Morphy Richards part, right? If you could just talk about how this acquisition will change the way this brand is being operated by Bajaj. I know the royalty bit, but apart from new product launches, how are you thinking about this?

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Shekhar Bajaj : I'm Sekhar Bajaj here. The whole idea is that we've been working with Morphy Richards for the last 18 years. We've g

ot another 12 to 13 years still to go. The issue is that by then, we hope that , suppose after so many years, our brand becomes very popular, and we do -- we reach a level of INR 1,000 crores.

And then suddenly, they say we don't want to deal with you. So all our effort to create the brand and all the amount of effort we've invested goes down the drain. Therefore , with this, we can now afford to spend money to do whatever is required to see that we are in a position to grow this brand because now it's our brand.

Moderator: The next question comes from the line of Mahesh from HDFC Securities.

Mahesh : Yes, sir, regarding high channel inventory in fans, so this pertains to the TPW fan or the entire fan category?

Vishal Chadha : The highest channel inventory is in TPW. Ceiling fans are high, but not a significant matter of concern as TPW is.

Mahesh : Okay. And regarding the VAV E norm, whether the higher cost will pass to the market in a phased manner or in one go?

Vishal Chadha : First, we will try to pass it up in a phased manner , depending on the situation and the competitive context.

Mahesh : Okay, sir. Sir, last on lighting. Sir, what is the lighting B2B order book now?

EC Prasad : 210 crores.

Mahesh : What was in this quarter last year?

EC Prasad : Last quarter. Sorry, currently it's INR 178 crores versus INR 210 crores last year. So INR 210 crores was last year.

Mahesh : Just one more question, if you allow. Sir, what is Morphy's revenue mix in FY'25 ?

Shekhar Bajaj : Morphy turnover?

Sanjay Sachdeva: No, we don't give the split. So...

Mahesh: In earlier years, you have reported in annual reports. So in FY '24, I think...

Vishal Chadha : So I mean, you can mention in percentage terms, it varies anywhere from 6% to 8%...

Moderator: The last question comes from the line of Rachna from Simpl .

Rachna : As mentioned in the previous answer, B2B Lighting revenue has decreased to INR 178 crores.

Is this a calibrated approach because -- and are we considering increasing the share of B2C Lighting, given that it's more -- it gives better margins compared to B2B. And also, if you could

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give us some color on the product mix, which helped -- which helped us gain better EBIT margins this quarter?

Rajesh Naik : Just to start with , from consumer lighting to professional lighting, yes, the consumer lighting piece is much bigger, and we are working on -- that's why we said that our trade sales have improved high double digit in value as well as volume.

We have a clear focus to grow that, which gives us the way to increase the market share. And also, we have changed the product mix. We are focusing on some focus categories, which give us better margins. So that is on the B2C side, which is the consumer lighting.

On professional lighting, you must have seen that order intake has gone down a little bit ; it was a delay. On October 1 thing itself, we won a big order of around INR 30 crores to INR 40 crores, which compensates or crosses the earlier mark that we had of the order book in the previous quarter last year.

So that is not a concern. Normally, it is not like consumer lighting that will be on a regular basis ; the same orders can shift depending on the election, depending on the funds availability at the government and the infrastructure agencies.

So that is not a concern. And margin-wise, I think both businesses are delivering similar margins.

Earlier, consumer lighting was low with the product mix; we are trying to improve that.

Professional lighting was not a concern.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for closing comments. Over to you, sir.

Shekhar Bajaj : Thank you very much to all the people who have joined. It was a good discussion, and we are hoping that the future wil

I be much stronger than what has happened this year. Thank you.

Moderator: Thank you. On behalf of Bajaj Electricals Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

Call: Feb 2026

Bajaj Electricals Limited | CIN: L31500MH1938PLC009887

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L-1/000 8/PD/PG February 13, 2026

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub.: Submission of the 'Transcript of the Q 3FY26 Earnings Call' of Bajaj Electricals Limited ("Company")

Further to our letters dated January 30, 2026 and February 9, 2026, and pursuant to the provisions of Regulation 30 (read with Sub -para 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations"), we are enclosing the Transcript of the Q 3FY2 6 Earning s Call (i.e., Post Earnings/Quarterly Call), organized by ICICI Securities Limited on Monday, February 9, 2026 at 16:00 PM (IST) wherein, inter- alia, the Unaudited Financial Results of the Company for the third quarter and nine months ended December 31 , 2025, were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours Faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer & Company Secretary
(ICSI Membership No.: A51129)
Encl.: As above.
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"Bajaj Electricals Limited
Q3 FY '2 6 Earnings Conference Call "
February 09, 2026

MANAGEMENT : MR. SHEKHAR BAJAJ – CHAIRMAN – BAJAJ
ELECTRICALS LIMITED
MR. SANJAY SACHDEVA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BAJAJ ELECTRICALS
LIMITED
MR. VISHAL CHADHA – CHIEF OPERATING OFFICER -
CONSUMER PRODUCTS – BAJAJ ELECTRICALS
LIMITED
MR. RAJESH NAIK – CHIEF OPERATING OFFICER -
LIGHTING SOLUTIONS – BAJAJ ELECTRICALS LIMITED
MR. SUKETU SHAH – FINANCE CONTROLLER – BAJAJ
ELECTRICALS LIMITED

MODERATOR : MR. MANAN GOYAL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Bajaj Electricals Q3 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manan Goyal from ICICI Securities. Thank you. And over to you, Mr. Goyal.

Manan Goyal: Thank you. On behalf of ICICI Securities, we welcome you all to Q3 and 9 Month FY '26 Results Conference Call of Bajaj Electricals Limited. Today, we have with us senior management represented by Mr. Shekhar Bajaj, Chairman; Mr. Sanjay Sachdeva, MD and CEO ; Mr. Vishal Chadha, COO - Consumer Products; Mr. Rajesh Naik, COO - Lighting Solutions; and Mr. Suketu Shah, Finance Controller.

Now I hand over the call to the management for their initial comments on the quarterly performance. Then we will open the floor for Q&A session. Thank you, and over to you, sir.

Shekhar Bajaj: Thank you. Good evening, ladies and gentlemen. I'm Shekhar Bajaj. Thank you for attending the Q 3 Earnings Call . We hope you had an opportunity to review our financial results and earnings presentation, which are available on the stock exchanges.

From an industry and macroeconomic perspective, the period began with an encouraging festive momentum and reflected the underlying resilience of the domestic economy , supported by steady GDP growth, and this is reflected in the performance in the Lighting Solutions vertical. Lighting Solutions vertical delivered a strong performance, achieving revenue growth of 9%, representing a best-in-class revenue growth and margins.

While these macroeconomic factors were broadly supportive of industry demand, the company's performance for Consumer Products during the period diverged from the broader market, primarily due to internal actions around the inventory normalization undertaking to address channel conditions. Consumer Products witnessed a decline in revenue of 25% during the quarter, primarily attributable to deliberate channel normalizations undertaken in response to elevated inventory levels across categories.

This was a conscious and prudent action aimed at restoring channel health and ensuring alignment with the evolving demand environment rather than a reflection of any structural weaknesses in the underlying business. Importantly, these measures have strengthened the quality of our distribution, improved inventory visibility, and positioned the company to participate more sustainably in demand recovery as market conditions normalize.

Before I hand it over to Sanjay Sachdeva, I would like to highlight that the fundamental strength of our business remains firmly intact. Our brands continue to enjoy strong consumer awareness.

Our market shares across key categories have remained stable, and our distribution reach remains deep. The actions undertaken during the quarter were tactical in nature and do not in any way dilute the long-term competitiveness of the positioning of our portfolio.

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I now hand it over to Sanjay for detailed business and financial highlights. Thank you.

Sanjay Sachdeva: Thank you, Chairman, sir. Good evening, ladies and gentlemen, and thank you for joining our investor call. As Chairman said, we have delivered mixed performance for this quarter.

So let me start with Lighting Solutions. We have remained open and proactive in expanding our presence within the Lighting Solutions vertical through adjacent and complementary categories. As part of this strategy, we initially entered the Switchgear

segment in Q2, followed by the announcement of our foray into solar solutions in Q3 and, more recently, the launch of wires this month.

These initiatives are aligned with our objective of building an integrated portfolio to leverage brand strength, distribution reach, and execution capability to drive long-term sustainable growth.

This vertical has consistently delivered revenue growth and margins. Against the H1 revenue growth of 6%, we have accelerated our growth to 9% this quarter, owing to high mix towards focus categories like ceiling and outdoor lights, which has also helped achieve EBIT of close to 7% versus last year of 2%. This is quite encouraging for us , and we are confident to continue the momentum in the upcoming quarters.

Now let me talk about Consumer Products. We have embarked on a journey of cultural and structural change in the way we engage with the channel to move to a more balanced approach between demand-led sell-through and a volume-led push. To embed this approach, it is

important to have healthy channel inventory. Over the past few quarters, in the investor calls, we have highlighted elevated channel inventory levels as a key operating concern. As a result of this transition and the corrective actions taken, channel inventory levels are on a path of normalization. There are still certain pockets, especially the summer -related products, where the channel inventory remains high, and we look forward to its normalization as season picks up.

This structural shift to secondary offtake -led execution will strengthen our channel health, improve revenue predictability, improve margin quality, enhance working capital efficiency and flushing out high-cost incremental sales practices and positions the company -- and it positions the company for sustainable demand-led growth. This has started reflecting in stabilization of market shares across all key categories. The EBIT margins were negative owing to operating deleverage.

I would now like to highlight certain operational parameters that have begun to show early signs of improvement. While the benefits of these initiatives are not immediately visible and will accrue over time, they form a critical part of our broader effort to streamline and strengthen our operations. Logistics, which has been a persistent area of focus for the past 2 years, is now being addressed with increased rigor. We have initiated a comprehensive review across key drivers , including overall inventory l evels, space optimization and elimination of high-cost incremental sales practices.

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Several corrective actions have already been implemented, and we believe we are moving in the right direction. And post normalization, tangible benefits are expected to be visible in our results. A part of this is already getting reflected in this quarter' s cash flow from operations, where we have generated operating cash flow of INR 211 crores and ended the period with a cash and cash equivalent balance of INR 620 crores. The strong equity position provide s us with adequate financial flexibility to deploy growth capital judiciously while maintaining balance between strength and capital discipline.

In parallel, we are undertaking a detailed review of other variable cost elements such as product demonstration, customer service expenses , and trade schemes with a clear focus on improving cost efficiency and margin quality. Additionally, fixed costs, which has expanded over the last few years, are now under tighter control. Capital expenditure and innovation investments are also being evalu ated more stringently to ensure that growth capital is deployed judiciously and deliver superior returns on investme nt.

With this, I would like to open the call for questions. Thank you.

Moderator: The first question comes from the line of Natasha Jain with Phillip Capital. Ple

ase go ahead.

Natasha Jain: Sir, my first question is on the Consumer Products portfolio. The top line growth, as well as margin , the decline has been very severe. Now that all your peers' set numbers are out, everybody has -- even if top line has been modest, margin improvement has come through because of winter products and they are high margin. And Bajaj is any which way one of the better players when it comes to, say, geysers or room heaters, etc. So wanted to know why such a sharp decline?

Sanjay Sachdeva: So Natasha, one of the things -- Vishal will answer in more detail. One of the things, when we are flushing out stocks, so while we are not selling to our distributors , but we are running promotions on that stock to move to trade. So part of that will get reflected in the margin drop. So keep that in mind, and that is one of the drivers of the margin drop. But this is temporary. So underlying margin will be healthier than what you are seeing, and you will see that improving as we move forward.

Vishal Chadha: Yes. And Natasha, on a -- like has been said that we have taken corrections as far as the inventories are concerned. However, in terms of the secondaries in trade, for example, we have improved our actual market share and our growth has been flattish as far as water heaters are concerned. In instant, for example, we have a single high- digit growth. So the tertiary offtake, which has happened, which are reflective of the market share clearly indicate that we continue to maintain our strength in this space.

Natasha Jain: Understood. Sir, can you just deep dive a little bit as to what are these steps that you've taken in terms of inventory normalization? And how can -- what kind of benefit -- or rather when will this benefit accrue in the numbers?

Vishal Chadha: So the inventory normalization has taken place across our trade channel and also in our aggregators , which service the e-commerce channel. We are on that journey, as was stated in the opening remarks. We expect the normalization process to continue; in a quarter or so, we should be in a healthy place.

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Natasha Jain: Understood. Sir, my second question is on the wires division. So broadly, can you tell us the strategy here as to will it be completely outsourced? And what are the estimates that we can build in for Bajaj, say, in the medium term, both in terms of top line contribution from this as well as margins? And will you be selling this from your existing FMEG channel itself?

Rajesh Naik: Yes. This is Rajesh here, Lighting Solutions business. So strategy as of now is that we introduce considering the strength of our distribution, which is there in the market. And as the channel overlap is there, we feel that it is completely logical to enter into this particular space, which is growing much faster.

And in that, we are -- the strategy on manufacturing or outsourcing, as of now, we are exploring that what is the most beneficial way, and we have just entered into that. And looking at the current traction, we feel the outlook will be good. As of now, we don't want to project in terms of numbers or revenue which are coming out of that, looking at the forward numbers.

Natasha Jain: Got it. Sir, just one related question on that. In terms of wires, there are a lot of incumbents right now, and some of them, in fact, larger peers are losing market share in this segment. And on top of that, the commodity volatility is also extremely high. Just want to know, I mean, I understand TAM expansion is one of the strategy here and we can leverage our channel reach. But is that the only moat here in this business? What would lead a dealer to switch from, say, a Polycab or a Havells to a Bajaj?

Rajesh Naik: So again, brand strength, which is there and as you are aware, and the quality of what we are going to offer, which comes along with the

brand. The trust which is created on that basis we are in this particular business, which is the legacy of brand Bajaj.

Natasha Jain: And when you say quality, sir, you are outsourcing it completely, right?

Rajesh Naik: Yes. But it's definitely the product which is not complete -- means it is not off-the-shelf products. We do add in terms of what we are looking for from that particular product before we enter into the category.

Moderator: Next question comes from the line of Manoj Gori with Equirus Capital. Please go ahead.

Manoj Gori: Sir, I just want to understand the thought process behind this channel correction, what made us to this decision, why we took this decision? So first, if you can answer that?

Vishal Chadha: If I look back at the year so far, we have seen that the summer season did not pan out as per the expectations. And owing to that, the channel was carrying a significant amount of inventory. Now if you look at our business and the contribution of summer products, which is relatively volatile products like coolers and TPW, etc, our business is almost 20% - 25% contribution typically comes from -- in a normal year comes from these businesses, which in this year was approximately half of it. And therefore, the channel had been carrying the inventory.

Secondly, the second summer which typically comes later also did not pan out. And this was impacting both the health of the channel as well as their ability to stock up for relatively faster-moving products. So we, as has been said earlier also, thought it is prudent and judicious to take Bajaj Electricals Limited

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this correction rather than loading the inventory into the channel more and more. And we expect as it normalizes in the coming days, it will actually be more beneficial for the business and our channel partners.

Manoj Gori: Sir, one thing is if you look at we just commented like we have gained market share. So ideally, our position in the channel should have been better versus peer. Peers have reported relatively better set of numbers on the top line side. Third, if you look at an air cooler company, which has reported their numbers, they have reported by and large flattish kind of number and their sole business is air coolers?

So on one side, we are talking about market share gains. But on the other side, we are saying like our channel inventory was higher as compared to peer. Is that the right interpretation? And then if that's the case, then probably our Q1, Q2 numbers, probably the correction that we took in Q3, that should actually should have been more visible in Q1 and Q2 if we would have maintained that normalized levels of inventory?

Vishal Chadha: So like I said, the levels of inventories remained elevated and the assumption was it would go down first in Q2; the summer did not pan out. And then after that, which was quarter 3, which was about the festive period, we thought it's the right time to normalize this as we move into the next financial year.

Now as far as competition is concerned, I really can't comment on that. But for us, for example, coolers are down by almost 38% to 40% versus our sales last year. So we have been impacted as far as the seasonality is concerned.

Manoj Gori: Right. Sir, one last question, if I may. If I look at the Q3 performance and somewhere the channel would have normalized in terms of inventory levels. Then in this case, I presume like other brands would be having higher inventories in the channel as of now?

In this case, is it not -- is this understanding correct that their market share probably in the coming months and quarters might be at risk? Because even your retailers and dealers would be -- in fact, they would like to liquidate other brands' inventory first and then probably go for primary billing?

Vishal Chadha : Market shares are reflected by the tertiary offtakes, which happen off the shelf. And as has been

said in the opening remarks, it's about changing the principles of doing business. It's not about stuffing the channel, but it's about having the optimal level of inventory and an approach which drives market share and consumer pull. So I think the hypothesis that the more you fill in the inventory into the channel, that translates into a higher market share is not necessarily something which we believe.

Manoj Gori: So sir, somewhere, should we expect a normalized performance from fourth quarter onwards?

Or it will take some time still, probably it should be more visible during FY'27?

Vishal Chadha : It would be more visible during FY'27. As we said earlier, we are in the path of normalization. In pockets, there are still some additional corrections which we need to take. And therefore, by FY'27, we should start seeing positive results.

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Moderator: Next question comes from the line of Praveen Sahay with Prabhudas Lilladher Capital. Please go ahead.

Praveen Sahay: My first question is or a clarification is related to the -- as you had mentioned in the opening remark, that the summer products still have a higher inventory. Is it what you have said, like , just a clarification?

Vishal Chadha : It is lower than what it was in the beginning of the quarter, and we said that it's in the process of normalization and it would take probably one more quarter for it to completely normalize. Also, we think is that because of the bad season, the channel partners are also being cautious in loading -- taking stocks at a very, very high level. So it's a mixture of both.

Sanjay Sachdeva : Sir, the stock correction is taking into the base. One way is the ones which are high and are not seasonal, that correction is we are seeing the secondary is much higher than what we are selling to the trade.

Other correction -- way of doing correction is the summer products where the usual loading which happens in -- partly in quarter 3 and partly in quarter 4, we'll be more cautiously loading it because we want the stocks to be flushed out which is already sitting in the channel. So that is another way of correcting the stock in the channel.

Praveen Sahay: All right. Got it, sir. Second question is related to the commodity inflation. So is there any price hike expected from , you know, the Bajaj? Or you had taken to mitigate the commodity inflation so far?

Vishal Chadha : Yes. We took -- we have already announced a price increase ranging from 2% to 5% from -- with effect from 1st of February.

Praveen Sahay: And how much of the commodity inflation is expected to cover with this?

Vishal Chadha : We expect to cover bulk of the commodity inflation with this price increase. Plus, at the same time, we continue to do activities around V AVE - value engineering and value addition. And as and when we feel it's the right moment, we might decide to pass on some of that benefits to the consumer also. But as of now, the commodity impact, we have utilized it by and large.

Praveen Sahay: Okay. Next question is related to the -- some time back you had announced for the switchgear.

So how is the, so far, the traction from that segment?

Rajesh Naik: So -- this is Rajesh again. When we launched, we had a good response from the trade who are our current partners as well. At that time, we were working on creating the stock, and the stock took a little more time. So secondary has started since last month. And feedback from the market in terms of quality and other parameters is much encouraging. And we are looking forward for the higher numbers coming through coming quarters.

Praveen Sahay: So now you have 3 verticals, switchgear, solar solutions and the wire. Any target the company has set for the next couple of years where to reach?

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Rajesh Naik: So these

are all big categories, and that is where we are trying to test water and try to see how we can get our share, rightful share in these particular segments. As of now, we are working on 3 years plan. We will not be able to reveal numbers till we finalize that with the Board.

Moderator: The next question comes from the line of Rachna Kukreja with SIMPL . Please go ahead.

Rachna Kukreja: This might be a repeat question. Now the BEE transition is happening in 2026, how are the

channel distributors reacting the time? Because a similar transition happened during 2023, and that time, the industry saw higher inventory levels at the distributor end, which took some time to normalize. And are distributors now willing to stock? Or is there any caution? And do you see any risk of excess inventory related to prolonged winter in the distributed channel for fans? Vishal Chadha : So like I mentioned during the last call also, we are in a better position to navigate this change this time. And because, firstly, there was already a slightly elevated level of inventory with our partners, we navigated that change well and did not feel the need to put in more stocks as far as fans were concerned.

So, it's a novel process of channel inventory normalization, which we have already talked about earlier. And so far, there has been -- as and when the season progresses, we've also mitigated the cost impact. Commodity impact is different. But from a design, etc, point of view, we have mitigated that impact.

Like I said earlier, from a VA/VE point of view. So going forward, we remain cautiously optimistic that there would not be any resistance from the channel partners or distributors in stocking up. Of course, it is dependent on how the season pans out and how the summers pan out.

Rachna Kukreja: Okay. So what are the ground level other channel inventory? How are their sentiments currently? If you could give some colour on that as well ?

Vishal Chadha : I'm sorry. Could you please repeat the question?

Rachna Kukreja: Just more on the BEE regulation transition part, how are they reacting to it? If you could give some colour on that ?

Vishal Chadha : Well, it's a regulation. So as far as the partners are concerned, at least on ground, I don't see any massive resistance or problems around it because it is now the second time which is happening.

So people are used to this ratcheting happening over a period of time.

Moderator: Next question comes from the line of Alok S with 360 One Asset Management. Please go ahead.

Alok S.: Sir, just two questions. Firstly, there is this initiative that you have taken, maybe it's a good cleanup and hygiene. Is there now -- should we think like a Board-approved process where inventory in the trade beyond a particular duration would be considered to be like kind of flushed out this way? Or this would be a one-off event? How should we think?

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Sanjay Sachdeva : So there is no Board approval or inventory flush-out. Though this was discussed in the previous Board meeting, but it was no -- there's no Board approval, per se. If you can talk more about exactly what the question is.

Alok S.: Yes. No, I was just trying to think through that how in retail also, there are some inventory kind of processes in terms of liquidation, etc., which at times are Board approved with respect to beyond a particular timeline, you account for the inventory in particular method. So I was just trying to gauge that from either shrinkage or write-off or just trying to not push more inventory.

Or is it just onetime cleanup? How we should think?

See, essentially two things I'm thinking. Maybe it's the earlier inventory levels in the trade would be high, and we decided before the season, we kind of prune it to an optimal level so that the next primary sales for Bajaj becomes much more smoother, cleaner and ROI for the trade

should

improve going ahead. Was that the thought process when we took off, initiated this process of kind of reducing the primary?

Vishal Chadha : Yes. So if you are trying to draw a parallel with retail industry, for example, it's apples to oranges because here, we are flushing out our inventory. It is about channel hygiene and the channel partners' inventory. So as far as -- we obviously have our own process of looking at whether

slow movers, etc, which are not -- it's a very small part of our overall business.

And those are the normal practices which we follow as and when we want to liquidate those.

But that's business as usual. It is not something what we were alluding to over here. It is not our inventory which is an issue. It is the inventory with the channel partners and the channel hygiene which we were more focused on.

Alok S.: Got it. And -- sure, sure, this is helpful. And can you kind of elaborate so then what were the outstanding or elevated levels in terms of days or categories which had kind of bulked up in the trade? What has it come down now to? And what is like a normal hygiene level as a process going ahead you would want to maintain? Any such maybe quantification would be helpful.

Yes, that's it from my side.

Suketu Shah: Suketu this side. So if I have to elaborate from the number of days, we just want to give you a fact that in Consumer Products, it is down by 30% in terms of number of days. So that's one bit of it. Now how much inventory we want to carry in the channel, at the same time, what's the healthy inventory is the dynamic number that keeps on changing with the scenario environment and the seasonal factors. So while there is no return thumb rule around it, but we are very cautious in the way we want to culturally operate with the channel.

Moderator: Next question comes from the line of Anuj Sehgal, Manas Capital. Please go ahead.

Anuj Sehgal: This question is for Mr. Bajaj. Mr. Bajaj, over the last several years, you had also embarked upon the Range

Reach Expansion Program where the focus was on a pull -based system and it was followed for some years. And then from our understanding, it was abandoned. Are we going back to that same philosophy of going back to a pull -based model?

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And sort of my question is, why did we abandon that model? And why are we going back to the same model again? That is one. And secondly, if you look at the business over the last almost more than 10 years, the business has not delivered on its potential both on the top line and on the margin, especially on the margins ?

So how should we think about the Consumer Products business, let's say, over the next 5 years in terms of what it can achieve both from a top line and a bottom -line perspective? And I mean if Mr. Sachdeva could pitch in, that would be helpful ?

Shekhar Bajaj: Yes. Thank you very much. See, I'll tell you that the RREP which was introduced was an outstanding thing which we had done, and we had improved our distribution very well. But one thing which we found was that because of that distribution, it was coming out to be a problem that we were covering all the outlets. Around 2 lakh outlets we had covered, but the cost was not working out. So now we are doing our RREP but in a different way.

We are doing it by also having direct dealers. We're also doing a distribution, which is like RREP. We don't call it RREP, but the distribution by which we are covering outlets to -- like for example, if somewhere, there's a INR10 lakh sale per year. And there's somewhere it's only INR10,000 sales per year or INR1 lakh.

Earlier, we were going to every outlet. An INR10 lakh outlet also will be visited every week , and an INR1 lakh outlet will be also visited every week. Now we are going to, through our channels, depending on the demand and the possibility, we will increase the movement and vis

it

to that place, where there's a INR10 lakhs business and relatively less visit to those which is INR1 lakh business.

So therefore, that is where the change will take place compared to what is being done earlier.

But RREP as a procedure was good. And what -- just now, what you've been hearing, which is what we have done in the last -- starting from last quarter is that please concentrate on secondary rather than primary.

And therefore, because of that secondary sales, though we have shown a negative 25% negative growth in case of Consumer Products, as was mentioned, the market share has not gone down much because actually we have reduced our inventory levels.

We have reduced the inventory level of our dealers as was mentioned by Suketu, has been reduced by almost 30%. So therefore, because of which their margins will improve because if you keep inventory which you don't need, you are ending up paying carrying c osts, godown costs, and all that.

So we have reduced our inventory to that extent, our godowns requirement has gone down. Our total carrying cost has gone down. That's why our cash flow has improved by INR 210 crores because we have been able to free our cash, which was dead either in inventory or in outstanding. So that is where -- also at the month end, we don't like this type of pressure which comes in because we want to achieve our top line. So top line is only a transfer from our stock to our distributor stock, which we don't want. We want a secondary sale.

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And therefore, the whole emphasis in secondary sales, that is why this correction, which is taking place and normalization which is taking place will result in long -term margin improvement for dealers. Our cost of carrying will come down, and it should be a win -win for all. Does that answer your question?

Anuj Sehgal: No, yes, it answers the question, Mr. Bajaj. What I only hope that this also leads to sustainable growth and improvement in the profitability of the business. I mean, as you know, the margins in the Consumer Products business have been low -single digits, and they have been stuck there for a while. So either the cost structure of the business needs to be reviewed or we need to have sustainable growth for the business to absorb the higher cost base. And it doesn't -- so I don't know what is being done on that front to achieve sustainable profitability, at least in line with your peers ?

Shekhar Bajaj: You'll see that happening. The improvement you'll see starting with the fourth quarter. But next year should be showing a substantial improvement because all those corrective actions which we are talking about, by doing that, your cost is coming down, and therefore, your margin obviously improves. If my inventory carrying cost goes down, my godowns I've already given up a lot of godowns, number of outlets to whom we are selling, keeping inventories being reduced.

All those areas are being done because we realized what you are saying is correct, that cost has to be kept under control because margins cannot keep improving by improving selling prices.

The margins will only improve by reducing your cost, and that's what our objective is. So you'll see things happening in this quarter also and coming in the next quarter.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Shekhar Bajaj: Thank you very much, all of you who have joined this conference, and your questions and answers which have been -- we've had. So we'd like to wish you all the best. And let's hope the next few quarters, you will see some improved results. Thank you very much. Shekhar Bajaj here, saying goodbye to you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes t

his conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

Bajaj Electricals Limited | CIN: L31500MH1938PLC009887

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L-1/0067/JG/PD May 26, 2026

To,
BSE Limited : Code No. 500031
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street Mumbai 400 001

National Stock Exchange of India Limited : BAJAJELEC - Series: EQ
Listing Department
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051

Sub: Submission of the Transcript of the ' Q4FY26 Earnings Call' of Bajaj Electricals Limited ("Company")

Dear Sir/Madam,
Further to our letters bearing sr. no.- L-1/0061/JG/PD dated May 15, 2026, and L-1/0064/PG/PD dated May 20, 2026 , and pursuant to the provisions of Regulation 30 (read with Sub -para 15 of Para A, Part A, Schedule III) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations "), we are hereby enclosing the Transcript of the ' Q4FY26 Earnings Cal l' i.e., Post Earnings/Quarterly Call, organised by ICICI Securities Limited, on Wednesday, May 20, 2026, at 4:30 P.M. (IST) , wherein, inter- alia, the annual audited financial results of the Company for the financial year ended March 31, 2026 , were discussed.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours faithfully,
For Bajaj Electricals Limited

Prashant Dalvi
Chief Compliance Officer & Company Secretary
(ICSI Membership No.: A51129)

Encl. : as above.
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"Bajaj Electricals Limited
Q4 FY26 Earnings Conference Call "
May 20, 2026

MANAGEMENT : M R. SHEKHAR BAJAJ – CHAIRMAN – BAJAJ
ELECTRICALS LIMITED

MR. SANJAY SACHDEVA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BAJAJ ELECTRICALS
LIMITED

MR. VISHAL CHADHA – CHIEF OPERATING OFFICER -
CONSUMER PRODUCTS – BAJAJ ELECTRICALS
LIMITED

MR. RAJESH NAIK - CHIEF OPERATING OFFICER -
LIGHTING SOLUTIONS – BAJAJ ELECTRICALS LIMIT ED

MS. ASHWEEN ANAND – CHIEF FINANCIAL OFFICER -
BAJAJ ELECTRICALS LIMITED

MR. SUKETU SHAH – FINANCE CONTROLLER – BAJAJ
ELECTRICALS LIMITED

MODERATOR : M R. MANAN GOYAL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day. And welcome to the Bajaj Electricals Limited Q4 FY26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participants will be in listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I will now hand the conference over to Mr. Manan Goyal from ICICI Securities Limited for opening remarks. Thank you, and over to you, Manan.

Manan Goyal : Thank you. On behalf of ICICI Securities, we welcome you all to Q4 and FY26 Results Conference Call of Bajaj Electricals Limited. Today, we have with us senior management represented by Mr. Shekhar Bajaj, Chairman; Mr. Sanjay Sachdeva, MD and CEO, Mr. Vishal Chadha, COO - Consumer Products; Mr. Rajesh Naik, COO - Lighting Solutions; Mr. Ashween Anand, CFO; Mr. Suketu Shah, Finance Controller.

Now I hand over the call to the management for their initial comments on the quarterly and annual performance. Then we will open the floor for Q&A session. Thank you, and over to you, sir.

Shekhar Bajaj : Thank you. Good evening, ladies and gentlemen. I'm Shekar Bajaj here. Thank you for attending our Q4 earnings call. We hope you had the opportunity to review our financial results and earnings presentation, which are available on the stock exchanges. In the quarter, marked by a milder start to the summer season, geopolitical uncertainties, supply chain disruptions and input cost pressures, we have delivered a modest performance.

In the last quarter, we highlighted that we have embarked on a journey of cultural and structural change in the way we engage with the channel and to move to a more balanced approach between demand-led sell-through and volume-led push. We are progressing well in this journey. While these macroeconomic factors were demand-disruptive, the Lighting Solutions vertical still delivered a strong performance. EBIT increased by 28% on a year-to-year basis.

Further, the vertical ended the year with highest-ever annual EBIT margin of 8.5%. We are confident of continuing this trajectory going forward. Though, the Consumer Products vertical bore the brunt due to a weaker start to summer. However, we expect the vertical to bounce back in the next financial year. I would also like to welcome Ashween Anand, our new CFO, in the company.

She has over 16 years of diverse experience across finance, strategy and governance and has worked with leading global organizations including EY, Deloitte, Mondelez, Colgate Palmolive, and most recently Tata Starbucks. We are confident under her leadership, we'll be able to build Bajaj Electricals to a more resilient and future-ready organization.

Bajaj Electricals Limited
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Further, in celebration of 100 years of Bajaj Group, the Board of Directors have decided to maintain a dividend rate same as last year and accordingly approved -- recommended a final dividend of INR 3 a share, that's 150% of face value of INR 2 each on equity shares for the financial year ending 31st March 2026.

Before I hand over to Sanjay Sachdeva, our MD and CEO, I would like to highlight that the fundamental strength of our business remains firmly intact. Our brands continue to enjoy strong consumer awareness, our market shares across key categories have remained stable, and our distribution reach remains deep. I now hand over to Sanjay for detailed business and financial highlights. Thank you.

Sanjay Sachdeva : Thank you, Chairman, sir. Good evening, ladies and gentlemen, and thank you for joining our investor call. First of all, sincere apologies for everyone -- to everyone for canceling the invest

tor

call last week. It was because of the circumstances out of our control, more to do with the technical reasons. Before we start, I would like to welcome Ashween Anand, who is our new CFO into the company.

With her rich and diverse experience, I'm extremely confident that she will add immense value to our company. I would also like to thank Suketu Shah, who was our acting CFO, for his contribution during this transition phase. As Chairman said, we have delivered modest performance for this quarter. Let me start with Lighting Solutions. Like we mentioned in the past, portfolio expansion remains one of our top priorities.

As part of this strategy, we entered wires category in this quarter. The foray into wires portfolio has witnessed a robust market response with some encouraging demand trends across key

markets. Backed by strength of Bajaj Electricals brand, expanding distribution reach, and focused execution.

We are confident this business will grow in future and will emerge as one of the strong growth drivers for the next few quarters. This vertical has consistently delivered revenue growth and margin in the last financial year. We delivered 16 % revenue growth in quarter 4 and delivered EBIT margin of 8.7%.

This has been a successful year for Lighting Solutions vertical with their annual turnover have expanded by 9.5% and annual EBIT margin close to 8.5%. We are confident of carrying this momentum into next year. On Consumer Products vertical, the last quarter was not as good as we wanted it to be. We -- part of this was intentional. This is about -- we wanted to move the business to a more balanced one where we wanted -- we want to balance the demand-led sell-through with a volume-led push.

This journey so far is progressing well, and we are confident that coming quarters and the year will be much better. The performance for the Consumer Products vertical was mixed across subsegments. At one end, while the summer cooling products had an impact of delayed onset of summer -- onset of the summer season, coupled with geopolitical uncertainty, supply chain disruptions and input cost pressures during the last 3 weeks of the quarter, the other end, the Consumer Products, the kitchen appliances did well.

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Categories like induction cooktops and mixers have delivered double-digit growth. For the quarter, the vertical reported a loss due to operating leverage. We are, however, confident of turning this around as we go forward next quarter. Now, let me touch our financial parameters for the company.

We continue to generate positive cash flow from operations and are ending the year with INR 934 crores of cash. We are operating at negative working capital. This strong liquidity position provides us with adequate financial flexibility to deploy behind growth, while maintaining balance sheet strength and capital discipline.

Lastly, price increases and war end-use demand has been supportive in this quarter, the quarter we are in. However, sentiment concerns arising out of war, continued price hikes and patchy summer remains key headwinds. Importantly, our P&L position gives us confidence and flexibility to continue investing behind brands, distribution and innovations, positioning us well to a sustainable growth as we move forward.

While the near-term outlook appears constructive, the long-term stance remains cautiously optimistic. Overall, we remain confident on delivering steady and profitable growth going forward. With this, I would like to open the call for questions. Thank you.

Moderator: We take the first question from the line of Shivam Patel from PL Capital.

Shivam Patel: I just wanted to know our capex plan for FY27 and FY28? That's my first question. And the second question on the revenue growth, in Fans and Appliances in Consumer Products, while on Lighting side, if you can point out

wires, switchgears and other products performed

individually. And how is wires and switchgears margins have performed in this context? So these are the two questions.

Sanjay Sachdeva: Is the question clear? Can you repeat the questions? Questions are not clear.

Vishal Chadha: Shivam, your voice is a bit muffled. That's why we are not able to hear your questions correctly.

Shivam Patel: Is it clear now?

Sanjay Sachdeva: Yes, yes.

Shivam Patel: Yes. So I just wanted to know your capex plan for FY27 and '28? So that's my first question.

And second question is on the Consumer Products. How has Fans and Appliances have performed in this quarter individually, while on the Lighting side, wires, switchgears and other products have performed individually?

Sanjay Sachdeva: So you mean to say the financial year, '26, '27. capex on '26, '27, right?

Shivam Patel: No, capex for '27 and '28, your capex plan?

Sanjay Sachdeva: Okay, next 2 years?

Shivam Patel: Next two years.

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Sanjay Sachdeva: Next capex will substantially come down. It will be less than half what we have been doing in the past. So it will be mainly for replacement of moulds or in some cases on innovations; we're going to use capex wherever it is necessary. But the intensity of the capex investments will come down as we move forward to the next 2 years. On the fans and kitchen appliances?

Vishal Chadha: So as far as the appliances portfolio is concerned, in kitchen appliances, as was mentioned in the

opening remarks, we have delivered a very good, almost 30% growth over last year's same quarter. We have had modest growth in water heaters and irons. Cooler s being a seasonal product and with the onset of -- a delayed onset of summer has shown a degrowth and a similar trend has been observed in fans also.

Rajesh Naik : This is Rajesh. Shivam regarding bifurcation between Lighting. If I bifurcate that between two verticals, which is Professional Lighting and Consumer Lighting, Professional Lighting has also grown and Consumer Lighting in trade has grown. Two categories what we recently launched in that, wires was like in February.

So recent orders are immediate, as Sanjay mentioned, there is a good traction and response, which is coming from the market. We are -- still next 2, 3 quarters will be important for us to track and ensure that growth targets we have taken we achieve.

Moderator: We take the next question from the line of Arun Agarwal from Kotak Securities.

Arun Agarwal: Sir, one is on the Lighting Solutions business. We clocked good margins this quarter, this year, in fact. You said that the momentum would likely continue in the Lighting Solutions business going forward in FY2 7 as well. So could you just help us out, is there a possibility of further margin expansion? Or this is the range that would likely continue over in say, next 1 to 2 years in Lighting Solutions?

Rajesh Naik : Thanks for the question. As we have been talking about, we are driving product mix and premium products into the Lighting category which has helped us to bring this additional margin.

The same would be there to continue expanding the margins, but we'll not be able to tell you the figures where we want to reach from here.

Sanjay Sachdeva : So just to sort of add to that is, look, the margins are good in Lighting and there are a lot of opportunities in the Lighting business. So while our gross margin movement will be positive, part of that, we are planning to use to accelerate growth in Light ing. So at the EBIT level, it may be close to where we are but whatever advantage we'll get in terms of margins or the momentum, we'll spend that behind to build momentum further.

Arun Agarwal: All right. Coming on to the Consumer Products business, this business has seen significant pressure in recent quarters now. Now how do you see -- because every

quarter what we are

seeing one of the other segment, sometimes one category performs and the other categories sort of declines more. So where do you see maybe how many quarters would it take for us that we really do see momentum returning back into the Consumer Products business?

Sanjay Sachdeva : So Consumer Products business, we had some -- you -- actually we had some long -term issues, and we tried to solve most of them -- or some of them in the last 12 months, including we had

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to flush out excessive stock in the trade, partly driven by sales in the previous few quarters and also because of the season, which didn't go as well as we wanted it to. We are waiting for a good summer because the part of excess sale is also the summer p roducts, fans and coolers.

Now most of that is out. The stock levels are now reasonable. Therefore, we will be selling as per what the tertiaries are now because there will not be any level of correction apart from that.

Now when we see tertiaries, we are in good position in most of the categories, except for fans, where we need to do more work when it comes to fans.

So we are clear where we are. What is going well, what will continue to do well, what will turn around and where we need to do our work, so except for fan, we're in good place. The fans is something we need to work, which we are going to -- which the teams are working in the next 12 months should be much better.

Arun Agarwal: Okay. So from a margin perspective, sir, just directionally, I understand you won't give us any guidance there, but from a direction for -- direction purpose, is it fair to assume that the EBIT margins in the consumer business, what we have done -- see ini tially we used to do of what, 6%, 7% earlier, which has come down to around 3%, 3.5% in '24/'25 and last year, I think it was negative. So is it fair to assume that we would at least reach closer towards the FY2 4/'25 margins this year or is t hat to change more difficult?

Sanjay Sachdeva : Difficult to say exact margin, and I tell you why because there is another factor which is affecting the cost of our products is the war -related inflation. Not everything we'll be able to pass on because we have to see -- we are trying all the possibilitie s of leveraging our supply chain network or stepping up savings. But we are using all the levers to see that we deliver a good margin. However, we do believe we have to also see we stay competitive in the market. And in

that context, maybe whatever is left, not everything, we'll be able to pass on to consumers.

And this is our current hypothesis. But we will see as the year goes. In that case, we will not be able to deliver -- it's difficult at this stage to say whether we'll be able to deliver '24/'25 margin.

We are also very clear that we want to do that level of margin, which is sustainable, which means we are very, very clear that we want to spend money behind innovations and behind brands. So you will see a step up in that in the next 12 months, our investment behind brands and investment

behind innovations.

Arun Agarwal: Okay. And sir, it's correct to assume you, I think, said that the inventory levels are completely normalized across all the product categories at this point in time, right?

Sanjay Sachdeva : It's much lower. There are some coolers and -- mainly coolers, there is still correction required, but it will not be material for us to say that it's going to impact majorly to full year performance.

Some quarters here and there it can do, but not a full year performance.

Arun Agarwal: Okay. And sir, lastly, on your -- for the past couple of quarters now, we are seeing some exceptional items coming in. So these kind of exceptional items through or we could expect some more exceptional items or write-offs or provisions going forward?

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uketu Shah: Suketu this side. I think so far, all that we could trace and whatever we could find certain issues, I think we have taken care of that. And we hope that we have a good year on next year.

Moderator: We take the next question from the line of Aakash Fadia from YES Securities.

Aakash Fadia: So what is the quantum of price increase we have taken in Q4? Any follow-up price increase we have taken in Q1 FY27?

Vishal Chadha : We have -- Consumer Products, our price increases have ranged from anywhere from 3% to 10% in quarter 4, and we have already taken a price increase in the same range in April. So -- and in May, also, we have announced price increases where we are seeing further pressures because of war and commodity inflation.

Aakash Fadia: But despite the, say, three price increases, we have not yet covered the commodity inflation completely. Is that correct? And further price increases will be required?

Vishal Chadha : See, we have covered the commodity inflation to the extent possible. But as Sanjay mentioned that going forward, we will need to be more calibrated because there is demand uncertainty, which might arise. We have to look at it in the overall context. But so far, we have covered up to the extent possible the commodity inflation.

Moderator: We take the next question from the line of Manan Goyal from ICICI Securities Limited.

Manan Goyal : Sir, my first question is regarding how are we doing in terms of channel inventory? Like is it largely normalized? Or is it at the elevated level? Second is, how are we doing in terms -- how are we seeing the demand in terms of the summer season going ahead? Because we have seen like IMD rating has already been mentioned that there has been a good summer season going ahead. So how are we seeing the traction in terms of primary channels as well as secondary channels? Yes, these are my two questions.

Vishal Chadha : So in Consumer Products, we have corrected the channel inventory to a large extent. But there are still some categories like summer products, coolers specifically, where they are still at a slightly elevated level. We are watching the season progress. Quarter 4 was a delayed summer. In this quarter so far, there has been a mixed bag of summer as well as unseasonal rains. In some parts of the country. We are seeing good demand coming in because the summer is good there, but in some parts of the country, it is not as good.

So it's a mixed bag. In the early part, North did not see summer, but now we are seeing a very good summer coming into North. South was pretty hot, and we saw good traction coming over there. So it's not a consistent weather pattern across the country. It's a mixed bag, and we are being agile enough to fulfill the demand wherever we see an opportunity.

Moderator: We take the next question from the line of Manoj Gori from Equirus Capital.

Manoj Gori: Sir, in the opening remarks, somewhere in the comments, we highlighted that we'll continue to enhance innovation and other brand building exercises. Can you throw some light because just the backdrop is, if we look at probably some last 2 to 3 years, when Mr. Anuj was also taking

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care of the business, there were significant investments made behind the product development and other initiatives.

And we probably going by the financials, we were not able to see any positive benefits flowing in, so going forward, what are these investments for? And how should it translate into growth numbers and margin trajectory, probably keeping aside FY27 but somewhere around FY28 to FY29 level? That's the only question, sir.

Sanjay Sachdeva : So thank you for raising this. So there's a lot of learning we have in the last -- what has happened in the last few years. And we want to incorporate that as we are building our innovations for the next 2 to 3 years, which means we are bringing i

nnovations which we plan at the right price

point with the right margins. And we are also making sure not only that the right price point --

the right price point with the right margin, but also we're bringing innovations, we have adequate margin, which is necessary to support those innovations in the market.

So in the end the idea is that with these innovations, we don't want a case that it dilutes our overall P&L, but at the same time, we're making sure the innovations are the one which consumer needs at the price -- at the right price and -- which is different from what is already existing in the market. So their approach is changing now. And that should reflect as we move forward with innovations.

Manoj Gori: Can it be quantified in some form, at least in numbers, if you can give some highlights because that will even give us some confidence for modeling purposes?

Sanjay Sachdeva: So tell us more about what numbers you're talking, for example.

Manoj Gori: For example, like how should we look at the growth, how much acceleration we can expect during FY28 and FY29 and probably how the margin trajectory should also shape up based on these initiatives?

Sanjay Sachdeva: So our intent going forward is to grow ahead of the market. That is number one. Now we believe market will grow close to mid-single digit. So therefore, we -- our growth rate should be more than that. Our intent is to make industry average, at least industry average profit and industry average is between 6 to 8%, 9%, and that is where it should be.

So as I told you, this is our intent, and that's what we are working on. And that's where the entire teams are looking at all the opportunities where we can build this momentum to this level and build it profitably to the level which industry allows. Does that help you?

Manoj Gori: Yes, yes.

Moderator: We take the next question from the line of Natasha Jain from Phillip Capital.

Natasha Jain: Two questions. First, if you could throw some light in terms of your market share in fans, how it has moved, say, in the last 2 to 3 quarters? And the second question is the reason for the sharp jump in your OCS?

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Vishal Chadha: So on the fans market share, we have lost a bit of market share. And primarily, the reason behind that is that we are still not as good on our BLDC performance as we would like it to be. The industry's contribution is higher versus ours. So we are working hard towards making sure that, that part of the fans portfolio gets better.

Suketu Shah: I think second question was on the operating cash flow, Suketu this side. So we have generated around INR 400 crores of operating cash flow for the quarter, and that's primarily driven because of the working capital improvement, half of it coming from inventories and half of it coming from the trade receivables.

Natasha Jain: And a follow-up on the earlier answer. So the follow-up is that in terms of BLDC, can you tell us how is the scale-up happening at Bajaj? And what is the plan in terms of -- I believe we've launched the NEX product, so how is the feedback and what is the strategy there going forward? Are we planning to roll out full scale?

Sanjay Sachdeva: Sanjay here. So let me put it like this. We know we are not competitive in fans. We recognize that. And we are working on various -- from various angles to improve the situation. So we have traditional induction fans. We are very good in that in terms of especially the economy and sub-economy, both in terms of our offerings, also in terms of our price points, and we make reasonable margins on that.

Now the other one, which is -- but unfortunately, that segment is not growing. The segment which is growing is BLDC and this is where we have gaps. In the next 12 months, our plan is to bridge this gap. And this is where we believe the acceleration of growth will happen.

Moderator: We take the next question from the line of Shivam Patel from PL Capital.

Shivam Patel: Sir, I just wanted to know on working capital side, will it be maintained at what FY26 levels or can you see an improvement?

Suketu Shah: Suketu here again. So we have been operating at negative working capital for the past 2 years, and we -- the expectation is to continue on those same lines for the next year as well, and we endeavor to achieve that as well.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for their closing comments.

Shekhar Bajaj: Thank you very much all the participants for participating in this investors call. And sorry, once again, that we could not complete in the earlier period. Clearly, all of us are working very hard.

Last year was a very bad year for us for various reasons, which has been explained. Current year, we are hoping it will be a much better year. You'll be all much happier compared to what has happened last year. So with all that, I wish you all the best, and thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.